

UTI AMC (UTIAMC)

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UTI Asset Management Company Limited

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National Stock Exchange of India Limited

Exchange Plaza Plot No. C/1

G Block Bandra-Kurla Complex

Bandra (East) Mumbai -400 051.

Scrip Symbol: UTIAMC UTI Mutual Fund

Date: 2nd August, 2022

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai -400 001.

Scrip Code I Symbol: 543238 / UTIAMC

Sub: Transcript of the Earnings Conference Call on financial performance for the quarter ended 30th June, 2022

Dear Sir / Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the earnings conference call on financial performance for the quarter ended 30th June, 2022 held on Wednesday, 27th July, 2022.

The transcript of the aforesaid earnings conference call has been uploaded on the website of the Company at www.utimf.com.

We request you to kindly take the aforesaid information on record and disseminate the same on your respective websites.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar

Company Secretary and Compliance

Encl.: As above

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UTI Asset Management Company Limited

Q1 FY23 Earnings Conference Call

July 27, 2022

Moderator: Ladies and gentlemen, good day and welcome to UTI Asset Management Company Limited Q1 FY23 Earnings Conference Call. From the management we have with us Mr. Imtaiyazur Rahman – Managing Director and CEO, Mr. Surojit Saha – Chief Financial Officer, Mr. Vinay Lakhota – Head Operations, Mr. Sandeep Samsi – Head Investor Relations and Corporate Communications. As a reminder all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier. I now hand the conference over to Mr. Imtaiyazur Rahman for opening remarks. Thank you and over to you sir.

Imtaiyazur Rahman: Thank you very much. Good afternoon, everyone. It is my great honour to welcome all of you to the Earnings Call for the first quarter of financial year 2023. I thank you for joining us to discuss the financial and operating performance of UTI Asset Management Company Limited. It has been a momentous occasion for the country as Honorable Shrimati Droupadi Murmu took the Office as the youngest President of India and the first person from India's tribal communities to serve as our President. I have with me my distinguished colleagues Mr. Surojit Saha – Chief Financial Officer, Mr. Vinay Lakhota – Head of Operations and Mr. Sandeep Samsi – Head Investor Relations and Corporate Strategy.

Friends, the global economic recovery post the pandemic is posed with challenges following the geopolitical conflict in Europe. Central Banks around the world are tackling the surging inflation. In response to the rising

headwinds, the Reserve Bank of India through its monetary policy, has taken stance to withdraw accommodation to ensure that inflation remains within the target going forward, while supporting growth. With the supply outlook appearing to be favorable and several high frequency indicators pointing to resilience of the Indian economy during the quarter. RBI expects that inflation may ease gradually in the second half of the financial year. UTI Mutual Fund

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The Indian equity market witnessed corrections during the quarter. The benchmark indices

for the equity markets closed in red with Sensex closing at 53,019, down by 9.5% and Nifty ending at 15,780, down by 9.6%. Friends over the last two quarters, the decline in equity markets has impacted the Quarterly Average AUM of the Mutual Fund Industry. The Quarterly Average AUM of MF industry as on June 30, 2022 stood at Rs 37.7 lakh crore, marginally down from Rs 38.4 lakh crore as on March 31, 2022. Despite correction in the equity market, number of folios rose to 13.47 crore as on June 30, 2022 from 12.95 crore as on March 31, 2022, a jump of around 4%.

In order to give you the further details of UTI Mutual Fund and AMC's performance, I now handover to Mr. Sandeep Samsi, Head – Investor Relations & Corporate Strategy and Communications to take the discussion forward.

Sandeep Samsi: Thank you sir. Good afternoon to everyone. I will start with UTI Mutual Fund and UTI AMC's performance. We are pleased to inform you that during the first quarter, UTI AMC was one of the two Mutual Fund amongst the top 10, which saw AUM growth. As compared to the last quarter, our QAAUM increased by Rs 437 crore. UTI MF QAAUM as on 30th June 2022 stood at Rs. 2,24,279 crore, witnessing a year on year growth of 19.80% or by approximately Rs. 37,069 crore, from Rs. 1,87,210 crore in Q1FY22. This has led to an increase in our market share to 5.94% for the quarter ended June 2022 from 5.83% for the quarter ended March 2022. On closing AUM basis, our market share has increased by 3 bps to 5.89% as on June 30, 2022 from 5.86% as on March 31, 2022.

Our Equity QAAUM market share is 5% for the April – June 2022 quarter. Our Equity QAAUM for the quarter ended June, 2022 stood at Rs. 66,693 crore, with an increase of 23.49% as compared to the quarter ended June 2021. The QAAUM for Index & ETFs recorded a Year on Year growth of 45.95% to Rs. 65,199 crore for June '22 quarter. Net sales for UTI Mutual Fund for the Q1 FY 23 stood at Rs. 3,771 crore, while the overall industry saw an outflow of Rs 4,539 crore. The Equity net inflows for UTI Mutual Fund amounted to 4% of the industry net inflows and stood at Rs. 1,953 crore as compared to net flows of Rs. 975 crore for Q1 FY 22, while ETFs & Index Funds net inflows stood at Rs. 4,854 crore gaining 11.8% of the industry net inflows. Hybrid funds witnessed a net outflow of Rs. 164 crore for the quarter. UTI was able to capture market share of 8.5% of the gross sales of the industry during the quarter. The total Assets under Management for UTI Group registered a growth of about 15% over the corresponding quarter of previous year and stood at Rs. 1,10,000 crore. UTI Mutual Fund

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13.82 lakh crore as on 30th June, 2022, as against Rs. 12 lakh crore as on 30th June, 2021.

During the quarter under review, UTI added 1.38 lakh folios taking up the number of live folios to 1.20 crore as on 30th June 2022 from 1.19 crore as on

31st March 2022. During the quarter, our number of SIP accounts rose by 5.44% taking the total numbers of live SIP folios to 22.67 lakh as of June 2022. The new SIP registered during the quarter were 2.58 lakh. Our SIP AUM

witnessed a growth of 14.59% over the corresponding quarter of last year, reaching to Rs. 17,788 crore as of June 2022 from Rs. 15,523 crore as of June 2021. The SIP inflows for the quarter stood at Rs. 1,550 crore, rising by 4.1%

over the fourth quarter of last financial year and by 53.66% from the corresponding quarter last year. The SIP gross inflows for UTI MF witnessed a year-on-year growth of 53.66% as against the industry growth of 37.08%, with

the average SIP ticket size being Rs. 3,365 for June 2022.

Keeping up with our commitment to deeper and better access to B30 cities, 23.3% of our Monthly Average AUM for June 2022 came from B30 cities while the industry stood at 16.6% in terms of its B30 MAAUM. 108 out of our 167 UFCs are in the B30 cities.

Weighted average

AMC yield slightly reduced to 40 bps from 41 bps in the previous quarter.

Now I come to the UTI AMC financials.

UTI AMC continues to undertake cost control measures and improve its profitability and margins. During the first quarter, the Company posted a consolidated net profit of Rs. 94 crore, and consolidated core net profit of Rs. 111 crore. This Core PAT excludes Mark to Market Gain, Income from the sale of the Investment and Other Non- Operating Incomes as against Rs. 86 crore in Q1 FY 22 reflecting a growth of 29%.

There is growth in the Core profitability of the UTI group:

For UTI AMC Ltd (Standalone) : The Core PAT of UTI AMC Ltd in Q1 FY 23 is Rs.

101 Crore reflecting a growth of 71% Quarter on Quarter from Q4 FY 22 & 44% YoY from Q1 FY 22. Whereas the core income is at Rs. 234 Crore in Q1 FY 23, growth of 9% Year on Year from Q1 of last FY and negative 2% QoQ from Q4 FY 22.

For UTI Retirement Solutions Ltd: The AUM of UTI RSL has increased 14.5% on closing basis to Rs. 2,01,919 crore from Rs. 1,76,338 crore in Q1FY22. PAT of UTI Mutual Fund

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of UTI RSL is at Rs. 10.7 crore, a decrease of 18.89% compared to corresponding quarter of last year.

UTI International Ltd: The Management fees of UTI International is at Rs. 32 crore, an increase of 23% YoY from Rs. 26 Crore in Q1 FY 22.

UTI Capital Pvt. Ltd.: UTI Capital has made a net loss of Rs. 1.2 Crore in Q1FY23. The operating profit margin as a percentage of AUM for Q1 FY 23 was 17bps as against 16 bps for Q1FY22.

Employee Cost of the group in Q1FY23 was Rs. 101 crore witnessing an increase of 7% YoY as against the amount of Rs. 94 crore in the Q1 FY 22.

For the Subsidiaries: I would like to provide a brief highlight on the performance of our subsidiaries.

UTI International has an AUM of Rs. 25,990 crore as of 30th June, 2022. Our international clients are across thirty-eight countries. These are primarily Institutions – Pensions, Insurance, Banks, and Asset Managers. One of our flagship fund, the Indian Dynamic Equity fund (IDEF) domiciled in Ireland, has an AUM of USD 970.6 million and is widely recognized internationally. UTI

International's J Safra Sarasin Responsible India Fund, an ESG compliant India fund, has AUM of USD 93.2 million. We have also launched UTI India

Innovation Fund during the 1st quarter of this FY. This Quarter, we have commenced operations from our Office in Paris, France, to strengthen our foothold in the European markets.

UTI Retirement Solutions Ltd. has been managing the NPS corpus for the Government & non – Government sector. As of 31st March 2022, its AUM is Rs. 2,03,786 crore and has a share of 27.37% of Industry AUM.

UTI Capital with total AUM of Rs. 1,551 crore currently manages Active Debt Funds which includes the UTI Structured Debt Opportunities Fund (UTI SDOF)

I, launched in August 2017 and closed in May 2019, having AUM of Rs. 281 Crore. Currently the fund is in exit mode. UTI SDOF II was launched in September 2020, having AUM of Rs. 507 Crore, and the fund is currently in Fund raising stage as well as investing stage. UTI SDOF II has a very well defined ESG Policy and strategy. UTI Multi Opportunity Fund I launched in March 2022, which has an AUM of Rs. 763 crore. Currently the Fund is in the Investing stage. Further, UTI Capital has set up another fund i.e., UTI Structured Debt Opportunities Fund (SDOF) - Growth Theme Fund I (SDOF GTF I) which was approved by SEBI in April 2022. The investment thesis of the fund being similar to SDOF I & II, this fund has now been rebranded to SDOF III and will be launched in the market by September 2022 quarter. UTI Mutual Fund

I would now request the Managing Director and CEO for his concluding remarks. Thank you.

Imtaiyazur Rahman: Thank you Sandeep. Friends I would like to reiterate that we shall continue to focus on growing our high yield assets as well as on our People, Process and Performance. With this, I would like to open the forum for your questions. Thank you for joining us on this call.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Viraj Kacharia from SIMPL.

Viraj Kacharia : So just have couple of questions. First is on the domestic mutual fund business . If you kind of look last few months we have seen a very significant normalization of commission payouts by various competitors , especially the ones who have been very aggressive in last few years in the market . But still if we can see our overall yield in the domestic market, we still see a pressure on the yield . So just wanted to understand what will be the drivers of that and going forward how should one understand the yield movement for us in the domestic mutual fund business. So that is one. Secondly is again on the domestic mutual fund. We have seen some moderation in our domestic mutual fund market share, especially in active equity. If we look at our performance ranking , some of our major schemes like Flexi Cap , they have also kind of moderated in last one year. But at the same time when you look at our share of SIP that has been kind of stable at about 4.5%. So just wanted to understand what is driving this moderation and how should we understand our market share play going forward? What kind of levers you think you have to drive the market share up ?

Vinay Lakhotia: I'll take the question on the yield. As far as the competition pricing are concerned, I stated in the earlier call as well, the ratio of pay out between a manufacturer and the distributor is close in the range of around 50 % to 80% . 50% being the lower end of the spectrum that is being shared with the individual financial advisor and 80 % to 85% in case of a normal high -end distributor like a bank and a national distributor. Things hasn't changed much as far as this sharing is concerned. Yes , while the industry had witnessed lesser NFOs where the pricing structure gets distorted but as far as the open -ended schemes are concerned the pricing ratios between the manufacturer and the distributor remain the same . We do have some impact on our yield as well, so as compared to the last quarter the AMC margin yield has actually fallen down by 1 bps and we expect some dilution in the yield going forward as well of maybe around 1 to 2 basis points, primarily because of three factors. Firstly, as you all know equity in flows that is actually coming, the fresh inflow is coming at a lower yield as compared to the stock AUM yield which is close to UTI Mutual Fund

around 85 to 90 basis points. That drag the overall yield . Secondly , the industry has witnessed exponential growth in the ETF and Index AUM over the last 2 to 3 years. We see that trend to continue in near future as well. As you are aware that ETF , our AMC yield is in the range of around 5 to 6 basis points and we have a sizable share of ETF AUM and with AUM growing, it kinds of drag our overall yield number . The third reason is we are witnessing some kind of uptick in the performance of our fixed income fund, which has been demonstrated in the one -year and the three- year return and our focus is to increase our market share which we have lost in last 2 to 3 years . Since you are all aware the AMC yields under the fixed income category is in the range of around 25 to 28 basis points . So, any growth in the fixed income category and the market share may have some kind of an impact on the overall yield number going forward. So yes, we may see some bit of dilution in the management yield number going forward but as stated earlier, the core PAT yield remains strong at around 20 basis points and we don't see much of dilution in that, primarily because

ause of the cost reduction exercise that is happening and because of operating leverage the , core income should support our PAT yield number and the profit margin number actually has been improving quarter-on-quarter over the last 2 to 3 years.

With respect to your second question that is on the market share we have seen some bit of a dilution or reduction in our equity market share which has fallen by roughly around 17 basis points. Actually, overall, the Net sales percentage as compared to industry for UTI during this quarter was 4% which was lower than our 5.2% market share which has impacted. But this we believe primarily is due to the lumpsum redemption . In the SIP book, our market has actually improved by almost around 22 to 23 basis points over FY 22 as being presented in our investor presentation. So, while we are seeing some bit of traction in the SIP book but because of some lumpsum redemption the market share under the equity category has slightly fallen.

Viraj Kacharia: This is a follow up on the first part , on the yield part. I understand there the impact of new money coming in at a much higher profit sharing than the old book . But last one year as you rightly said we have seen a lot of many NFOs and the intensity was also quite high from the competition . Since that is also normalizing , one would probably think that there's avenue to kind of increase the yield or normalized the yield back to the levels they were, 3 -6-8 months or a year back. But that is not really happening anymore. Why is that ?

Vinay Lakhotia: Viraj you need to appreciate that the AMC margins on the NFO is at the significantly lower rate . However , for the ongoing scheme as well, the yield that the AMC is earning vis-à-vis a stock AUM there is a differential. So, because of that the downward pressure on the yields remain. Yes, I do agree the number of NFOs have actually slowed down, but still since the fresh UTI R UTI Mutual Fund

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inflows is coming at a lower yield as compared to the stock AUM yield of equity fund which is close to around 85 to 90 basis points there'll be some kind of impact on the overall yield number as well.

Viraj Kacharia: One last question and I'll come back in queue . Of the total book especially in active equity , how much will be new versus the old book , just any indicative? Just to get a sense with this kind of when we should kind of expect this to settle down in the increment number ?

Vinay Lakhotia: No, we don't have that kind of numbers available here.

Moderator: Next question is from the line of Kunal Thanvi from Banyan Tree Advisors.

Kunal Thanvi: My first question was on UTI International. Can you throw some light on the AUM , it continues to be under pressure ? I understand we had raised some money in the last quarter which is not visible . On the other side if we look at the profitability it has improved on a QOQ and YOY basis. If you can throw some light both on the AUM and the profitability for this quarter and going ahead, how should one look at it? Second was on employee cost. Again, if you see this quarter , there's of course a reduction Q OQ basis but that's more of variable cost going out. We had talked about reduction in employees and a reduction in cost. By when should one expect it playing out in the P&L, will it be this year or next year?

Surojit Saha: In respect of the UTI International business , let me just tell you that in the space of India dedicated offshore fund , UTI is amongst the top three Indian AMC . It is because we started our offshore , 20 years back and we have dedicated teams in the different cities around the world and these are local people which gives us very good connectivity with the international market. While FII has sold \$25 billion from India in last 9 to 10 months , in our offshore fund UTI have a net

positive to the extent of \$ 250 million from 1st April '21 till

date and \$2 million from Jan '22 to till date . This mainly includes UTI's investment in the IDEF corpus. Overall, we are very confident in respect of the growth in AUM of the UTI International and we have new funds in the pipeline . We have seen lots of traction in respect of our good performance in the international market.

Kunal Thanvi: And on the profitability ?

Surojit Saha: Profitability you must be seeing, our revenue has been continuously increasing over there. But it is mainly because of the mark to market loss which has happened in respect of one of the schemes that is IDEF. With respect of IDEF I can tell you in the offshore business whenever we launched funds the investors always ask us about our skin in the game. Therefore to UTI Mutual Fund

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show our conviction about the fund we invest our own money as seed capital. While IDEF has shown a negative return, it has almost doubled since inception. Like today cost wise it is Rs. 116 crores is outstanding, it values to around Rs. 257 crores. Thus, we get a good fees from it. To add to that, this is the corpus which has been invested in basically quality and growth strategy stock. Portfolio is exactly same as UTI Flexi Cap and since the growth stocks have declined in the last six months, the NAV of IDEF has also seen a sharp decline. But we feel it is a temporary impairment and we are confident of a positive impact on the fees as well as the AUM.

Kunal Thanvi: What I meant was not MTM loss. I was more of looking at the operating profits. So if we see this quarter we have reported a loss of 15 crores versus say 1 crore and 4QFY 22. From an operating profit point of view how should one look at it going ahead because it is like with the flows coming back, up fronting of commission, the operating profit will come down or it will continue to be the way it is in this quarter?

Surojit Saha: The operating profit will definitely go up. You see the rise in revenue which has taken place in the last three months as well as in the last year. With respect to operating profit of around 15 crores in INR; because of the mark-to-market you are seeing a 16 crores negative loss in the PBT position. So, we are very confident of a good performance and operating profit in the international business.

Kunal Thanvi: And on employee cost.

Surojit Saha: UTI International, we are restructuring the business. You want the employee cost of the UTI group as a whole or for the UTI International?

Kunal Thanvi: Group.

Surojit Saha: For the group the quarter-on-quarter employee cost you would see a decline of 12% to Rs. 101 crores in Q1 FY23 from Rs. 115 crores in Q4 FY22. The annual appraisal cost was already factored in the quarter's financials on a proportionate basis. On the year-on-year basis the employee cost has increased by 7% mainly on account of increase in the staff cost of UTI International and UTI Retirement Solution due to the restructuring of the business. That you all know that because of the Brexit we have opened a new office at Paris which will be looking into the European business and for UTI Retirement Solution, after the study done by BCG we are doing some restructuring of the sales force, because of which the cost has increased. The employee cost is dependent on the four pillars that is core employee costs, variable costs, insurance costs and ESOP expenses. The core employee cost is on a stabilizing trend even after considering the annual increment wage hike, UTI Mutual Fund

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the variable cost will be in tandem with the revenue growth and AUM growth. The insurance cost should be on a declining trend based on the increase in the interest rate movement. The ESOP expenses however will be dependent on the management

decision. However, at this point of time we don't have any plan regarding this. On the overall we see a stabilizing trend in the employee costs even after the incremental annual wage hike.

Kunal Thanvi: My question was more on the reduction part, we have laid down a strategy to reduce our absolute cost of employees by reducing number of employees. Will we be on the same path for FY23?

Surojit Saha: Yes. Definitely, there is a natural retirement which we have already told you in the last few calls and that is already there. We are also rationalizing our cost to the extent possible.

Kunal Thanvi: The last one if I can squeeze in is on, if we look at our balance sheet, we have

quite a sizable of cash on the balance sheet. Any thoughts on buyback at this point of time ?

Surojit Saha: We are deliberating different options but we have not yet taken the decision , at the management level , we are on the job.

Moderator: Next question is from the line of Madhukar Ladha from Elara Capital.

Madhukar Ladha: First again , going back on the employee costs. They continue to remain high despite employee reductions. Can you give us some breakdown of the four elements in this quarter?

Surojit Saha: Madhukar, the cost of employee includes Core employee cost, variable and insurance cost . For this quarter variable cost we have considered around Rs 11 crores. The managerial cost is around Rs. 47 crores and the non -managerial is around 17 crores on standalone basis . Overall variable as I told you , we have taken around 11 crores and the insurance cost is around Rs. 5 crores and the ESOP cost is around Rs. 4.5 crores . The above numbers are on standalone basis.

Madhukar Ladha: So, the core salary bill is 47+17 now on a quarterly basis , 54-64 crores and this should reduce ?

Surojit Saha: Yes, definitely with the natural retirement which is in the pipeline during the next nine months this will be on a reducing trend .

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Madhukar Ladha: Do we have sort of this number of the core salary cost number for Q 1FY22 and for the last quarter?

Surojit Saha: Yes, we have it. For standalone basis it's around 85 crore .

Madhukar Ladha: I think consolidated basis is better.

Surojit Saha: Yes. I will give you in the four different pillars which I have informed you.

Madhukar Ladha: This quarter if I do a little bit of a back of the envelope calculation then have equity yields improved on a Q OQ basis ?

Vinay Lakhota : No. It's actually in the range of around 84 basis points Madhukar . Very much similar to last quarter.

Moderator: Next question is from the line of Dipanjan Ghosh from Citi.

Dipanjan Ghosh: Just a few questions from my side . First is if you can give some color on the gross inflows that you're seeing from the top 10 to 25 distributors and how this would have changed over the past 1- 2 or 3 years ? The second one is just a data keeping question , if you can give the number of unique investors and not the overall accounts as of date and how it has changed YOY and QOQ ? My third question is more on the subsidiaries. I mean if I look at the core profitability , just from a ratio perspective and compare it with your

standalone business , the core profitability on some of these businesses are definitely quite low compared to a standalone business. Given that a decent part of the profit stems from mark to market or other income on these

businesses , your overall profitability for the consolidated entity is to some extent kind of tend to be volatile income when we compare it with some of the other listed peers. So, any thoughts on how you see the subsidiaries going

ahead? What are your thought processes on some of them ? These are the three questions .

Sandeep Samsi: To reply to your first question . If you look at some of the key distributors like the bank

ing channel , our gross sales with respect to equity which is the more important category because the other categories are more— if you look at liquid its more —direct . If you look at bank s then in the last quarter which was Jan to March my share of wallet was about 2.74% while in this quarter it has improved to —from the bank - it has improved to 3.20 % . So, there is an improvement which we are seeing . Similarly for the mutual fund distributors who are the large mutual fund distributors it has improved from 6. 60% in the last quarter to 6.85% in this quarter . So, these are some of the important

parameters. Again, if I look overall, it has remained steady at 3.92% in the last quarter to 3.90% in this quarter. So that is the overall trend in the gross sales. UTI Mutual Fund

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We have the number of the total number of folios and which I mentioned that it is about 1.20 crore folios on an overall basis.

Dipanjan Ghosh: Do you have the number of unique investors amongst that?

Vinay Lakhota: No, that de-duplication exercise we haven't done yet. We are disclosing the number of folios only.

Dipanjan Ghosh: Just one follow-up on the first question, I was more trying to understand given the fact that your distributed pay-outs will vary between smaller distributors versus larger ones. So, while we look at the wallet share and it is clearly showing a good picture. Wanted to get some color on how the mix of flows is between the top distributors in the MFs versus the smaller distributors and how that would have shaped up, both MFDs, national distributors and banking channel.

Sandeep Samsi: If you look at the banking channel generally the banking channel the payout is on the higher side. So, when I give you those numbers, these are generally on the higher side because the banks are the main distributors. So, there we are seeing increase in our share of AUM as well as gross sales and mutual fund distributor, it's a mix but if you see the recent trends, we're seeing that large distributors have been distributing a higher amount as compared to some of the smaller distributors. So, there also we have seen an increase in the gross sales share of wallet.

Dipanjan Ghosh: On the last question on the subsidiary. Any thought process is more from a long-term perspective on some of them and how do you see them let's say growing or delivering in terms of profitability or margins?

Imtaiyazur Rahman: Good question Mr. Ghosh. So far as subsidiaries are concerned there are three subsidiaries and the most profitable today, the UTI Retirement Solutions and margin is very good. We are further building this particular subsidiary and we are going to develop competencies in-house for the distribution of the NPS

product. This particular company will continue to grow and continuing to contribute in a better way. UTI International is also a very stable subsidiary and this subsidiary will make a lot of money but whenever there is a M2M gain or loss it affects the profitability. But going forward, it appears as the outlook is, the market volatility will settle down and this company will continue to have the core profit very strong. We are building the UTI Capital and therefore UTI Capital will take couple of more years to start contributing.

We have very strong business plan; we have built a very strong track record in the fixed income product at credit side and we have built a very good team.

We have very good processes and now the team supervises, the entire investment operations. So therefore, I believe that going forward UTI Capital, UTI Retirement Solutions, UTI Mutual Fund

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another subsidiary will also be equally strong. All subsidiaries will contribute meaningfully to the parent company as a whole.

Dipanjan Ghosh: Just one question if I can squeeze in. What is the product pipeline looking like in the standalone business for the

remaining part of the year?

Sandeep Samsi: If you see we have recently launched the Gilt 10 years constant maturity fund.

Apart from that we have filed certain papers with SEBI in various categories.

One for the passively managed debt index funds, then for ETF and we are also planning to launch an international fund of funds. These are some of the funds in the pipeline and we will be launching them in the coming quarters.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal.

Prayesh Jain: My first question is on the yields again. If you spoke about debt, it is being in the range of 25 to 28 bps. So how would they have pended in the last 4-5 years? What I have been trying to understand is that these are possibly the lowest yields what we've seen in the past few years. And now with kind of the 10-year yields the kind of closer to topping out there will be incremental flow towards a higher duration asset, the longer duration assets. Do you think that the debt segment yields can move higher and provide some cushion to the falling or to the decline in yields? That will be my first question. Secondly,

could you give some thoughts about the other expenses in line item wherein we've seen a sharp decline on a sequential basis on how to look at that

number going ahead and thirdly if you could break down your cash investment into the compulsorily held which you have to regulatory follow the investments and what is the free available cash?

Vinay Lakhota: I will take the first question on the debt fund yield. So, debt fund yield yes, I had stated earlier its currently in the range of around 25 to 28 basis point and

that has been the trend over the last 2 to 3 years as well. But if you see, we believe that the interest rate cycle is actually peaking up, there may be a

scope of a higher duration yield fund where the AMC yields can be slightly higher than the 25 to 28 basis points. The high duration product will have a higher AMC yield of around 30 -35 basis points but equally the market is also there for a shortened duration or a ultra- short duration product where the yields are in the range of around 15 to 20 basis points. Overall, we do see at least for the next 6 months or so fixed income product should be in the weighted average yield of around 25 to 28 basis point only. Surojit you can take on the PAT.

Surojit Saha: Can you repeat your next question please?

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Prayesh Jain: My second question was on the other expenses line wherein we have seen a sharp decline on a sequential basis. What were the reasons from the same and how do we see it in terms for the full year?

Surojit Saha: The decline if you see is mainly because of the two -three reasons like if you see on the last quarter our variable pay was much more compared to what we anticipated. Because of that and this year we have considered in the range of 45 to 50 crore s and we as an institution have agreed to do an actual calculation on a quarterly basis and so that impact has come in the cost for this Q1 FY23 because of the current scenario which is existing in respect of the market as well as industry scenario. But our specific other cost, if you see the Q1 FY23- Q1 FY22 those are in almost on the same range as well as on a consolidated basis. For certain reasons like Q4 it was around 65 crores and for Q1 FY23 its around 49 crores, the difference is mainly because of the BCG expenses if you remember which has come in respect of UTI Retirement in the last Q4 of around 3 crores. CSR expenses the MoU execution is in process for the first quarter, the CSR expenses has not been accounted to the full extent because as per Ind -As we cannot accrue that CSR expenses. Lastly because of the trail fees which you remember in the Q4 the trail fees for UTI International was on a higher side and this quarter it is around 5.3 crore. We expect

hat to maintain this run rate for the financial year '22 -23.

Prayesh Jain: The third question was on the PAT break up between your requirement to maintain your investments in the fund as per the regulation, what would be that amount?

Surojit Saha: Yes, as per the regulation inclusive of the risk -o-meter we had invested our around Rs 160 crores as per the statutory requirement.

Prayesh Jain: The last question is on the Retirement Solution business. We are now at a market share of around 27%. If I remember correctly it was supposed to be almost equal between the three government entities and we have done lower than that. We had seen some slow down and closed the first half. How do you see this business, do you see that there can be an incremental market share

gains or how do we see this business in terms of growth from here on?

Surojit Saha: No, if you see UTI Retirement Solution on a year -on basis it has grown up by 14.5%. That is to Rs. 2,03,786 crores from Rs. 1,76,338 crores and during the year- on-year the inflow was i.e. from June '21 to June '22, it is around 36,675 crores. On the quarter -on basis the flow has been normalized and we are getting like from December '21 -March '22, each quarter we are getting around 7,000 to 9,000 crores AUM.

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Prayesh Jain: What will be your share in the flows? I think that the share in the flows is decided by a particular formula by the NPS authority, right? So, what is the share in the flows currently?

Surojit Saha: Share of the flow is now almost 33%.

Moderator: The next question is from the line of Jignesh Shial from InCred Capital.

Jignesh Shial : Just going quickly first on this, the businesses of yours apart mutual fund. So, what will be the yields that we will be making from all these businesses? And is it part of your total revenues or it gets clubbed in the other income if you can just give me some idea on that?

Vinay Lakhotia : Come again with your question. Didn't get it.

Jignesh Shial : The international businesses and the retirement fund, the yields that you make it out; is it part of your total revenues or it gets clubbed in other income?

Surojit Saha: It's part of the sale of service shown in the balance sheet, in the line item.

Jignesh Shial : Secondly just out of curiosity you had this investment losses that you recorded 37 crores under OPEX. Generally, most of the other AMCs has been doing it up as a part of other income and all. So, any specific reason because if I exclude that then if I can see sequentially there is roughly around 20% dip on the overall OPEX side. Anything to read about it or its general practice that we guys are having with us?

Surojit Saha: Our auditors are BSR LLP (KPMG) and we follow the Ind -As very clearly. So according to that whenever there is income it has to be shown in the total income and if there are any loss it has to be shown in the as a part of the expenses. It is more of a presentation purpose followed as per the guideline. And we have clearly mentioned as a line item so I don't think there will be any problem for you as such in reading the financial.

Jignesh Shial: This is pretty clear but then when we compare to the OPEX we have to specifically exclude that line ?

Surojit Saha: So that's why I have clearly mentioned over there that the net loss there is 37 crore . We have clearly mentioned so accordingly you can always take your judgment.

Jignesh Shial : Other way around also had been that, I understand that we have been consistently pushing hard for overall employee charge to get reduced and all.

Having said that, if you see even last year numbers also, we are roughly UTI Mutual Fund

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around our total expenses 61% to 63% kind of charge comes up from employees' side whereas for the rest of AMC which would be somewhere between 45 to 48 or somewhere a

round. So gradually do we see that we will also be able to reach out to that kind of levels whereby your overall employee charge would be somewhere between 45%-50% kind of a level of the total expense or how do we see it up? If that is a journey how long do we think that the normalization of employee charge will be happening over a period of next 2 years -3 years, how do we see it up?

Vinay Lakhotia: It will be a 2 to 3 years kind of a journey at least.

Jignesh Shial: This will be happening through, the majorly will be through the old and retiring employees will not be getting replaced and all. So overall additions would be relatively lower, is that correct?

Vinay Lakhotia: Yes, correct.

Jignesh: Lastly from my side I mean that I do understand that old equity had been a higher yield and incrementally equity flows were coming up are genuinely I mean gradually we will get a better old yields and all. How do we see it up I'm specific for because that already you have explained that once it starts long tenure debt coming in you will see that debt yields will be improving? How do we see that good yields would be improving? What will be the strategy to improve equity yields for us? Anything which is there in your mind or anything that uses a kind of a way to see that yields will improve even on the equity side. Anything from your perspective?

Vinay Lakhotia: That depends on the rationalization of the commissions structure across the

industry.

Jignesh Shial : So, for now the commission, I mean the competition hasn't yet built in so it's difficult to see that the rise would be happening at least in near-term? Is it a fair assumption?

Vinay Lakhotia: Yes.

Moderator: Next question is from the line Kaushik Agarwal from Haitong Securities.

Kaushik Agarwal: I have three questions. Firstly, the question is relating to slide #27 so where we are basically highlighting geographical reach across the country. The numbers which are mentioned across the employees' core sales team and the mutual fund distributors; these numbers are quite different or they have significantly changed from the last quarter. How do we read this, number one? Number two is on the debt schemes. The composition of the debt AUM uti R UTI Mutual Fund

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as part of overall mutual fund quarterly average AUM has actually come down and the only category which has seen significant decline in the AUM is debt schemes. So, which kind of schemes are seeing redemption pressure? And lastly on the employee cost, earlier if I remember you have mentioned that the cumulative employee ESOP cost would be of around 58 crores odd and as per my calculation we have already booked a cumulative ESOP cost of about 63 crores till FY22 and another 4 crores has been booked in this quarter. So, how much amount is still left of this employee ESOP cost and till what period shall we continue booking it? So, these are the three questions.

Sandeep Samsi: I will just take the first question. If I come to slide #27, so if you see the total number of employees that we are giving, we have just given a qualification that these are the total number of employees including the UTI Mutual Fund employees which is 1,328 and which was the number we were giving till last quarter and 55 employees of our subsidiary. So total number of employees is 1,383 which is under the UTI AMC. And the other numbers are same I mean my number of U FCs were 167 in the last quarter also. Mutual fund distributors keep on changing here and there. Other sales number is also similar. So, the only thing which was different was the total number of employees which till last quarter was the only for the standalone. This quarter we have given for the consolidated and we have mentioned that as a qualification.

Vinay Lakhotia: And on the fixed income side yes, it's an industry wide phenomenon where there have been an outflow in the fixed income

categories. We also lost money but that primarily because of the closure of the fixed maturity plan that has not actually been rolled out. There have been a series of fixed maturity plan that has redeemed but because of the interest rate, the fixed maturity plan is not currently that much in favour but with interest rate, peaking up; we believe that a longer duration product will become attractive and that is an area where we believe that we should be able to improve our market share going forward. On the employee cost I will ask Surojit to respond.

Surojit Saha: Yeah, I think your last question was regarding the ESOP cost. For '22-'23 the ESOP cost to be charged is Rs 12.93 crore on Consolidated basis in FY 22-'23 out of which Rs 4.72 crore has been charged in Q1. For '23-'24 it will be Rs. 3.78 crores and for '24-'25, it will be Rs. 0.84 crores. The Tranche 1 where there was Rs. 29 crores which has already been charged off and the balance which is for the new one which has been given in '19, that is a Rs. 16.85 crore. Out of that Rs. 12.93 crore will be in '22-'23 and '23-'24 will be Rs. 3.78 crore and '24-'25 it will be Rs 0.84 crore and Q1 FY 23 we have already charged Rs 4.72 crore. uti R UTI Mutual Fund

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Kaushik Agarwal: Just a follow-up question on the first question which I have asked. This on slide #27, this 722-core sales team, this is part of my 1,383 UTI AMC employees' number or is it different?

Sandeep Samsi: Yes, part of that only. This is not additional; this is part of that.

Moderator: Next question is on the line of Akshay Jain from JM Financial.

Akshay Jain: I have a question on your investments balance. So, if I do a rough calculation, you have close to Rs 3,000 crores worth of cash and investments. If I exclude say the PE and the offshore investment of around 600 crores and say 160 crores odd of a regulatory requirement into your own schemes. Even if I take say additional 500 crores to that, it still leaves around 1,500 to 1,800 crores odd worth of cash on your balance sheet. Lot of investors have been raising questions that why so high cash balance on your balance sheet rather than you can use this cash balance to say either pay out as dividend or a buyback. We have been listening to a lot of answers that you are deliberating on this but is there any timeline on when this cash will be utilized? And number two on the dividend policy, dividend policy one of the so I'm looking at the UTI consol. It's the dividend payout has been in the range of around 50% while some of your competitors are paying in excess of 60% and one competitor is even paying in excess of 80%. Why not pay higher dividends? And number two why not utilize this excess amount of cash on your balance sheet? So, these are my two questions.

Imtaiyazur Rahman: Let me answer first on the dividend. This time we have paid 67% dividend and we have a baseline in our policy that the Board may approve minimum 50%.

Last year we had given the 61% dividend, there is an improvement in the dividend payout and we will be consistent in paying the dividend. Regarding this utilization of the cash, yes this is the cash is kept to have any acquisition, that didn't work out and (b) is whether we should do the buyback? We are still exploring; on the dividend payout we will discuss this with our board and take an appropriate decision in due course. But we are cognizant that we are sitting on cash and we are exploring the strategies how do we service this cash better in the interest of the shareholder.

Akshay Jain: If we can get some timeline on this because your cash is like around 3,000 crores, your market cap is 8,000 crores odd like it's a more like around 35% to 40% of your market cap is sitting in cash. It will be very helpful if we can get some time line on when this cash can be utilized.

Imtaiyazur Rahman: Good suggestion. We will discuss internally with

the Board and hopefully in the next call we will be in a position to deliberate it better .

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Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Imtaiyazur Rahman: Thank you very much for organizing this call and thank you very much indeed for your active participation. UTI AMC needs support of all of you. We are committed to serve all our stakeholders and thank you very much once again.

Moderator: Thank you very much. On behalf of UTI Asset Management Company Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you. uti R
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Call: Oct 2022

Ref. No.: UTI/AMC/CS/SE/2022 -23/0255 Date: 28th October, 2022

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra (East) Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the Earnings Conference Call on financial performance for the quarter and half year ended 30th September, 2022

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the earnings conference call held on Friday, the 21st October, 2022 on financial performance of the Company for the quarter and half year ended 30th September, 2022.

The transcript of the aforesaid earnings conference call is also available on the website of the Company at www.utimf.com.

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary & Compliance Officer

Encl.: As above

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UTI Asset Management Company Limited
Q2 FY23 Earnings Conference Call
October 21, 2022

Moderator: Ladies and gentlemen, good day and welcome to UTI Asset Management Company Limited Q2 and H1 FY23 Earnings Conference Call. From the management, we have with us Mr. Imtaiyazur Rahman – Managing Director and CEO, Mr. Surojit Saha – Chief Financial Officer, Mr. Vinay Lakhotia – Head Operations, and Mr. Sandeep Samsi – Head Investor Relations and Corporate Communications. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. Before we begin, I would like to mention that some of the statements made in today’s discussion may be forward looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier. I now hand the conference over to Mr. Imtaiyazur Rahman. Thank you and over to you Sir.
Imtaiyazur Rahman: Thank you very much. Good afternoon, everyone. I would like to thank all of you for joining

this earning call for the second quarter and first half of the financial year 2022 -2023. I am delighted to share with you another quarter of operational progress and financial growth for UTI Asset Management Company Limited. Friends, it has been a proud moment for all of us, when our country surpassed United Kingdom as a fifth largest economy in the world as per IMF. The latest change based on the quarterly GDP figures in current dollars for the full year ending December 2021 is an extraordinary achievement and highlights India's resurgence and emergence as a super power. To discuss, UTI AMC's quarterly performance, I have with me my distinguished colleagues, Mr. Surojit Saha, CFO of the company, Mr. Vinay Lakhotia, Head Operation of the company and Mr. Sandeep Samsi, Head Investor Relations of UTI AMC. Let me share with you about the global and Indian economy. I would like to touch upon the situation and the growth trajectory globally and for the Indian economy. As we all might be aware, the global economy is going through a difficult phase with the Central Banks raising the interest rates to tackle record high inflation. The inflationary environment in all markets, escalating geopolitical tensions, and energy crisis in Europe are affecting global growth with

various rating agencies even forecasting a stagflation risk.

Back home the inflation scenario has pushed the Reserve Bank of India to raise interest rates back to pre-COVID levels. The repo rate now stands at 5.9%. However, the situation does not

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seem to be gloomy as India continues to emerge as an outlier as per the financial markets experts. So far as the Indian equity market is concerned, during the second quarter, the Indian equity market recovered from the correction which was witnessed in the last quarter. The benchmark indices closed, up by around 8.3% each, the Sensex closing at 57,427 point and NSE ending at 17,094.

Indian Mutual Fund Industry: With the second quarter witnessing inflows and market recovering from the low in June the quarterly average AUM of the Mutual Fund Industry as on September 30th, 2022 grew from Rs. 37.7 lakh crore as on 30th June 2022 to Rs. 39.1 lakh crore up by 3.5%.

The number of folios rose from 13.47 crore as on 30th June 2022 to 13.81 crore as on 30th September 2022, up by around 2.5%.

Now, I hand over to Mr. Sandeep Samsi, Head Investor Relations who will update you with UTI MF performance.

Sandeep Samsi: Thank you sir. I will start with UTI Mutual Fund's performance. Following the rally seen in the equity market during the quarter, UTI Mutual Fund saw AUM growth for the second consecutive quarter. For this quarter, UTI Mutual Fund quarterly average AUM as of 30th September 2022, stood at Rs. 2,33,595 crore up by 11.8% year-on-year. As of 30th September 2022, our market share stood at 5.98% as compared to 5.94% for the quarter ended June 2022 and 5.83% for the quarter ended March 2022. On closing AUM basis, our market share has increased by 15 basis points to 6.04% as on 30th September 2022 from 5.89% as on 30th June 2022. Our equity quarterly average AUM market share is 4.99% for the July to September 2022 quarter.

Our equity quarterly average AUM for the quarter ended September 2022, stood at Rs. 71,717 crore rising by 13.5% as compared to the quarter ended September 2021. The quarterly average AUM for Index and ETF funds recorded a year-on-year growth of 36.6% to Rs. 72,465 crore for the second quarter. Net sales for UTI Mutual Fund for the Quarter Two FY23 stood at Rs. 6,612 crore while the overall industry saw inflows of Rs. 47,278 crore. UTI Mutual Fund contributed 14% to the industry's net sales during the June to September quarter. While for the gross sales, UTI was able to capture market share of 8.2% of the industry.

The total assets under management for UTI Group registered a growth of about 14.5% over the corresponding quarter of previous year and stood at Rs. 14.45 lakh crore as on 30th September 2022 as against Rs. 12.63 lakh crore as on 30th September 2021. During the quarter under review the number of live folios were at 1.21 crore as on 30th September 2022 from 1.20 crore as on 30th June 2022. During the quarter, our number of SIP accounts rose by 5% taking the total number of live folios to 23.8 lakh as of September 2022. The new SIPs

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registered during the quarter were 2.58 lakh. Our SIP AUM witnessed a growth of 18.26% over the corresponding quarter of last year, reaching to Rs. 20,565 crore as of 30th September 2022 from 17,389 crores as of September 2021. The SIP inflow for the quarter stood at Rs. 1,589 crore rising by 2.53% over the first quarter of the current financial year. The SIP gross inflows witnessed a year-on-year growth of 32.9% as against the industry growth of 26.52%. The average ticket size being at Rs.3,289 for September 2022. 22.8% of a monthly average

AUM for September 2022 came from B30 cities while the industry stood at 16.9% in terms of the B30 monthly average AUM. 108 out of our 166 UFCs are in the B30 cities . Our Weighted average AMC yield stood at 38 bps for the quarter .

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ncial s: During the second quarter, the company posted a consolidated net profit of Rs. 201 crore as against Rs. 199 crore during the corresponding period in the last year , reflecting a growth of 1% year -on-year and growth of 114% quarter -on-quarter as against Rs. 94 crore in the last quarter . The consolidated core net profit for this quarter stood at Rs. 85 crore. For the first half of the Financial Year '23, the consolidated core net profit stood at Rs. 189 crore up by 12% year -on-year as against Rs. 168 crore in the corresponding period during the last year. The operating profit margin as a percentage of AUM for Quarter Two of FY 23 was 16 bps. There is a growth in the core profitability of the UTI Group . For UTI AMC Limited standalone , the net profit for UTI AMC Limited for the quarter stood at Rs. 119 crore reflecting a slight decline of 1% year -on-year from Rs. 120 crore in Quarter Two of last year and a growth of 17% quarter -on-quarter from Rs. 102 crore in Quarter One of this financial year. The core net profit for the UTI AMC Limited stood at Rs. 69 crore, whereas the core income is at Rs. 235 crore in Quarter Two FY23, growth of 2% from Quarter Two of last financial year that is Rs. 230 crore and 0.4% quarter -on-quarter for the first quarter FY '23 , which is Rs. 234 crore .

For UTI Retirement Solution Limited the AUM of UTI Retirement Solution has increased by 16.5% on closing basis to Rs. 2,17,515 crore from Rs. 1,86,717 crore in Quarter Two of FY '22. PAT for UTI RSL is at Rs. 11.9 crore , an increase of 3.5% compared to the corresponding quarter of the last year.

UTI International : UTI International has an AUM of Rs. 25,105 crore as of 30th September 2022. The management fees of UTI International is at Rs. 33 crore an increase of 13.8% year -on-year from Rs. 29 crore in Quarter Two of last financial year . One of our flagship fund, the India Dynamic Equity Funds domiciled in Ireland has an AUM of USD 1, 140 million. J Safran Sarasin Responsible India Fund , an ESG Compliant India Fund has an AUM of USD 89 million . UTI India Innovation Fund, which was launched in the first quarter of this financial year has an AUM of USD 18 million .

UTI Capital Private Limited : UTI Capital has an AUM of Rs. 1,509 crore as on 30th September 2022. UTI Capital has made a net loss of Rs. 1.2 crore in the Quarter Two of FY '23.

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UTI Structured Debt Opportunities Fund called as SDOF I has an AUM of Rs. 239 crore and is currently in exit mode. UTI SDOF II with an AUM of Rs. 507 crore is currently raising funds and investing. It has a well-designed ESG strategy . UTI Multi Opportunity Fund I launched in March 22 is currently in investing stage and has an AUM of Rs. 763 crore.

Employee Cost of the Group : Employee Cost of the Group in Quarter Two of the financial year was Rs. 103 crore witnessing an increase of 3% year -on-year as against an amount of Rs. 100 crore in the Quarter Two of last financial year.

I would now request the Managing Director and CEO for his concluding remarks. Thank you.

Imtaiyazur Rahman: Thank you Sandeep for sharing operational and financial highlights. I would like to emphasize , that our continued focus on growing high yield assets and fortify our commitment to our people , process and performance , which has been the backbone of operation since long . As we enter the festive season this weekend , I wish you , your family and fellow citizens a very Happy Diwali and good health. With this I would like to open the forum for Q&A and thank you for joining this call today. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line of Sahej Mittal from HDFC Securities . Please go ahead.

Sahej Mittal: Sir, couple of questions from my side. Sir, firstly if you talk about the operating expenses, the operating expense

s are shot up quite materially 2Q sequentially . So, what has caused such a sharp rise , because this becomes quite volatile and continues to become a drag on the margins , on the EBITDA margins , so if you could throw some color on this . Secondly is on the employee expenses . So where are we in terms of our journey to moderate our expenses . So, can we expect 100 crore quarterly run rate for the second half and how should we look at because FY24 for employees expenses if you could give us some outlook out there. And thirdly was on the international business. So, even the international business the yields have improved quite materially. So, what has resulted in such an improvement.

Surojit Saha : In respect of the other expenses . Other expenses we would like to tell that some of the expenses for which the figure of 15 crore has increased for Q2 FY 23 is firstly 3.5 crore is in respect of the fund management fees of UTI International. UTI International has seen substantial growth in respect of revenue from Rs. 55 to 65 crore. So, accordingly as you know

in respect of the international business the trail fees is being paid by the company and not by the schemes. And then Rs. 3 crore is in respect of the membership and subscription fees which we have to pay for the Asia Index Funds that is all BS E, Bombay Stock Exchange related funds we have and also the National Stock Exchange, because if you see the passive fund which has increased by almost Rs. 20,000 crore from Rs. 52,000 crore to Rs. 72,000 crore on a year-on-year basis. And lastly, we have done some investments in respect of our various IT

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initiatives that is website development and mobile application app in respect of which we have certain expenses, which though it's a CAPEX nature, but we have charged off and its benefits will be over a period. These are all customer facing initiatives, we have taken, and on those initiatives also we have to do some agile quality management studies which also have some expenditure. The other routine expenditures in respect of PFRDA fees, traveling and expenses, because of the normalization of the business activities, which has led to higher travel cost and cost related to the different initiatives. So, we feel around four to five crore is a one-time expenses which has happened in this quarter. So, our run rate, which I told in the last quarter will be around Rs. 50 crore, if you remember, I feel it should be around Rs. 54-55 crore.

And in respect of the employee cost, I feel the run rate per quarter will be around, last quarter it was 101, this quarter it is Rs. 103 crore and we feel it will be in this range only.

Sahej Mittal: And for FY24?

Surojit Saha: Employee cost for Q1 FY 23 was around Rs. 101 crore and this quarter it is around Rs. 103 crore. So, we expect the run rate to be in this range only.

Sahej Mittal: Even in FY24?

Surojit Saha: Yes, next year also. Next year we feel there should be a little reduction because of the other retirement and all which is in the pipeline. And in respect of the international business, while year to date FIs outflows from India have been around \$22 billion, but our offshore funds have witnessed marginally positive inflows over this period. We have launched the innovation fund a few months back which seeks to invest in the technology led business across different sectors in India. The endeavor will be to create a strong track record so that we can distribute this fund at a much wider scale. Apart from that we have plans to strengthen the retail distribution in the Middle East, increase coverage of South Asian Institutional segments from Indian equity. In Europe, we are trying to build an interest in our G-SEC ETF, given the likely inclusion of India in the global fixed income indices. Also exploring our options in the US for the Indian equity funds. Definitely, while you have seen the yield

has increased because if you

see against September 21, our AUM was Rs. 34,536 crore and there is a redemption of our low yielded AUM which is UTI Phoenix Fund and UTI Chronos Fund which is around Rs. 10,000 crore, but we have garnered AUM in UTI India Dynamic Equity Fund around Rs. 1,300 crore and other equity funds around Rs. 700 crore and because of which our yield has improved in the international market. Thank you.

Sahej Mittal: Got it. And on this task one just one follow up, so for FY24 on the staff expenses, in absolute terms are we saying that we will see a similar run rate 100 crore or are we seeing a downward trajectory of their in FY24 in absolute terms?

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Surojit Saha: Yes, see there will be a downward trend because of the retirements are in the pipeline. But anyways, the normal increment and with respect to the business, the variable pay will play an important role, but the core employee cost will definitely be on the downtrend.

Sahej Mittal: The absolute employee cost will be on a downward trajectory. Okay, got it thanks for this.

Moderator: Thank you. The next question is from line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir. One question on the SIP side. In this quarter we have lost market share marginally. So, just wanted to understand how's the market share trending across channels in the SIP segments like in the Banking, Fintech etc. Could you share some light on that?

Sandeep Samsi: So, we are seeing improvement in our market share across categories for Fintech as well as for the other channels. I'm happy to inform you that for the Fintech channel, our market shares has improved. Now, our total SIP market share for the new SIPs has increased. For the Fintech has increased to 3% - 3.01%, some time back it was around 2% which is now improved to 3%. Similarly, for the bank it has gone up, now we are at around 1.51% that is the share of wallet of our AUM across the banks. So, we are seeing improvement across channels and as you know that the strength that we have with the other distributors apart from the banks and the Fintech is very strong.

Lalit Deo: Sure. And one more on the retirement side, like we have been highlighting in the last three

quarters. We have been receiving inflows of about 33% but, again that thing is not getting reflected in the AUM markets share, there we are seeing a sequential decline. So, what could be the major reason for that?

Imtaiyazur Rahman : What is the question , can you come again with your question?

Lalit Deo: Yes, sir. So, we have been highlighting that our inflows in the RSL business are now at about 33% . But then, in terms of AUM market share that thing is on the declining trend and which has again declined in this quarter also .

Vinay Lakhota : I'll answer that. One is the public sector , the inflow is around 33%, but in the private sector also so are you taking the combined exposure because of that it could be on a declining trend, but on the public sector we are receiving around 33% inflows.

Imtaiyazur Rahman : And so far as private sector is concerned as we had informed all of you, we hired the services of BCG last year , we have a business plan in place. We are in the process of putting a team . We have the POP license . We have reached out to the other regulators and accordingly we will be marketing very aggressively in the private sector as well. We are investing in building the team and infrastructure , we have hired quite a number of people and in next few

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quarters we will ensure that we witness growth in our market share in the private sector as well.

Moderator: Thank you. The next question is from the line of Viraj from Banyan Tree Advisors . Please go ahead.

Viraj: Sir the International Business we are seeing the profitability going down on a sequential basis . What is the reason for

this , is my first question. Second question in the NPS business the incremental AUM how much are we getting and what is our market share over there. And third question is the buyback , we spoke about buyback in earlier concall so what is our plan in the same?

Surojit Saha : Firstly in respect of the International Business, we have said that we are opening a new office at Paris. So, there is some restructuring going on in the international business . For that the cost has slightly increased, but it will be spread over long term basis . Definitely there will be a growth in the revenue as new schemes are being launched and the new equity inflows , which we are witnessing currently . So, we expect it to be a material contribution to the consolidated business.

Imtaiyazur Rahman : So, far as buyback is concerned, we are still exploring , but we need to be mindful that when we do the buyback there are various other factors which we need to consider. And we are working in this direction, but I can't give any assurance so far as the buyback is concerned.

Viraj: The other question is relating to NPS business ?

Vinay Lakhota : NPS. What is the question regarding on the NPS side?

Viraj: So, incrementally how much AUM are we getting versus the other player our NPS?

Imtaiyazur Rahman : We are getting around 31 % on regular basis as far as PSU is concerned. And I've mentioned to you that we are building a team to aggressively market in the private sector.

Moderator: Thank you. The next question is from the line of Yash from Citi Group . Please go ahead.

Yash: One question on the ESOP expense for the stand alone business for the quarter. You can share the numbers?

Surojit Saha : This quarter it is Rs. 3.85 crore and I can give you the number for the subsequent quarters also it will be Rs. 7.25 crore and Rs. 5.70 crore .

Yash: So, that would be for third and fourth right?

Surojit Saha : Yes. So total this year it will be Rs. 21.52 crore .

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Yash: Sure, thank you. And so the other was on the lines of the yield in domestic business crashed.

So we understand that the ETF mix has increased and liquidity has dried in debt funds, but active equity mix is also increased sequentially so what is the equity crash so much on a sequential basis ?

Vinay Lakhota : As I said earlier the fresh growth is coming at a lower yield. So, that's why there's been a reduction of around two basis point as far as the equity yield is concerned. Also, this particular quarter, our inflows under the ETF and the liquid category has been at a much higher rate as compared to the industry. Because of that it has an impact on the overall yield number. But as the guidance that have been given in the earlier calls as well, as compared to the previous year yield of around 41 basis point, we do see a reduction of around two to three basis point of yield in the current financial year. And that guidance holds good for the remaining part of the financial year as well.

Yash: Okay, thank you. And so distribution mix for SIPs channel wise how has it changed during the quarter?

Sandeep Samsi : Yes, so Yash major part of the mix which is coming for the SIP is from the direct business and we see a large part being played by the Fintech. Apart from that the mix of SIP is very similar to the mix that we have given in our presentation on the overall equity mix. If you see my presentation, that is about 30% which is coming from direct .

Yash: Okay, thank you sir. And just if you can throw some light on the product pipeline if you have ?

Sandeep Samsi : So, during this quarter which is the third quarter ; we have plans to launch the Gold ETF Fund of Fund, which is live right now and will be closing shortly. Apart from that , we have a plan to launch our Fixed Term Income Fund, the Series 35 that we are planning to launch in the month of November . We have received the approval

from the Regulators and that will be

launched shortly. Apart from that , we have the approvals from the regulator for UTI Multicap Fund, and we are looking at an appropriate time to launch that and we have approval for another FTIF Series 35 - II and 35 - III, those dates have to be decided, but we have received the approval and it is at our end now to launch it at an appropriate time.

Vinay Lakhotia: So, mostly it will be on the fixed income and on the passive side of the equity business.

Yash: Sure, got it . And sir lastly was there any trail fee reversal for the international business this quarter?

Surojit Saha : No Nothing as such. There is a low yield in certain funds like Phoenix and Chronos which has said in my past answer, they have got redeemed , but it got replaced by a good equity content from IDEF and other equity funds. So, overall the revenue has improved.

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Vinay Lakhotia : So, basically low yielding asset has actually redeemed and has been replenished by a high yielding asset because of that there is a slight spike.

Moderator: Thank you. Next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just a couple of questions. Firstly, out of our ETFs and index funds what is the share of EPFO money ?

Vinay Lakhotia : EPFO should be close to around 75 % to 80% of our total ETF business.

Prayesh Jain: Okay, and that 's similar for the industry ?

Vinay Lakhotia : Yes, because ourselves and SBI actually receive money from EPFO . We two are the biggest players, for the other AMC s I'm not really sure about that, but as far as EPF is concerned SBI and UTI only receive money under the ETF category .

Prayesh Jain: Okay. And secondly just extending that point on the yields front, we have seen your competitors have declared results had the benefit of share of rising share of equities benefiting them and yields has improved . Why is it that for us the things are different and the yields or the equity are declining, what generally for us?

Vinay Lakhotia : I am not very sure about what is happening on these things with competitors, what we can show that we have been receiving substantial inflows under the equity category over the last six to seven quarters and we see that trend continuing. As earlier explained , in the concall earlier also the yield on the fresh inflows is at a lower pace and plus there are other factors that the older AUM is also getting redeemed which has an overall impact on the equity yield. Plus, as I said earlier for this particular quarter, our overall liquid and ETF percentage of sales has actually improved substantially because of that there is a marginal impact as far as the yield numbers are concerned .

Prayesh Jain: Could you give some yields on each of the asset classes what are the current yields on particularly on equity who can explain as to what would be the yields on the new asset and what would be the yields on the back book?

Vinay Lakhotia : So, I can give you the stock AUM yield, the stock AUM for equity and hybrid fund is close to around 8.2-8.3 basis point , for ETF around 5, Income Fund will be close to around 3.0 basis point and liquid fund around 8-9 basis points. On the fresh inflows we don 't provide any yield number because again it depends on which channel, which geography this particular business is coming . As stated earlier also the ratio of distribution with the distributor is close to , in the range of around 50 % to 80% , 50% being with the lower end of the spectrum which is an IFAs and 75 % to 80% with a bank and a national distributor. So, very difficult to give a single

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number as such but that the distribution mix ratios that we have been sharing in the past as well.

Prayesh Jain: Sir how is the sharing of the TER different between the individual distributor, national distributors and Banca?

Vinay Lak

hotia : So, that I said 50% will be shared with individual financial distributors 50 % to 60% , and this national distributor and Ban ca it could be in the range of around 75 % to 80% of the total distributable expense ratio.

Prayesh Jain: Okay, got that. And last question on the ETFs do we have any plans on NIFTY side, which can give us better yield?

Vinay Lakhotia : Yes, we already launched sometime last year with the NIFTY Momentum Index Fund, which is actually a smart beta product. And most of the ET F launches in next due course of time, will be in that range, which you will provide some fillip to our yield number mayb e Sandeep can share some of those ETF categor ies.

Sandeep Samsi: Yes, so, we have filed, we have yet to receive the approval. So, as you mentioned we have a long list of funds which we want to launch including some of the active - passive, which are the NIFTY 100 Enhanced ESG I ndex Fund and other funds which we want to launch. So, these are all filed however, we are yet to receive the approval.

Prayesh Jain: Okay . And on the debt side, do we see the yields going higher going ahead, now that the money should start moving towards longer duration from what you mentioned can it move by the end of this year towards more than 35 bps?

Vinay Lakhotia : It could happen , very well yes, because most of the product the demand should come longer duration product s where the yield could be slightly better. So, yes, there could be some few basic point incremental management fee as far as the income fund is concerned.

Moderator: The next question is from the line of Krunal S hah from Enam I nvestment Services . Please go ahead.

Krunal Shah: I have two questions , first is in the half year we ha ve a net CAPEX of around Rs. 29 crore in property, plant and equipment. So, could you elaborate on what was the nature of this CAPEX . And the second question is rega rding the competitive intensity, if you could share some light on the competitive intensity the market in terms of the mutual fund s.

Surojit Saha : It's regarding the CAPEX, it is in respect of the building we have done some initi atives as well as the IT initiatives which have been taken, these are the two major reasons why the CAPEX has improved.

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Sandeep Samsi : Yes, and Krunal also on the competitive intensity the mutual fund industry remains competitive. We are as a long standin g old player of the industry we have built our relations with our partners to the key mutual fund distributors or the banks, or even the new age partners like Fintech. We continue to work on our relationship; we don 't take anything for granted. And we realize the fact that , as the competitors, as the market grows the competitive intensity will also grow. So, we have to always work on what we have and build on our strengths. So, that's what we look at , Krunal .

Krunal Shah: Okay . Just a follow up on the CAPEX part. So, how long do you think the 40-crore kind of annual run rate that we 'll be doing , how long will that sustain, b ecause inherently you don't require too much capital in this business ?

Surojit Saha : No, this is all because of the last three, four years we have not done any CAPEX in respect of our IT initiatives. So, those are the mainly in respect of the Information Technology upgradation for the customer facing initiatives, which UTI is taking forward .

Krunal Shah: Okay. And on the building part what is the CAPEX if you can elaborate a bit ?

Surojit Saha : Building we don 't have already what is on the cards as of March 22 it is there. We are not taking any other building as a CAPEX .

Imtaiyazur Rahman : Renovation is going on and we have two and half floor more to renovate . It was a very old building and that needs a serious revamping of the infrastructure to provide employees a good place to work. And our goal is to be an employer of choice and therefore we need to provid

e a good work environment. We are in the process of renovating the entire building, we have completed renovations and new cafeteria which is worth seeing , we are renovating the other two and a half floors and there will be some costs for thi s financial year and as well as first half of the next financial year and there will not be any further capital investment in building . So, far as in IT infrastructure is concern as you know, it is the need of the day and we need to continuously invest in the IT infrastructure to stay competitive and make UTI a completely digital organization and that expenditure is not expenditure as it is the investment for future business. And that will help us to optimize the costs and enhance the profitability and prod uctivity.

Moderator: Thank you . The next question is from the line of Bhagvesh from Premji Invest . Please go ahead.

Bhagvesh : So, I have three questions, the first one was on the tax provisions that you had mentioned substantially increase the percentage of PBT. So, can you give some color on how to estimate that going forward . The other thing can you elaborate on how the PMS income the dynamics how can we look at it going forward and what were the major components listing ?

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Surojit Saha : Yes, in respect of the effective tax rate for this particular one, you have to see the effective tax rate for the full financial year even in the last quarter if you see it was different for the full year it will be around 20 to 23 bps and this particular quarter it is more because as you know in the last quarter there was a 37 crore M2M loss and this financial year there is a gain . Because of the dividend we had to do a repurchase so there is a realized gain also which has come into the books and because of this the tax rate has increased . But for the full financial year it will be around 22 to 23 bps which we will be maintaining from March 21 as well as March 22.

Bhagvish : Thanks, and on the PMS?

Surojit Saha : PMS fees as you know for the last 12 months year -on-year it's around 13 crores, so PMS fees is less than 1 bps as you all know and we have mentioned in all the earlier call , so it's a volume game once the AUM increases it will be contributing but it will not be very substantial contribution to the revenue.

Moderator: Next question is from the line of Amey from Metaverse Equity Fund. Please go ahead .

Amey: So, I would like to know your thoughts on impact of interest rate hike on fixed income side of the business in coming financial year , as well as this financial year.

Imtaiyazur Rahman : Interest rate hike, Head of fixed income is the right person to speak on this particular subject. And I have no comments to offer as a CEO of the organization. But as you know it is nearly coming to the settled down situation and there will be some small hike in inflation , but I'm not the right person to speak on this particular subject. If you need a note, we can send you the note separately and you can send your request to Sandeep and he will send you the appropriate reply.

Moderator: Thank you. Next question is from the line of Kunal Thanvi from Banyan Tree Advisors . Please go ahead .

Kunal Thanvi: So, I had two questions. One was on number of employees that got retired this quarter, and how many of them will get retired this year for the full financial year and of that, how much cost reduction we are expecting this year like we had mentioned some numbers last quarter, are we maintaining those numbers , that is question number one. Second, on the international business you said that we have invested some money this quarter in terms of opening of offices, etcetera which led to reduction in the operating profits . How should one look at for this whole financial year, like in the first quarter we did operating profit of around 15 crores and this quarter we did some 6 crore , like we'll be maintaining

g the 6 crore run rate

or we will go back to the 15 crore run rate from the next quarter . These are two questions.

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Imtaiyazur Rahman : On the question number two, we are not expecting any further expenses, so far as the Paris office opening is concerned , the expenses is done. And so far as your first question is concerned about how many people retiring, Surojit .

Surojit Saha: Yes, so for 22-23, around 60 people will be retiring and there will be a saving of around seven to eight crore. And this was the figure we have mentioned earlier also and for 23-24 it will be around 50 people and the saving will be around eight crore .

Kunal Thanvi: Sure, and one more question on hybrid side, back like two, three quarters back you have said that we don't have a product on the hybrid category as such, because we had some ULIP product and we were trying to solve the issue with SEBI, any update on that ?

Imtaiyazur Rahman : We have taken up the matter with SEBI and work is in progress. And we are also planning to work to file and seek the approval of the Board and the trustees and plan for BAF. But it is a work in progress and I can't give any forward looking statement about the timeline.

Kunal Thanvi: Sure, got it. Just last one if I can squeeze in it was on one of the comments you had mentioned about hiring new employees for other initiatives, like in terms of what we understand is in last two years we have hired people across the teams, we have strengthened our team where we are in that journey because what has happened is at one side we have been reducing employees and other side we are hiring more people to strengthen the team and hence the cost benefit is not reflected in the financial . Now in terms of strengthening the team where we are in journey across department functions.

Imtaiyazur Rahman : Good question. The various departments let me give you the first of all investment , in investment we don't need any further addition of the manpower and we are sufficient number of professionals to take the company forward . In the sales and distribution , at the senior level we don't need any further hiring. But at a junior level at relationship managers as you know their attrition is also very high. But we will continue to expand . We are seriously working to rationalize our branch office costs and that process will continue . We don't have any plan to hire the employees in any other functions. In so far as operation is concerned or HR is concerned. We are whatever the , whoever is retired from the non-managerial staff we

are not rehiring folks, we are only hiring for the managerial staff. And the subsidiary side, we are building the competencies in UTI Capital. We have the team and we will have some more folks as associates in UTI Capital. UTI International as Surojit mentioned to you that we have launched our USA strategy; we will be building the team in US. We will be expanding our network and our team in Middle East. So, we may witness some hires, those investments will yield very significant results in the years to come. And the corporate office there will be a continuous reduction so far as the manpower is concerned. To summarize the Class three, Class four and non-managerial staff whoever is retiring there is no substitution, it is going once for all. So, far as the investment is concerned, generally there is replacement and no

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further addition. Sales we need to build a class distribution team and wherever is required at a junior level we will hire the folks.

Kunal Thanvi: Sure, got it. So, in terms of our absolute cost structure when you look at both employee and non-employees, how should one look at it like, is there any possibility that we'll see absolute cost reduction or it will be stable the way it is because in the past, we had also indicated that the employee cost could reduce on absolute basis.

But now commentary, it seems like that it

will be there where it is that is 100 crore run rate. Any thoughts on absolute reduction, of cost over next two years would be helpful.

Imtaiyazur Rahman: Very good question. You need to see the cost in a different way, you need to see how much is the ESOP cost. If you take out the ESOP cost then there is a downward trend. Throughout, there's a downward trend and this trend will continue and therefore, Surojit can give you the information. One is the employee cost and the ESOP cost. So, if you see separately, it will give you segmentation of the employee cost you will find the downward trend, but ESOP cost as you know it is not the cash cost it is as the book entry and we need to continue to issue the ESOP to our team to ensure that we are in a position to retain the talented people particularly the investment. Our ESOP policy indicates 100% our investment team will get ESOP so this is important and your question is very relevant, we had given the guidance and we are committed to take the employee cost on the downward trend. Detailed information Surojit can give you separately, breakup. Surojit, you have the information ready or you want to give separately?

Surojit Saha: If you see June 22 our actual employee cost, core employee cost was around 75-76 crore it has come down to 73 crore in quarter ended September 22. And only the variable cost will depend obviously on the business we garner and how our sales team and the investment team perform, but the core employee cost will show a downward trend in future.

Moderator: Thank you. Participants we will take the last question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Sorry to labor on this employee cost again, you mentioned that of the next couple of years this year and next year included you will have around 110 kind of employees retiring and that will lead to a saving of 16 crore right?

Imtaiyazur Rahman: No, the saving will be more than that, but you also need to give increase in salary to the employees every year. So, this is a net effect. Even after giving them salary increase we are saving the money, so you need to see that from that particular angle as an employee all of us are entitled for the salary increase. And in such a competitive market where the skilled staff are in the scarcity. We need to give a salary increase on a year-on-year but still we are seeing a downward trend.

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Prayesh Jain: The 15 crores savings will be net of increment given, variable different.

Management: That's correct.

Moderator: Thank you. As there are no further questions, I will now hand the conference over to Mr.

Imtaiyazur Rahman for closing comments.

Imtaiyazur Rahman: I would like to extend my deep gratitude and thanks to all the participants for participating at this particular point of time despite your busy schedule. I know a lot of calls are there. Thank you for participating. I would like to thank all our partners, my colleagues, and everyone for actively participating to take UTI to the new high. I now once again extend my deepest greeting on a personal behalf, on behalf of UTI to our partners, to all the participants here. And to the entire country men and women for the Happy Diwali and festive week ahead. Thank you so much and good luck, stay safe, stay healthy.

Surojit Saha: Thank you.

Moderator: Thank you. On behalf of UTI Asset Management Company Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines. Thank you.

Call: Feb 2023

Ref. No.: UTI/AMC/CS/SE/2022 -23/0280 Date: 8th February, 2023

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra (East) Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the Earnings Conference Call on financial performance for the quarter and nine months ended 31st December, 2022

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are forwarding herewith the transcript of the earnings conference call held on Thursday, the 2nd February, 2023 on financial performance of the Company for the quarter and nine months ended 31st December, 2022.

The transcript of the aforesaid earnings conference call is also available on the website of the Company at www.utimf.com.

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary & Compliance Officer

Encl.: As above

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UTI Asset Management Company Limited
Q3 FY23 Earnings Conference Call
February 02, 2023

Moderator: Ladies and gentlemen, good day and welcome to UTI Asset Management Company Limited Q3 FY23 Earnings Conference Call. From the management, we have with us Mr. Imtaiyazur Rahman – Chief Executive Officer and Managing Director, Mr. Surojit Saha – Chief Financial Officer, Mr. Vinay Lakhota – Head Operations, and Mr. Sandeep Samsi – Head Investor Relations and Corporate Communications. We also have Investor Relations team from Adfactor. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. Before we begin, I would like to mention that some of the statements made in today's discussion may be forward looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier. I would now like to hand the conference over to Mr. Imtaiyazur Rahman for opening remarks. Thank you and over to you sir. Imtaiyazur Rahman: Thank you very much. Good afternoon to all of you. It is a great pleasure to connect with you

for the third quarter and nine months ended earning call for the financial year 2022-2023. This is also a very momentous occasion for UTI, yesterday, 1st of February 2023, marked the beginning of the Diamond Jubilee Year of the brand UTI that started its operation on 1st of February 1964. We also completed 20 years of UTI Asset Management Company, which began operation as a SEBI Registered Mutual Fund on 1st February 2003. On this wonderful occasion, it is my privilege to thank all our stakeholders for being a great source of strength and support to UTI in this long journey. Friends, this week is marked as Union Budget Week 2023-2024. Yesterday, the Honorable Finance Minister, Nirmala Sitharaman ji, presented the first budget of the 'Amrit Kaal' of India. The era of 'Naya Bharat' will be driven by technology and sustainable energy to create a knowledge-based economy which could have strong public finances and well developed financial sector. The budget listed out seven guiding principles rightfully termed as 'Saptarishi', to help the country navigate to new heights in this Amrit Kaal. The Saptarishi are intricately linked to each other, as one is needed to ensure

the fulfillment of

the other and achievement of all the priorities will empower the economy to reach the objective s of 'India at 100'. The first priority - inclusive development or what I would like to refer to as 'Sabka Saath Sabka Vikas' cannot be seen without a reference to the second Rishi -

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reaching the last mile. After all, we are a nation that is spread far and wide with people from every socio-economic and cultural background. The development of all of us is dependent on the fact that investments are being made to enhance the infrastructure throughout the length and breadth of the country, which has been outlined as our third priority. This will also help us to create a vibrant financial sector that would enable us to achieve our economic goals while supporting the development of our nation. And while we talk about inclusive development, it has to be a growth that is sustainable, and this cannot be achieved without emphasizing on the growth of green energy and amplification of sustainable practices.

This country belongs to the future, that is the Youth. Their empowerment is a key to unleash the true potential of our country, from being one of the finest innovators to demonstrating best governance. With the government's encouragement to inculcate financial literacy and financial education, we, at UTI, as a member of financial sector and the mutual fund industry, take an added responsibility to continue to be the front runner on the investor education front. With the announcement of a well-balanced budget that emphasizes on the economic growth while maintaining fiscal prudence, the gears are all set to spur the consumption, savings and capital investment s. The budget for 2023-24 continues with the government's vision of completing the macroeconomic level growth focus with a microeconomic and all-inclusive welfare emphasis.

While it is usually difficult to achieve all the objectives at one go, this budget has managed to do so. There is high focus on capital spending, impressive fiscal management, while ensuring duration supply is moderate, thus creating enabling conditions for sustained economic growth. Let me share with you about the tax benefits for individual. The announcement towards the personal income tax could benefit the people, especially the working population, as the government has introduced several benefits, more so, with concessional tax regime popularly known as new tax regime. Also the maximum tax rate would see reduction from 42.74% to 39%. These favorable changes in the tax regime will provide individuals with surplus income that can be channelized to the capital markets and to the mutual fund industry. UTI will also be beneficiary of this change.

Along with the several tax regime modification which could help inflow in mutual funds, the announcement relating to simplification of KYC norms would also highly benefit the industry. Reducing the cost of compliance and simplified KYC norms based on risk based approach would help us to bring new investors in the mutual fund industry and in UTI. The strengthening of our industry would also help the country achieve its goal of having a strong financial sector, which will contribute to the objective of the \$5 trillion economy. And as the mutual fund industry grows, UTI, with its wide presence across the length and breadth, will stand to benefit and help our fellow citizens on their wealth creation journey. UTI is looking forward to deepening its geographical presence in our country. With all the ingredients in place, India continues to be

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the fastest growing emerging economy. This will help us in the growth of the mutual fund industry and UTI.

Coming to the major purpose of this call to discuss our quarterly performance. I have with me my distinguished colleagues, Mr. Surojit Saha, Mr. Vinay Lakhota and Mr. Sandeep S

amsi. With

this, I now hand over to Mr. Sandeep Samsi, to share with you about our performance. Over to you Sandeep and thank you.

Sandeep Samsi: Thank you so much Sir. I will first touch upon UTI Mutual Fund's performance. For us the quarterly average AUM as on 31st December 2022, stood at Rs. 2,40,841 crore, up by 7.2% year-on-year. As on 31st December 2022, our market share stood at 5.98%, consistent from the quarter ended September '22 and up by 15 basis points from 5.83% for the quarter ended March '22. Our equity quarterly average AUM market share is 4.82% for the October to December '22 quarter. Our equity quarterly average AUM for the December quarter stood at Rs. 73,631 crore, rising by 5.1% as compared to the quarter ended December '21. The quarterly average AUM for Index and ETF recorded a year-on-year growth of 35.2% to Rs. 81,580 crore for the third quarter. Net sales for UTI Mutual Fund for quarter three of FY 23 stood at Rs. 3,962 crore, while the overall industry saw inflows of Rs. 31,802 crore. The ETFs and Index fund net inflow stood at Rs. 4,729 crore gaining 13.1% of the industry net inflows. UTI was able to capture market share of 8.5% of the gross sales of the industry during the quarter. The total assets under management for UTI Group registered a growth of about 14% over the corresponding quarter of previous year and stood at Rs. 14.98 lakh crore as on 31st December '22 as against Rs. 13.11 lakh crore as on 31st December '21. During the quarter under review, UTI added 23,000 folios, taking up the number of live folios to 1.21 crore as on 31st December '22 from 1.16 crore as on 31st December '21. During the quarter, our number of SIP accounts rose by 3.6% taking the total number of live SIP folios to 24.66 lakh as on 31st December 2022. The new SIPs registered during the quarter were 2.30 lakh. Our SIP AUM witnessed a growth of 18.6% over the corresponding quarter of last year reaching to Rs.21,495 crore as on 31st December '22 from Rs. 18,126 crore as on December '21. The SIP inflows for the quarter stood at Rs.1,656 crore rising by 4.22% over the second quarter of the current financial year and by 22.5% from the corresponding quarter last year. The SIP gross inflows for UTI Mutual Fund witnessed a year-on-year growth of 22.5% as against the industry growth of 21.6%, with an average ticket size of Rs.3,231 for December '22. Keeping our commitment to deeper and better access to the B30 cities, that is beyond B30 cities, 23% of our monthly average AUM for December '22 comes from these B30 cities while the industry stood at 17% in terms of B30 market monthly average AUM. 108 of our 166 branches are in the B30 cities. I would like to highlight some of the digital initiatives that we have taken at UTI in the last quarter. We have increased our distribution outreach by partnering with investor and distributor facing platforms and other aggregators or platforms. The focus is on lead, traffic and

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API led partnerships. We have partnered with more than 10 such platforms. We are aggressively investing in our digital marketing efforts with the aim to acquire new customers, as well as to create awareness by targeting relevant audience through paid marketing while engaging existing customers via multimedia campaigns. We are on the path to be a data first organization riding on our analytics and personalization at scale and are working on multiple such initiatives covering various business functions such as sales, digital marketing, product, investment, etc. We are revamping our contact center operations by riding on upgraded technology, digital solutions and skilled resources for inbound and outbound calling, chat and co-browsing activities. This will result in enhanced customer service and customer delight. We are on the path to cloud journey and moved 92% of the workload on Agile and

moving toward

micro service based architecture with an ultimate roadmap towards office-on-the-go model. Our applications are secured through multi layered security architecture and encryption standards with incessant security surveillance in place. Data classification and enhanced privacy controls are enabled too.

Now, I turn my focus towards the UTI AMC Financials. During the third quarter, the company posted a consolidated net profit of Rs. 60 crore as against Rs. 127 crore in quarter three of the financial year '22 reflecting a decline of 53%. The consolidated core net profit stood at Rs. 76 crore for this quarter. Core PAT excludes the mark to market gains, income from sale of investment and other non-operating income. For the nine months of FY 23 the consolidated core net profit stood at Rs. 253 crore up by 1% as against Rs. 250 crore in the corresponding period of the last year. There is growth in the core profitability of the UTI group.

UTI AMC Limited:

For UTI AMC standalone, the net profit of UTI AMC Limited in quarter three of FY 23 is Rs. 108 crore, reflecting an increase of 4% year-on-year as against Rs. 104 crore in the same period last year and a decline of 9% quarter-on-quarter as against Rs. 119 crore in quarter two of FY 23. The core net profit of UTI AMC Limited in quarter three of FY 23 is Rs. 60 crore, whereas the core income is at Rs. 226 crore in quarter three of FY 23 reflecting a slight decline of 4% quarter-on-quarter and is constant from quarter three of FY 22.

UTI Retirement Solutions: Our AUM in UTI Retirement Solution has increased by 19% on closing basis to Rs. 2,30,560 crore from Rs. 1,93,331 crore in quarter three of FY 22. PAT of UTI RSL is at Rs. 12 crore, an increase of 15% compared to the corresponding quarter of the last

year.

UTI International Limited : The management fee of UTI International for the period ending December '22 stood at Rs. 33 crore , a decrease of 8% year -on-year from Rs. 36 crore for the corresponding period during '21.

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UTI Capital Limited : UTI Capital Limited made a net loss of Rs. 1 crore during this quarter . The operating profit margin as a percentage of AUM for Q3 FY 23 was 15 basis points on a standalone basis .

Employee cost of the group : Employee cost of the group in quarter three of FY 23 was Rs. 104 crore , witnessing an increase of 7% year -on-year as against the amount Rs. 97 crore in quarter three of FY 22.

I would like to provide a brief highlight on the performance of our subsidiaries. UTI International has an AUM of Rs. 23,826 crore as of 31st December '22. Our international clients are across 38 countries . They are primarily institutions , pension funds, insurance, banks and asset managers. One of our flagship fund the India Dynamic Equity Fund (IDEF) domiciled in Ireland , has an AUM of \$1,080 million . UTI International J Safra Sarasin Responsible India Fund , an ESG -compliant India Fund has an AUM of \$82 million . UTI India Innovation Fund launched in the first quarter has an AUM of \$17 million .

UTI Retirement Solution has been managing the NPS corpus for government and non - government sector . As on 31st December '22 its AUM is Rs. 2,30,560 and has the of 27.01% of the industry AUM.

UTI Capital with a total AUM of Rs. 1,643 crore currently manages active debt funds, like the UTI Structure Debt Opportunities Fund which is called the SDOF – I, launched in August 2017 and closed in May 2019. It has an AUM of Rs. 204 crore . Currently the fund is in exit mode . UTI SDOF -II which was launched in September 2020 has an AUM of Rs. 507 crore , and the fund is currently in fundraising stage as well as investing . UTI SDOF -II has a very well defined ESG policy and strategy . UTI Multi Opportunity Fund I, which was launched in March '22, has an AUM of Rs. 763 crore . Currently the fund is in investing stage. Further

, UTI Capital has launched another

fund, the UTI Structure Debt Opportunity Growth Fund I which was later rebranded as SDOF - III, and it has an AUM of Rs. 169 crore .

I would now request the Managing Director and CEO to give his concluding remarks . Thank you.

Imtaiyazur Rahman: Thank you Sandeep for sharing operational and financial highlights of our company. As we enter the Diamond Jubilee year of UTI brand, I would like to reiterate our commitment towards our investors and this nation. Our emphasis on our people, process and performance is undeterred and continues to remain the backbone of our operational excellence. With this, I would like to open the forum for Q&A. And thank you for joining this call today.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. Anyone who wishes to ask a question, may press “*” and “1” on their touchtone phone. If you wish to

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remove yourself from the question queue , you may press “*” and “2” . Participants are requested to use a handset while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have the first question from the line of Swarnabha Mukherjee from B&K Securities . Please go ahead.

Swarnabha Mukherjee: I have three questions. My first question is on the standalone business. So in the mutual fund business, the ETF share has gone up quite significantly and there is a bearing on the yield because of that. So if you could explain that , whether the yield which has come down is primarily because of ETF share increasing or is there something else also at play there . As well as is this primarily the EPF O contribution and how should we think about the ETF growth going ahead? So that will be the first question sir.

Vinay Lakhotia : ETF business during the previous quarter has actually gone up as percentage to our overall AUM from 31 % to 34%. Yes, in the ETF we charge an asset management fee of close to around five to six basis points that has a marginal drag on our overall weighted average AMC fees . So if you see the weighted average AMC fees , it has marginally dipped from 38 basis point during the earlier quarter to around 37 and the corresponding AMC fees in the last financial year for this particular quarter was also 37 basis points. So it is a marginal impact as compared to the previous quarter. And coming to the question that where the inflows are coming, primarily the inflows under the ETF categories are from EPFO, plus we have lot of institutional clients as well who are investing their provident fund money into ETF funds.

Swarnabha Mukherjee: Okay sir, so this is expected to continue going ahead at the same rate. So we should see the yield dilution also going ahead ?

Vinay Lakhotia : Yes, there'll be a marginal yield dilution because of the growth in the ETF business.

Imtaiyazur Rahman : The absolute revenue will be up .

Swarnabha Mukherjee: Got that sir, of course because the overall AUM is growing. Right , my second question is on the

international business side. So in the international business, sequentially the AUM has gone down . So is this primarily due to mark to market loss or is there any kind of also , any client loss or something like that has occurred, which is resulting in this and is this the primary reason why we see M2M of investments in the P & L of the international business, if we could highlight and also on the expense increase in this business. So what is going on there if you could let us know?

Imtaiyazur Rahman : I will tell you about the client s, we have not lost a single client, we have added more clients and regarding our financial data about mark to mark et, Sandeep over to you .

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Sandeep Sams i: So, UTI International which is a subsidiary of UTI AMC, it has invested in India Dynamic Equity Fund, which is a diversified equi

ty offshore fund having a fund size of around Rs. 8,940 crore

or about US\$ 1080 million, the investment was provided as a seed capital for the fund. The book value of this investment is Rs. 116.2 crore and the market value as on 31st December '22 was Rs. 280 crore . The impact in the financials is due to the decline in the NAV from September '22 and the currency impact from th e financial reporting purposes. As the fund has grown over time and the AUM has crossed 1 billion , UTI has reduce d this investment by booking profits in '21 and '22. UTI will continue to redeem from the ID EF gradually and reduce the investment further over the next few quarters. The fund has given an absolute return of around 86.32% from the inception in dollar terms and has steadily given management fees to UTI I nternational over the years. So, that is about the financials of the UTI International.

Imtaiy azur Rahman : So far as expenses are concerned , the main expenses are legal expenses to open our office in Paris . UTI International is starting one of its office in Paris to meet the requirements of European investors and this is one time legal expenses which you will find in the profit & loss account of UTI International. And we are also heading f or the US, there will be some more expens e on the US strategy as well.

Swarnab ha Mukherjee: Okay . So the run rate for UTI International will continue to remain at a similar level on the expense side for upcoming quarters ?

Imtaiyazur Rahman : No, I am saying only one time expenses , the legal expense is one time , we need not incur any more costs there .

Swarnab ha Mukherjee: Okay, but somet hing will come from the US also, something you mentioned there, right?

Imtaiyazur Rahman : US strategy we are working it out so next year, some more expens e may come as a one-time expenses.

Swarnab ha Mukherjee: Okay , sir got it.

Vinay Lakhotia : But may not be in this financial year.

Imtaiyazur Rahman : There is nothing in this financial year.

Swarnabha Mukherjee: Sure, sir that's helpful. Lastly on the SIP inflow share. So, if I calculate the inflow numbers that you have provided and also the industry level data that we get , there is very minor but there is some like in second decimal point kind of loss in market, should we be concerned on that or this is just like one time deviation if you could throw some light on that, this will be helpful.

Vinay Lakhotia : You are speaking about the overall percentage or only for equity fund ?

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Imtaiyazur Rahman : SIP.

Swarnab ha Mukherjee: For the SIP , sir.

Vinay Lakhotia : The market share is close to around 4. 15% of the fresh inflow . In fact that number has actually improved by three basis point s from the corresponding quarter of the last financial year .

Moderator: Thank you. We have the next question from the line of Viraj Kacharia from Securities Investments . Please go ahead.

Viraj Kacharia: I just have t hree questions. First is on the yield part. If I look at purely the domestic mutual fund business, we've seen a very sharp moderation in yield, so both sequentially and year -on-year . The moderation in excess of 2.5 basis points . So, if you can just kind of give some color, what is driving this so, if I have to compare the yield which we get now in new flow s vis-à-vis the old flows , what will be the yield which is accruing to us in the new flows?

Vinay Lakhotia : Now, I am not sure which numbers are yo u looking at , because yield on a sequential basis as well as on a year -on-year basis, there has been just a marginal decline. So, corresponding on a year -on-year basis , the yield was at 38 basis points , with respect to the previous quarter also the yields was at 37 basis points and for this particular quarter , quarter three of this financial year , the yield is around 37 basis points. That primarily , as I stated earlier , is because of the growth

in the ETF and the liquid fund business . In fact, yield on the equity fund ha s actually marginally improved as compared to the previous quarter by around a basis point or so . But having said that, still because of the growth in the ETF and the liquid business, there ha s been a marginal decline o f yield by one basis po int. Coming to the yield on the fresh business , we

had stated earlier also the yield on the fresh mobilizations are lower as compared to our stock AUM . Almost 50 % to 70% of the total distributable expense ratio gets shared between the manufacturer and the distributor s. That will continue as long as they are going there'll be a marginal impact on the yield o f the equity fund . As stated in earlier call also, profit margin is one number that you should look at it and that number with the reduction in the cost going forward, that number will keep on improving on a quarter -on-quarter basis.

Viraj Kacharia: So when I say gain on domestic business , I basical ly look at the earnings we had for our domestic business , the revenue was around Rs. 216 crore and if we look at the overall Q AAUM, which is around Rs. 2,40,000 crore , so, we get a blended yield for the domestic mutual fund of somewhere around 35.9 or 36 basis point as against 38.5 last quarter and 38 .5 again the same quarter last year.

Vinay Lakhota : So, quarterly average number what you stated is 2,40,000 crore.

Viraj Kacharia: Right sir.

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Vinay Lakhota : So, again st that the AMC fee number will come down to 37 basis points from 35.6 in this quarter is Rs. 216 crore actually.

Viraj Kacharia : Yes, sir that's what I meant, and that's what I have been saying. S ir, basically on that derivation, we get a yield moderation or somewhere aroun d 2.5 basis point.

Vinay Lakhota : So, Viraj , maybe we can connect offline, but the yield moderation is actually not even one basis point is less than half a basis point as compared to the previous quarter as well as on the year - on-year basis as well .

Viraj Kacharia: Okay. S econd question is based on broadly on the cost structure . So the employee cost part , for us , if I look at overall performance in terms of say regular market share or increment al share in terms of the SIP flow s also. And if I kind of correlate that with the overall mutual fund scheme performance, we've seen some kind of underperformance vis-à-vis the market. So, just trying to understand how should one really understand the perfo rmance incentives or the ESOPs and other part, going forward considering?

Imtaiyazur Rahman : On incentive part, we are working . We have provide d in the accounts, which Surojit will tell you, his throat is bad so, Sandeep will highlight our incentive plan . Indeed, the performance of our flexi cap scheme is low now and based on the performance only we will pay the variable pay to our employees.

Sandeep Samsi: So, Viraj if you see the variable pay or ESOPs which are given to the employees are all based on a very well defined KRA for investment as we ll as the sales team and are completely dependent on the performance of th e schemes . And we have highlighted that whatever we have been accruing. So, for the nine months for this financial year , we have accrued so far, a variable pay of Rs. 43 crore which is in line with the performance of the scheme as well as the performance of the sales team. And we expect that this quarter will be equally good for the organization based on the performance of our scheme s, as well as what we have been doing on the debt side. So, it's not arbitrary, it's completely based on the KRAs that are there for all of the sales team as well as the investment team.

Viraj Kacharia: Just two questions, and I'll come back in queue . One is how much we have booked the performance incentive in ESOP , how much we have booked in the current quarter. And second is, our expectation in ter

ms of employee costs itself was that it will keep on moderating, but every quarter we see a very different and same increasing trend. So, just trying t o understand on an absolute level also, by when do you really expect cost to moderate down ?

Sandeep Samsi : So, Viraj if you look at the ESOP cost that we have booked so far in the three quarters it's about Rs. 15.1 crore and for the fourth quarter, because it is already prefix ed, it is Rs. 5.70 crore . So, a total comes to Rs. 20.80 crore on the ESOP cost. On the employee cost if you see last quarter

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also, the quarter t wo, the total cost which you had including fixed cost , variable cost as well as insurance and welfare expense s, it was Rs. 103 crore and in this quarter, it is Rs. 104 crore, so there is not a significant change in the number .

Surojit Saha : And Viraj one more thing , for the nine mont hs if you see the employee cost, core employee cost is Rs. 265 crore and the variable pay is Rs. 43 crore. So, if only the core employee cost if you just annualize it, it comes to around Rs. 353 crore and FY 22 the core employee cost was Rs. 345 crore, if you just take a blanket 7% annual increment which we give, figure should have been Rs. 369 crore . But we expect this financial year this will be around Rs. 353 crore . So, there is a downward trend in the overall core employee cost.

Viraj Kacharia: How much performance incentive in ESOP you said in the quarter we have booked , for this particular quarter ?

Sandeep Samsi : For the quarter is about Rs. 6.53 crore on the ESOP cost , and on the variable pay which we have booked it's about Rs. 14 crore .

Mode rator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal Financial

Services . Please go ahead.

Prayesh Jain: Again, the question on the yield. Now, if I look at your AUM growth on a sequential basis its 3%, while your revenue is down by 4% sequentially when compared sequentially, so from 2Q to 3Q . So that clearly indicates and when we calculate the yield on basis, we get a two and a half basis point kind of a decline what the previous caller was asking. I don't know whether there is some disparity in the numbers. Secondly, on the same thing, last year around this time there was some mention about you kind of front ending the cost on certain schemes for the full year , you front -end the cost in Q3 while most of the companies kind of do it after Q3, and that impacted the yields in 3 Q of last year . Something similar has happened in this quarter where in your margins have been impacted and possibly some recovery can be expected in Q4 ?

Vinay Lakhotia: No, as you rightly said the growth in the AUM is of 4% , but then you have to see the category , which category your growth has actually happened. So, in the hybrid category there have been slightly a de -growth because of redemption pressure. And that has actually come down while the growth has actually happened in the ETF category and the liquid category where the fees are actually lower. So that's why you can't compare an AUM growth along with the fees growth. And because of that you're finding this difference.

Prayesh Jain: But there is nothing of the expenses that happened last year ?

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Sandeep Samsi : No, so Prayesh there was no front ending what we had mentioned last time that variable pay was coming at a single quarter last year, but then we said that we will average it out over the four quarters. And that's what we have done this year .

Vinay Lakhotia: That is in the AMC balance sheet, nothing to do with the yields on the scheme.

Prayesh Jain: No, so I am talking about the scheme accounts only, last year 3Q when the yields had dropped sequentially , there was an explanation given that last year again the dip was from 42 bps in 2Q FY22 to 38 bps in 3Q FY 22. Something similar kind of drop has happened this year a

s per our

calculation. And last time in 3Q FY 22 an explanation was given for the yields that because on the scheme side you kind of front end the cost for the full year in this in particularly third quarter that 's the reason the yield fell. And that's the reason in 4Q we saw a recovery which went to 41 bps. So, that can be expected in this year also that is my question.

Vinay Lakhotia : No, there is no concept of front end of the commission or the fees as far as the schemes are concerned. This particular quarter the decline is primarily because of the growth in ETF AUM, and we expect to grow the full year at around 37 to 38 basis points only .

Prayesh Jain: Okay, so no expectation for this?

Imtaiyazur Rahman : There is some disconnect in the understanding; may I request you to take it offline with Vinay and Surojit .

Prayesh Jain: Sure, I'll do that sir.

Imtaiyazur Rahman : So that proper data can be exchanged, and you'll get a very clear picture. There is nothing like the front ending and there is nothing like the back ending of any expenses, all our expenses are fully audited on a daily basis. We have a concept of concurrent audit where everything is audited on daily basis on NAV, and we carry out a limited review regularly. Our schemes also we do the half-yearly limited review . So, it's a part of very diligent , transparent processes , there cannot be any front loaded or back loaded expenses accrual. There is some confusion about understanding therefore, I will request you to speak to Vinay offline , clear your data points and that will give the better picture .

Prayesh Jain: Sure, sir I will do that. And sir secondly on the talks in the media of about SEBI kind of thinking about constraining the expenses especially of TER ratios further for the large AMC actually having equity AUM of 50,000 crore plus and also subsuming the GST rates and the brokerage rates into the TER which were exclusive beyond the TER now, any comments there that will be helpful.

Imtaiyazur Rahman : Friend, this is a regulatory issue and a media article . We can't give any comment on the speculation . Whatever happens will happen for the entire industry. So, I respect that and

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therefore it is not appropriate for me, particularly representing UTI to speak anything on speculation. So please wait for that if anything has to happen will happen. A new regulation will come if it has to come and that will be uniformly applicable to all asset managers. It will not be unique to us. And I can't comment on this at this particular point of time.

Prayesh Jain: Okay . And sir my last question is on the debt side, where there has been a lot of outflows from the industry. Is there an expectation of the flows kind of coming back on the medium to longer duration, and in that scenario , how do you see the yield moving on the debt books from next year onwards and how would that impact the overall yields as well that was my last question.

Imtaiyazur Rahman : I'm quite optimistic on the fresh inflows into the debt segment of the business. We at UTI we are witnessing a positive inflow. I hand over to Vinay and Sandeep to answer your question.

Sandeep Samsi: Yes. So, if you see Prayesh , 2022 was a difficult financial year due to high global inflation and

ease of monetary policy. Therefore, we saw a multiple number of factors which led to inflation taking the front seat and rising significantly above the comfort level of the local Central Bank. To rein in this inflation the Central Banks globally started hiking the interest rate including our Central Bank - RBI. Closer to home, now the union budget, which was presented yesterday, it has created enabling conditions for sustained economic growth and maintaining high focus on capital spending while ensuring debt fiscal management, market expectations and policy rates are that it will peak at around 6.5 0% and this pre

sents a scenario where debt is an asset class

looks relatively attractive at this juncture, when real returns are positive which was not the case in the last couple of years. So this is what I would like to say. And on the inflows Vinay would you like to add.

Vinay Lakhotia: We expect the policy rate to peak at around 6.5% and we believe that thereafter, debt as the asset category should actually look attractive especially on the intermediate duration strategy of one to four years. So some of those strategy like a short term duration fund or a Banking PSU fund, we expect to receive inflows under these categories of fund going forward.

Imtaiyazur Rahman: And using this particular medium, I would request the investors to invest in the debt fund, it is the right time to invest in.

Prayesh Jain: So, any impact on the debt yields?

Vinay Lakhotia: Policy rate we expect to peak at around 6.5%.

Prayesh Jain: No, I am asking about the debt AUM on which you earn certain amount of yields which could be possible.

Vinay Lakhotia: Yield is close to around 26, 27 basis points.

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Prayesh Jain: That should move higher with the flows moving in.

Vinay Lakhotia: Slightly a longer duration product that may improve by a basic point or few.

Moderator: Mr. Jain thank you. The next question is from the line of Akshay Jain from JM Financials. Please go ahead.

Akshay Jain: So, Sir my question is again on the yields. So, I was just back calculating so like your equity and hybrid MF AUM that is down by around Rs. 800 odd crores even if I assume say a 1% yield on this for a quarter the revenue should have been down by only Rs. 2.5 odd crore, however the revenue on a quarter-on-quarter basis is down by nine to 10 odd crore. So, what explains this decline in the revenue on a quarter-on-quarter basis?

Vinay Lakhotia: So, the revenue decline has been because of the lower AUM under the equity and the hybrid category because of that there has been a marginal decline. Almost around 7 crore decline under the equity and hybrid category because of mark to market depreciation under the two category. And ETF obviously since the yields are stagnant at around five and a half to six basis point, there have been absolute growth as far as revenue is concerned, but marginal decline under the overall category to around 37 basis points.

Imtaiyazur Rahman: So, the main is because the AMC fees is down by eight crores mainly because of the M-to-M. So, as you know the market has been very volatile and therefore there was an impact.

Akshay Jain: Okay sir. I'll take it offline. The next question is on one of your disclosures. I am looking at the disclosure for commission payout to distributors which you are going to put out annually. So, I was just looking at the total numbers so for FY 22. The total commission which has been paid as per the disclosure is around Rs. 200 odd crores and the total distributed AUM stands at around Rs. 30,000 odd crores. However, if I calculate so that you say that around 70% of your equity AUM is distributed so of the 1 lakh crore, 70,000 crore should have been distributed. So, why is this discrepancy accruing, total AUM distributed should have been close to around 70,000 odd crores however, it is only showing 30,000 odd crores. So any comment on this?

Vinay Lakhotia: But that disclosure is with respect to the total commission paid including the commission paid on the stock premium as well. It's not only on the fresh sale.

Akshay Jain: Yes. So, I'm talking about AUM only, so there, the total AUM is only 30,000 odd crores, I am looking at the average AUM with the total AUM of the 1500 odd distributors which you have disclosed. However, if I calculate the total distributed AUM, which is close to around say 70% of the equity AUM that comes to around 65 to 70,000 odd crores. So it's like only half of the AUM has

been disclosed over here, so how will it work?

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Sandeep Sami: It is only for the top 1000 or 1500 distributors where there is a requirement for this. It's a regulatory requirement which we have to give the data for and it's above a certain threshold.

So that's why the AUM and the commission which has been paid on an overall basis as Vinay mentioned it is on the tail commission which has been given. So that's why the numbers would be different.

Akshay Jain: Understood, sir. That clarifies it. So, any specific on the threshold, so like only top 1500 or is

there some amount or is there a threshold which is there?

Sandeep Samsi : I'll have to check on that Akshay, I can get back to you offline I don't remember whether it's on the AUM. There is a regulatory requirement to disclose above a certain limit, I will have to check it is based on the top 1500 or is it based on the AUM if it is above 1 crore or something like that .

Akshay Jain: Understood . My next question is on the international side. So an international AUM has been declining for like past five or six quarters, so it has declined from the highs of 35,000 crores to almost 24,000 odd crores in this quarter. So any specific reason for this, you'd like to attribute and number two. So there was around 60 odd crore MTM loss, which you have reported in this quarter in the international business. So what is the reason for the same?

Imtaiyazur Rahman : First of all, the M-to-M loss.

Sandeep Samsi : First on the MTM loss as I just mentioned and I will just report this again , UTI IDEF which is one of the funds where we have a fund size of around Rs. 8,940 crore or \$ 1080 million , the investment which was provided as a seed capital and the book value of this investment is around Rs. 116.2 crore and the market value around 31st December 2022 was Rs. 280 crore . The impact of the financial is due to the decline in the NAV from September and the current impact on the financial reporting purpose . As the fund has grown over time and has crossed US\$1 billion , UTI has reduced the investment by booking profits over time. And we will continue to reduce our exposure from IDEF gradually . The fund has given an absolute return of 86.32% from inception in dollar term and has given steady management fees to UTI International over the years. And if you look at while the AUM has reduced, there is a marginal decline from the quarter two where the AUM was Rs. 25,105 crores to Rs. 23,826 crores. One of the primary reasons for the reduction was the fall in the AUM of UTI India Dynamic Equity Fund, which has gone down from Rs. 1,139 crore to Rs. 1,080 crore. And some of the equity funds have also had an impact due to the market depreciation.

Imtaiyazur Rahman : So, Akshay let me just share with you , UTI International have investment in three schemes as a seed investment , IDEF, balance fund and innovation fund. So, the M-To-M effect is up 24 crores is there and the currency impact is of 38 crore is there. So, the total impact is 62 crore . IDEF is down by 40 crore , Balance Fund by five crore and Innovation Fund by 17 crore . So,

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therefore the M-to-M both currency and the margin is Rs. 62 crore . There is no significant case so far as a loss of investor is concerned , this particular product is very popular and we are continuously receiving the money in this particular fund.

Akshay Jain: Understood . The last question is on the cash on the balance sheet. So, what is the strategy on 3200 odd crores of investments and cash on the balance sheet? So, what is the strategy of utilizing this going ahead so it is the plan for some dividend or some special dividend or anything like for this ?

Imtaiyazur Rahman : We don't have any plan giving any special dividend at this particular point of time . Last year we gave around 62% of our profit we distributed , we are very sensi

tive about the cash

management . We are also investing in the growth of the organization as I indicated that some of the resources may be required . Next year onwards we will start investing in a geographical expansion and also in our digital strategy. The board has to decide . If the board would like to consider any special dividend or not . Now we are in the last quarter , we will discuss this at the end of this quarter . In the next call you will have a better picture Akshay.

Akshay Jain: Understood. Then last question is again on the yield side, so what will be the current yields on the equity AUM and number two, what will be the outlook going ahead like maybe if you can give some idea on it. How much of the AUM is still on the old regime where you have already paid upfront commission and what will be the proportion of new ?

Vinay Lakhotia : So we can comment only on the stock AUM yield that is close to around 77 to 78 basis point on the equity and hybrid category . On the fresh AUM yield as I told you, it's very difficult to put any number of that because of the distribution expense ratios that varies from IFA s to IF As.

Imtaiyazur Rahman : And Akshay , I would also like to mention to you we are seriously reviewing our sales strategy . So, next call, we will be in a better position to give you a color about what would be the likely yield for the next financial year 23-24. So, please give us some time and market will also be a bit stable a lot of volatility is there in the market.

Moderator: The next question is from the line of Mohit Mangal from the BOB Capital . Please go ahead.

Mohit Mangal : Sir, my first question is in terms of the market share in equity AUM . So, last if you look at seven, eight quarters we have , the market share in equity AUM has been reduced . So, overall we have maintained but equity AUM has reduced so any strategy to gain the market share in equity AUM?

Imtaiyazur Rahman : We are quite focused in our equity strategy. Our team is continuously in touch, we have the three flagship product we are pushing it very hard, and we are quite confident that our equity market share should improve on a quarter-on-quarter basis. As I mentioned to you on every

call that we are quite focused on high yielding assets. Our strategy should focus on high yielding assets, we are quite committed, and the performance of schemes is also more or less on our side, and we will differently improve our share in the equity schemes. The most important thing I would like to mention here besides the number is our investment team. I believe that we have got the right team in place. They are people with high ethical and moral values, very diligent and committed to our investors and the stakeholders. So the investment team is in place, we have a right distribution team in place. We are quite focused to go deep and deep in the market more than top 50 cities and beyond 50 cities. So hopefully we will see the good improvement in our equity market share as well as a part of our strategy and I can't give you any forward looking numbers.

Mohit Mangal : Perfect, sir. Going into financial year 24 any plans to launch new scheme or any pipeline if you can share with us?

Imtaiyazur Rahman : Yes, we have, Sandeep.

Sandeep Samsi: Yes, so Mohit if you look in the last month, that is January, we launched three funds one is the CRISIL SDL Maturity Fund, then we launched the Focus Fixed Term Income Fund and we launched the Nifty SDL Plus PSU Bond Fund. We have the approval from the regulators for launching five funds. And depending on the market condition we will be looking to launch these funds, which includes the Silver ETF, the Nifty 50 Equal Weight Index Fund, the FTIF Series XXXVI – I & II, Nifty SDL Plus AAA PSU Bond Index Fund and the Long Duration Fund. But this will all be launched subject to market conditions. So, this

is a pipeline of the funds which has been approved by the regulator so far.

Mohit Mangal : Right. The last question is just a clarification. If I look at the consolidated so, this M2M loss that we had for this quarter, wherein it was income in previous quarters was primarily because of UTI International right?

Imtaiyazur Rahman : Yes, primarily, UTI International.

Moderator: The next question is from the line of Aman Shah from Jeetay Investments. Please go ahead.

Aman Shah: On a longer-term basis, my question is on the employee cost. If I just see ourselves versus the three other players, the AUM size of the other three players are roughly 20% to 40% higher while the total number of employees is lower by 20% to 40%. So, there is roughly a 40% higher employee base that we are having. I know it will actually take time to correct it, but just wanted your thought, how do we see like though the retirees that we are having we are not substituting it with any new employees that is well appreciated, but beyond that if we have to see this 40% of expanded employee base that we are having, how do we see that getting corrected over a medium term period. Thank you sir.

Imtaiyazur Rahman : One is the number which Sandeep has shared with you, there is improvement. As Surojit also mentioned that if you compare on the year-to-year basis with the yearly salary increase, there is saving of around 20 to 25 crore on a year-on-year basis. The question now is the high productivity and the rationalizations of manpower. Some of the manpower we may use also as we expand our reach further, and we are seriously thinking of the rationalization of the manpower. So, you will have to give us some time, the next quarter will be in a better position to answer this. And details of employee cost numbers Sandeep has shared with you. And Surojit can you share this number once again.

Sandeep Samsi : Yes, so if you look at the number of people who are retiring in this year, the total number is 60. In the next financial year, we have 50 more people who are retiring and the year after we have another 71 people retiring and in 2025-2026, we have 111 people retiring. So to see there is a trend of retirement which is continued for the next four, five years.

Imtaiyazur Rahman : We aim to rationalize our manpower; we are quite committed to this.

Aman Shah: So we won't see a substitution to this retirees?

Imtaiyazur Rahman : We will not see any substitutions of the retiree of class three, class four, which is the non-managerial staff. But we may see the substitutions in our sales team, but it will be at a lower cost. It will not be high cost as these are the duration employees for 30-35 years, but when we hire new employee, the cost is almost one third.

Aman Shah: Second question was sir, our quarterly net sales numbers. When I see that number in the category of equity and hybrid put together, our market share is much lower than what our book market share is of the AUM. So in Q3, we had a net outflow of quarterly net sales. In Q2 also we had a net outflow while industry did saw net inflow of the net sales number so one is the performance part, but second is the sales part also, would we want to make some changes in that sales machinery sir?

Imtaiyazur Rahman : Sales is a focus area we are working to revitalize, reenergize and reorganize our sales team.

Moderator: Thank you. Ladies and gentlemen, this would be the last question for today. And the question is from the line of Abhijeet Sakhare from Kotak. Please go ahead.

Abhijeet Sakhare: Sir, on the cost side again, where do you plan to end this year in terms of overall OPEX if you

could guide us toward some range, and then maybe some, let's say indication for overall OPEX growth for next year as well that would be helpful .

Imtaiyazur Rahman : What is your second question

?

Abhijeet Sakhare: OPEX growth outlook for next year.

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Surojit Saha : I will take it in two parts the employee cost if you see on a quarterly basis, it's almost stabilized around Rs. 104 crores and it will be on a downward trend. And in respect of the OPEX , if you remember in the last call of October also, I said it should be in the range of Rs. 54-55 crore . And on a consolidated basis this year also the other expenses is around 56 crore. So that should be our target and run rate it should be around Rs. 55 to 56 crore .

Abhijeet Sakhare: Got it. And sir, you mentioned that in terms of variable staff cost, you said part of it is linked to fund performance. So , if you could give some color in terms of how do you measure it, like what's the timeframe that you look at, when you assess the performance of the investment team ?

Sandeep Sami : It is different for different teams and different for the sales team , different for the investment team, we would not like to get into the details of the internal KRA system that we have, because it's proprietary to the organization and we have developed this over a period of time. But be rest assured it is based on a very scientifically used qualitative and quantitative measures, which are there for the fund team as well as for the sales team .

Imtaiyazur Rahman : But let me just share it with you when we calculate the incentive part for investment team. We do consider the short term , medium term , long term performance, we also consider the peer s comparison and how are we are performing against our peers. It's a well laid down KRA which we have , very stringent system to monitor the performance, the performance of the Chief Executive Officer and KMP s are monitored by the board on a quarterly basis. So, we have a very well laid down and stringent review process with our NRC and the Board . And a very, very transparent system .

Abhijeet Sakhare: Got it sir and lastly , we will end the full year with the overall tax rate at close to 25 , because there's been some volatility in that number ?

Vinay Lakhotia : Could be around 21 , 22.

Imtaiyazur Rahman : Yes, 21. And thank you.

Moderator: Thank you. As that was the last question for today, I would now like to hand the conference over to the management for closing comments . Over to you sir.

Imtaiyazur Rahman : Thank you, friends . Thank you for joining this call and we continue to need your support and thank you for supporting UTI and the management team. Thank you so much.

Moderator: Thank you sir. Thank you everyone for your participation in our Q3 and nine months FY 22-23 earnings call. In case of any future queries, you may get in touch with Investor Relations team at Adfactor s. We look forward to interacting , thank you. On behalf of UTI Asset Management

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Company that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2023

Ref. No.: UTI/AMC/CS/SE/2023 -24/0308 Date: 4th May, 2023

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra (East) Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the Earnings Conference Call on financial performance for the quarter and financial year ended 31st March, 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the Listing Regulations) , we are forwarding herewith the transcript of the earnings conference call held on Thursday , the 27th April , 2023 on financial performance of the Company for the quarter and financial year ended 31st March , 2023.

The transcript of the aforesaid earnings conference call is also available on the website of the Company at www.utimf.com in compliance with Regulation 46 of the Listing Regulations.

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary and Compliance Officer

Encl.: As above

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UTI Asset Management Company Limited
Q4 FY23 Earnings Conference Call
April 27, 2023

Moderator: Ladies and gentlemen , Good Day and welcome to the UTI Asset Management Company Limited Q4FY23 Earnings Conference Call. From the management we have with us Mr. Imtaiyazur Rahman (CEO & Managing Director) ; Mr. Surojit Saha (Chief Financial Officer); Mr. Vinay Lakhotia (Head – Operations) & Mr. Sandeep Samsi (Head – Investor Relations and Corporate Communications). We also have with us our investor relations team from Adfactors joining us on this call . As a reminder, all participant lines will be in listen -only mode, and you will be able to ask questions after the opening remarks conclude. If you need assistance during the conference, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded . Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note the

disclaimer mentioning these risks and uncertainties are on the Disclaimer slide of the investor presentation that has been shared earlier. I will now hand the conference over to Mr. Imtaiyazur Rahman for opening remarks , thank you and over to you, Sir .

Imtaiyazur Rahman: Thank you very much. Good afternoon, everyone. Thank s for joining us today to discuss our operational and financial performance. Though the year witnessed some turbulence globally, the major economies world over, are taking measures to tackle the inflation in the best possible manner. It is also encouraging that these economies are taking all

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possible measures to effectively manage the ris ing interest rate scenario and the challenges being faced by the financial sector.

The Indian economy too remains robust, receiving recognition globally for our economic resilience and growth prospects. Our mutual fund industry also has demonstrated resi lience and steadfast growth. Various factors like rising household savings, the broader geographical reach of financial products in Tier 2 and Tier 3 cities and the growing share of Mutual Funds in financial savings are positive factors that will help dri ve the development of the sector in a significant manner over the next decade.

The year was characterized by volatility in terms of inflows and outflows from Mutual Fund schemes . However, the flows into equity funds have been positive and so has been the SIP flow. The SIP contribution in March 2023

was Rs. 14,276 crore. The positive inflows into the Equity funds are testimony to retail investors' confidence in the Indian equity markets and these investments are supporting the benchmark indices amidst investor sentiments.

The total Assets under Management for UTI Group registered a growth of about 15.4% over the corresponding quarter of the previous year and stood at Rs. 15.56 lakh crore as on 31st March 2023. This is the figure for entire UTI Group.

Friends, at UTI, we are focusing on the following five key objectives:

1. To be among the Best Board Governed Companies
Governance is one of the most important pillars on which UTI stands. 6 out of 10 Directors on the UTI AMC Board are Independent

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Directors. UTI AMC Board along with the Boards of all our subsidiaries have women representation.

2. Building an A-class Human Capital
Realizing the importance of Human Capital in an investment organization like ours, we have been investing in acquiring, building and retaining talent with focus on gender diversity . Accordingly 32% of the hires in the last 4 years were women and curre ntly ~27% workforce is made up of women employees. We have initiated measures for Creche facility for our employees. We have made significant investments to create state -of-art infrastructure for our investment team. We are also building the capabilities of our team. We have created customized training & development programs for employees at different levels.

3. Digital first organization
During the year, we saw very good response from Investors and Distributors in respect of our digital sales & digital engagements. Our Digital campaigns have resulted in influencing sales across all touch points of UTI AMC. We are in the final stages of re-launching

superior Digital Assets (Website & Mobile App) for our partners and Investors.

4. Geographical expansion & financial awareness program
We are planning to open 29 new offices during the financial year 2023 -24 to reach newer markets across the country. Our Investment Team has been travelling to various locations all over India to spread awareness about our investment philosophy and processes. Considering the potential of the B30 cities, we already have 108 out of 166 UFCs in these locations.

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5. Deeply embedded ESG-compliant framework:
We have formed an ESG Committee of the Board which provides guidance and oversight. We have in place a robust ESG framework covering all relevant aspects for planning and effective implementation. Friends, we are using 100% renewable energy for our corporate office and have received a Green Energy certificate. During this month, we also published our first sustainability report. Under our Social initiatives, our CSR projects supplement our commitment to ESG for social upliftment and conservation of the environment.

Our subsidiaries for retirement business, alternate investment products and offshore funds are growing with expansion in operations & business.

I would like to share some highlights about our group companies.

UTI International which is a 100% subsidiary of UTI AMC, has formed a new subsidiary in the United States named UTI Investments America to capture the opportunities in North American markets.

At UTI Capital, we are building a strong team for opportunities in the Alternatives business space. We are also planning a series of fund launches such as the Real Estate Opportunities Fund, and others in the alternate segment and are filing necessary documents with the regulators. While the company is fully capitalized, we have recorded a net loss of Rs. 3.3 crore due to various investments being made to build the business.

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UTI RSL. The Retirement business in the country is a very big opportunity and we have plans to expand our team and open new points of presence across the country. The business

has been growing rapidly and we aim to capitalize further on the same and enhance NPS business.

To summarize, we initiated several progressive measures like building resources in sales & investment, enhancing engagement of fund managers with our distributors and partners, conducting investor awareness programmes, launching learning & development initiatives for employees, enhancing focus on KYC compliances, upgrading the infrastructure of the company as well as its subsidiaries. As, One of the positive developments, UTI was appointed as one of the asset managers for EPFO's investment in ETFs for a period of 3 years and Central Public Sector Enterprises have also enabled a policy to continue their investments in all Mutual Funds including UTI.

In the financial year 2023 -24, the participation by retail investors in the Indian growth story is likely to be the key factor for the Indian markets in FY24. For this call, I have my distinguished colleagues Mr. Surojit Saha,

Chief Financial Officer, Mr. Vinay Lakhotia, Head – Operations and Mr. Sandeep Samsi, Head - Investor Relations and Marketing.

I will now hand it over to Mr. Sandeep Samsi, who will give the details of UTI MF's performance. Over to you Sandeep and thank you.

Sandeep Samsi: Thank you, Sir. I will first take you through UTI Mutual Fund's performance during the fourth quarter and for the full year FY 23.

UTI MF PERFORMANCE

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- The total Assets under Management for UTI Group registered a growth of about 15.4% over the corresponding quarter of the previous year and stood at Rs. 15.56 lakh crore as on 31st March 2023.
- For UTI Mutual Fund, the quarterly average AUM as 31st March 2023 stood at Rs. 2,38,791 crore, up 6.7% year on year against the industry growth of 5.6%.
- As on 31 March 2023, our market share has increased to 5.89% for the quarter ended.
- The QAAUM for Index & ETFs recorded a Year -on-Year growth of ~33% to Rs. 82,871 crore for the fourth quarter. Our Equity QAAUM for the quarter ended March 2023 stood at Rs. 70,494 crore, rising by ~2% as compared to the quarter ended March 2022.
- UTI was able to capture market share of 8.5% of the gross sales of the industry during fourth quarter.
- UTI Mutual Fund recorded a net sales of Rs. 1,208 crore for FY23.
- ETFs & Index Funds net inflows stood at Rs. 1,100 crore. Hybrid funds witnessed a net outflow of Rs. 719 crore for the quarter.
- During the quarter under review, UTI added 36,000 folios taking up the number of live folios to 1.22 crore as on 31st March 2023 from 1.19 crore as on 31st March 2022.
- Our SIP AUM witnessed a growth of 17.5% over the corresponding quarter of last year, reaching to Rs. 21,509 crore as of March 2023 from Rs. 18,311 crore as of March 2022.
- During the quarter, our number of new SIP accounts rose by 2.14 lakh taking the total numbers of live SIP folios to 25.2 lakh as of 31st March 2023.
- The SIP inflows for the quarter stood at Rs. 1,667 crore, rising by 12% year -on-year with the average SIP ticket size being Rs. 3,262 for March 2023.

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- 22% of our Monthly Average AUM for March 2023 came from B30 cities while the industry average stood at 17% in terms of its B30 MAAUM.
- Weighted average AMC yield was at 35 bps for the quarter and was 37 bps for FY 23.

UTI AMC FINANCIALS

- During the fourth quarter, the Company posted a consolidated net profit of Rs. 86 crore, recording a growth of 43% QoQ and YoY growth of 59%.
- For the financial year 2023, the consolidated net profit stood at Rs. 437 crore.
- For UTI AMC Ltd (Standalone):
 - o The PAT of UTI AMC Ltd in Q4 FY23 was Rs. 98 Crore reflecting a growth of 31% YoY & a decline of 10% on a QoQ basis.
- For UTI Retirement Solutions Ltd:
 - o UTI Retirement Solutions Ltd. has been managing the NPS corpus for the Government & non – Government sectors.
 - o The AUM for UTI RSL has

s increased by ~19.2% to Rs. 2,40,709 crore in Q4 FY 23 and has a share of 26.78% of Industry AUM .

- o PAT o f UTI RSL is at Rs. 46 crore, an increase of ~10% compared to the corresponding quarter of last year.
- UTI International Ltd:
 - o UTI International has an AUM of Rs. 21,703 crore as of 31st March 2023.
 - o Our international clients are across more than thirty -five countries. These are primarily Institutions – Pensions, Insurance, Banks, and Asset Managers.

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- o One of our flagship funds , the India Dynamic Equity fund (IDEF) domiciled in Ireland, has an AUM of USD 852 million.
- o UTI International's J Safr Sarasin Responsible India Fund, an ESG-compliant India fund, has an AUM of USD 75 million.
- o UTI India Innovation Fund, launched in the first quarter of the last financial year has an AUM of USD 19 million.
- o The Management fees of UTI International are at Rs. 129 crore, an increase of 1.6% YoY from Rs. 127 Crore in Q4 FY22.

- UTI Capital Pvt. Ltd.:
 - o As Mr. Rahman highlighted, we are building this business.
 - o UTI Capital has a total AUM of Rs. 1,707 crore , currently managing Active Debt Funds:
 - UTI Structured Debt Opportunities Fund (UTI SDOF) I, launched in August 2017 and closed in May 2019, having an AUM of Rs. 137 Crore. Currently , the fund is in exit mode.
 - UTI SDOF II launched in September 2020, having an AUM of Rs. 506 Crore, and the fund is currently in the investing stage . UTI SDOF II has a well-defined ESG Policy and strategy.
 - UTI Multi Opportunity Fund I launched in March 2022 which has an AUM of Rs. 763 crore. Currently , the Fund is in the Investing stage.
 - UTI SDOF III launched in September 2022, has an AUM of Rs. 300 Crore, the fund is currently in the fund -raising as well as Investing stage
 - Employee Cost of the Group
 - Employee Cost of the group for FY 22 -23 was Rs. 415 crore witnessing an increase of 2% over FY 21 -22.

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- Employee Cost of the group in Q4 FY23 was Rs. 107 crore witnessing a decrease of 7% YoY as against the amount of Rs. 115 crore in Q4 FY22.

I would now request the Managing Director & CEO for his concluding remarks.

Imtaiyazur Rahman: Thank you, Sandeep, for sharing operational financial highlights on this call for the fourth quarter and financial 2022 -23. With this I would like to open the forum for your questions and thank you for joining this call today.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We have the first question from line of Swarnabh Mukherjee from B&K Securities . Please go ahead.

Swarnabh Mukherjee: Three questions from my side. The first one is on the yield. So there has been a quarter -on-quarter drop in the yield. So just wanted to understand what would be the factors driving there . The second question is in terms of the other expenses . This had also seen some amount of increase . So if you could highlight the reasons behind that

increase. And thirdly, in terms of international business, the AUM for the business is now around Rs. 21,000 crore. So it has seen some reduction. Is it the Markets or anything else to read into this if you would highlight that.

Vinay Lakhotia: Hi, this is Vinay here. So I'll take the questions on the yield and Surojit will take the questions on other expenses as well as the international piece. On the yield part, the marginal decline of the yield of around half a basis point is primarily because of the decline in the yield under the

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equity category where the yield has actually fallen by close to around 2 basis points during the last quarter. Two reasons for this - the fresh inflows are coming at a lower yield as compared to the stock AUM and plus there has been a redemption of the older AUM which has been carrying a slightly higher yield. So these are the two primary factors because of which the yield

has actually come down marginally to around half a basis point as compared to the previous quarter.

Swarnabh Mukherjee: Sir, just to follow up, can you indicate what is the yield you are seeing on the stock AUM and the fresh AUM on the equity segment right now?

Vinay Lakhotia: On the stock AUM, the yield on the equity and the hybrid side, is around 75 basis points. I can't give an indicative number on the fresh AUM because the distribution mix between the distributor and the AMC varies depending on the categories of the IFA and the distributor. But normally the distribution is within the range of around 50% to 80% of the total expense ratios of the fund, so an indicative range won't be possible.

Swarnabh Mukherjee: OK, got it, Sir.

Surojit Saha: In respect of the other expenses, the increase is around Rs. 16 crore from Rs. 56 crore in Q3 to Rs. 72 crore in Q4, which includes expenses like an amount of Rs. 4 crore towards CSR. CSR amount has to be booked on actual outflow and it is not based on the accrual basis. The actual payment was in the last quarter. Though there was a commitment towards CSR in Q3 FY23, there was no actual payment since the amount was not requested by the concerned institution to whom we had committed. The same has been accounted for in the last quarter and reflected in the increase in cost. After coming out of the COVID situation

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last year, our business operations significantly increased with business travels, and visits of the fund managers to different centres for the purpose of creating sustained growth in business and creating awareness about our investment philosophy across the country. For the first time, we conducted a sales meeting in which the entire sales team across the country participated in the strategic sales discussion and this has reflected in the increase of cost of Rs. 3 crore which includes the travel as well as the related expenditure, we considered as an investment for the future. During the quarter we also spent Rs 2.5 crore for the digital initiative, security of the business application and disaster recovery systems across our applications. Further, the subscription fees for index funds have increased corresponding to the increase in AUM. The subscription fee is linked to the quarterly average AUM. UTI Nifty Bank ETF AUM increased significantly from Rs. 70 crore to Rs. 2,500 crore over the year, the UTI NIFTY 50 Index Fund AUM increased from Rs. 6,300 crore to Rs. 10,000 crore and the UTI Nifty200 Momentum 30 Index Fund went up from Rs. 1,100 crore to Rs. 2,200 crore. In view of this trend during the year there is an impact on Q4 also. In view of the linkage of the index fees to the AUM, the quantum of the fees paid during the quarter also increased by Rs. 1.5 crore. Further, there was an

increase of Rs. 2 crore in the PFRDA fees paid by UTI RSL, which is in tandem with the increase in the management fees. UTI RSL has started business promotion expenses, increasing the NPS business by reaching out to the pan-India opportunity. And lastly towards the promotion of ESG in our company, we took membership of Sustainability Accounting and Standard Board (SASB), an internationally recognized organization. And we did the sustainability and value reporting, which has an expense of Rs. 1 crore. These are the major expenses and out of this Rs. 15 crore around 50% will be one time expenditure and around Rs. 8 crore will be a recurring expenditure. Lastly, Bloomberg expenses.

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Because last year also we have added few terminals and we initiated Bloomberg terminals for all our investment fund managers. So there was an increase of Rs. 1.5 crore.

Imtaiyazur Rahman: Also, the depreciation in the currency has also contributed to this.

Swarnabh Mukherjee: And just to follow up on these index-related charges, we are paying to NS

E.

Surojit Saha: NSE as well as BSE. Charges are paid to both.

Swarnabh Mukherjee: OK and how is it accounted for? Is it as the whole charge paid in Q4 every year?

Surojit Saha: It is done every quarter. So this particular quarter it was around Rs. 1.5 crore, which is an increase compared to last quarter.

Swarnabh Mukherjee: OK. And in terms of the business, the PFRDA charges that the increase that you mentioned has come because our AUM has increased?

Surojit Saha: Yes, AUM has increased. If you see over the full year, the AUM has increased by ~Rs. 40,000 crore. And 5 bps is accounted as sale of services and 1.5 bps are accounted as an expense.

Swarnabh Mukherjee: Right. OK. So that incremental Rs. 40,000 crore part of that has come this year

Surojit Saha: Yeah, lastly in respect of UTI International AUM, actually we have a few funds which are periodic funds like Phoenix Fund. Two Phoenix Funds have matured during this particular period. One is a Rs. 1500 crore fund,

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which is a B19, then another Rs. 2900 crore and another one is around Rs. 1600 crore. So the total is around Rs. 6000 crore in this respect. India Dynamic Equity fund which is a leading fund for the international business also there was a repurchase - redemption pressure. So it's around Rs. 2000 crore and the fund is doing well. Globally the growth stocks have not been performing well, so we expect a turnaround. Mr. Rahman has already informed during his part, that we have opened offices in Paris and America to improve our international business.

Swarnabh Mukherjee: In ID EF, the redemption is coming from us only because I remember that you mentioned last quarter you had redeemed.

Surojit Saha: We have not yet redeemed our seed capital. This is one of the HNI investors at this market level who has invested when the scheme was launched, who redeemed his investments. We have not done it yet. We are waiting for the opportune moment, and we'll definitely try to reduce our exposure in this seed capital.

Imtaiyazur Rahman: No, but redemption is very minimal, is more on the currency which is

depreciated by 6% -7% and 17% is basically the performance issues. But the redemption is only to the extent of 5.5% -6%.

Swarnabh Mukherjee: OK, Sir. And out of this Rs. 20,000 crore, how much do we hold right now? Our investment.

Surojit Saha: Rs. 7000 crore is the total ID EF size now, we should be around Rs. 350 crore.

Swarnabh Mukherjee: So you're initially Rs. 31 crore. And that has gone up to how much? That is what I wanted to know.

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Surojit Saha: Initially we invested USD 25 million and we have already repurchased around INR seven crore.

Moderator: Thank you. We have the next question from the line of Viraj from SIMPL. Please go ahead.

Viraj: I just had two questions. The first is on the book, so if I look at the equity and the hybrid book, can you just give some colour on what share of the book is now new flow, one which comes in a much higher sharing with the distributor? So can you just give some perspective?

Vinay Lakhotia: Less than 20% of the overall book is actually the old AUM and almost 80% is the new AUM only.

Viraj: OK, so basically then going into FY24, we should see the yield should be more or less stabilized for us. Because now the book is by and large new.

Vinay Lakhotia: Yeah. Unless there's a significant redemption on the older AUM, we should see some stabilization in the yield. But the overall yield will still have a drag-down effect because of the growth under the ETF and the index category.

Viraj: OK. And second question is largely in terms of the competitive dynamics. So if I look at a year back, we had and not just us, but the industry had seen a very high competitive pressure and there was also a sign

ificant increase in sharing with the distributor. How is that, if you could just provide some perspective in terms of the competitive landscape and especially in the sense of pricing and sharing of TER with the distributor

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in channel? So has that normalized or has that corrected or is it still elevated?

Vinay Lakhotia: I think it has more or less become a standardized distribution ratio only. As I stated earlier, most of the entries are sharing in ratios of around 50 to 70. In some cases, it may be slightly higher. So depending on the distributor category, whether it's an individual IFA or the larger national distributor or a private or a foreign bank, the ratios are changing. I don't think the competition has anything to do with that. I think over the last two years also the pricing has become more or less standardized as far as sharing is concerned between the manufacturer as well as the distributors.

Viraj: OK. And just one last question, if I can squeeze in on the expansion part? What I heard, correct me, you said that we'll be looking at adding another 29 branches. Now if you look at the spread of our current network itself. And based on the last few calls and what we understand, there's still a good amount of potential throughput which we can further leverage from existing branches itself. So compared to the potential the

AUM per branch or the turnover at the branch level is still relatively lower than what the potential could be. So what is the thought process behind adding another 29 branches when we still have scope for increasing the throughput in the existing branch network? And in relation to the digital-physical mix expansion strategy we talked about over the last one or two years.

Sandeep Samsi: So Viraj, good question. This is not an either-or strategy. This is an 'and' strategy. So while we look at different markets, we realize that there is enough amount of potential in the top 30 markets. We have also mentioned that we have work to do, and we are continuously working

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with our partners in those markets. However, India or Bharat as it is called, is growing and we see a lot of potential in these smaller markets also. Now there is a huge amount of education which is coming into this market and there are people who are ready to work in this market. So that's why we want to open and tap these markets, which have got the potential for us to grow over the next maybe three to five years. They will not be immediately mature enough, but over the next three to five years they will give us good returns. The second part is yes, we are also focusing on the digital part, but India is still not completely digital. It's still a Phygital world where in India, people while they want to use digital mode, also look at physical mode. So you have to follow an and strategy. You have to focus on the top 30 cities. You have to look beyond 30 cities. You have to open in the Tier 3 Tier 4 cities. As well as we have to have a very clear digital strategy to be present whether it is on the website or the app or any other mode through partners.

Viraj: So what kind of OpEx we will be looking to incur for these 29 and typically what is the gestation period in terms of the branch to start contributing in terms of profitability?

Surojit Saha: Yeah, we are expecting it should break even in around 1.5 to 2 years. We have plans and based on the potential, what we already have, we are opening these branches. So our existing plan is to open these 29 branches and it should break even in 1.5 to 2 years.

Viraj: Investment, Sir.

Surojit Saha: Investments for these 29 branches will be around Rs. 3.2 crore because we are expecting to open around 500 square feet to 600 square feet

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area. The total restructuring is what we are doing in respect of our big offices which we have.

Imtaiyazur Rahman: Viraj, there are two distinct strategies which we are working on. We had a strategy meeting here in Jaipur and we are attending this call from Jaipur. One is the top eight cities. It is our key focused area and 2nd is the rationalization of our branch offices. Earlier we opened a lot of branch offices, bigger in size, which is no longer required. So we are going to rationalize all our branch offices in this financial year. We are also here to expand. The saving which will come out of that rationalization will be good enough to meet our expansion requirements. So we are not expecting much pressure on our P&L account. Other than three to four crore, which Surojit has highlighted to you. Secondly, we are investing in our digital strategy. We have a fourteen members team in digital space. We may hire more people in digital, particularly data analysts and also give the state-of-art IT and digital assets to our investors. As young Indians, they would like to interact or make investments digitally through apps. We have three different strategies, one - top eight cities, second - expansion. We need

to go beyond 30 cities because they are growing. And third, digital. All three cylinders will be fired.

Moderator: Thank you. We have the next question from the line of Lalit Deo from Equirus Securities . Please go ahead.

Lalit Deo: Just one question. So like in the last two to three quarters we have been seeing our market share of more than 8% in gross sales, but it has not been reflected in our net sales numbers. So now within this 8.5% market share of gross sales, could you bifurcate between like how is the market share in the gross segment and in the equity segment or the hybrid

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segment and what are we doing to both improve our net income as well?

Vinay Lakhotia : You want a gross sale percentage across scheme category. Is that question correct?

Lalit Deo: Yes.

Vinay Lakhotia : OK. So for quarter 4 , our share of wallet for equity is around 2.5%, ETF is around 9% , income fund is 4.5% and Liquid fund is actually 9%. So on a weighted average, roughly around 8.5% is our share of wallet as far as the gross sales is concerned.

Lalit Deo: Just to follow up on this , now within this equity segment , we have a 2.5% market share ; in terms of AUM market share, we are at about 5%. How are we looking to improve our catch -up on the market share gain going ahead? What are the different strategies we are looking to reach over there?

Vinay Lakhotia: So the focus is actually on performance . As and when your fund is performing it should take up the sales . So, the focus strategy is that we should have three to four equity funds that deliver superior returns for our investors and the outcome will be the sales number.

Moderator: Thank you. We have the next question from the line of Prayesh Jain from Motilal Oswal, please go ahead.

Prayesh Jain: Firstly, on the ETF portfolio, what will be the share of EPFO in our ETF portfolio overall? And secondly with respect to equity market share, while fund performance is a focus area, are any other strategies with

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respect to distribution that you guys are working on in order to kind of really recoup the market share in terms of flows ? And just adding to that, what would be a flow market share ?

Vinay Lakhotia : I'll answer the ETF part . In terms of gross inflows , the EPFO share is around 50% . The remaining 50% comes either from a retailisation of index funds as well as selling to the corporate fund houses . On the overall AUM, I don't have the exact number, but it could be very well in the range of around 60 % to 65% will be the EPFO mandate . I'll come back to you with the specific number on the overall book AUM .

Sandeep Sami: So far as the sales strategy is concerned, yes, we realized that one of our strategies which was on the growth stocks has not been doing well, because growth stocks overall have not been doing well. But we have been positioning our flanking products in this category. I don't want to take names, but we have enough strategies which are in place to tide over this issue. Secondly, we are again approaching our distribution partners with these new strategies for marketing our products. So we

are hopeful that with all of these, we should be able to get a good share of our market in the equity funds.

Imtaiyazur Rahman: Our products are on the platforms, including banking platforms. We are in continuous touch with our distributors. Our sales team is completely engaged, and it is our focused strategy today, to work with the sales team to basically regain our market share on the equity side.

Prayesh Jain: On the SIP flow market share and how do you plan to increase the same?

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Sandeep Samsi: Yes. So our gross inflows in the SIP for the month of March were about Rs. 573 crore, our average ticket size is around Rs. 3,262 and the closing SIP count is around 25.18 lakh.

Vinay Lakhotia: So the market share on the gross sale is close to around 4.2% to 4.3% and the market share on the overall book AUM is close to around 3.5% to 3.6%.

Moderator: Thank you. We have the next question from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just two questions from my side. First, can you give some colour on the possible expense drag in FY 24 or 25 because of the new fund launches in your subsidiaries, mostly UTI International? And second, while you give the equity flow equity gross flow market share, if you can give some colour on the similar market share on the equity side across the major channels?

Imtaiyazur Rahman: UTI International launch of any fund - we are expecting some expenses in the UTI International balance sheet that will be the legal cost. We don't have the right number at this particular point in time, but we are also in the process of hiring the team for our U.S. market and all legal expenses towards registrations will also be there. The exact number I don't have at this particular point in time. So, for the launch of products in UTI Capital is concerned, we are not expecting many expenses in launching the fund because there's only the license cost or document filing cost which we need to pay to SEBI which is not very high.

Dipanjan Ghosh: And on the second question? Your equity flow market share may be across some of the larger channels.

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Sandeep Samsi: Yes. So if I look at my share across the various channels - across the banking channel, my equity share is around 2%. And this is pure equity, it does not include ETF and index. While for other MFDs it is around 7.5%. So for equities, these are the main two channels.

Dipanjan Ghosh: Just to clarify, this is on AUM or on gross flows?

Sandeep Samsi: This is on the AUM.

Dipanjan Ghosh: OK, would you like to get some colour on the flow side also?

Sandeep Samsi: I don't have the numbers on the flow side and maybe offline I can share it with you.

Moderator: Thank you. We have the next question from the line of Abhijeet Sakhare from Kotak. Please go ahead.

Abhijeet Sakhare: The first one is on the expense line. How should we look at growth in

staff costs and non-staff costs for FY24? Is there some indicative range that you would like to give?

Imtaiyazur Rahman: Generally as per Hewitt report, the financial services may give raise of 9% to 11%. We are not expecting to give such a raise to our employees. But we will also have the advantage of the retirement during this financial year. So our staff cost is expected to grow at around 3.5%. Because we are not expecting to give that 10% or 12% raise

to our employees.

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Abhijeet Sakhare: Got it. That's useful. And on the non-staff, because I think that's where you'll have a little bit of cost pressure.

Imtaiyazur Rahman: As for Non-staff, as our CFO Mr. Surojit Saha has mentioned that there is a CSR expense as we grow and make more profit which continues to be there, but one-time expenses of sales meet which we had, where we called the entire sales team to Mumbai and we have sales meet, these expenses will not be there. Travel will continue to be there. We don't know how the currency will behave, and this year's investment in IT will be less than the previous year. We have already incurred a lot of expenses in revamping our IT assets. These one-time expenses will go, but the expenses towards the CSR will again come because of the profit to meet the regulatory requirement. NPS expense is a variable expense, and it is related to the income that is charged to the profit & loss account of the retirement solution. One-time expenses will be eliminated. We may have the renovation cost because we plan to renovate 2 1/2 floors more in the existing building which will have some expenses.

Abhijeet Sakhare: Got it. So this year, I think we closed the year with overall annual expense growth of 6% and again for next year, you're looking at a few more initiatives that will add to costs and some savings as well. But I do think that going ahead, you can do better than this.

Imtaiyazur Rahman: We have especially targeted to basically optimize our costs and to ensure that the costs are not increased. If you recall our data, for the last 6-7 years we have been outperforming inflation. We will continue to do that, and we will keep you updated on the quarter-on-quarter basis as we go along to share with you our cost management strategy. We are not expecting much rise in administrative expenses rise.

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Abhijeet Sakhare: Sorry. On the hybrid side, we've seen continuous net outflows, so probably that is linked to how the fund performance is shaping up. Do you think that pressure will remain? Is it driven by the more retail IFA channels, or you've seen funds kind of being removed from focused lists or recommendation lists? So if that's the case, I think this pressure can sustain for a few more quarters. So how should we look at the next two numbers for the next few quarters?

Imtaiyazur Rahman: I would like to submit that none of our schemes has been removed from the list of distributors. Vinay will give you further details, but from a strategic perspective, we don't have a BAF product with us. We have submitted our application. Maybe we are expecting approval from SEBI, and we will launch the BAF product that will help us in raising funds.

Vinay Lakhotia: So in the hybrid category, just wanted to clarify there is within our scheme categorization, the arbitrage is being categorized under the hybrid fund category only. The arbitrage fund is actually a Liquid fund in terms of nature and because of the yield that has been receiving, there has been a lot of redemption pressure. So for pure hybrid fund, if you

see the net sales are more or less it's actually flattish, it's not positive .
Net sales are not there, but we are quite hopeful with the view and force
of a Balanced Advantage Fund that is expected to close to around the
beginning of the next quarter or maybe the end of this quarter, the
inflows under the hybrid funds should actually improve.

Moderator: Ladies and gentlemen, we will take one last question from the line of
Gaurav Jani from Prabhudas Lilladher . Please go ahead.

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Gaurav Jani : Thank you, Sir. Firstly a question for Vinay Sir. Sir, could you quantify on
a stock basis FY23 versus '22 what would have been the reduction in
equity yields?

Vinay Lakhotia : '22 versus '23, it will be close to around 7 to 8 basis points.

Gaurav Jani: And just trying to sort of get your sense of so the fall in equity yields in
'24 and '25 would not be as sharp, right?

Vinay Lakhotia : Again, depending on the redemption analysis. If the older AUM is getting
redeemed at a faster pace, maybe the yield drop can be sharp, but that
will provide respite for the coming financial year. Otherwise , it will be a
marginal decline.

Gaurav Jani: And stock basis FY 23 if you could quantify the equity yields ? For the full
year , I mean the average yield in equity .

Vinay Lakhotia : Close to around 75 -76 basis points .

Gaurav Jani: Secondly , will we launch any equity NFOs in FY 23 and if you share the
amount, please?

Sandeep Samsi : So we launched a number of funds, but not directly in the equity
category. We launched ETF and we launched the fund of funds.

Gaurav Jani: Understood. Thirdly, Sir, just a question to Sandeep Sir on a YOY basis,
the Banking Channel share on the equity side is about stable at or static
at 12%. What measures are we taking to actually increase that at a faster
pace?

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Sandeep Samsi: So as Mr. Rahman also mentioned that our products are listed on
various banking channels, and we are in continuous touch with the
distributors at the banking end to promote our products. This is again,
there are two things. One is the performance of the fund. So whenever
there is a good performance of the fund , automatically, the inflows also
improve. And also the level of interaction and relationship which has
been maintained by the relationship manager of the banking channel.
So we are trying on both. While as I mentioned earlier that some of our
funds, the strategy was different and we couldn't capitalize on that in
the last year, but we have now got banking products to support these
funds and our people are in continuous touch with the distributors as
well as the bank and we hope that with these measures we will be able
to improve the share.

Gaurav Jani: So understood, just last bit slightly different question on the cash side.
So this year, Sir , there's a fair bit of an increase in the payout from about
50% to about 63% on a consol level. Fair to assume, this should be
maintained, or this is the payout would increase actually.

Surojit Saha : Yeah, you are correct. In 21 we have given 48% and in 22 we have raised

it to 63.21 % and we hope to maintain this payout ratio, or we'll improve it definitely.

Imtaiyazur Rahman: It depends upon the board's decision from time to time.

Surojit Saha : I just want to clarify one point to Swarnabh of B&K the total out of the 7000 crore of the seed capital investment today is Rs. 265 crore.

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Moderator: Thank you, ladies and gentlemen, due to the time constraints that was the last question , I would like to hand the flow back to the management for closing comments. Please go ahead.

Imtaiyazur Rahman: Thank you and thank you very much. I also like to thank my team for their participation and thanks a lot.

Moderator: Thank you, ladies and gentlemen , for your participation in our Q4 FY22 - 23 earnings conference call. In case of any further queries , you may get in touch with the Investor Relations team at Ad factors or feel free to get in touch with us. We look forward to interacting. Thank you.

Call: Aug 2023

Ref. No.: UTI/AMC/CS/SE/2023 -24/0345 Date: 2nd August , 2023

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the Earnings Conference Call on financial performance for the quarter ended 30th June , 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and SEBI circular dated 13th July, 2023 , we are forwarding herewith the transcript of the earnings conference call held on Wednesday , the 26th July, 2023 at 1600 hrs IST to discuss financial performance of the Company for the quarter ended 30th June, 2023.

The transcript of the aforesaid earnings conference call is also available on the website of the Company at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary and Compliance Officer

Encl.: As above

UTI Asset Management Company Limited
Q1 FY24 Earnings Conference Call
July 26, 2023

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q1 FY24 Earnings Conference Call. From the management , we have with us Mr. Imtiazur Rahman – CEO and Managing Director , Mr. Surojit Saha – Chief Financial Officer , Mr. Vinay Lakhotia – Head - Operations, and Mr. Sandeep Samsi – Head - Investor Relations and Corporate Communications.
As a reminder, all participants will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier.
I now hand the conference over to Mr. Imtiazur Rahman for opening remarks. Over to you,

sir.

Imtaiyazur Rahman : Thank you very much and Good afternoon, everyone. Thank you for joining us today to discuss our operational and financial performance for the first quarter of financial year 23-24. You may have gone through our press release and investor presentation available on our website as well as websites of the exchanges. The quarter witnessed optimism across the global markets with the forecasts improving for the calendar year 2023. The Indian economy, which recently became the 5th largest economy in the world surpassing United Kingdom, has been receiving recognition globally for its growth and resilience.

Friends, the Indian capital markets were a direct beneficiary of the growth story of our economy. The benchmark indices were driven by the active participation of the domestic as well foreign institutional investors and the matching enthusiasm of the retail investors. This was evident in the increase in number of demat accounts in the country hitting a 13 -month high in June 2023 at 12.05 crore, of which 23.6 lakh accounts were added in the month of June itself .

The Indian mutual fund industry has grown over twice its size in the last five years from ₹ 22.86 lakh crore in June 2018 to ₹ 44.39 lakh crore in June 2023. The AUM

to GDP ratio for India,

though comparatively less as compared to developed economies, has reached ~16% and is well on the path of growing further. It clearly indicates that Indian mutual fund industry is on the growth trajectory.

Investor awareness programs including the ' Mutual Fund Sahi Hai' campaign, ease of access to technology used for investing, economic growth, rising household savings and broader geographical reach of the mutual fund products are the positive drivers for the development of the sector in the coming decade.

Friends, the total Assets under Management for UTI Group registered a growth of about 16.8% over the corresponding quarter of the previous year and stood at ₹ 16.13 lakh crore as on 30th June 2023. The domestic mutual fund business witnessed a growth of ~10.6% year -on-year with the Q AAUM as on 30th June 2023 was recorded at ₹ 2.48 lakh crore.

We have re- organized our Sales Team structure and are further deepening our reach in the B30 cities to leverage on the opportunities present in these markets. In line with this, we have planned to open 29 new offices and 6 resident offices during this fiscal year 23-24.

This quarter, UTI has launched five funds including the 'UTI S&P BSE Housing Index Fund', taking into account the fundamental need for Indians to live in better homes. We have also launched the 'UTI Nifty50 Equal Weight Index Fund' to provide an exposure to the Nifty50 companies with equal weight. We have also launched UTI Silver ETF, UTI Silver ETF FoF and UTI Nifty 500

Value 50 Index Fund during this quarter. We will continue to launch new thematic funds as and when the right opportunity arises.

I would like to inform you that Mr. Srivatsa Desikamani, with his knowledge and expertise in asset management area, has joined the Board of UTI AMC as a Non -Executive Nominee Director in June 2023 and yesterday in the AGM, his appointment was confirmed.

We are fully committed to grow all our lines of business including Alternatives , Pension and Offshore funds. In this direction, we are foraying into the European markets through Paris office as well as in United States.

I have with me Mr. Surojit Saha, our CFO , UTI AMC and Mr. Vinay Lakhotia, Head of Operations & CFO designate along with Mr. Sandeep Samsi.

Now, I hand over to Mr. Sandeep Samsi, Head of Marketing & Investor Relations, who will update you with UTI MF performance for the quarter.

Sandeep Samsi : Thank you, Sir. I will first take you through UTI Mutual Fund's performance during first quarter FY 24 .

UTI MF PERFORMANCE

I am pleased to inform you that the total Assets under Management for UTI Group registered a growth of about ~16.8% over the corresponding quarter of previous year and stood at ₹ 16.13 lakh crore as on 30th June 2023.

For UTI MF, the quarterly average AUM as 30th June 2023 stood at ₹ 2.48 lakh crore, up by ~10.6% year on year.

Our Equity QAAUM for the quarter ended June 2023 stood at ₹ 72,811 crore, rising by ~9.2% as compared to the quarter ended June 2022.

With passive investments gaining traction, we have witnessed a growth of 35.6% in the QAAUM for Index & ETFs taking it to ₹ 88,431 crore for the first quarter.

UTI was able to capture market share of 8.1% of the gross sales of the industry during first quarter.

UTI Mutual Fund recorded a net sales of ₹ 10,152 crore for Q1 FY 24.

ETFs & Index Funds net inflows stood at ■ 3,496 crore.

UTI added 1.3 lakh folios taking up the number of live folios to 1.21 crore as on 30th June 2023 from 1.20 crore as on 30th June 2022.

Our SIP AUM witnessed a growth of 40.1% over the corresponding quarter of last year, reaching to ■ 24,920 crore as of June 2023 from ■ 17,788 crore as of June 2022. During the quarter, our number of SIP accounts rose by 20 thousand taking the total numbers of live SIP folios to 25.16 lakh as of June 2023.

The SIP inflows for the

quarter stood at ■ 1,652 crore. The SIP gross inflows for UTIMF witnessed a year -on-year growth of ~6.6% with the average SIP ticket size being ■ 3,142 for the month of June 2023.

Coming to the contribution from B30 cities. 22% of our Monthly Average AUM for June 2023 came from B30 cities while the industry average stood at 17% in terms of the B30 MAAUM.

108 out of our 166 UFCs are in the B30 locations .

UTI AMC FINANCIALS

During the first quarter, the Company posted a consolidated net profit of ■ 234 crore, recording a growth of 172% QoQ and 154% YoY.

The consolidated revenue for the first quarter stood at ■ 468 crore, up 56% QoQ and 60% YoY.

For UTI AMC Ltd (Standalone):

The PAT of UTI AMC Ltd for Q1 FY24 is ■ 165 crore reflecting a growth of 68% QoQ & a 67% on YoY basis.

For UTI Retirement Solutions Ltd:

We are happy to inform you that our 100% owned subsidiary, UTI Retirement Solutions Limited has recorded a growth of ~27% year -on-year in its AUM reaching ■ 2.58 lakh crore in Q1 FY 24 and it manages 26.57% of the Industry AUM .

PAT of UTI RSL is at ■ 12.5 crore, an increase of ~17% compared to corresponding quarter of last year.

UTI International Ltd:

UTI International Ltd. which represents our International business interests, has an AUM of ■ 21,772 crore as of 30th June 2023. Our international clients are across more than thirty -five countries. These are primarily Institutions – Pensions, Insurance, Banks, and Asset Managers.

One of our flagship funds, the India Dynamic Equity Fund (IDEF) domiciled in Ireland, has an AUM of USD 973 million. UTI International's J Safra Sarasin Responsible India Fund, an ESG compliant India fund, has AUM of USD 82 million.

UTI India Innovation Fund launched last year has an AUM of USD 22.4 million.

UTI Alternatives Pvt. Ltd.:

UTI Alternatives Pvt. Ltd. has recently been renamed from UTI Capital Private Limited has a total AUM of ■ 1,784 crore. It has a well -defined ESG policy and strategy.

It currently manages the following Active Debt Funds:

UTI Structured Debt Opportunities Fund (UTI SDOF) I, launched in August 2017 and closed in May 2019, has an AUM of ■ 132 Crore. Currently the fund is in exit mode and has returned 1.1 times the capital invested.

UTI SDOF II launched in September 2020, has an AUM of ■ 507 Crore, and the fund is currently Fund raising as well as investing stage .

UTI Multi Opportunity Fund I launched in March 2022 has an AUM of ■ 763 crore. Currently the Fund is in the Investing stage.

UTI SDOF III launched in September 2022, has an AUM of ■ 383 Crore, the fund is currently in fund raising as well as investing stage.

We also launched the UTI Real Estate Opportunities Fund I which is currently in the fund -raising stage with pre -commitments of ■ 110 crore.

I would now request the Managing Director & CEO for his concluding remarks. Thank you.

Imtaiyazur Rahman : Thank you, Sandeep for sharing operational and financial highlights for the first quarter of financial year 2023- 24. With this, I would like to open the forum for your questions.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha : Hi Sir, Good Afternoon and thank you for taking my question. On equity assets, our growth continues to be sub par. So, if I look at year -over -year QAAUM growth, that's just about 1.7%.

So, why is this struggling? I think some of the competition is doing much better and they are losing market share. So, some color on that will be helpful. Second, our other expenses have shot up in this quarter on a year -over -year basis. I know that there is some expectation for increase in expenses in this year. Could you give us some sense of what the full year number could be and whether there is any change

in our guidance there ? And third sir your other

income has also shot up this quarter. So, I wanted to get a sense of what the drivers are over there. These are my 3 questions. Thank you.

Sandeep Samsi : Thank you, Madhukar for your questions. As we have been mentioning in our previous quarterly calls also, we have been facing some headwinds in the performance of our flagship equity fund. It is important to mention here that historically this fund has performed very well and has seen very good traction from our distribution partners. As the growth strategy followed by this fund has not done well over the last 1- 1.5 years, we have faced challenges on the sales front of this fund. However, we are optimistic that once the fund sees improvement in the traction with the revival of performance, we should be able to do better. So, the challenge has been on the growth strategy that the fund was following, and we hope that going forward, there will be improvement.

Imtaiyazur Rahman : Madhukar, we are taking this particular issue very seriously. We are continuously reviewing our both sales strategy and even the investment strategy. And I'm quite confident this particular fund, which is having some challenges, is being managed by a very reputed and experienced fund manager, Ajay Tyagi. And therefore, I'm fully confident that it will turn around. However, some other strategies in the equity schemes are doing well and I'm sure this will add value to our investors. Now, I will request Surojit to take care of the other two questions of yours.

Surojit Saha: Yeah, Madhukar in respect of other expenses, if you see on a quarter-on-quarter, it has come down. Quarter-on-quarter from 72 crore, it has come down to 61 crore, but on a year-on-year basis it has gone up from 49 crore to 61 crore. The reason of the increase is mainly the IT initiatives which is around 4.5 crore for which the benefit will be spread across the financial year and also in respect of the CSR and some legal and strategic expenses. But what you should consider is that you are asking about the run rate. It should be around 60 to 61 crore per quarter. And the other question was in respect of other income. I don't know other income has been flat, but where you are seeing other income there is a jump. Because if you go year-on-year, it has come down from 13 as if you see the investor presentation 13 was because of the foreign exchange gains and this year it's very flat.

Madhukar Ladha : The treasury income right there is some mark to market ?

Surojit Saha : Mark to market, it has gone up substantially.

Madhukar Ladha : Yeah, that's what I mean by. Other income, I mean that, yeah.

Surojit Saha : No, it has gone up substantially because of the international business. We have a seed capital because of which last quarter also the M2M was a negative. So, that itself has gone up from

269 crore to 301 crore on an NAV basis. So, overall our M2M gain is 174 crore and which I think we have given it in the investor presentation also the details.

Moderator: Thank you. We have the next question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Just a couple of questions. Firstly, on the equity net inflows if you look, we have a negative number this quarter, so are the redemptions kind of picking up and is there apart from the fund performance issue that you cited about the equity market share, is there a pickup in terms of redemption, because of the high market levels that we are seeing. That is question number one. Secondly, even with regards to the SIP monthly run rate, there is flattish trajectory rather than for the industry, it has been trending at a significantly higher level. There has been month-on-month growth, but we have not seen that kind of replicated for us. So, what are the issues that we're facing there a

nd how do we plan to kind of resurrect our market share there?

Sandeep Samsi: So, Prayesh, as I mentioned earlier that one of the flagship funds where the maximum SIPs were also coming was impacted due to the fund performance issues. Also, over a period of time, people who have invested say 5 years, 10 years back, looking at the market values, they will be redeeming their amount because they will consider whatever goals they might have set, there will be some natural redemption, and generally if you see in the month of April, the SIP numbers come down for the industry also and for us because people end their SIPs in March and new SIPs get started in the month of April, May. So, these are the two factors. As I mentioned, fund performance impacting our inflows. Secondly, natural redemptions which will happen because of the market levels currently which they are at, and SIPs which get renewed and if you see again in the month of May-June, our SIP numbers have come back to the earlier numbers, because in April there was a dip, but May and June have been better.

Imtaiyazur Rahman : And your question was because of the market is more on a north side, do we expect a more redemption, the answer is no. We are not expecting the accelerated redemptions because the market is on the higher side.

Prayesh Jain: And just one more question on the alternate side. What are our thoughts about the growing the alternate assets in terms of our future and what kind of profitability or revenue contribution we can expect from the

alternate business?

Surojit Saha: See, UTI Alternatives Private Limited, this is a new name formally which was earlier the UTI Capital Private Limited, has certain plans - UTI Alternatives aims to be a multi-asset manager of alternate assets. Currently, UTI Alternatives is managing high yield performing credit funds and a multi-asset fund. And it has already launched a real estate credit fund this month. It has filed with SEBI 2 new funds and investment grade performing credit and a distressed credit fund. Once these strategies are launched, UTI Alternatives will be present across the entire

spectrum of these alternatives and UTI Alternatives is also in the process of evaluating and finalizing the equity strategies. So, this financial year, we hope to break even and maybe from next year it will be a profitable subsidiary for us.

Imtaiyazur Rahman: Mr. Jain, we are building this particular business. We have built a very strong team and we will continue to invest in this particular business. We are also planning to have an office in the GIFT City, and this is the business where we are fully capitalizing the company. We have allocated the good resources for this particular company, financial resources as well. And we will continue to invest in this line of business that will give us a significant growth in the years to come.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir, just two questions. So, firstly, like as you have alluded that due to fund performances, the flows are getting impacted, so are we seeing any kind of a pressure from the distributor side also where our funds are going in the bottom list of their recommended list as are we seeing anything as of now. And if you would like to share, what are the possible methods that we have taken?

Imtaiyazur Rahman: We are not witnessing any pressure from the distributor. Our products are on the platform for all distributors and banks. And as you know, we are now live with our new NFO UTI Balanced Advantage Fund and all distributors, all MFDS and national distributors including banks are distributing our products. So, we have no challenges so far our distributors are concerned, and this is a temporary fund issues headwind. We are quite confident that some of the schemes are doing

ing pretty well and therefore we are quite confident that this particular phase will also pass, but there is no pressure from the distributor side at all.

Lalit Deo: And sir like the second question was on the employee expenses side. So, like this quarter, it has remained broadly flat. So, going ahead, do we expect similar kind of a number on a run rate basis or like do we expect some improvement over there?

Surojit Saha: No, I feel the expenses run rate is if you see the Q4 23 and Q1 24, it's almost flat at 1.06 and we feel this will be the run rate for this financial year.

Moderator: Thank you. The next question is from the line of Aditya from Securities Investment Management Company. Please go ahead.

Aditya: So, if you could help us understand that reason for sequential improvement in yields in the domestic mutual fund business, considering the addition of new flows which are lower margins

and the equity mix also remaining flat sequentially. So, what is the reason for the improvement in yields on a QoQ basis?

Vinay Lakhotia: So, it's primarily because of the equity AUM has gone up because of the market-to-market appreciation. But if you see the overall yield, it is actually flattish at around 35 basis point only. There has been just one basis point improvement in the equity yield because of the market-to-market component. Otherwise, it is flattish on a quarter-on-quarter basis sequentially.

Aditya: According to my calculation, the yields have seen an increase of around 1 to 1.5 basis points, but the equity mix has remained same around 45% to 45.5%. And the new mix, which would have come in in this quarter would have lower margin than the old book. So, there should have been some moderation in the yields on a QoQ basis?

Vinay Lakhotia: No, I'm saying on the overall book AUM yield, equity yield has actually only improved marginally by one basis point from 72 to 73.

Aditya: And sir, there has been a sharp drop in yield in the UTI International sequentially. So, have you taken any price cuts over there to arrest the drop in flows which we are seeing in the earlier quarters?

Surojit Saha: Basically, it's a drop in flow, but if you see overall one or two funds have matured like this Phoenix Fund and all. But there has been a good flow in UTI Dynamic Equity Fund for the last three months like from 31st March 2023, the AUM was around ₹7000 crore, it has increased to ₹7,900 crore and there was an inflow of ₹976 crore. So, overall, if you see our revenue is in the range of ₹31 to ₹32 crore. So, overall, our revenue has not come down, but yes, we expect UTI Dynamic Equity Fund to claw back to their original around ₹10,000 crore fund and there's a lot of traction in the market. So, we hope our revenues will definitely increase in UTI International.

Aditya: So, just to rephrase my question. So, if we look at the AUM of UTI International in March 23, it was 21,700 crores and the same is 21,720 crores. AUM is flat on a QoQ basis. But if I look at the revenue, it has seen a drop from 31 crores to 29 crores. It means that there is a drop in yield also. Just wanted to understand if you have taken any price cuts over there because we are seeing loss of flows in this subsidiary. So, just wanted to understand, have you taken any price cuts to arrest this drop in flows?

Surojit Saha: No, there is no price cut. But UTI India Sovereign Bond, UTI India Strategic Opportunities Fund, UTI India Strategic Opportunities Fund II, these are all funds that have been launched where the fees received is much less compared to the equity fund. So, that is why you are seeing a drop in the yield. But maybe over the years with the UTI Dynamic Equity fund and other equity fund, we are seeing a lot of traction. If the money comes, the yield will be much better.

Aditya: And sir the employee count has seen an increase by around 110 sequential

ly. So, firstly, why there is such an increase when the employee count was expected to moderate due to retirement of employees and will this increase in employees give to higher employee costs going forward?

Aditya: So, it has increased from 1377 last quarter to 1491 in this quarter.

Imtaiyazur Rahman: We have recruited 108 management trainees that we do every year as a process because there is a lot of reiterations and the retirement coming up, and that is the reason. As I mentioned to you in my initial remarks, we have a plan to open 29 new UFCs (branch offices) and as well as 6 resident offices. In order to be ready, we need to hire the people to serve at our branch offices and therefore we have appointed, I repeat 108 new management trainees to be future ready. But that is at low cost, and it will not affect at all an increase in our employee cost because over the year we will see the retirement this year and that we will be able to compensate this cost or offset this cost with the entire cost benefits.

Aditya: And what was the ESOP cost for this quarter and what would be the ESOP cost for the remaining quarters?

Surojit Saha: For 23-24, the total ESOP cost is around ₹16 crore and 22-23, it was around ₹20.77 crore.

Imtaiyazur Rahman: ₹4 crore ESOP cost in this quarter. It will continue unless we decide to issue the fresh ESOP.

Aditya: And sir if you could break up our employee cost in terms of variable or performance which we give to our employees and the fixed pay?

Imtaiyazur Rahman: We have taken the ₹45 crore yearly variable pay. Rest is all the fixed pay. So, accordingly, we are proportioning to the extent of ₹11.25 crore for this particular quarter. Balance is reserved.

For the full year we have considered ₹45 crore. Depending upon the performance, we will decide at the year end. But this is our guidance, ₹45 crore is variable pay. Rest is fixed pay.

Aditya: And what was the variable pay for last year?

Imtaiyazur Rahman: Last year was similar ₹45 crore.

Surojit Saha: ₹45 crore is on standalone basis. And if you take the subsidiaries, it was around ₹58 crore altogether as a group.

Imtaiyazur Rahman: On consolidated basis, ₹58 crore. This year will be similar account both the consolidated basis and as well as on the standalone basis.

Aditya: So, the variable pay is going to be similar for last year and this year as well?

Imtaiyazur Rahman: That's correct.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Few questions from my side. First you mentioned that you expect the other expense run rate to remain flattish at around ₹60 to ₹61 crore. Now on the other side, you also mentioned that you're going to open up some new branches, expand into B30, you plan to also grow the UTI International business. And you have some planned NFOs, one of which is already going on. So, on this backdrop, what gives you confidence to retain the other expense run rate at current levels? Because I would assume that NFO spends and all are not factored in Q1 other expense number. My second question is I think repetition of what was asked earlier in the call on the yields part. You mentioned that your equity yields have increased by 1 bps to 73 from 72. And my question is, whenever there's a mark-to-market jump normally because of the slab wise pricing, one should see some amount of compression in yields and not expansion. So, is there any mix change within schemes or something in the churn where maybe some high payout portfolio exited or what really is going on there, just wanted to get some color on that. Lastly one data keeping question, if you can give the gross equity sales number for the quarter?

Surojit Saha: First question I will take regarding the other expenses, FY 22-23, if you see the overall expenses was around

₹238-240 crore. So, which has a run rate of around 60 crore last year also and if you remember in the last quarter, we had a strategic annual meet, for which there was

expenses because of which if you see the Q4 other expenses on a very higher side and we have factored this 29 office opening cost and all we have factored and we expect it to be in the range of 60 to 61 crore run rate.

Vinay Lakhota: So, on the yield part, because of the mark -to-market component, the older AUM share to the overall number have actually increased while the net sales number has been negative for the equity funds for this quarter because of that there is not much compression on the equity yield because of the fresh inflows. So, because of the mark -to-market component, the older AUM has contributed a slightly higher fees and that's why it has margin ally improved by around one basis point.

Dipanjan Ghosh : Just one follow up on this. Can you kind of quantify the difference between your fresh equity yields versus blended equity yields on the book or give some color on what is the differential today?

Vinay Lakhota: As of now, the yield on the overall equity and hybrid put together is around 76 -77 basis points and for the fresh inflows, actually the ratios are defined depending on our arrangement with the distributor. And as I stated earlier, it varies from 50 % to 80% of our distributable expense ratio. So, can't define a straight number on that. It depends on our channel mix if the money is coming from an individual financial advisor or is coming from a distributor or from a private or

a foreign bank. But the ratio between the manufacturer and the distributor is roughly in the range of around 50 % to 80%.

Dipanjan Ghosh : And if you can just quantify the gross equity sales for the quarter?

Vinay Lakhota: Equity and hybrid put together is close to around 2,344 crore.

Dipanjan Ghosh : So, if you can just chip in one small question, you give your AUM mix break up across channels on the equity and hybrid business. Can you give some color of that on a flow basis and maybe just give a trajectory of how it has been shaping, let's say, for the past 3 -4 quarters on a flow basis rather than on a stock basis?

Sandeep Samsi: Dipanjan, we don't have that data. The data on the AUM is shared, but we don't have that data. So, maybe offline we can take this question.

Moderator: Thank you. The next question is from the line of Aman Shah from Jeetay Investments. Please go ahead.

Aman Shah: Sir, a few questions from my side. One is the yields have stabilized in Q1. What will be your outlook for this year for the yield part, aggregate yields?

Vinay Lakhota: So, aggregate yield, might see a slight compression of a basis point or two primarily because of two factors because of the growth in the ETF business, plus we have launched a new NFO as well, which is going on - UTI Balanced Advantage Fund, and obviously the new fresh inflows under the equity fund will have some impact on the overall equity AUM yield. So, for the next 2 or 3 quarters, there might be a compression of a basis point or two on the overall yield number.

Aman Shah: And what would be the share of older AUM now?

Vinay Lakhota: The older AUM, we have indicated earlier, is close to around 20% of the total AUM. But again, it's very difficult to quantify in absolute and percentage terms because there is a substantial AUM where the trail commission is very low. 20% is where the trail commission is negligible. But since, upfront commission was being prevalent earlier, there's AUM which is more than 5 years old and has low trail commission. But AUM where the trail commission is low or very negligible, that is close to around 20%.

Aman Shah: So, on the international side, we have seen there have been investment expenditures and this year Q1 was 31 crore total expenditure compared to 17 crore

last quarter last year. And like

topline being at 29 crore, so there is an operational loss. How should we see the P&L of UTI International look like?

Surojit Saha : See the international expenses are in the range of around 30 crore. The figure which you said 17 crores, that was because of a foreign exchange gain as per the international books, it was accounted over there. That's where there was a 11 crore gain, that's why that figure was 17. Otherwise generally, the expenses of per quarter of UTI International is in the range of 29 to 30 crore.

Imtaiyazur Rahman : But this company at the year -end will be profitable in this quarter itself, the Q2 will be profitable. The initial cost was there because in the first, we signed a lot of new agreement and we paid a lot of legal fees, therefore marginal loss was there. But from the next quarter onwards, it will be profitable. Overall, the profits will come, it is a profitable company.

Aman Shah: How should we see like top line we said like it should be 32 to 34 crore quarterly?

Surojit Saha: See, I'll just give you the UTI International plans to grow the distribution for the UTI India Innovation Fund, which was a concentrated portfolio of the mid cap, small cap disruptive business. Innovation Fund is about finding the companies, leveraging on technology across

sectors and we will distribute this in Europe and Asia to start with and we also plan to expand the reach for the UTI India G-Sec, which is listed in the Euronext Amsterdam by reaching out to the European Institutional Investors. And the decline in the channel's weight in MSCI Emerging Market Index has opened up many South Asian markets for increasing the Indian exposure through our flagship IDEF. From a long-term perspective, many clients are wanting to go overweight on India versus its weight in MSCI. Given the current geopolitics, India is finding a lot of flavour with the global long-only investors. Our IDEF will capitalize on this given its long-term orientation. In the Middle East distribution of our balanced fund remains the robust among the NRI Community. Balanced fund as a concept is popular with the Indian expats and we are promoting this fund in the Middle East. So, we are expecting a lot of traction in the UTI International business. And as Sir said, this is on a growing path, and we'll have profitable quarters in the following period.

Aman Shah: So, last just the cash that we have on books, now, 3500 crore, a good part is also there in the standalone, the major part is in standalone balance sheet. What is our outlook on cash distribution?

Imtaiyazur Rahman: We are seriously looking at the cash element, but we have no plan at this particular point of time to distribute the cash. We may need it for our future business development.

Moderator: Thank you. The next question is from the line of Mohit from BOB Capital. Please go ahead.

Mohit: My first question is that if I look at district associates, it has declined from 210 last quarter to 188. What could be the reasons for that?

Sandeep Samsi: See, we look at the partners that we have, the district associates across the country and we keep on renewing and working with them on a year-on-year basis. So, some of the agreements which people retire over a period of time and those have not been renewed. So, that's why you are seeing a dip in the number of district associates on a year-on-year basis. Our endeavour is to appoint new district associates wherever we find that there is potential at a district level or at the block level so that they can further UTI's business interest.

Imtaiyazur Rahman: And wherever we feel appropriate, we are substituting with our branch offices, which we call UTI Financial Center.

Mohit: Right, understood. Coming again to the net flows, you said that performance issues led to outflows. But if I

look at last two quarters, there was a net outflow like this quarter it was 15 billion and earlier quarter 7 billion. So, are we confident that in financial year 24 we would be able to turn this outflow into net inflows like we have seen that for the peers as well. They are getting substantial equity flows. So, are we confident that we'll be having a good performance this year?

Imtaiyazur Rahman: We are working with all channel partners. We are very aggressively marketing and distributing our products. We are quite confident and putting in all our best efforts to show that our net sales will be positive in the equity.

Moderator: Thank you. We have the next question from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg: Sir, you mentioned earlier that that your market share in SIP declined because of most of your SIPs were in flagship fund. So, in that regard, just want to understand that any specific plan you have to diversify your AUM across the funds or to increase the base of your SIPs so that it is not dependent on one fund or something.

Sandeep Samsi: So, as Mr. Rahman also mentioned that we have a number of other funds which are doing quite well and we are positioning these funds to our distribution partners as well as to banks and other distributors to take the fund flows forward. So, we are quite confident as Mr. Rahman also mentioned just in the previous question that this should help us to revive our SIP sales in these funds.

Imtaiyazur Rahman: But the current fund itself, this fund is where there is a right opportunity for the investors to invest now to capture the market and the benefit which may come once the scheme starts performing better.

Bhuvnesh Garg: And sir on inflows, any particular target we have in our mind for the year or any particular target we have for our alternate business, what kind of inflows we are targeting for the year?

Surojit Saha: If you see the AUM is already in a rising trend and we have lines of plan which have already told, like it has already launched a real estate credit fund this month and it has filed to SEBI 2 new funds, an investment grade performing credit and a distressed credit fund, and so UTI Alternatives is now present almost entire spectrum of credit alternatives, and they are also in the process of evaluating and finalizing the equity strategies. So, the business is doing very well and we have built up the team also. So, we expect maybe in the range of 2500 to 3000 moving in the future period.

Moderator: Thank you. We have the next question from the line of Rahil Shah from Crown Capital. Please

go ahead.

Rahil Shah: Just on the overall consolidated basis, AUM growth and margins, if you could share some outlook for the year that would be great. Thank you.

Surojit Saha : Overall, if you see our investments, group AUM has grown from 16.13 lakh crore vis-à-vis 13.81 lakh crore year-on-year and on 31 March, 2023, it was 15.55 lakh crore. So, it's a rising trend of around 4%. So, there is a continuous effort in all the sectors of our business, whether it's UTI Retirement, whether it's UTI Alternatives, whether it is UTI International or PMS. So, we are driving our business. Our AUM has been continuously improving in all the spectrum of our business.

Rahil Shah : And on the margin side sir?

Surojit Saha: Overall margins will continuously increase because it also depends on the mix which we'll be getting, whether it's an equity business and alternative also. If I remember, they are in the process of evaluating the equity strategies which will give a better return and UTI International, the yields have come down because we have got some of the debt funds, but with the equity funds now performing and there's a lot of traction, we expect the overall yield of the group will be increasing.

Moderator: Thank you. The next question is

from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Sir, as per the annual report, we have about 350 odd people who are still part of the Union or part of the old compensation structure. So, if you could just remind us again in terms of what is your sense of the retirement pipeline and what does it mean for our overall staff expense growth over the next 2 to 3 years?

Imtaiyazur Rahman : Over the next 3-4 years, most of the people will be retiring. We have not done any fresh recruitment in this particular grade for last 20 years and the expense will be on the range which we have shared with you. We are not anticipating any growth or any significant rise in the implied expenses. Rather we will get the benefit of this retirement over the period of time.

Abhijeet Sakhare: Any numerical guidance that you might want to share?

Surojit Saha : I have already shared that we are having a run rate of around 106 crore.

Imtaiyazur Rahman : Benefit requirement if you want a specific number, we are not ready now, you can take offline with Sandeep.

Abhijeet Sakhare: Got it, sir. But most of these savings should come to the bottom line, right like, I mean in that parallel, if you've been investing in other parts of the business, but now that you've already been doing that for a few quarters. Incrementally over the next 2-3 years, all the savings should go to the bottom line? Is that a fair assumption?

Imtaiyazur Rahman : That is the fair assumption because all our three companies are fully capitalized. UTI Retirement Solutions is fully capitalized, International is fully capitalized and UTI Alternatives also reasonably capitalized. So, therefore we don't expect the capitalization in those companies and therefore all the benefits will go towards the P&L.

Moderator: Thank you. We will now take the last question from the line of Prayesh Jain from Motilal Oswal Financial Services. Please go ahead.

Prayesh Jain: Just a question on the industry side and also on the EPFO book. So, one is that out of the total ETF AUM of the industry, how much is coming from EPFO and how much of that share is for UTI? Second is on your EPFO AUM that sits in your PMS, how much is that and what are the kind of yields on both these pieces?

Vinay Lakhotia: So, of the total ETF businesses, which is part of the mutual fund business, EPFO contribution is close to around 75% to 80%. The EPFO, which is there in the PMS business, is mostly on the fixed income side, not on the equity side. Equity side comes under the mutual fund business where the fees are very negligible. On the equity side, the fees for EPFO are close to around 3.5 to 4 basis points.

Prayesh Jain : And the 75% to 80% that you have mentioned, that is true for the industry also right, share of EPFO in the ETF?

Imtaiyazur Rahman : Let me share with you. The 25% used to come to UTI, 75% allocation used to go to SBI.

Moderator: Thank you. For any further queries, ladies and gentlemen, you may contact Adfactors PR or the UTI Asset Management Investor Relations team. I would now like to hand the conference over to Mr. Imtaiyazur Rahman for closing comments. Over to you, sir.

Imtaiyazur Rahman : Thank you very much for attending this call and thank you very much for asking questions. We have attempted our best to clarify them. In case you need any further information and clarifications, you may contact my colleague or our partner Adfactors and we're more than

happy to share those information with you . As per the guidance of the L ODR, whatever is possible for us, we will be in a position to share with you and thank you very much once again for joining this call. Thank you.

Moderator: Thank you. On behalf of UTI Asset Management, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

Ref. No.: UTI/AMC/CS/SE/2023 -24/0371 Date: 26th October , 2023

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference call on financial performance of the Company for the quarter and half year ended 30th September , 2023

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and SEBI Circular no. SEBI/HO/CFD/CFD -PoD-1/P/CIR /2023/123 dated 13th July, 2023 , we are forwarding herewith the transcript of the earnings conference call held on Thursday , the 19th October , 2023 at 17 00 hrs IST on the financial performance of the Company for the quarter and half year ended 30th September , 2023.

The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

We request you to kindly take the aforesaid information on record and disseminate the same on your website.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary and Compliance Officer

Encl.: As above

UTI Asset Management Company Limited UTI Mutual Fund

UTI Asset Management Company Limited
Q2 FY24 Earning Conference Call
October 19, 2023

Moderator: Ladies and gentlemen good day and welcome to the UTI Asset Management Company Limited Q2 & H1 FY24 Earnings Conference Call. From the management we have with us Mr. Imtaiyazur Rahman (Managing Director & Chief Executive Officer); Mr. Vinay Lakhotia (Chief Financial Officer & Head - Corporate Strategy); Mr. Surojit Saha (Group Financial Advisor); & Mr. Sandeep Samsi (Head – Investor Relations, Marketing and Corporate Communications). We also have the Investor relations team from Adfactors PR.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the Disclaimer slide of the investor presentation that has

been shared earlier.

I will now hand over the conference to Mr. Imtaiyazur Rahman for his opening remarks. Thank you, over to you sir.

Imtaiyazur Rahman: Good evening, everyone. Thank you for joining us today to discuss our operational and financial performance for the second quarter and the first half ended September 30, 2023. It is my privilege to welcome you all. You might have gone through our press release and investor presentation available on our website as well as on the websites of the stock exchanges.

The world economy is yet to reach the pre-pandemic levels of growth and is witnessing inflationary pressures. But this has paved way for emerging markets like India to have a prominent contribution towards the global economic growth. The economic scenario in India is optimistic, continuing the momentum of last couple of quarters. For the current fiscal, IMF has raised the GDP growth forecast to 6.3% for India.

During the quarter, there was another milestone achievement for the Indian capital markets – JP Morgan announced inclusion of Indian sovereign bonds into its E

merging Markets Index. According to industry experts, this inclusion is likely to result in inflows of around \$30 billion in investments into Indian debt markets, which have traditionally been held primarily by banks and financial institutions. Inclusion of Indian bonds with effect from the next fiscal, with maximum weightage of 10%, is a testimony of India's emerging significance in the global financial markets.

Coming to the equity markets, the Indian indices have well captured this optimism as is evident from the new all-time high touched by both benchmark indices during the quarter. This has also led to an increased participation in the Indian Mutual Fund Industry. I am to share with you that the September 2023 data from AMFI reveals that the industry now have 40 million unique mutual fund investors in India.

Coming to UTI, I am happy to share with you that on 29th September 2023, we successfully inaugurated 29 new offices across the country taking the total number of UTI Financial Centres to 195. We continue to be committed to growing our presence in the Beyond 30 (B30) locations and make mutual funds more accessible to the people in the Tier II & Tier III cities in India. 134 of our UFCs are now present in these locations. Staying committed to guide more and more people about mutual funds, UTI conducted 82 Investor Awareness Programmes pan India covering ~4,600 participants during the first half of FY 23 - 24.

While the geographical reach has increased, we are also working on our digital strategy & reach. We re-launched our Mobile Apps for our investors and distribution partners with a better user interface and have also adopted state-of-the-art technology for our contact centres. [uti.co.in](https://www.uti.co.in)
UTI Mutual Fund

On the HR front, we now have a new CFO – Mr. Vinay Lakhotia, who is a career UTIian and also handling the Corporate Strategy function of UTI AMC. We have also elevated Mr. Anurag Mittal to be the Head – Fixed Income of UTI Mutual fund.

Now sharing numbers for UTI Group. The total Assets under Management for UTI Group registered a growth of about ~16.89% over the corresponding quarter of the previous year and stood at **₹ 16.89 lakh crore** as on 30th September 2023. The domestic mutual fund business witnessed a growth of ~14.22% year-on-year with the QAAUM as on 30th September 2023 at **₹ 2.67 lakh crore**.

We launched four successful NFOs during the first half of this fiscal year – UTI Nifty50 Equal Weight Index Fund, UTI S&P BSE Housing Index Fund, UTI Balanced Advantage Fund & UTI Innovation Fund during this half year.

Now, I hand over to Mr. Sandeep Sami, Head Marketing & Investor Relations, who will update you with UTI AMC performance.

Sandeep Sami: Thank you, Sir. I will first take you through UTI Mutual Fund's performance during the second quarter and half year ended September 30, 2023.

UTI MF PERFORMANCE

■ UTI was able to capture a market share of 7.8% of the gross sales of the industry during this quarter.

■ Our Equity QAAUM for the quarter ended September 2023 stood at ■ 78,291 crore, rising by ~9.2% as compared to the quarter ended September 2022.

■ With passive investments gaining traction, we have witnessed a growth of about 35.82% in the QAAUM for Index & ETFs taking it to ■ 98,421 crore for the second quarter.

■ ETFs & Index Funds net flows stood at ■ 2,364 crore.

■ UTI added 1.03 lakh folios taking up the number of live folios to 1.22 crore as on 30th September 2023.

■ Our SIP AUM witnessed a growth of 29% over the corresponding quarter of last year, reaching to ■ 26,541 crore as of September 2023 from ■ 20,565 crore as of September 2022.

■ The SIP inflows for the quarter stood at ■ 1,648 crore. The SIP gross inflows for UTI MF witnessed a year -on-year growth of ~ 3.70 % with the average SIP ticket size being ■ 3,140 for September 2023.

■ Coming to the contribution from B30 cities

es. 23% of our Monthly Average AUM

for September 2023 came from B30 cities while the industry average stood at 17% in terms of its B30 MAAUM.

UTI AMC FINANCIALS

■ During the second quarter, the Company posted a consolidated net profit of ■ 183 crore.

■ The consolidated revenue from operations for the second quarter stood at ■ 404 crore.

■ For the first half, the consolidated net profit was ■ 417 crore, higher by 43% YoY.

■ The consolidated revenue from operations for the first half stood at ■ 872 crore, up by 27% YoY.

On a standalone basis:

■ PAT of UTI AMC Ltd for Q2 FY24 is ■ 134 crore reflecting a growth of 14% on YoY basis.

■ PAT of UTI AMC Ltd for H1 FY24 is ■ 299 crore, higher by 38% YoY

■ We are happy to inform you that our 100% owned subsidiary, UTI Retirement Solutions Limited has recorded a growth of ~24% year -on-year in its AUM, reaching ~■ 2.7 lakh crore in Q2 FY24 and currently it manages 26.4% of the NPS AUM

■ The PAT of UTI RSL for the first half of FY 24 is ■ 25.2 crore, an increase of ~11.5% Y-o-Y.

■ UTI International which represents our International business interests, has an AUM of ■ 24,207 crore as of 30th September 2023.

■ Our international clients are across more than thirty -five countries. These are primarily Institutions – Pensions, Insurance, Banks, and Asset Managers .

■ One of our flagship funds, the India Dynamic Equity fund (IDEF) domiciled in Ireland, has an AUM of \$ 961 million.

■ UTI International's J Safra Sarasin Responsible India Fund, an ESG compliant India fund, has AUM of \$ 78.4 million. ~~~~~ 'c';p
UTI Mutual Fund

■ UTI India Innovation Fund launched last year has an AUM of \$ 25.6 million.

■ UTI Alternatives Pvt. Ltd. has a total AUM of ■ 1,799 crore and has a well -defined ESG policy and strategy. It currently manages the following Active Debt Funds:

o UTI Structured Debt Opportunities Fund (UTI SDOF) I, launched in August 2017 and closed in May 2019, has an AUM of ■ 132 Crore. Currently the fund is in exit mode and has returned 1.1 times the capital invested.

o UTI SDOF II launched in September 2020, has an AUM of ■ 507 Crore, and the fund is currently in the investing stage.

o UTI Multi Opportunity Fund I launched in March 2022 has an AUM of ■ 763 crore. Currently the Fund is in the Investing stage.

o UTI SDOF III launched in September 2022, has an AUM of ■ 398 crore, the fund is currently in fund raising as well as investing stage.

o UTI Real Estate Opportunities Fund I is currently in the fund -raising stage with pre -commitments of ■ 110 crore and net commitments of ■ 30 crore.

■ UTI Alternatives has also received the Regulator's approval for two more funds

– UTI Credit Opportunities Fund I and UTI Asset Reconstruction Opportunities Fund I. We will be launching these funds soon.

■ UTI Alternatives has the Regulator's nod for providing Co-Investor Portfolio Manager (CPM) services. We have onboarded 7 clients as co-investors till September 30, 2023.

I would now request the Managing Director & CEO for his concluding remarks.

Imtaiyazur Rahman: Thank you, Sandeep, for sharing operational and financial highlights for the second quarter and half year of financial year 2023-24. I would also like to inform you that we have received the approval from SEBI to start our US operations.

With this, I would like to open the forum for your questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Swarnabh Mukherjee from B&K Securities.

Please go ahead.

Swarnabh Mukherjee: I have couple of questions on the yield side. First of all, the yield compression that we have seen in this quarter; just wanted to understand is it only a factor of the mix sales that is coming from the ETF or within the equity category also, there has been some compression as fund size has increased. If you could call out

also

the yields for individual product categories, that would be very helpful. That one UTI Mutual Fund

is on the mutual fund business. On the international business. If I try to calculate the yield, I see some softening on that front as well. What has happened there and how to think about it? These both on the yield side.

On the cost side, there is been some increase on a sequential basis on the employee benefit expense in the mutual fund business. If you could highlight the reason and how should we think about for the rest of the year?

Related to the US operations that you have mentioned. Whether we should expect any kind of additional costs and what will be the quantum of that in this year and next year in our P&L. Thank you. These are my questions.

Vinay Lakhotia: I'll take the question on the yield part and the employee cost. Let me first give you the break up on the yield part. On equity fund, the yield for the second quarter is around 72 basis points; on the hybrid fund 84 basis point; and on the ETFs and Index Fund is 4 basis point. Cash and arbitrage funds around 7 basis points and income fund 22 basis points. During the quarter; while the equity yields are more or less stabilized at around 72-73 basis points, we have seen some headwinds as far as the other scheme categories are concerned.

On the hybrid fund, since we launched an NFO which is UTI Balanced Advantage Fund, we have seen some yield compression from 90 to around 84 basis points, because of the mobilization of the new fund is at slightly at a higher cost and the yield on the new NFO is close to around 30 to 35 basis points.

We have reduced the expense ratios and the management fees under the ETF category of the fund from overall 7 to 4 basis points. Because of that, there is some yield compression under the ETF category during this particular quarter.

On the income fund, both at the industry level as well as UTI, significant inflows are coming into a shorter duration product where the yields are generally lower.

We have mobilized significant amount of inflows under the income category during this particular quarter, which have been through the shorter duration of the product on which the management fees are lower as compared to a longer duration product. Because of that the yield on the income category has also fallen from 26 to around 22 basis points. Due to this overall yield compression is around two basis points lower; however, for the equity funds the yield has stabilized at around 72 to 73 basis points. UTI Mutual Fund

On the international business, I don't think there is any yield compression. There is some marginal decline in the overall AUM because of some redemption under the ID EF category of the fund and because of that, you might see some reduction in the management fees.

Coming to your second question on the employee cost. Overall, employee cost on the stand alone basis has gone up by around ■ 6-7 crore. There are three factors behind this increase. First is the normal wage increase. Despite reduction in retirement benefits, this has gone up by around 2-3%. Secondly, there is ESOP amortization cost, which has gone up as compared to the previous financial year

by around ₹ 2 crore . Lastly, there has been an actuarial valuation increase for leave encashment . The one-time impact on this until the interest rate goes down is around ₹ 3 crore .

On the US subsidiary, as of now, we do have the approval from SEBI , but the operation hasn't started yet. As and when we open the offices we expect the overall cost actually to increase.

Imtaiyazur Rahman: This year there will not be any cost because by the time we get the license, it will be March 2024. We may see some cost next year. This year there will not be any cost. Other are legal expenses to the extent of ₹ 1 crore.

Swarnabh Mukherjee: A

couple of follow-ups. If you could highlight why the expense ratio on the EPFO side was rationalized ? I understand the expense ratio at the industry level is lower than four basis points . I mean yield should be higher on the EPFO side. Some color on that would be very helpful.

Vinay Lakhotia: We have submitted a revised bid for the EPFO mandate . There are competitors whose expense ratios are even lower than four basis points. Basically because of the revised bid submission, the expense ratios and the management fees have actually come down.

Imtaiyazur Rahman: In EPFO our yields are best in industry.

Swarnabh Mukherjee: Right, Sir. And since a new player has also come in the EPFO flow, what would be our share in the incremental flow going ahead? Any color on that?

Imtaiyazur Rahman: 23.5%.

Moderator: The next question from the line of Mohit from BOB Capital. Please go ahead.  UTI Mutual Fund

Mohit Mangal : Thanks for the opportunity. I will ask three questions. First, as you said, you opened 29 new offices, so what would be the impact on OpEx for that?

Vinay Lakhotia: So OpEx for this particular financial year, our OpEx might increase by around ₹ 60-70 lakh , especially on the rental side . On employee cost , there won't be any increase because we'll be leveraging on our existing employees.

Mohit Mangal : Right my second question is that we did see equity segment having net inflows which is good. But if I look at equity market share, there is a decline by around 22 basis point QoQ and 75 basis point YoY. Any particular strategy to redeem the market share on the equity side?

Sandeep Samsi We have seen some pressure on the equity side and we are working towards it. As we had mentioned earlier the performance of some of our funds was impacted because of the strategy that we developed . We were following the growth strategy when the market was tilted towards the value strategy. However, as we have mentioned earlier also, we are on course correction and if you see in other categories, that is the income category, we have seen a good net inflow . Similarly, in the hybrid category also we have seen inflow. We believe the strategies that we are employing will work and will help us to claw back the market share .

Imtaiyazur Rahman: We are repositioning some of our equity schemes which are performing very well. We have a very detailed strategy in place and that will help us to recapture our market share in the other category of equity schemes other than the Flexicap fund. We are repositioning other equity schemes which is well performing like hybrid equity scheme, focused equity fund etc.

Mohit Mangal : This is helpful. Lastly , if I look at SIPs' gross sales . It has declined this quarter ; wherein for the industry, it has increased. What could be the reason for that?

Sandeep Samsi: What we have done is we provide data only for live SIPs. In that what we mean is that SIPs which are live and not paused SIPs are considered . If there are no inflows for the last four months then we call it a paused SIP and we don't show it in our numbers . In the last six months and this quarter specifically, we have done a lot of exercise of de-dup, so we saw whichever SIPs were paused, earlier we only considered direct SIPs Now we have also included paused SIPs from  UTI Mutual Fund

distributors and that is why there is a marginal decline in the numbers of SIPs for us.

Mohit Mangal : You meant to say that had you been disclosing those numbers, that number would have looked a lot better?

Sandeep Samsi : Yes, it would have looked better . But we don't want to show all SIPs. We only want to showcase our live SIPs and so that number has come down.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management please. Go ahead.
Madhukar La

dha: Thank you for taking my question. Frankly, most of my questions have been answered. Just one on the wage increase. What would be our guidance for the year because we would have expected some sort of moderation, but still on a QoQ basis, salary costs are up by 5%. We expected some sort of operating leverage to play out of here.

Vinay Lakhotia: Madhukar, I don't see overall number increasing by more than 4 to 5% as compared to the previous year. We have some slightly higher employee cost on the international business front where because of opening of Paris and US operations, there could be additional increase in salary expenses. On the stand alone front for UTI AMC, the salary increase will not be more than 2 to 3%. On a consolidated level, it could be a maximum 4 to 5% increase.

Madhukar Ladha: Got it. And the other thing while you explained the yield decline not being that related to sort of equity but we are seeing net outflows from equity as well. Isn't that hurting our book? What will that have sort of resulted in lower equity and hybrid yields.

Vinay Lakhotia: I think equity yields are more or less flat at around 72 to 73 basis points. But yes, if the stock AUM is redeemed and is being replenished by fresh inflow, it's definitely going to impact the yield. That has been the trend in the earlier quarters and not in this particular quarter. Going forward, if the stock AUM is being replenished at a faster rate, yield compression might be there.

Madhukar Ladha: And final thing Sir. Any sort of sense of what is our stock AUM right now in equity and hybrid? uti ®
UTI Mutual Fund

Vinay Lakhotia: Very difficult to give any exact number Madhukar. Because within the stock AUM itself, there are many banks and distributors who for the last 7 to 8 years have been working on a trail commission. It's not possible to provide correct number.

Moderator: Thank you. We have the next question from the line of Lalit Deo from EQUIRUS Securities. Please go ahead.

Lalit Deo: Good evening. I have few questions. First one was on the investment book. In this quarter's investment book, you can see there is a shift from investment from mutual funds to G-Secs and bonds. Any particular reason for the same? We also see a dip in the equity MF investment book. What could be the reason for this?

Vinay Lakhotia: Maybe we have got a better yield in some of the bond and G-Secs. Otherwise if you see the normal allocation of around 60% of our book is into mutual fund.

Yes, the allocation to bonds and G-secs have slightly increased, but no specific reason. Only the incremental allocation has gone to Bonds and G-Secs.

Lalit Deo: Second one was on your net outflows in the core equity scheme. This was the second quarter where we have experienced net outflow. Just to understand this better like in which of the channels we are experiencing more pain resulting in the outflows because for the industry this quarter has been a good quarter for the equity net sales.

Sandeep Samsi: The outflows have been across. It's not specific to any channel. If we have to pinpoint the channel, maybe Banking where there is a higher churn. But otherwise it's been across and as Mr. Rahman mentioned that we are now positioning our flanking products there and through those products we will be able to get back our share in equity.

Lalit Deo: Could you also give us the gross equity sales which you have done during the quarter?

Vinay Lakhotia: Gross, you are asking for this particular quarter?

Lalit Deo: Yes Sir.

Vinay Lakhotia: Close to around ₹ 2,000 crores.

Moderator: The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead. uti ®
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Prayesh Jain: Firstly, if I look at your market share it's been weak across segments, not just equity even hybrid in spite of the product launch

unch that we had we just have a flattish market share sequentially. On income fund we have an improved market

share, but the major categories we still have a decline. What is the strategy that we would do to improve the market share? One, I think you mentioned on the equity side, but on the overall strategy, what would be the steps that you would be taking.

Imtaiyazur Rahman: The decline in market share is because of the two reasons. One, I will tell you the appreciation, since the equity market has gone up significantly and as a result of which the various fund houses, which have high equity AUM, they have got the advantage of the improvement in the market share. However, in the fixed income we have done far better. We have launched the Balanced Advantage Fund so we will be in a position to arrest the loss of market share in the hybrid. In the equity front, there are five or six schemes which we are working, and we are repositioning in the market and that will help us to regain our market share, and these are Hybrid Equity Fund, Core Equity Fund, Equity Saving Fund and they are well performing funds, including arbitrage and the multi asset fund. These are the few funds which we are repositioning to recapture our market share.

Vinay Lakhota: So just to add, I think hybrid and income category of funds are performing both on the quarterly average as well as closing average. We have increased our market share in the cash and arbitrage, which is a seasonal product. We are quite optimistic and seeing the kind of performance that we have especially on the fixed income side, the market share should actually improve in next few quarters.

Prayesh Jain: Any measures on the distribution side where you plan to increase commissions or something?

Vinay Lakhota: No. I think commission payout structure is more or less standard. There is no thought process of increasing payout to increase any market share. That's not the case.

Prayesh Jain: Just extending that point, the yield on the balanced Advantage Fund that was launched was much lower. We've been hearing from your competitors that the environment in the NFO market has been better than what we had seen in the UTI Mutual Fund

last couple of years. But still our yields were much lower on that. Is that a challenge to get new funds and that reason you had to bring in at that rate or what was the thought behind keeping it at that low rate?

Vinay Lakhota: Normally if you see historically also the yields on the new NFO is lower as compared to yields on the fresh ongoing scheme sales under the equity and the hybrid category. That has been the trend in the industry for the last few years and we don't see any reversal of that particular trend.

Prayesh Jain: Got that. And last question, your seed investments in the international funds. What is the quantum of that and you had earlier highlighted about reducing that. Where we are in that? How should you think about it?

Surojit Saha: We have plans to reduce it. But in these six months, we have not reduced it. We have plans. We are waiting for the opportune movement with the sales increasing in IDEF, which is a flagship scheme as you all know. We are constantly expanding our footprint. We are not only expanding in Europe, but also expanding our reach in the Asia as well as Australia. Once we improve upon the overall AUM, then we will think of further reducing the stake in the seed capital.

Prayesh Jain: What is the current stake?

Surojit Saha: Current stake is around USD 18 million.

Moderator: The next question is from the line of Abhijit Sakhare from Kotak Securities.

Abhijit Sakhare: Hi, good evening. Sorry I missed the numbers on equity yields. If you could just reiterate the numbers in terms of the stock and the flow.

Vinay Lakhota: There's no disclosure of yield on flows. The stock AUM yield on the equity is

around 70 to 73 basis points.

Abhijit Sakhare: And would you have the numbers, let's say a year back on the similar basis?

Vinay Lakhota: Last year, it was roughly in the range of 80 basis points.

Abhijit Sakhare: And the second one is that the 4 to 5% expense growth guidance, is that on an overall basis or only on the staff cost?

Vinay Lakhota: On an overall basis.

Moderator: We have the next question from the line of Dipanjan Ghosh from Citi. Please go ahead. UTI Mutual Fund

UTI Mutual Fund

Dipanjan Ghosh: Just a few questions. First from the international business . All of the expenses that you need to incur for the Paris and the US facility, have they been incurred, or can we see some lump sum expenses coming in the second half ?

Vinay Lakhota : Yeah, some legal expenses that Mr. Rahman told will come in the second half . But any major expenses, including the hiring of the employees and other establishment costs that may come in the first quarter of the next financial year.

Dipanjan Ghosh: Second . On a standalone basis, in the last two or three quarters we have seen increase in your employee base quite significantly . Even in a situation where probably AUM growth has been relatively weak. We just wanted to get some sense of where you're really adding these employees and are you strengthening your sales distribution or where are we adding them in?

Vinay Lakhota : Mostly in the distribution side, as you might be aware we opened 29 offices . We also are planning to open roughly around 8 to 10 resident offices across the length and breadth of the country. Any employee increase will be mostly to our sales and distribution.

Imtaiyazur Rahman: We are also planning to go for the direct and therefore there are a lot of sales team - senior people are retiring . In order to keep the bench ready we have appointed additional management trainees from the campus.

Dipanjan Ghosh: Two more questions . One on your product pipeline for the second -half or the next year 6 to 9 months on the equity or hybrid side.

Sandeep Samsi: We have approval from SEBI for 3 funds as of now. One is UTI Nifty IT ETF, one is UTI Nifty 10 years benchmark G-Sec ETF and third is UTI 5 year s benchmark G-Sec ETF. So as and when there is an opportune time to launch, we will be launching these funds.

Dipanjan Ghosh: So just if I get it correct there is no active equity sort of spectral form that you are planning to launch in the next.

Vinay Lakhota : No. Mostly all-around the passive side.

Dipanjan Ghosh: Last question . In some of schemes where you have seen weakness in performance, or at least now maybe the one-year category has worsened, the beating maybe gradually gets reflected in three - or five -year market . Are you taking any steps out there and if so, can you just elaborate on that? uti ®
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Imtaiyazur Rahman: I don't feel I should be in a position to give any color on it . Our fund management team is true to their philosophy and they are fully committed. We have very competent team led by Mr. Vetri Subramaniam and Ajay Tyagi . They continuously review their portfolios. But I don't have any idea to give you any color about this one.

This is led by our fund management team and they have the complete authority and autonomy to decide and we do every bit in the best interest of the investors . We are true to our philosophy both for the growth and the value opportunity philosophy.

Moderator: The next question is from the line of Gaurav Jani from Prabhudas Liladhar . Please go ahead.

Gaurav Jani: The question is for Vinay Sir I missed the comments on the yield, so I believe the equity yield of 70-73 basis points is on the stock basis for the quarters . What would they have been in the last quarter?

Vinay Lakhota: It was similar . The equity yields are almost flat at 72 to 73 basis point.

There is a marginal decline in the yields under the hybrid category where as I stated earlier, because of this NFO, the yields have actually dropped.

Gaurav Jani: OK. And debt you would have seen some decline?

Vinay Lakhota: Yeah, that also as I stated earlier in the debt schemes, the significant inflows are coming into a shorter duration product where the yields are lower because of that also they have been a four basis point decline on the fixed income yield on QoQ basis.

Gaurav Jani: Understood. And ETF would have been about 1 or 2 basis point .

Vinay Lakhota: Yeah, almost around three basis point on the ETF. As I stated earlier, that was because of the revised expense ratio that we submitted to EPFO .

Gaurav Jani: The three basis points decline would be on the stock ?

Vinay Lakhota: Yeah, it's on the stock as well as on the fresh inflows.

Gaurav Jani: Understood, Sir. Second question on the tax rate . This quarter , again we saw lower tax rate. One of the reasons for that and secondly you know drawing parallels to the last year generally we after a couple of quarters of low tax rate, uti ®
UTI Mutual Fund

we see a bump up in the tax rate. Should we see more sort of the numbers in the second-half or how do we look at the overall tax rate of the year?

Vinay Lakhotia: I think overall tax rates should be in the range of around 20.

Surojit Saha: We don't go by the effective tax rates of any particular quarter. For the year, the effective tax rate will be in the range of 20 to 21 percent. Quarter wise, we don't get into that because it depends on investment income and our deferred tax on such investment income. Annually, the effective rate will be in the range of 20 - 21 percent.

Moderator: The next question is from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg: I just wanted to understand the structure of our trail commission for NFO. For a recently launched, is it a fixed percentage throughout the tenure of the fund or is it a step-down structure? For example, higher commission in earlier 1-2 years and then lower commission? And how this structure has changed in the last two or three years? Just your thoughts on that.

Vinay Lakhotia: Yeah. Normally the first-year payout is slightly higher and 2nd and 3rd year onwards the trail commission gets reduced. This is the trend over last 2 to 3 years.

Bhuvnesh Garg: Is there any particular limit as such that how much higher commission you can pay in the first year and how much lowest commission you can pay in the subsequent years?

Vinay Lakhotia: No, there is no limit. SEBI doesn't allow the commission to exceed the distributable expense ratio. When I say distributable expense ratio, it is the scheme expense ratio minus the operating cost, that's the limit being defined as per the SEBI guideline.

Moderator: Thank you. The next question is from the line of Sunil Shah from SRE PMS. Please go ahead.

Sunil Shah: My question is from the industry perspective. The way in which regulator is addressing the expense ratio. The industry's volume will certainly go over a period of time, but in between for the near term will we see pressure for most of the AMC companies. Because of regulatory things their secondary competition will increase and technology also plays a big role. All those factors will result in utilization of UTI Mutual Fund

the enemy charge that we actually take from the customers. Will that number see a shrinkage overall from an industry perspective? Not from the company perspective, but for the industry, could you help to understand? That is one part. Second is more and more passive funds are being launched rather than active ones. The charges to the customer would be at a lower rate versus the direct active fund management. Would those things be right in my assumption that overall the income

for the industry could see some kind of correction before the volume really coming over the long term and then the market really explodes. That's the second situation. Could you help me understand this better? Is my thought on the right direction?

Vinay Lakhotia: I think industry thought process, I can say very clear if any TER reduction comes that will be passed on to the intermediaries. AMC margin, I think most of the AMC will try to protect the margin and the TER cut will be passed on the long term. Yes, there will be some pressure as far as the margin is concerned, but we believe that the volume growth itself will compensate with the overall revenue growth. Margin may contract a little bit because of the reduction in the TER. But overall the AMC margin should get protected and the volume will actually play a much important role going forward. As you rightly said, with the growth of the ETF and the passive fund, the overall management fees will come down, and hence volume is where we need to look. Overall revenue number we believe should be improving on a year on year basis.

Obviously operating leverage plays a role in this part since the costs are not going to increase substantially, the PAT margin should improve from here onwards.

Imtaiyazur Rahman: It is important to see this as a business opportunity. The industry is growing with the great speed and therefore regulation is there to help the investor. Regulation is not there to harm the investor. We should not see from the regulation perspective. We should look at the opportunity perspective and I believe there is a tremendous opportunity for the entire industry to grow. As Vinay has rightly pointed out, the OpEx so far as the passive is concerned is not going to increase.

Only the volume will increase and therefore the absolute yield will be far superior for the entire industry. We are quite confident .

Sunil Shah: If I can dwell upon one more point. Given the rate at which the country itself is growing and lot of things which are very positive, which are happening right now uti ® UTI Mutual Fund

at India versus the world. Can we try to look at global investment s looking at AMC as a platform through which they can i ncrease Indian exposure ? Can we work towards getting money from the international market because getting money in India is perhaps and sorry to use, this word has become a commodity wherein one AMC differentiates from something and the other AMC tries to replicate it overnight. But if we try to get money from the international market and have some presence there, is there any thought that we have within the organization on such a point?

Imtaiyazur Rahman: Yeah, I don't feel . These are always the commoditized products. We will not b e in a position to give you any color about that. India is a great destination. India is the only country which is now talked globally and in every conference room India has been spoken about and discussed. I was there in London four weeks back and I see t he huge amount of optimism about India. Whether the product is commoditized or not, there will be differentiation coming from the performance of the fund and the fund manager and that's how we win a position to differentiate. But India will continue to be in destination despite the fact that the products are commoditized.

Mr Vinay Lakhotia : And we are focusing on in the international business and the testimony to the fact is we have opened an office in Paris and w e are also opening an office in USA so the international business focus is very much there and we expect volume growth from that business as well.

Moderator: The next question is from the line of Dipanjan Ghosh from Citi. Please go ahead.

Dipanjan Ghosh: Just two small questions. One is could you just repeat your point on the ETF yields and why they declined during the quarter and 2nd from a fundamental perspective

w hen there is, let's say sl ight change in your equity AUM . I would presume that the gross expense ratio gets reset immediately, but do you have any flexibility on the payouts on the back book or is it like is just a pass through to your net payers which also declined by almost a similar magnitude, just talking on the back book?

Vinay Lakhotia: Let me answer for the first question. Th e ETF field drop has been because we have submitted the revised proposal to EPFO and because of that, the expense uti ® UTI Mutual Fund

ratios and the management fees have actually come down by around 2 to 3 basis points .

Imtaiyazur Rahman: The EPFO came out t o the revised RF P and four of us were selected - SBI, UTI, ICICI and Nippon and everybody put this rev ised quote. Amongst all of them w e are get ting a share of almost 23.5 %, but amongst four our fee is the highest.

Vinay Lakhotia : Could you repeat your second question?

Dipanjan Ghosh: Sir, before that, just a follow up to this question. Can you quantify your EPFO AUM within your ETF space if that's possible?

Imtaiyazur Rahman : We can't share w ith y ou those data .

Dipanjan Ghosh: On the second question, Sir, let's say when your AUM grow on the equity side or even on the hybrid side and you see a change in slab for the TER structure. I would assume that your gross tier resets immediately, but do you have a ny flexibility on the distributed payout on the back boo k or do they contin ue to remain at whatever levels they are?

Vinay Lakhotia: Yeah. Normally we don't. You're asking on the stock AUM ?

Dipanjan Ghosh: On the stock, yeah.

Vinay Lakhotia: On the stock AUM , the commission part remain s as it is and maybe in due course of time, we will correct that, but on the fresh inflows, the commission gets adjusted immediately.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Mr. Imtaiyaz ur Rahman for his closing comments. Over to you, Sir.

Mr. Imtaiyazur Rahman : Thank you . I would like to express our sincere thanks to all of you for your participation. Thank you and go od night.

Moderator: Thank you. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with A d factors Investor Relations team. You may now disconnect your lines. uti ®
UTI Mutual Fund

Call: May 2024

Ref. No.: UTI/AMC/CS/SE/202 4-25/0424 Date: 2nd May, 202 4

National Stock Exchange of India Limited

Exchange Plaza Plot No. C/1

G Block Bandra – Kurla Complex

Bandra East Mumbai – 400 051.

Scrip Symbol: UTIAMC BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001.

Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference call on financial performance of the Company for the quarter and financial year ended 31st March , 202 4

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars we are disclosing the transcript of the earnings conference call held on Friday , the 26th April , 202 4 at 1100 hrs IST on the financial performance of the Company for the quarter and financial year ended 31st March , 202 4.

The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar

Company Secretary and Compliance Officer

Encl.: As above

Information Classification: UTI AMC - Confidential

Page 1 of 19 UTI Asset Management Company Limited

Q4 & FY 2024 Earnings Call

26th April 2024

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q4 & FY 24 Earnings Conference Call. From the management, we have with us , Mr. Imtaiyazur Rahman , Managing Director & Chief Executive Officer ; Mr. Vinay Lakhotia , Chief Financial Officer & Head - Corporate Strategy; Mr. Surojit Saha , Group Financial Advisor and Mr. Sandeep Samsi , Head - Investor Relations, Marketing and Corporate Communications. We also have an Investor Relations team from Adfactors PR.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made

in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risk s and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier.

I will now hand the conference over to Mr. Imtaiyazur Rahman , MD and CEO for opening remarks. Thank you and over to you, sir.

Imtaiyazur Rahman: Thank you very much. Good morning , and welcome to our earnings call for the fourth quarter and financial year ending 31st March 2024. We appreciate your presence today as we discuss our operational and financial achievements. You may have read our press release and investor presentation , which are available on our website and the website of stock exchanges.

Page 2 of 19 The financial year 2024 has indeed been a stellar year for the capital market and for the investor community. The year brought in numerous opportunities following the phase of normalization in the financial year 2023. Throughout the year, we have witnessed a resilient surge in growth driven by robust positive sentiments towards consumer demand and substantial capital expenditure. Despite tight monetary conditions and a challenging geopolitical landscape, India has maintained its position as one of the fastest-growing economies, building upon the momentum gained in the previous fiscal year. The latest South Asia Development Update by the World Bank, released in April 2024, projects India's growth to reach an impressive 7.5% in Financial

Year 2024. This optimism is supported by the stellar Q3 GDP growth at 8.4%. Other noteworthy developments were the increase in India's weightage in the MSCI Global Index to 18.2%, more than double what it was three years ago, and the inclusion of Indian bonds in the JPMorgan EM Bond Index, which is expected to take effect by the end of June in the current financial year. In the mutual fund industry, we have observed a significant evolution in recent years. The equity market surge in FY24 has been instrumental in attracting net inflows of approximately ■ 3.54 lakh crore, pushing assets under management to a commendable ■ 53.4 lakh crore as of March 31, 2024. This surge of about 35% from last year has created substantial wealth creation opportunities for retail investors and has led to a notable increase in their count, according to the latest data from AMFI. As per the March 2024, AMFI reports that more than 60% of assets, i.e., about ■ 33.3 lakh crore, based on average AUM, are held by individual investors. Going by the composition, around 84% of individual investor assets, including HNI, are held in equity-oriented schemes. Friends, if we speak about the geographical opportunities for mutual funds, only 18% of AUM is coming from B30 cities. Another interesting point is that the share of women investors in AUM was close to 23% as of February 2024.

Page 3 of 19 This is an opportune time to bring in substantial investors from these cities into the mainstream financial ecosystem while reinforcing mutual fund industry's significance in the country's economic structure.

At UTI, we are well positioned to harness the momentum from both B30 and T30 cities, leveraging the changing investor behaviour and improving financial literacy. UTI has been expanding its footprint into new locations across India, particularly in tier-2 and tier-3 towns. Our strength in beyond -30 cities remains steadfast, accounting for close to 21% of our AUM, with a total folio count of 40.87 lakh, which is 33% of our total folios. This success can be attributed to our consistent efforts in these towns for onboarding of new investors and fostering long-term relationships with them. During the year, UTI opened 29 new branches in the Tier-2 and Tier-3 cities, and we will continue to expand our presence in the smaller towns during the current fiscal as well by using the digital infrastructure.

Our strategic focus has been on enhancing supervisory efficiency within the sales function, introducing innovative sales models and roles, and expanding our product offerings for distribution at key counters. We have strengthened our engagement with our distribution partners, and during the year our fund management and product team travelled across the country and conducted 106 meetings. Of these, 43 meetings were in the top 10 cities.

We have also reached out to potential investors conducting investor awareness programs across Bharat to raise awareness about Mutual Funds industry to the first-time investors and benefits of investing through SIPs in the mutual funds. As a part of this commitment to financial literacy, we partnered with Dainik Jagran to conduct investor awareness programs across 40 Tier-I, II and III cities. Our Mega IAP event in Varanasi in December 2023 garnered significant retail participation. We will continue to use IAPs to create investor awareness.

Our new and revamped website, catering to investors and distributors, offers enhanced accessibility and functionality. All digital assets of UTI Mutual Fund are now consolidated under our digital platform, 'UTI HART', indicating our

Page 4 of 19 commitment to providing a delightful experience across all touch points.

Leveraging on the digital network, we have hosted online sessions with our fund managers on the debt and equity market outlook.

We have undertaken a comprehensive renovation of our corporate office premises, focusing on ease of comfort and aesthetics to create an appealing working environment for our stakeholders.

Over the last year, we have strengthened our focus on sustainability and responsible investing, and ESG has been deeply embedded in our investment processes and operations. We have developed sector-specific ESG framework and are continuously building capabilities for value-driven investments.

Continuing our commitment to environmental conservation, we have implemented cutting-edge processes such as biometric KYC and go-green options for selected after-sales services.

During the year, we launched UTI Balanced Advantage Fund in the month of July. The fund has an AUM of ■ 2750 crore as of March 31st, 2024. This

product launch has helped us complete our offering in the hybrid category of funds. Also, we now have five products under the smart beta category with total AUM of more than ₹ 5,500 crore . These smart beta products have helped us address the growing demand of such products in the market. Additionally, we have launched our two differentiated products, namely Nifty 5 -year and 10-year G -Sec ETFs , during the year for institutional investors. While the AUM of these funds is small, we now have two products in the upcoming category . On a group level, we are delighted to share with you

- UTI International obtained license from the French regulators for business operations in the European region through our Paris office. This will give us an on-ground presence in Continental Europe and create significant business opportunities in this market.
- Our retirement solution business has obtained a point -of-presence license from PFRDA and a NOC from SEBI. The POP license will allow UTI RSL to reach out to new pension fund investors and engage the

Page 5 of 19 services of partners to grow the business. For our AIF business, we have received SEBI approval for starting operations in GIFT City in Gujarat. This will enable foreign investors to invest in our domestic AIF funds.

- UTI AMC and UTI Investment America Ltd. have been registered with the Securities Exchange Commission , USA, and we are planning to start our operations in the USA.
- The total AUM for UTI Group has increased by 19% to ₹ 18.48 lakh crore as of March 31st , 2024, compared to ₹ 15.56 lakh crore during the previous financial year. The domestic mutual fund business has witnessed a commendable 22% growth, reaching ₹ 2.91 lakh crore against ₹ 2.39 lakh crore last year.

For further insight into UTI Mutual Fund performance and other operational updates for Q4 & FY 2024, I now invite my colleague, Mr. Sandeep Samsi, Head of Investor Relations, Marketing and Corporate Communications to provide more details .

Sandeep Samsi: Thank you, Sir. I will first take you through UTI's performance during the fourth quarter and financial year ended March 31st , 2024.

UTI MF PERFORMANCE

- UTI was able to capture a market share of 6.84% of the gross sales of the industry during this quarter and market share of 7.79% of the gross sales for FY24.
- Our Equity QAAUM for the quarter ended March 2024 stood at ₹ 84,777 crore, rising by 20% as compared to the quarter ended March 2023 .
- QAAUM for Index & ETFs stood at ₹ 1,15,448 crore , up by 39% in the fourth quarter commensurate with growth in the overall passive investment. ETFs and index funds net inflows stood at ₹ 11,682 crore .
- UTI added 1.92 lakh folios taking up the number of live folios to 1.24 crore as on 31st March 2024.
- Our SIP AUM witnessed growth of 42.95% over the corresponding quarter of the last year, reaching to ₹ 30,747 crore as of March 2024.

Page 6 of 19 •The SIP inflows for the fourth quarter stood at ₹ 1,772 crore . The SIP gross inflows for UTI MF witnessed a year -on-year growth of 5% with an average SIP ticket size of ₹ 3,164 .4 crore for March 2024.

- For the full year , the SIP inflows were ₹ 6,767 crore , higher by 5% compared to ₹ 6,463 crore in FY 23.

UTI AMC FINANCIALS

On Consolidated basis

- During the fourth quarter , the company posted a consolidated net profit of ₹ 163 crore , higher by 90% YoY and down by 12% QoQ while the consolidated revenue from operations for the fourth quarter stood at ₹ 416 crore , up by 38% YoY.
 - Consolidated core PAT for the fourth quarter is ₹ 96 crore up by 68% YoY and 22% QoQ.
 - For the full year , the consolidated net profit was ₹ 766 crore , Higher by 75% YoY and consolidated revenue from operations was ₹ 1,737 crore , up by 37% YoY.
 - For the full year , the consolidated core PAT was ₹ 345 crore , up by 8% YoY and the core revenue for the same period is ₹ 1,182 crore, which is up 5% YoY.
- On stand -alone basis

- The PAT of UTI AMC Ltd. for Q4 FY24 is ■ 151 crore , reflecting a growth of 54% YoY and 1% QoQ and core PAT for Q4 FY 24 is ■ 91 crore, up by 71% YoY and 40% QoQ .
 - The PAT of UTI AMC Ltd . for FY 24 is ■ 601 crore, higher by 41% YoY .
 - Core PAT of UTI AMC Ltd . for FY 24 is ■ 293 crore, up by 6% YoY .
- UTI Retirement Solutions Ltd.
- Our 100% owned subsidiary, UTI Retirement Solutions Ltd., has recorded a growth of 25.74% YoY in its AUM, reaching ■ 3.03 lakh crore in Q4 FY24, and currently manages 25.8% of the NPS industry AUM.

Page 7 of 19 •The PAT of UTI R SL for the full year is ■ 54 crore , an increase of 16% YoY basis .

UTI International

- UTI International, which represents our international business interest , has an AUM of ■ 27,645 crore as of March 31st, 2024, up by 27.4% YoY.
- Our international clients are across more than 35 countries. These are primarily institutions, pensions, insurance, banks, and asset managers.
- One of our flagship funds, the India Dynamic Equity Fund (IDEF) , domicil ed in Ireland, has an AUM of USD 951.77 million.
- UK International's J Safra Sarasin Responsible India Fund, an ESG -compliant India fund, has an AUM of USD 74.66 million.
- UTI India Innovation Fund, launc hed last year, has an AUM of USD 41.33 million.

UTI Alternatives Pvt. Ltd.

- UTI Alternatives Private Limited has a total AUM of ■ 1,974 crore. It has a well-defined ESG policy and strategy in place . It currently manages the following Active Debt Funds:

oUTI Structured Debt Opportunities Fund (UTI SDOF) I, for which we received SEBI approval in August 2017 and which closed in May 2019, has an AUM of ■ 132 crore . Currently, the fund is in exit mode.

oUTI SDOF II has an AUM of ■ 519 crore , and the fund is currently in the investing stage. We had received SEBI approval in February 2021.

oUTI Multi Opportunity Fund I has an AUM of ■ 763 crore . Currently, the fund is in the investing stage.

oUTI SDOF III, for which we received SEBI approval in April 2022, has an AUM of ■ 433 crore . The fund is currently in fundraising as well as an investing stage.

oUTI Real Estate Opportunities Fund I is currently fundraising and investing with commitments of ■ 127 crore.

oUTI Alternatives got a Co-Investment Portfolio Manager (CPM) license in August 2022.

Page 8 of 19 oWe have received SEBI approvals for two more funds – UTI Credit Opportunities Fund I and UTI Asset Reconstruction Opportunities Fund which will be launching at appropriate times .

We have launched a new and revamped website for our investors and distributors, and with this, we have completed the revamp of all our Digital Assets be it our Website, M obile App, & Contact Center for both investors and distributors. Accompanied by multiple new features and seamless journey, we have also introduced robo -advisory capabilities that shall cover goal planning and management, innovative calculators, risk analy zer, etc . We have launched a 3-in-1 self-service Digital KYC process riding on Aadhaar, DigiLocker, and eSign , and also extended the same for biometric -based KYC through UTI M F offices. We now have a scalable and robust architectural design to cater to nearly 0.6 million transactions per day riding on micro -service s architecture. To ensure the enterprise assets are accessed securely through a trusted network and device, we have successfully rolled out the Virtual Desktop Infrastructure (VDI) .

I would now request the Managing Director and CEO for his concluding remarks.

Imtaiyazur Rahman: We will go for Q&A now.

Moderator: Sure, sir. Thank you very much, sir. We will now begin the question -and- answer session. The first question is from the line of Swarnabha Mukherjee from B&K Securities. Please go ahead.

Swarnabha Mukherjee: I have three questions from my side. The first one is on the standalone business. There is an expansion of yields that we see. I just wanted to understand the levers of the trend. Is it only because of a higher mix of equity, or is there anything else to lead to that? That would be the first thing, sir.

The second is on the SIP flows . The run rate has improved in the current quarter. How are you seeing that as we have moved into Q1 FY25? And I just wanted to understand from your side how the flow share would be across the

Page 9 of 19 distribution channels, the direct vis -à-vis the other intermediate channels, and what kind of engagement you might be having to drive this .

And thirdly, on the expenses part, sir, if you could highlight what led to the increase in the sequential increase in the employee benefits expense and also if there could be any additional expense from the Paris office side in the consolidated entity ? Other expenses have remained fairly steady over the years. Any comments on that ? How big could the impact be?

Vinay Lakhotia: I'll take the question on the yield as well as on the expenses side, and Sandeep will take on the SIPs and the marketplace. On the yield , there has been a yield improvement across all categories of the fund s, apart from equity and hybrid. We are seeing this improvement in cash and arbitrage funds around 2 bps. In the income fund also, around 1.5 bps of yield improvement is there . On the equity and hybrid funds , the yield improvement is close to around 5 bps, primarily because of two factors. First of all, normally we estimate the commissions , basis our understanding of the business mobilization. The actual payout could be more or less. As you are aware, any scheme expenses cannot be charged to AMC, so if there is any underestimation or overestimation of commission, the differential is adjusted in the management fee. There has been some increase in the management fee on account of overestimation of commission.

Secondly, as you are aware, the B30 accrual commission was stopped by SEBI in February 2023. Whatever business we mobilized until February '23, the commission was required to be paid for a one-year additional trail commission. Since the accrual has stopped for those businesses, that impacted our yield in the first three quarters for equity and hybrid funds . And in fourth quarter , since we are not required to pay any commission as the one-year period has already ended, that has also improved our AMC yield under the equity and hybrid category of the fund.

Coming to the expenses, there has been an increase in the employee cost by close to ~10%, both on a sequential as well as on a year -on-year basis. It is

Page 10 of 19 primarily because of two factors. One is the one -time expense on account of gratuity . Because of actuarial valuation, it increase d was by around ■ 5.5 crore . Also , the insurance cost also has marginally gone up by ■ 2.5 crore during this quarter.

Apart from that, there has been an increase in employee expenses of UTI International. As Mr. Rahman rightly pointed out, we are expanding our business in the international fund, both in the European market as well as in the North American market. Because of that, we have seen increased employee expenses . For UTI International, there has been a slight increase in employee expenses of close to ■ 3 crore on QoQ basis . The other expenses are almost flat, and we believe that this run rate should continue going forward as well.

Swarnabha Mukherjee: Sir, a quick follow -up on the yield part. I wanted to just ask that, as you mentioned, this quarter we are seeing some overestimation of commission, possibly in the previous quarter, right? This is my understanding, correct?

Vinay Lakhotia: Yes.

Swarnabha Mukherjee: So, from Q1 FY25 , how should we look at it? Will it go back to the earlier range?

Vinay Lakhotia: We are continuing with the same rate. So, almost 76 bps will be there for equity and hybrid funds . So, we start the year with the same rate.

Swarnabha Mukherjee: Okay. And for the other categories, the increases that you highlighted, should we take that into account going forward ?

Vinay Lakhotia: Yes.

Swarnabha Mukherjee: Understood.

Sandeep Samsi: Swarnabha , on the SIP inflows, as we mentioned, we have seen improved inflows and we are further taking a number of steps to further improve our inflows in this category. One is the kind of effort that we are taking with our

Page 11 of 19 distribution partners across the country . Even more so in the smaller cities, where we are seeing significant traction for our funds. What we are trying to do is try to pitch new products . We have different product categories that we launched, like the Balanced Advantage Fund, which we launched last year. We are also targeting the new generation of investors who look at more of these

index funds.

That has also helped us to improve our SIPs. These are the steps that we are taking and we will continue further to take these steps. On the direct versus the distribution mix, it is similar to what it was in the previous quarter, Equity and hybrid, which is the right parameter to look at it because the distribution plays an important role in the distribution of equity and hybrid funds; that ratio remains similar. 30% is direct, while 60% to 70% comes from the MFD.

Imtaiyazur Rahman: We are extremely focused on enhancing our engagement with our distributors. We have a very deep relationship with the banks as a channel for distribution. We are further enhancing our relationship with the top thousand distributors across the length and breadth of the country. As far as the Paris office is concerned, we are not expecting any further expenses to be incurred.

Swarnabha Mukherjee: Just one clarification, sir, on the distribution mix that you mentioned. That is for the flow. Would that be a correct assumption?

Sandeep Samsi: That is for the AUM, but for the flows as well, it is very similar.

Moderator: Thank you. We'll move on to the next question, which is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir, the first question is, as you mentioned on the yields, can you repeat the numbers on the cash and arbitrage, and as you mentioned on the debt stream, what were the yields and how much expense for the group?

Vinay Lakhotia: So, cash and arbitrage, yields have improved from 9 to 11 bps, and on the fixed income from 21 to 22 bps.

Page 12 of 19 Lalit Deo: On the flow side, while we are taking steps to increase our flows across channels, but then on the net sales side, and on the equity side, we are still seeing some pressure on redemption. Right? Could you highlight what the gross sales were during the quarter in the equity and hybrid category?

Vinay Lakhotia: So, gross sales for Q4 FY24 were ₹ 2,981 crore in equity and hybrid category.

Lalit Deo: Lastly, any new product pipeline or any new product you are looking to launch in FY25?

Sandeep Samsi: Yes. We are planning to launch a Multi Cap Fund during the year, and we are also looking to further innovate in the passively managed space as well as thematic funds. We have, of course, continuous efforts to launch new products, and as and when the market cycle and timing is right, we will launch new products.

Moderator: Thank you. We will take the next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just firstly on the yield front, the improvement in the equity and hybrid category you said it was 5 bps. Am I correct in saying that maybe on a sequential basis?

Vinay Lakhotia: Yes.

Prayesh Jain: So, out of that, how much of that would have come from the B30 because that would have been only for one month, right?

Vinay Lakhotia: No. That particular payout impacted our margins for three quarters. It is not possible to give a break up of how much is because of the commission saving and how much is on account of B30.

Prayesh Jain: Because until February, you would have paid the commission, and it is from March that the commission would not have paid. That is the reason I was coming from that point that whether the rates that you have mentioned are the exit rates, so the 5 bps are on an end-to-end basis or on an average basis?

Page 13 of 19 Vinay Lakhotia: It is on an end-to-end basis.

Prayesh Jain: End-to-end. So, this can sustain basically whatever you are mentioning.

Vinay Lakhotia: Yes.

Prayesh Jain: And secondly, sir, there is an improvement in the yields on the international side as well, right? Again, for the sustainability of the same, could you just help us understand the same?

Vinay Lakhotia: Yes. In international business, we are investing heavily and are in the process of launching a few funds as well so we believe that on international front the yield should actually improve. This is an area we are investing heavily in, so we are promoting two new products over there, India Innovation Fund as well as Private Credit Real Estate Fund. Both of these funds have a slightly better margin, so we do believe that overall revenue as well as the margin number should improve for UTI International as well going forward.

Prayesh Jain: Sir, we have seen very high volatility in this yield internationally; for example, in Q4 FY23, it was 0.57%. It has now continuously declined until Q3 FY24, and now we have seen some improvement. What was the reason for this

continuous decline and now a recovery? Is the mix changing, or what is driving this improvement in yields after four quarters of consistent decline?

Vinay Lakhotia: There was a slight asset mix change as well. During September quarter, we have witnessed some of the redemption in our flagship fund which are the IDEF category and significant inflows have come into our fixed income fund. That brought volatility into the yield number. But we are focusing very heavily on the equity category of the fund and going forward, we believe that overall margin number should improve.

Prayesh Jain: And sir, from an expenses standpoint, how should we look at employee expenses for next year?

Vinay Lakhotia: Very similar to whatever the growth rate has been there for the current year, maybe on a standalone basis, the increase could be around 2 %-3%. On a

Page 14 of 19 consolidated basis, the increase could be slightly higher because we are investing in all three lines of business. For UTI International, I have already mentioned. UTI Alternative is also we are strengthening our team since we are launching two or three new funds over there. And for UTI RSL also, we are expanding our team to grow our private pension business as well as POP business. So, on a consolidated basis, the number could be 100 and 150 bps higher than the standalone number.

Prayesh Jain: And last question on the tax rate. Could you guide for FY25? What would be the tax rate?

Vinay Lakhotia: I think it should be in the range of 22 %-23%.

Moderator: Thank you. The next question is from the line of Mohit Mangal from BOB Capital. Please go ahead.

Mohit Mangal: I have three questions. First, on the dividend, I think you have given a special dividend. Going forward, should we expect the same 55 %-60% dividend payout ratio?

Imtaiyazur Rahman: As far as dividend is concerned, we have a policy that we always pay a minimum 50% dividend to our investors. Last year, we paid around 66%. This year, 66% or 67% we have maintained for the current financial year, and we have given an additional dividend and 100% of our profit we have distributed to our investors.

Mohit Mangal: Next, in terms of the flow, apart from the equity, we saw liquid also seeing net outflows this quarter. What are the major reasons for that?

Imtaiyazur Rahman: For liquid funds, most of the banks go for the exit and therefore there was an outflow. It comes back on the first or second day of the next financial year. So, it is a quarter on quarter problem, and which all AMCs face.

Mohit Mangal: In terms of the live folios, I think we grew from like 1.22 crore to 1.24 crore. I think any strategy over there, if we could increase the live folios, I mean, any

Page 15 of 19 particular strategy, that's basically been stable for the last two quarters. Any strategy where we can increase the live folios?

Sandeep Samsi: Yes. We are trying to increase our live folios, as we mentioned that we have invested in our digital assets. We have also invested in our partnership, as Mr.

Rahman mentioned that we are deepening our relationship with the top thousand mutual fund distributors across the country. We are trying to increase our presence both digitally as well as physically on the ground. Through the SIP flows and partnerships, we are looking to increase the number of folios that we have. Currently, we have 1.24 crore of live folios, and we are confident that we will be able to add more SIP folios as well as normal folios to our accounts.

Moderator: Thank you. We'll take the next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: The first question is a clarification on the balance sheet. What we noticed was that there was a movement between September and March from property, plants, and equipment to investment property. So, if you could just explain that, please?

Vinay Lakhotia: We own UTI Tower. In UTI Tower, we have leased out three floors to NIIF Ltd., and as per the accounting standard, if any of the property is leased out, it needs to be reclassified from building to investment property. So, it is just a reclassification of an asset; the overall property remains the same.

Abhijeet Sakhare: Sir, the second question going back to yields. If you could just help us, like sequentially, what has been the movement in overall equity and hybrid funds? Is this 5 basis point movement from quarter start to quarter end?

Vinay Lakhotia: Yes, 5 basis point is the movement on a sequential quarter basis.

Abhijeet Sakhare: And the last question is that on the flows, like the general slowdown on

outflows, can you just give some color around , whether it is like 1 or 2 large funds that are driving it and whether the rest of the smaller funds are actually

Page 16 of 19 seeing some level of inflows, or whether this behaviour is more or less spread across all the top 5-6 funds ? Something on that will be helpful.

Sandeep Samsi : Yes, Abhijeet, if you see, we have good performance both in our hybrid funds as well as income funds. Also , in our passive funds, we have the lowest tracking error in the industry , and this has helped us to build traction. In our equity fund, some of our larger schemes had a quality growth bias, and we are confident about their ability to perform over a full market cycle. Our value -oriented strategies have shown good performance, and we are able to capitalize on the performance in terms of market share for these funds. We have also fine -tuned our go-to-market strategy for the overall equity fund s. As you would know, we have a strong position in B30 cities, and we remain focused on growing our share in these cities. As I already mentioned, we have also revamped our digital assets , and we are getting good traction on these digital assets. And again, we have plans to launch funds across multi -cap fund , passively managed space and thematic funds. So, these are all the efforts that we are taking to improve the performance and market share of equity funds.

Moderator: Thank you. The next question is from the line of Dipanjan Ghosh from Citi Group. Please go ahead.

Dipanjan Ghosh: Firstly , a data -keeping question, can you spell out the ESOP expense for the quarter and year for the stand -alone and consolidated entities? Secondly, on your equity outflows that you have seen during the quarter and year. If you can give some color on if there is a dominance of any particular channel or particular geography, be it B30 or any customer type, like HNI, where you are seeing relatively more outflows, some color on the quality of the outflows and also on the fresh gross sales , that are you seeing in the equity and hybrid category?

And lastly, if I look at your other expense number, given that you'll be launching a plethora of funds next year, be it multi -cap or on the passive side or also on the thematic side, how should one think of NFO related expenses in your other expense going into FY25 -26? Those are my questions .

Page 17 of 19 Vinay Lakhota: For ESOP, I will provide you with the full year number. On the AMC, the ESOP cost was around ■ 13.14 crore. At a consolidated level, it's around ■ 16.8 crore. And for the next year, as of now, if you don't issue any further ESOP, the next -year cost will be ■ 4.5 crore on the AMC and roughly around ■ 5 crore at the consolidated level.

As far as NFO is concerned, in terms of thematic or an index fund, we don't foresee much of that expenses on the NFO side because those will be soft launches. The multi -cap fund, as and when we launch, there could be some amount of one -time advertisement expenses being charged. But we are cognizant of the cost and that number will not be that sizable.

Sandeep Samsi : On the equity flows, we had seen some redemptions from the banks and the national distributors. But equally, there are other products that are doing well and we have seen inflows coming from the same channel. So, net -net, it is similar.

Dipanjan Ghosh : Just if I can squeeze in one question on the yield part, if I understand correctly, there was some overestimation of commissions , and when the actual cash flows were compared with the estimations, you reported yield improvement.

So, theoretically speaking, when you start from April 1 or if you look at Q1 FY25 , it should be on a normalized basis, on the correct estimation basis. So, should 35 bps , or whatever blended yield you have kind of booked in the standalone business for Q4 FY24, be the right benchmark to start with?

Vinay Lakhota: Yes, the 34 bps is the right benchmark , and this yield estimation and comparison is being done on a quarterly basis itself. But we need to be cognizant of the fact that no scheme expenses can be charged to AMC.

So, normally, it has to be on a conservative basis. If any upside is there, it gets adjusted in quarter four. But 34 bps is the right number to start at the beginning of the financial year.

Moderator: Thank you. The next question is from the line of Pratham Shah from PD Exports . Please go ahead.

Page 18 of 19 Pratham Shah : Yes. Good morning. I had a question regarding the stake sale of PNB, Bank of Baroda , and SBI. There were some reports that they wanted to sell their stake.

So, is there any progress on that?

Imtaiyazur Rahman: No, we don't know anything about that , and we can't offer any comments on

this. This is their matter, the shareholders' matter. And we, as management, have no role to play in this.

Moderator: Thank you. The next question is from the line of Ajay Jain from Makarand Invest. Please go ahead.

Ajay Jain : Wonderful figures, sir. Congratulations on that. While going through your investor presentation, slide # 38, which is the consolidated statement of P&L, can you please throw some light on net gain on fair value changes? Because in FY23, it was ₹ 99 crore, and in FY24, it is ₹ 500 crore. I presume it has something to do with the market valuations of shares or the investments that you have made. But can you please let us know? Because the figure is a huge difference. Going forward, what do you feel of the same?

My second question is on the sale of services. We have 5% growth right from FY23, ₹ 1,131 crore to ₹ 1,182 crore. Going forward, what do you feel of this?

Vinay Lakhotia: So, I'll take the question of net gain on fair value changes. So, as you are aware in the investor presentation we have mentioned, we have a total consolidated investment of around ₹ 3,833 crore. Out of that, almost around ₹ 737 crore is invested in the hybrid category funds of UTI, ₹ 709 crore is invested in the equity category, and almost ₹ 557 crore is invested in the equity /hybrid schemes of UTI International. These are equity -oriented schemes, and as you are aware, the market during the last financial year has given a return in excess of ~29%, I am saying for the NIFTY.

So, because of that, there has been a mark -to-market appreciation, which has significantly increased the fair value change number. On the management fees, yes, the 5% growth is there, and we are hopeful that with the growth in the AUM, especially in the equity and hybrid categories, we should be

Page 19 of 19 witnessing a positive growth in the management fees as well during the next financial year.

Ajay Jain: Sir, do you feel it would be greater than the current 5% growth?

Imtaiyazur Rahman: Yes, we believe in that. Yes, we are quite confident.

Ajay Jain: And as I understand, the second, fair value change is basically the market improvement in the investments, equity investments, which you've done. Sir, just how do you feel about going forward with this particular assignment? This is the major income that we are earning, and it makes a lot of changes to the profit and loss account. So, what are your views on it going forward, sir?

Imtaiyazur Rahman: See, we can't give any forward -looking views on the market appreciation. We will give you quarter -on-quarter details when it comes. Please wait for some more quarters.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Imtaiyazur Rahman for closing comments. Over to you, sir.

Imtaiyazur Rahman: Thank you very much for joining this call. I wish all of you a great financial year and a nice weekend. Thank you so much. Thanks, Sandeep, Vinay, and Surojit, for joining me. Thank you.

Vinay Lakhotia: Thank you.

Sandeep Samsi: Thank you, everyone.

Moderator: Thank you, members of the management. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with the Adfactors Investor Relations team. Once again, thank you for joining us. You may now disconnect your lines. Thank you.

Call: Oct 2024

Information Classification: UTI AMC - Public Ref. No.: UTI/AMC/CS/SE/2024-25/0481 Date: 29th October , 2024
National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.

Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference call on financial performance of the Company for the quarter and half year ended 30th September, 2024

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars, we are forwarding the transcript of the earnings conference call held on Saturday, the 26th October, 2024 at 1100 hrs IST on the financial performance of the Company for the quarter and half year ended 30th September, 2024. The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

T

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar

Company Secretary and Compliance Officer

Membership No.: ACS 21577

Encl: As above

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UTI Asset Management Company Limited

Q2 & H1 FY25 Earnings Conference Call

October 26, 2024

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q2 & H1 FY25 Earnings Conference Call.

From the management, we have with us Mr. Imtaiyazur Rahman – Managing Director & Chief Executive Officer ; Mr. Vinay Lakhotia – Chief Financial Officer & Head of Corporate Strategy, Mr. Surojit Saha – Group Financial Advisor and Mr. Sandeep Samsi – Head - Investor Relations, Marketing & Corporate Communication. We also have with us the Investor Relations team from Adfactor s PR.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the *, then 0 on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risk and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier.

I will now hand the conference over to Mr. Imtaiyazur Rahman for their opening remarks.

Imtaiyazur Rahman: Thank you so much. Good morning to all of you for joining us today as we review our operational and financial highlights for the half year ended 30th September 2024 as well as quarter ended as on date. We have uploaded our investor presentation on our website as well as on the stock exchanges website. I am quite confident this information must have been read by all of you. We are all here to clarify any doubts that you may have about our operations. I have with me , my distinguished colleagues, Mr. Vinay Lakhotia, CFO of the Company and Head of Strategy ; Mr. Surojit Saha, Group Financial Advisor of the Company and Mr. Sandeep Samsi, Head - Investor Relations , Marketing as well as Corporate Communications. We will be appraising all of you on the operational details of our company.

I am pleased to mention that India's economy continues its growth driven by robust domestic demand, rising private capital expenditure and vibrant service activities. Manufacturing sector outperformed in early 2024 aided by lower input cost with growth stabilizing at 6. 7% in quarter two. The IMF and World Bank both projected 7% growth for

our economy for the financial year

2025, supported by a rebound in agriculture and strong private consumption. The Reserve Bank of India maintains a 7.2% growth forecast of our economy. We are the fastest growing economy in the world.

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Let me share the insights about the mutual fund industry. Mutual fund industry is extremely transparent and the required information is already available in the mutual fund industry or AMFI website as well as the details which we have provided in our presentation.

The Indian mutual fund industry has witnessed remarkable growth in recent times, much of which can be attributed to the retail investors. The aggregate folio count as of September 2024 is 21.05 crore as against 15.71 crore a year ago, indicating an increase of 34% on year-on-year basis. The assets under management of the mutual fund industry saw a significant increase. The average AUM of the industry as on 30th September 2024 was ₹ 67.09 lakh crore, a growth of 44% over September 2023 and the figure was ₹ 46.58 lakh crore as on September 2023. The increase in investment under SIP has helped the industry to grow. The AUM under SIP touched a new milestone of ₹ 13.82 lakh crore in September of 2024. The monthly inflows under SIP are seeing a steady rise with 66.39 lakh new SIP accounts being added in September itself, taking the total count to more than 9.87 crore SIP folio holders. The growth can be credited to various factors including investor confidence, financial literacy initiatives and enhanced awareness especially in the cities beyond top 30, and a noticeable shift from traditional savings to new investment avenues. It is pertinent here to mention that mutual fund industry is playing a very significant role in India's economic growth.

Let me share with you about UTI AMC. Our total assets under management of the group stood at 20.16 lakh crore as of 30th September 2024 compared to 16.89 lakh crore in the same period in the previous year. The UTI mutual fund quarterly average AUM accounted for ₹ 3.43 lakh crore reflecting a growth of 28% from ₹ 2.67 lakh crore a year ago and ₹ 3.11 lakh crore as of 30th June 2024. This significant increase can be largely attributed to our focused go-to-market strategy that aggressively promoted all categories of funds.

Friends, in addition to our strategic focus on product categories, we have expanded our investment research universe, which has been instrumental in consistently improving the performance and competitive ranking of our various schemes. Notably, the fixed income category has witnessed a marked revival in recent months, which has further helped in growth of our AUM. The strategic approach has enabled UTI AMC to sustain its upward trajectory, delivering value to all our stakeholders. Regarding launch of funds, we are also focused on launching new products as needed by our investors.

During the quarter, we successfully launched the UTI Nifty 200 Quality 30 Index Fund and the UTI Nifty Private Bank Index Fund, both performing well in their respective index fund categories. We now offer 15 products under the Index Fund category with closing AUM of ₹ 36,505 crore as of September 30, 2024. Geographically, our stronghold is in beyond 30 cities and we are extremely strong there. Our AUM flow is close to 21% monthly average AUM which is higher than the industry average of 19%. To further capitalize on the emerging opportunities, there is a lot of focus on expanding and strengthening our distribution network. UTI has been constantly planning interventions like dedicated training and workshops to equip them with necessary knowledge and skills to navigate the evolving financial landscape. UTI AMC has been

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at the forefront of investor education drive to create awareness about the mutual fund category with our flagship program, UTI Swasthata. In the first half of September

2024, the

company has held 383 Investor Awareness Program reaching out to 31,000 investors. Out of these, 115 sessions were specifically for women investors, engaging more than 5,000 participants. A targeted educational campaign was also conducted for teachers focusing on retirement planning.

Regarding digital assets, we are pleased to inform you that we are constantly augmenting our digital assets and processes to provide best in class technology with top-notch safety standards across our network. UTI is known for its culture and employees' welfare. Many initiatives and processes have been put in place to create a conducive environment for our team within the country and in our overseas offices.

Technology upgrades are being implemented to streamline operations, enhance performance monitoring, and improve client servicing.

Let me now share with you about our subsidiaries.

First of them, UTI International:

UTI International has opened a new office in New York. U.S. presents significant opportunities, offering large pool of institutional capital. Our existence in this market provides us with a

unique opportunity. We have undertaken significant steps for the growth of this business. This has led to high employee and administrative costs. But these are critical steps for market expansion, operation upgrades and product development from a medium-to-long-term growth perspective. I am confident that our investment would be extremely fruitful in our future growth. A dedicated push for brand building along with the product distribution is planned for long-term sustainability and AUM growth. These relationships will serve as catalysts for potential future inflows as our track record of India focused investment differentiate us from other global peers.

We are actively hiring professionals in key geographies to accelerate business development. The Middle East is driven by sovereign wealth funds and institutional investors seeking global diversification, offering another important growth avenues. And therefore, we are upgrading our regulatory license in DIFC to give us greater flexibility to offer investment advisory services. UTI Pension Funds Limited :

UTI Retirement Solutions Limited was renamed as UTI Pension Fund Limited at the beginning of this financial year. After obtaining a POP license from PFRDA and NOC from SEBI, we opened 16 branch offices across Bharat. We are in the process of building a strong sales & distribution team for NPS in order to grow our market share in the private sector. I am extremely delighted to share that UTI PF L fund performance during financial 2024 has been commendable. We have

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been ranked number one for the central government scheme and as well as for the state government scheme.

Our other subsidiary, UTI Alternatives :

We intend to dive deeper into existing business territory along with expanding into new ones simultaneously. Between financial year 2021 and half year September 2024, we saw high employee cost. This is due to the increase in hiring of good business executives.

During the same period, management fees income has also increased. Therefore, we can say with all confidence that the employee cost has increased commensurately with the growth of the business, and it provides us a great business opportunity in future. Sales function in this organization will continue to operate on lean models, and we will leverage on our distribution network largely. For sales support, we may also explore some tie ups. SDOF -I and SDOF -II expected to be fully closed. Existing funds which are currently in fund-raising mode will be entering their financial close soon.

Friends, at the group level, we are delighted to share that our subsidiaries are well capitalized. I would like to highlight that in UTI Group, our focus continues to be on :

- One, launching appropriate new products in all business lines.

ess lines.

- Two, increasing our geographical expansion.
- Three, investing in hiring and upskilling our human capital for the entire group.
- Four, investing in digital resources for the entire group.
- Five, enhancing the governance practices globally of the gold standard.
- Six, having robust risk management processes globally.
- Last but not the least, building a strong mechanism for strict compliance and regulation.

For further insight into UTI AMC's performance and other operations, update for Q2 and H1 of financial year 2025, I now invite Mr. Sandeep Samsi, Head of Investor Relations, Marketing & Corporate Communications to provide the details of our operations. Over to you, Sandeep and thank you.

Sandeep Samsi: Thank you, sir. I will first take you through UTI AMC performance during the 2nd Quarter and half year ended 30th September 2024. UTI had a market share of 6.2% of the total gross sales of the industry during this quarter and market share of 6.6% of the total gross sales for the H1 FY25. Our equity quarterly average AUM for the quarter ended September '24 stood at ₹ 98,638 crore, rising by approximately 26% as compared to the quarter ended September '23. Quarterly average AUM for index and ETF stood at ₹ 145,135 crore, up by 47% year-on-year in the 2nd Quarter. ETFs and index funds net inflows stood at ₹ 6,022 crore in quarter two of FY25.

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UTI Mutual Fund has added 4 lakh 7 thousand folios during the quarter, taking up the number of live folios to 1.29 crore as on 30th September, 2024. Our SIP AUM witnessed a growth of 50.26% over the corresponding quarter of last year, reaching 39,882 crore as of September '24. The SIP inflows for the 2nd Quarter stood at ₹ 2,058 crore. The SIP gross inflows for the 2nd quarter for UTI Mutual Fund witnessed a year-on-year growth of approximately 25%, with the average SIP ticket size being ₹ 3,297 on September '24. For the half year, SIP inflows were ₹

3,907 crore, higher by 18.42% as compared to ■ 3,300 crore in the H1 of FY24.

On UTI financials on consolidated basis.

During this 2nd Quarter, the company posted a consolidated net profit of ■ 239 crore higher by 31% year-on-year and down by 6% quarter-on-quarter, while the consolidated core revenue from operations stood at ■ 373 crore higher by 28% year-on-year and by 11% quarter-on-quarter.

The core profit after tax for the 2nd Quarter was ■ 132 crore, higher by 50% year-on-year and 14% quarter-on-quarter. For the half year, the consolidated net profit was ■ 493 crore, higher by 18% year-on-year and consolidated core revenue from operations was ■ 710 crore, up by 24% year-on-year.

On a standalone basis, PAT of UTI AMC limited for Q2 of FY25 is ■ 201 crore reflecting a growth of 50% on a year-on-year basis and 8% on quarter-on-quarter basis. PAT for H1 FY25 is ■ 387 crore, higher by 29% YoY. The core profit after tax for the 2nd Quarter was ■ 116 crore higher by 65% YoY and 17% QoQ. The core profit after tax for H1 FY25 is ■ 214 crore higher by 54% YoY.

On HR initiative, as part of its commitment for continuous learning, we successfully rolled out a new learning management system called UTI Pragati. This platform provides employees at all levels with opportunities for ongoing development and training.

On tax-related matters, we would like to highlight an important aspect on the additional deferred tax liability created in Q2 FY25 for ■ 12.10 crore. As per the Indian accounting standards, we mark-to-market our treasury investment every quarter and create deferred tax liability on the notional gains. Till June '24, we had created deferred tax liability at a prevailing tax rate then, including indexation benefits. However, the capital gains tax rate has been changed in the union budget of 2024, including the change of tax rate for equity-oriented mutual funds to 12.5% and the indexation ben

efits have also been removed. Accordingly, we have recomputed the deferred tax liability on all the past M2M gains at the new rate. As a result, the deferred tax liability recorded on fair value gains on the investment as of June '24 has increased by ■ 12.10 crore, thereby resulting in an additional one-time charge in the net profit of the company as on September 30, 2024.

Coming to the Group Company :

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UTI Pension Fund Limited

Our 100% subsidiary, UTI Pension Fund Limited has recorded a growth of 24.64% year-on-year in its AUM reaching approximately ■ 3.36 lakh crore as of 30th September '24 and currently it manages 25.12% of the NPS Industries AUM. The PAT of UTI Pension Fund Limited for the first half of the year is ■ 29 crore, an increase of 16% year-on-year.

On UTI International :

UTI international represents our international business interest and has an AUM of ■ 29,814 crore as on 30th September 24, up by 23.16% year-on-year. Our international clients are across more than 40 countries. These are primarily institutions, pensions, insurances, banks and asset managers. One of our flagship funds by India Dynamic Equity Fund, domiciled in Ireland, has an AUM of USD 1,136 million. UK International J. Safra Sarasin Responsible India Fund, an ESG compliant India Fund has an AUM of USD 76 million.

UTI Innovation Fund launched last year has an AUM of USD 56 million.

UTI Alternatives Private Limited:

UTI Alternatives Private Limited has an AUM of ■ 2,856 crore. It has a well-defined ESG policy and strategy. It is committed to responsible investing. UTI SDOF -II & III have a well-defined ESG policy and strategy. It currently manages the following active debt funds :

- UTI SDOF -I received SEBI approval in August 2017 and has final close in May 2019. It has a net commitment of ■ 71 crore and is in the exit stage.

- UTI SDOF -II received SEBI approval in February '21 and had the final close in May '22. It had net commitments of ■ 467 crore and is currently in exit stage.

- UTI SDOF -III received SEBI approval in April '22 and has a net commitment of ■ 540 crore. It is currently in fund raising and investing stage.

- UTI Multi Opportunities Fund -I, which had SEBI approval in February '22, has net commitment of ■ 1,598 crore. It is currently in the investing stage.

- UTI Real Estate Opportunity 1 is currently fundraising and investing with commitment of ■ 130 crore.

- UTI Alternative got Co-investment Portfolio Managers (CPM) license in August 2022.

- We have launched two more funds in Credit Opportunity Fund -I and UTI Asset Reconstruction Opportunities Fund.

We have three more funds registered in GIFT city which will be launched soon.

Just an update, UTI Venture Fund has been renamed as UTI Hart Financial and Investment

Services Limited.

I would now request the Managing Director & CEO for his concluding remarks .

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Imtaiyazur Rahman: Thank you , Sandeep for sharing operational and financial updates of the company for 2nd Quarter and the first half of Financial Year 2024 -25. With this , we would like to open the forum for questions -and-answers session.

On behalf of UTI AMC, we wish you, your family a very happy Diwali and prosperous New Year.

We would also like to wish our partners, investors and other stakeholders and to all Indians wherever they reside a happy Diwali. Thank you very much for joining this call. Over to you.

Moderator: Thank you very much sir. We will now begin the question -and-answer session. The first question is from the line of Dipanjan Ghosh from Citibank. Please go ahead.

Dipanjan Ghosh: Just two - three questions from my side. First, a data -keeping question. If you can quantify the ESOP expense for the first half for the standalone and consolidated business . Second, you know, we have heard in the conference call of some of your peers that they hav

e either

tweaked the renewal payout structures on the back book in some schemes or incremental flows that come in, they are going for a differentiated renewal payout structure for the flows that incrementally are coming in. So, just wanted to check, have you undertaken any such change either on the back book or on fresh flows? And also, as a philosophy, do you kind of concur with this view? And my third question is mor e from the perspective of U TI Pension. So, just wanted to understand how the yield trajectory or the realizations in this segment are really structured and how do you foresee it going ahead.

Vinay Lakhotia : So, Dipanjan , on the ESOP expenses, we have expenses close to around ■ 3.5 crore for half year and for the whole of the financial year, the number should be in the range of around ■ 5 crore only.

Dipanjan Ghosh: Just wanted to s ay if this one is standalone or consolidated basis ?

Vinay Lakhotia : It is the same only. On the stock AUM , as far as the commission is concerned, no, we haven't carried out any rationalization of commission expenses on the stock AUM . On the fresh inflows, anyway, we are calling marginal expense ratios a policy where only on the sharing ratios on the incremental inflows is shared between us and the AM C. So, on an incremental inflow, that has been our policy over the last four to five yea rs. But on the stock AUM , no rationalization has taken place. And the third question with respect to pension fund, the gross f ees is close to around 3 basis points. And as you are aware, 50% of the fees is required to be paid back to PFRDA for development of pension fund. So, on a net basis, the incremental fees is close to around 1.5 basis points.

Dipanjan Ghosh: I just wanted to follow up on the second question on the marginal sharing fund. So, let's say a distributor sells a large cap fund or some other fund of yours, let's say the gross expense ratio on the fresh inflow for the year is, whatever, let's say around 1.75%. And on that, on the first year, you will have a certain payout and then you will have a certain distributor renew al payout also. But as the A UM goes, obviously, your gross expense ratio keeps coming down. I

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understand you're trying to say is that it's like a proportion of sharing. So, if the gross expense ratio comes down then on the year two, year three, year four onwards, also the percentage sharing between you and the distributor remains same and the sliding structure is followed. Is that a correct understanding on the fresh flow?

Vinay Lakhotia : Yeah, that's correct. But normally it happen s that the second and the third year commission in many of the cases are on a lower side as compared to the first year commission. So, even though the arrangements are also there, as of now, we haven't reduced the commission on the stock AUM . That exercise we have not done.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: First question is can you give us your s egment wise yields , revenue yields for quarter -on-quarter basis across equity , debt & ETF ? Second question was more from the flow perspective.

So, again in this quarter we have seen some outflows in our core equity scheme. So, if you could give us some color on the gross flows as well as some color on the outflow redemption side also ? And the third question was on the expenses side. So, how should we see our employee s expenses for this year as well as the next year?

Vinay Lakhotia : So, on the yield part, I can say for equity and hybrid fund, it's close to around 75 basis points. ETF and index fund is roughly around 6 -7 basis points. Cash and arbitrage is around 10 basis points and income fund at around 20 to 21 basis points. With respect to your, I think second question, Sandeep will reply. And the third question was with respect to the cost part

. So, the

employee cost, I think what we indicated in our earlier call also, employee cost for standalone basis, you can see a rise of just around 2%-3% on the FY24 number. And on the other admin expenses, the range, the increase would be around 8 %to 10 %.

Sandeep Samsi: Our equity funds have shown steady improvement in the performance and peer ranking over the last 6 months. And if you look at our performance on a one -year basis, 11 out of our 18 equity funds are now in the quartile 1 and 2. And if you look at my March numbers, they were about 6. So, from 6, we have moved up to 11. As mentioned earlier, many of our equity funds had a focus on quality style of investing for the portfolios, whereas the value style was preceding over quality in the last three to four years, which somehow impacted our performance. The turnaround of our fund performance should help us to build the momentum for a sustainable growth both in terms of assets and market share. Given the current market condition and volatility, we have been following our hybrid funds as the go -to-market strategy with a lot of thrust via sales campaign. This has led to some impetus to the performance. And if you look at our SIP AUM, this has grown by more than 50% to ₹ 39,882 crore as on the Y oY basis. And our gross sales of the market share was 6.2% for the quarter 2 and 6.6% for the half year.

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Vinay Lakhota : So, and just to add Lalit, I think we are doing fairly well as far as the hybrid category is concerned. In fact, for the half of the financial year, we are mobilizing excess of close to around ₹ 2,500 crore on the hybrid category. So, this is one category we are actually focusing on and receiving good amount of inflows. And as Sandeep rightly pointed out, I think for the next two quarters, we should see some traction as far as the equity inflows are concerned.

Moderator: Thank you. The next question is from the line of Mohit from Centrum India. Please go ahead.

Mohit: Sir, my first question is if I look at the last 3 to 4 quarters, the number of branches and employees have reduced. You know what could be the reason for this?

Vinay Lakhota : The number of branches in fact has increased by close to around 24 branches because last year we opened 29 branches; however, there have been some rationalizations of branches where the AUM doesn't justify the branches, so we have closed 5 branches. But net addition as compared to last year has been 24. The headcount of employees has actually come down because of natural retirement that is happening.

Mohit: But sir are we going to fill this and will this have an impact on the employee expense, the number of employees?

Vinay Lakhota : Already for retirement, we have already explained earlier that we have recruited the management trainees over the last 2 to 3 years and they are being groomed to take some of these leadership positions. So, no new additions are to the employees' expense per se as of now.

Mohit: Alright. In terms of the market share, I think again we saw a minor decline in this quarter as well. So, are there any immediate steps that you're taking in terms of changing in responsibilities of any fund managers or something to gain more market share especially on the equity side?

Imtaiyazur Rahman : We are collectively working to increase our market share. Our fund performance is on the right side and right direction. We as a team, the investment, CEO office, as well as the distribution, we are working with our stakeholders to take our equity schemes to the market. And we are rightly placed to go to the market so far equity schemes are concerned. And that will help us to basically contain our decline in the market share and increase in market share. You have seen the other segment, we have increased our market share and I'm quite confident that on the backdrop of better performance and right product po

sitioning and with the go -to-the

market strategy, we will be in a position to gain our market share.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

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Abhijeet Sakhare: Sir, I have three questions. The first one is on the yield. Just wanted to clarify, you mentioned 75 basis points on the active equity funds, including hybrid. Just wanted to know what would this number be in the first quarter and last year full year, please?

Vinay Lakhota : It's a very similar number. Last quarter also, it was close to around 75-76 basis points and similar quarter last year was around 75, so we have been able to maintain the yield number.

Abhijeet Sakhare: Understood. And secondly, on the cost front sir, again, just clarifying, you mentioned 2% to 3% for employees and the rest of it at 8% to 10%. But this is at the company level, right? Because I thought you mentioned for the standalone business. So, just wanted to clarify that.

Vinay Lakhota : Yeah. Let me clarify, 2% to 3% at the standalone level, at the consolidated level, since you are building our business base in all the three subsidiaries, employee costs at a consolidated level

could be in the range of around 4%.

Imtaiyazur Rahman : So, Abhijeet, there are two costs today. One is the cost to run the operation. Another is investment in future. So, we are hiring, as I mentioned in my opening remark, that we are hiring in all geographies. We have hired now two people in USA. We have started our office in USA. We have hired more people in France. We are in the process of hiring some more people in Singapore. We have already hired one person in Dubai, and it is a process of hiring more people in Dubai. And we are also relocating our CEO of UTI International from Singapore to Dubai. These are our investments in future, and therefore we need to be careful. And I don't want to quantify them as expenses. In accounting terms, it's expenses, but in business term, these are the investments in future. So, if our standalone is concerned and I think whatever we have promised 4 or 5 years back to the market, we are able to keep our commitment up. As against the 7% or 8%, 11% generally has been an increase in the employee cost and in the asset management space overall, the increase is only 2% to 3%. And it will further reduce in the next few quarters so as far as standalone is concerned. Be a bit careful to distinguish between investment in business and the cost to run an operation. Thank you.

Abhijeet Sakhare: That's it. Thanks for clarifying. And again, sir, last bit on the expense front. For non-employee cost, you mentioned 8% to 10%, right? That's the number to consider?

Imtaiyazur Rahman : Yeah. And they are also just be careful about. We are investing in our digital strategy that goes directly to the P&L. We have tied up with the Salesforce. We are revisiting our digital assets and we are also hiring in the digital space so far as employees are concerned. And this is globally applicable. We have already put in place a very strong risk management processes and therefore we have had the services of the various consultants across the globe to put in place the right business processes. But if you see on a line item wise, the expenses will be in the range of 5% to 6%. There are extraordinary expenses which we are not in a position to tell the market these are extraordinary expenses. But I mentioned to you the extraordinary expenses which we are incurring and these are the one-time expenses. For example, we hired the services year and a half back of Alvarez & Marsal to look into our investment processes. There

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is a cost to this one. And also we have Bloomberg in place. The Bloomberg is in dollars. So, any change in the exchange rate also increases our costs. So, far, the costs are not so much because

the currency was a bit stable.

Abhijeet Sakhare: Thank you so much, sir. The last one is on flows. I think this quarter we've done better compared to trends in the past. So, again, going forward into next 12 months, do you really foresee overall net enclosed into active equity funds to be in a positive zone and possibly a substantial jump over the past run rate?

Vinay Lakhota : That is the whole idea, Abhijeet, that the thought process since Sandeep rightly pointed out, the uptick in performance is there at least on the six month and now closer to one year. So, we are actively pushing our equity fund, Hybrid fund, as I explained earlier, we have been doing well in this particular segment, especially with the repositioning of our multi-asset fund. And this is the one fund where we are mobilizing a good amount of inflows. So, on the equity and the hybrid side, yes, the management focus is there, and we should expect good inflows in the next two quarters.

Moderator: Thank you. The next question is from the line of Madhukar Ladha from Nuvama Wealth Management. Please go ahead.

Madhukar Ladha : Most of my questions have been answered, but just on the employee expenses. So, finally we're seeing that expense line getting contained. And I wanted to know, are you completely done with all the hiring for the year and this current expense of about ₹ 115 crore, can we take that to be your sort of normalized run rate? And then post that in 26, 27, what sort of hike should be built in or how many more employees will retire over 26, 27. So, what sort of cost benefit can come through from there? That will be helpful to know. And then on a consolidated basis, what would that mean? Second, I think earlier in this year in 2Q, your direct TERs across most equity schemes went up, and that would have meant about 5 basis points incremental yield. So, why has that not played out? Because you are saying quarter-to-quarter your equity yields have remained stable. So, is there some expense which has gone up below the direct TER level. Is that why this has not happened, or what could be the reason for that? Those would be my two questions.

Vinay Lakhota : Madhukar, I think we will stick to our guidance number as far as this particular financial year is concerned. At least 2%-3% increase on the employee cost on a standalone basis, and close to around 4%-4.5% on the consolidated level. And the overall guidance that we have been given till 2028-2029, the employee cost should be on a declining trajectory. As and when we progress to the next financial year, we will provide an overall guidance. We don't want to comment on the individual number of employees, but at the beginning of the next financial year, we will provide a guidance for the full year. But as we have stated earlier, the employee cost will be

on a declining trajectory even after factoring the inflation number. Secondly, on the yield part, yes, the direct plan window has gone up by around 3 to 4 basis point, but obviously we have got fresh inflows also. So, equity and hybrid fund, there have been fresh inflows of almost

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around ₹ 6,000 crore to ₹ 7,000 crore during this half year. So, as you are aware, since the yields are lower on the fresh inflows and higher yield on the debt, we have been able to ensure that the overall yield at the stock level remain the same at around 75 basis points.

Moderator: Thank you. The next question is from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Just a few questions. Firstly, on the rationalization of commission in the industry, in another couple of calls that have happened of your counterparts, have kind of mentioned about rationalization of commission structures linking them to the TER industry kind of moving towards that. So, do you think that even UTI would follow suit going ahead? That would be my first question.

The second one being, in terms of debt, how do you see the kind of flows coming into the longer duration funds going ahead with the interest cuts likely to come through probably towards the end of the quarter or end of the fiscal? And lastly, how do you see the mix between mutual funds and other businesses from a 2 year to 3 year standpoint in terms of revenue and profitability mix? Those would be my questions. Thanks.

Vinay Lakhota: From the first point, as far as the rationalization of commission is concerned, yes, we are exploring that option, definitely not in this particular quarter, but maybe quarter four or beginning of the next financial year, we will take a call on that. As far as debt inflows is concerned, over the last two quarters we have seen a significant amount of inflows coming only in short duration product. But if the interest rate cut cycle plays out, then definitely a longer duration product will be the flavor of the season and not only UTI Mutual Fund but the entire industry can witness a good amount of inflows as far as the long duration product is concerned. But as of now for the last two quarters the inflows are going into a shorter duration and a money market kind of product.

Vinay Lakhota: On the mix side, as Mr. Rahman and Sandeep already pointed out, we are building our base in all the three subsidiaries. Alternatives, the yields are quite good and we are building our team and expanding our capabilities and in the process of launching three to four funds. So, definitely the business volume and the yield from that particular business segment should improve. On UTI International, the yield depends on inflows coming in and from which category. If it is coming under the equity category, and if the Indian market continues to attract NRIs and the foreign investor, we should see some yield improving on the international business as well.

Imtaiyazur Rahman: So, far as pension fund is concerned, as you know that the Government of India has already announced that Unified Pension Scheme and 10% more will be the allocation at the Central Government and as well as the State Government employees, that will help us tremendously in increasing our AUM and the profitability so far as the pension fund is concerned.

Prayesh Jain: In terms of scale in alternate business and do you think that you are at that level where incremental flows or incremental revenues will kind of flow down to bottom line and

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resultantly the profitability of the entire company, the core profitability can actually see significant boost up from something like an alternate assets.

Vinay Lakhota: So, from the alternate we are quite hopeful that at least from the beginning of the next financial year this company will turn into core PAT positive. So, definitely from next financial year this company is going to add to the core PAT number of UTI AMC on a standalone basis.

Imtaiyazur Rahman: This company UTI Alternative has built a very strong track record in mobilizing the money and paying back to the investors. We have not seen any defaults so far and we have given extra ordinary return. So, this company has become the role model so far as credit funds are concerned in our country. And we are expecting a good traction in all our subsidiaries.

Moderator: Thank you. The next question is from the line of Jignesh Shial from InCred Capital. Please go ahead.

Jignesh Shial: I just have a couple of questions. First of all, sorry if I missed out. Your other expenses had on consol basis 19% kind of a YoY and 16% kind of a sequential growth. So, anything specific to read into or any one-offs in that?

Vinay Lakhota: Not sure which numbers are you looking at.

Jignesh Shial: ₹ 74 crore which I was saying on other expenses.

Vinay Lakhota: On a consolidated level you are saying?

Jignesh Shial: Yeah, on consolidated.

Vinay Lakhota: So, the c

onsolidated level as we pointed out , since we are expanding our reach as far as the international business are concerned , so we are building our team and Mr. Rahman rightly pointed out, we have opened an office in Paris as well as in the United States. So, initial establishment cost , as well as the rental cost of these two offices have come into. So, on a consolidated level, these expenses have gone up. And also we have opened 15 points of presence offices for our pension fund company. So, because of that, the expenses at the consolidated level has gone up.

Jignesh Shial: So, on a Y oY basis ?

Vinay Lakhotia : 10% - 12%

Jignesh Shial: 10% to 12%, right?

Vinay Lakhotia : Yes.

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Jignesh Shial: Secondly, what I am seeing on your SIP flow, SIP flow has seen a significant improvement. But specifically if I see your monthly gross SIP numbers inflows, there has been a massive improvement in July, August and September this year. So, anything specific that you want to highlight that the steps that you have taken or what is the resultant? What are the reasons for such a significant improvement and how we are seeing it up SIP flow specifically in the coming months ? Anything specific that you want to highlight from here?

Sandeep Samsi: So, Jignesh , I pointed out earlier also that we have been taking efforts to improve our market share with the fintech partners, as well as with all the distributors who are there with us. So, banks, national distributors, FinTechs are important partners who help us in our SIP count. So, with the fund performance being there, improvement in the equity fund performance, as well as the fixed income and the hybrid fund, there are significant inflows coming in the SIP format. And as you know that SIP has now become a popular trend in the country where young people who are coming into the industry are also looking at SIP as the first way of investing into mutual funds. So, that's the reason. UTI has also benefited from the SIP flows.

Imtaiyazur Rahman: But we have a very clear plan and we are executing it well. Each and every sales team member has got a target for our SIP and that is working well for us. The investment team and the distribution team are working cohesively and they are going to the market together. So, we are in a position to give a lot of confidence to the market and I am quite confident going forward this number will have further improvement.

Jignesh Shial: Why I was asking you because obviously the trend has been improving the last couple of months in itself. The last three months, I've seen a significant improvement. So, I was wondering whether is it coming up from hybrid because where your market share has gained and that is the reason why there is a significant improvement on month-on-month basis or something else to read into. But that's okay . That is fine.

Vinay Lakhotia : Hybrid is one category that we are focusing on. So, a major part of that incremental inflow here is coming into hybrid.

Imtaiyazur Rahman: Our focus is on all products , for example equity, we have some very good performing schemes. We have repositioned our funds in the market. We have a very focused way of selling them . We were waiting for turn-around of our flagship funds. And we are extremely thankful to our fund management team that they have been able to give a turn-around . And these all this will help us in going forward. Our Board is extremely particular. They review our performance, they advise us, they counsel us appropriately. So, it's an entire team work which is helping us to grow our presence in all fields.

Jignesh Shial: And lastly, just one more thing is that our index and ETFs have seen a massive improvement on the market share segment side and all. But typically what my understanding is that these are low-yield funds overall. But obviously our growth seems to be doing pretty, I mean, rela

tively

it looks to be far higher. So, will that have any impact because obviously ETFs are anyhow

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getting very popular across the industry also. So, will that have any impact on our revenues or you don't see that happening much on because of this, no much impact at all? Any comments on revenues because your share and your market share and the growth in index and ETFs are far high ? That's it from my side.

Imtaiyazur Rahman: Yield is a very difficult indicator. Overall yield will be different, but I strongly believe in the absolute profit, not the yield. And this is a volume business, passive is a volume business. Your yield may be the same, and overall yield may come down if you put on a per unit basis , but the overall profit will go up. So, I am considering as an overall profit. My profit number should go up. That is the focus.

Vinay Lakhotia : I think, Jignesh as earlier highlighted also in the call, I think PAT margin number is one parameter. I think most of you guys should look into it because the kind of industry we are in, yield margin numbers are bound to come down because of asset mix and the difference

between the yield and the stock AUM and the fresh inflows. So, yield margins will be on a declining trajectory, but the PAT margin number is one, where due to operating leverage and because of volume growth, that number should keep on improving.

Moderator: Thank you. The last question is from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Gaurav Jani: Just one question pertaining to the net flows, right? Could you just clarify that the equity and hybrid net flows includes the arbitrage number, right?

Vinay Lakhotia : No, it doesn't include arbitrage. Arbitrage we are including in cash and liquid.

Moderator: Thank you. That was the last question for the today's conference call. I would now like to hand the conference to the management for their closing comments.

Imtaiyazur Rahman: Thank you very much once again. Again I would like to wish all of you and your family a very Happy Diwali and thank you for joining this call. May God bless all of you. Thank you.

Moderator: Thank you. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with Adfactors Investor Relations team. You may now disconnect your lines. Thank you.

Call: May 2025

Information Classification: UTI AMC - Public Ref. No.: UTI/AMC/CS/SE/202 5-26/0539 Date : 6th May, 202 5
National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.

Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference call on financial performance of the Company for the quarter and financial year ended 31st March, 2025

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars we are forwarding the transcript of the earnings conference call held on Wednesday, the 30th April, 2025 at 1600 hrs IST on the financial performance of the Company for the quarter and financial year ended 31st March, 2025. The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar

Company Secretary and Compliance Officer

Membership No.: ACS 21577

Encl: As above

Information Classification: UTI AMC - Confidential

UTI Asset Management Company Limited

Q4 FY'25 Earnings Conference Call

April 30, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the UTI Asset Management Company Limited Q4 and FY '25 Earnings Conference Call.

From the management, we have with us today Mr. Imtaiyazur Rahman – Managing Director and Chief Executive Officer; Mr. Vinay Lakhotia – Chief Financial Officer and Head Corporate Strategy; Mr. Surojit Saha – Group Financial Adviser; Mr. Vetri Subramaniam – Chief Investment Officer; and Mr. Sandeep Samsi – Head of Investor Relations, Marketing and Corporate Communications. We also have Investor Relations team from Adfactors PR.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier.

I will now hand the conference over to Mr. Imtaiyazur Rahman – MD and CEO for opening remarks. Over to you, sir.

Imtaiyazur Rahman: Thank you. A very good evening to all of you. It is my great honor and privilege to represent UTI AMC as its Chief Executive Officer, and I would like to welcome you as well. I would like to inform you that during this call, we will apprise you about our financial and operational performance for 4th Quarter and year-ended March 31, 2025. I hope you have gone through the press release and investor presentation, which are available on UTI AMC's website.

I have with me my distinguished colleagues, and they are Mr. Vetri Subramaniam, Chief Investment Officer and the Chairman of the Management Committee of UTI AMC; Mr. Vinay Lakhotia, CFO of the company and Head of Strategy; Mr. Surojit Saha and Mr. Sandeep Samsi.

I now hand over to Mr. Vetri Subramaniam to talk about the macroeconomic view and industry-related update. Vetri, over to you.

Page 2 of 15 Vetri Subramaniam: Thank you, Imtaiyaz. I will kick off with covering a little bit on macroeconomics and then dive into the

mutual fund industry and a brief update on UTI AMC.

India's economic narrative continues to be a compelling one marked by a growth trajectory that has so far outpaced the majority of our emerging market peers. Despite geopolitical realignment, policy resets

and economic shifts, India has remained quite resilient. The focus on macro prudential stability across fiscal and monetary policy domains means that India is well positioned to favorably navigate the stress in the global economy. The union budget for '25-'26 took a balanced approach by focusing on fiscal consolidation, moderate government borrowing and tax incentives.

A lower fiscal deficit of around 4.4% of GDP and controlled borrowing reflect prudent financial management, while tax relief measures aim to boost disposable income in the hands of households. The MPC has reduced the repo rate by 50 basis points and accompanied by RBI's monetary policy interventions in the market, liquidity has improved significantly. The shift to an accommodative stance during the MPC meeting in April 2025 points to a determined effort to support economic growth in India. India's direct exposure to current global trade tensions is relatively limited, but the interconnected nature of the world economy means that we must remain vigilant to broader shifts in global demand and potential indirect impacts.

The longer-term implications of this reset of geopolitics and trade flow are still evolving. The large opportunity for India is to seize this moment to deregulate, cut red tape, attract FDI and unleash animal spirits. Cost competitiveness and market size will remain key factors that drive investment decisions by businesses, both in India and elsewhere in the world. India is blessed with attractive demographics, abundant labor supply and the status of being the world's fifth largest economy.

I will now move on to cover the developments in the mutual fund industry during the year and the quarter. With this macroeconomic context and amidst volatility in Indian stock markets, mutual funds continue to grow, fueled by expanding retail participation. There has been robust growth of 32% in aggregate folio accounts, reaching an impressive ■ 23.5 crores where equity funds dominated with ■ 16.5 crores and ■ 1.6 crores in hybrid funds as compared to ■ 17.7 crores folios in March 2024. This underscores the broadening investor appetite for diverse asset allocation strategies. For the month of March 2025, monthly SIP contributions grew by 34.5% year-on-year to ■ 25,926 crores.

For the full financial year, SIP assets have grown by 24.5% on a yearly basis, reaching nearly ■ 13.35 lakh crores by the end of March 2025. Total assets under management witnessed a substantial leap of 23%, translating into total AUM of ■ 65.7 lakh crores. This growth was propelled by fresh inflows and favorable market-to-market gains, highlighting the inherent dynamism of our business. However, the latter half of the fiscal year presented a nuanced picture marked by a market correction that has led to a discernible moderation in the flow of funds into mutual funds. While overall equity inflows hit 11-month low in March 2025 as per AMFI, the industry marked its 49th consecutive month of positive inflows in open-ended equity schemes, underscoring the enduring confidence of retail investors.

Page 3 of 15 According to data from AMFI, these equity flows contracted 14.4% on a month-on-month basis in March, settling at approximately ■ 25,082 crores, and this does suggest some impact of market volatility on investor behavior. This month followed a significant 26.2% month-on-month decline that was registered in February 2025, indicating, as I said earlier, growing investor caution amidst heightened market volatility. We anticipate that

the regulatory push for retail investors by simplifying rules and introducing

■ 250 monthly SIP will further deepen equity market participation among a wide class of investors and also across a wide range of towns and smaller habitations.

I'll next move on to discuss some of the factors relating to UTI Asset Management Company. At UTI AMC, we recognize the powerful interplay of India's demographic shifts, rising digital adoption and evolving investment behavior. Our strategy is sharply focused on capitalizing on this transformation by expanding our presence across Tier-1 to Tier-4 cities, strengthening digital access through investor and partner platforms, backed by a robust investment framework like ScoreAlpha and GIMS, we remain committed to nurturing a culture of disciplined investing even as the economy progresses towards a \$5 trillion milestone in terms of GDP. The UTI Group's total assets under management stood at ■ 21.05 lakh crore as of March 31, 2025, reflecting a growth of 14% compared to ■ 18.48 lakh crores at the end of the previous year.

Mutual fund quarterly average AUM was ■ 3.4 lakh crores as against ■ 2.91 lakh crore last year. We have added 9.52 lakh folios during the year to take the total count to 1.33 crore folios. During the year, UTI AMC strategically expanded its reach across India, targeting both the promising B30 and the established T30 cities. We further extended our physical presence into newer territories with a particular focus on Tier-2 and Tier-3 towns. Our established strength in beyond 30 cities remains a cornerstone, contributing nearly 22% to our monthly average AUM. This success stemmed from our sustained efforts in these regions to acquire new investors and cultivate enduring relationships.

Demonstrating this commitment, we inaugurated 68 new branches in Tier-2 and Tier-3 cities in financial year 2025 and this physical expansion has been carried out with net zero cost addition to UTI AMC by rationalizing space, reallocating people and modifying branch organizational structure. Technology played a vital role in our growth strategy, enabling both the expansion of our investor base and the enhancement of investor awareness. We are the first mutual fund house in India to implement Salesforce marketing automation tool for investors and MFDs and this will enable us to send personalized communication and engage in direct conversation. At the same time, our digital platform, UTI HART, has gained momentum, offering seamless accessibility and enhanced functionality for both investors and

distributors.

Moving on, financial literacy and awareness campaigns were among the topmost priorities for UTI. We conducted investor education campaigns across various platforms to reach as many investors as possible. On-ground campaigns were conducted in association with leading publications in remote corners of Madhya Pradesh, Chhattisgarh, Rajasthan and Gujarat. More than 1,600 college students were engaged in a campaign called project FLY - Financial Literacy for Youth - through interactive classroom sessions to foster financial awareness. With over 890 investor awareness programs, we reached out to more than

Page 4 of 15 72,000 prospective investors, including 291 programs for 12,000+ women investors with our various interventions.

Moving on, FY 2025 has seen a turnaround in our equity performance. 57% of our equity AUM is in the top two quartiles over a one-year period, and performance is even stronger over the three-month and six-month period ended March 2025. So obviously, these are still very short-term periods as regards to equity investments. Product innovation remains central to our AUM growth strategy. Amongst the NFOs we launched in FY 2025, UTI Quant Fund, which opened in February '25, saw good traction from our investors and partners alike. We also launched three smart beta, two thematic and one market cap-based index fund, fu

rather augmenting our offerings in passively managed space. Complementing our geographical and product expansion, we continue to strengthen our distribution network through dedicated training and workshops. Our fund management and product teams have been actively engaging with distributors nationwide, fostering stronger collaborations.

I will move on to talk about our global operations, which are conducted through UTI International. UTI International has established presence in key markets, including a new office that we have opened in New York, and is well placed to tap into the opportunities for international capital looking to be invested in India. We also progressed in upgrading our regulatory license in DIFC in Dubai to enhance our investment advisory capabilities in the Middle East. We are very proud of our subsidiary, UTI Pension Fund. This company crossed the milestone of ₹ 3.6 lakh crore AUM at this point of time. We would like to announce that the Competent Authorities of PFRDA have transferred all schemes of Max Life Pension Fund Management to UTI Pension Fund due to our strong fund performance. Our efforts in private sector NPS have been very encouraging with a growth of 61% in AUM over the previous year.

I will now talk about UTI Alternatives. Our first Structured Debt Opportunities Fund exited all investments profitably. Our investment operations in both GIFT City and Real Estate Opportunities Fund (ROF), and we are gradually attaining momentum in co-investment portfolio management services.

A broader word on all our subsidiaries. We would like to highlight that all our subsidiaries are well capitalized. They are aligned with our long-term vision.

We will continue to focus on launching adequate products to offer a complete suite of investment solutions, expand to areas with marginal access to mutual funds across the country, keep exploring and adopting best practices for a conducive work environment so that we can attract and retain the best talent. We wish to enhance our digital footprint and capabilities, and we will look to further strengthen our governance and risk management practices. Through these multifaceted efforts, UTI AMC is strategically positioned to sustain its growth trajectory and deliver value to all our stakeholders during the year.

Now I would like to hand over to Sandeep Samsi, Head of Marketing and Investor Relations, to share our performance in detail.

Page 5 of 15 Sandeep Samsi: Thank you, sir. I will begin with UTI AMC's performance in the 4th Quarter and for the Financial Year '24-'25.

Starting with the mutual fund performance.

The quarterly average AUM as of March '25 was ₹ 3.4 lakh crores, a 16.8% growth year-on-year. Our market share of industry's gross sales for the 4th Quarter was 6.9%, while for the full financial year, it was 6.8%. Our equity quarterly average AUM for March 2025 stood at ₹ 90,863 crores, rising by 7.18% as compared to the quarter ended March '24. Our quarterly average AUM for the index and ETF funds stood at ₹ 1,41,492 crores, up by 23% in the 4th Quarter. ETFs and Index fund net inflow stood at ₹ 19,605 crores. We have added 9.52 lakh folios during the year, taking up the number of live folios to 1.33 crores as on 31st March 2025.

The net increase in folio numbers in the 4th Quarter was around 1.89 lakh. There has been a positive movement in equity and hybrid fund net sales for UTI during this year. We have moved from a negative of ₹ 4,230 crores of net sales for the last financial year to a positive net sales of ₹ 1,178 crores during this financial year. Our SIP AUM witnessed a growth of 22.26% over the corresponding quarter of last year, reaching to ₹ 37,591 crores as of March 2025. The SIP inflows for the 4th Quarter stood at ₹ 2,215 crores. The SIP gross inflows for UTI Mutual Fund witnessed a year-on-year growth of 24% with an average SIP ticket size being ₹ 3,239 for March 2025.

For the full year, SIP inflows were ₹ 8,325 crores, higher by 23% compared to ₹ 6,767 crores in FY '24. The SIP folios in March '25 were 26.92 lakh, a 14% growth from

March '24.

Coming to the contribution from B30 cities, 22% of our monthly average AUM for March '25 came from the B30 cities. For industry, the average stood at around 18%.

UTI AMC Financials : On a consolidated basis, for the full Financial Year '24-'25, core revenue from operations was ₹ 1,445 crores, up by 22% year-on-year. The core profit after tax for FY '24-'25 was ₹ 492 crores, up by 43% year-on-year and overall consolidated net profit was ₹ 731 crores, down by 5% year-on-year. During the 4th Quarter, the consolidated core revenue from operations stood at ₹ 360 crores, up by 13% year-on-year. The core profit after tax for the 4th Quarter was ₹ 98 crores, higher by 2% year-on-year.

On a stand-alone basis, for the full year FY '24-'25, the core revenue from operations was ₹ 1,180 crores, up by 24% year-on-year. The core profit after tax for FY '24-'25 was ₹ 447 crores, up by 52% year-on-year. The overall net profit was ₹ 653 crores, up by 9% year-on-year. During the 4th Quarter, the core revenue from operations stood at ₹ 296 crores, up by 15% year-on-year. The core profit after tax for the 4th Quarter was ₹ 108 crores, higher by 20% year-on-year.

On the digital assets, in the financial year 2025, as Vetri shared, we have partnered with Salesforce and gone live with their marketing automation tool to send customized communication to our investors. We are the first mutual fund in India to adopt Sales force.

Page 6 of 15 47.87% of our gross sales of equity and hybrid funds were mobilized through the digital platforms in quarter 4 of FY '25. After the complete revamp of our website and mobile app in FY '24, we benchmarked our digital assets with the industry and have made relevant upgradations to foster seamless experience to investors and partners.

Diversity, equity and inclusion initiatives are at the highest priority in UTI, and there is a continuous focus on building inclusive hiring practices and promoting gender diversity in leadership roles. A lot of impetus has been put on learning and development for the employees as well as for their well-being. Many trainings intervention across behavioral, functional and leadership domains have been imparted over the years. Support is being extended to the leadership team by way of structured coaching for strategic impact.

On sales and distribution, to augment our distribution network, we conducted an empanelment drive, which helped us in extending our MFD network with around 8,500 new partners in FY '25. Our Know Your Fund House engagement activities were executed with Pan-India MFDs, while many webinars were also conducted to upskill our partners.

Coming to our group companies, in addition to the highlights shared by Vetri on UTI Pension Fund earlier, we would like to share that UTI PFL has recorded a growth of 19% year-on-year in its AUM, reaching approximately ₹ 3.59 lakh crores as of March '25 and currently manages 24.86% of the NPS Industries' AUM. The profit after tax of UTI PFL for FY '25 is at ₹ 57 crores, an increase of 5% year-on-year. UTI PFL is now fully operational from 21 locations across the country. The management of funds under the default pattern of Unified Pension Scheme (UPS), and the Unified Pension Scheme Pool Corpus has been entrusted to UTI Pension Fund Limited, along with 2 other pension fund managers by PFRDA.

On UTI International - UTI International, which represents our international business has an AUM of ₹ 25,383 crores as of March '25. One of our flagship funds, India Dynamic Equity Fund (IDEF) domiciled in Ireland has an AUM of \$805 million. The ESG-compliant J Safra Sarasin Responsible India fund has an AUM of \$65.4 million. UTI India Innovation Fund, another Ireland-domiciled fund has an AU

M of USD 47 million.

On UTI Alternatives Limited - UTI Alternatives Private Limited has a total AUM of ₹ 2,648 crores as of March '25, a 34% growth from March '24. It has a well-defined ESG policy and strategy and is committed to responsible investing. The UTI SDOF I has exited all investments profitably, while UTI SDOF II had a final close in May 2022 and has a net commitment of ₹ 239 crores and is currently in exit mode. The UTI SDOF III has a net commitment of ₹ 615 crores. Currently, it is in fundraising and investing stage. UTI Multi Opportunities Fund I is currently in investing stage and has net commitments of ₹ 1,599 crores. The UTI Real Estate Opportunities Fund I is currently fundraising and investing with a commitment of ₹ 145 crores. The UTI Credit Opportunities Fund I and UTI Asset Reconstruction Opportunities Fund are in investing stage. Three of the funds have received approval of IFSC under the UAPL branch office FME approval, and we have commenced operations with USD 200 million commitment.

I would now request the Managing Director, for his concluding remarks.

Page 7 of 15 Imtaiyazur Rahman: Thank you, Sandeep, for sharing the operational and financial updates of the company for the 4th

Quarter and financial year 2025. I am also extremely pleased to inform you that UTI AMC has declared a dividend of ₹ 48 per share, including ₹ 22 as a special dividend for the Financial Year '24-'25. This is almost 94% of the stand-alone profit of the company, which is at ₹ 653 crores.

We would like to open the forum for questions and answers. Thank you very much.

.Moderator: Thank you. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press "*" and "1" on the touchtone telephone. If you wish to withdraw yourself from the question queue, you may press "*" and "2". Participants are requested to please use handsets only while asking a

question. Ladies and gentlemen, we will now wait for a moment while the question queue assembles.

We have our first question from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: My first question is in terms of net flows. I think we had a very good quarter with around 15 -odd billion of net flows. But having said that, I think majority of them came from the Quant Fund that we launched in the quarter. So can you explain your strategy if you would launch new NFOs in Financial Year '26?

Vinay Lakhota: So Mohit, we have recently got a regulatory approval to launch a multi-cap fund, and that fund is already open for subscription from 29th of April till 13th of May. Apart from multi-cap fund, we don't see any pipeline as far as the diversified equity is concerned. There will be some launches on the ETF and the index fund, depending on the appetite. But apart from that, on the diversified equity fund, we don't foresee any NFO launches.

Mohit Mangal: All right. My next question is towards the tax rate. So we saw a very high tax rate in Q4. What was the reason for that?

Vinay Lakhota: Q4, I think overall tax rate, if you compare, it is because of a change in the deferred tax liability on account of the budgetary regulation change where the indexation benefit was withdrawn. Because of that, the taxation rate has increased by almost around 2.3%.

Mohit Mangal: Okay. But going forward, from '26 onwards, it will be normal tax rate, right?

Vinay Lakhota: Yes, on a book rate, we see in the range of around 23% to 24%.

Mohit Mangal: 23% to 24%. Okay. Lastly, in terms of yields, how should we see that going forward? And if you could spell the yield for equity, debt and liquid for the quarter?

Vinay Lakhota: So as far as the book yield is concerned, equity and hybrid fund, our book yield is close to around 75 basis points. Equity and Index fund is around 5 to 6 basis points. Cash around 9 to 10, and income fund for around 22 to 23 basis points. So the weighted

average yield is around 34 basis points. Going forward, we

expect maybe a dilution of max to max 1 or 2 basis points in yield, mainly because of the higher proportion of ETF AUM that we have. And we continue to receive very high inflows on the ETF and the index fund. Because of that, there might be an equity dilution of around 1 to 2 basis points.

Page 8 of 15 Moderator: Thank you. We have our next question from the line of Parth Agarwal from Bastion Research. Please go ahead.

Parth Agarwal: I have a question regarding the Op ex cost, which has increased significantly this quarter. Is it attributed to only NFOs? Or is there any other reason?

Vinay Lakhota: It's not actually NFO. Just to highlight that over the last 15 months, we have opened more than 91 branches. Some of those branches were opened in the previous quarter. Some of those renovation expenses to open these offices have come into this quarter. On an aggregate basis, if you see, in spite of opening of 91 branches over the full financial year, on a year-on-year basis, the overall other expenses have increased by just around 6%. We have been able to rationalize the cost on many other aspects. And in spite of the number of branches increasing from 164 to 255 as on 31st March, the operating expenses are well under control.

Parth Agarwal: So can I expect this ₹ 90 crores of run rate to continue in the FY '26 as well in subsequent quarters? Or is there a possibility of it getting normalized?

Vinay Lakhota: No, I think, 7% to 8% inflation increase on these numbers, you can assume.

Parth Agarwal: These number means FY '25 numbers or quarter 4 FY '25 numbers?

Vinay Lakhota: No, the overall FY '25 number.

Moderator: Thank you. We have our next question from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir, just 2 questions. Firstly, on the international side. So we have seen some decline in the AUM side of it. So is it majorly on account of the M-to-M losses? And how should we look ahead for FY '26 and FY '27 in the international business?

Vinay Lakhota: So the major decline, yes, both on a quarter-on-quarter basis as well as on a year-on-year basis has been a mark-to-market impact in 2 of our main fund - UTI Innovation Fund and UTI Dynamic Equity Fund. With respect to the outlook, I think Vetri, you may take up.

Vetri Subramaniam: Yes, I think we are continuing to see good engagement from institutional investors showing interest in India. So hard to give any guidance on exactly what the numbers will be, but I think we are quite encouraged by the trend of conversation we are having with global investors who are looking for investment products, which can allow them to participate in Indian equity markets.

Lalit Deo: Sure, sir. And sir, on the employee side, so we have seen some additions in the employees in this particular quarter. And also on the employee expenses, like on the stand-alone side, we have seen some decline for this whole FY '25 on an annual basis. So how should one read into it for FY '26 in terms of cost as well as new headcount additions?

Page 9 of 15 Vinay Lakhota: The guidance that we have given in an earlier call as well, at least for the stand-alone entity, for FY '25,

'26, we don't foresee our employee cost rising more than 300 basis points over FY '25 number in spite of annual wage hike of 7% to 8% in this particular year. On a consolidated basis, this number could be around 150 to 200 basis points more, primarily because we are investing heavily in all the 3 subsidiaries. UTI International, as Sandeep rightly pointed out, we have expanded our presence in Europe as well as

U.S.A. So there might be some additional headcount recruitment over there.

UTI Pension Fund, we are expanding our POP business. There also, the headcount of employees in the FY 24-25 has increased by almost around 40, and we expect a similar run r

ate to continue. So on a

consolidated level, the employee cost on FY '24 - '25 number could increase by around 400 to 500 basis points. But on a stand-alone, we believe that it should be in the range of around 250 to 300 basis points. And this projection number does not include any additional ESOPs, which may be granted by NRC in this particular financial year.

Moderator: Thank you. We have our next question from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain : Just a couple of questions. Firstly, our fund performance seems to have improved in the last few months. When do you think we should start seeing some improvement in market share on the equity side? We still -- on a quarterly basis, we still have seen a decline in market share, right? Or this was just about steady market share, so when do we see an improvement in market share on equity plus hybrid?

Vetri Subramaniam : This is Vetri here. So good question. As I said earlier, for the full year, almost 5.7% of the equity hybrid AUM is in quartile 1, quartile 2. And when you look at it sequentially, it sort of keeps improving as you get closer to the end of the year. In our experience, normally, you need at least a 12-month strong number to start turning the corner, which I think we saw in the last two quarters, we started to see that inflection point. And the strongest numbers typically show up 18 months, 24 months into the cycle because remember, for many people, including gatekeepers who approve products, typically, the 3-year number of performance is what actually plays a very critical role in their filtering.

Not each and every individual, but many of the platforms, many of the gatekeepers and distributors typically tend to look at 3 years. So we would expect that during the course of this year, we'll certainly be well into the 18-month, 24-month period, there should be a significant improvement in those numbers. And anecdotally, we already know that some of the products have received new approvals at different national and banking partners. So all of that will contribute, we hope, to a gain in market share during the course of this year.

Prayesh Jain: Any indications on your existing schemes apart from NFOs, what has been the flow trajectory, whether it's been positive and what will be a flow market share except NFO?

Sandeep Samsi : Sandeep here. We have seen good traction on our hybrid funds also, and that is reflected in the net sales that we have seen in our hybrid funds. That is one positive, which is there beyond the sales which are coming in our equity NFOs. Also, our large and mid-cap has seen good traction in the last financial year. So these are some of the funds which have done well for us in the last year.

Page 10 of 15 Vetri Subramaniam: And just to add to what Sandeep said, Vetri here again. For a while now, our focus has been largely on

trying to get investors to look at the hybrid solutions for a variety of reasons, our view on valuation, our view on the best way to navigate volatility and also sort of make the investor journey smoother. That's been a big focus. And I would say a significant part of the traction we have seen in turning around flows during the course of this year has actually come from the hybrid funds.

Prayesh Jain: Generally, with fund performance, you need to have your sales force on the ground really gaining traction and initiatives by the company should be. So any new initiatives on the sales front that you guys will be taking to capitalize on this improvement in fund performance?

Imtaiyazur Rahman : No. See, so far as the sales is concerned, as Vinay mentioned, we have opened large number of offices.

Our interactions with all channels of distributions like Bank as a distributor or national distributors or MFD, very intense conversation we are having. And we have seen the inflow in the previous year, the last financial year,

in almost in all our equity schemes. So backed by the very good performance, our track record, consistency in the team and very able, now sales team on the ground with our great relationship, we are quite confident that going forward, our sales number will be quite better.

Prayesh Jain: Just a clarification on the employee cost front, what you mentioned was the stand-alone employee cost would go up by 3% Y-o-Y. And on a consolidated basis, it would go up by 5%. Is that the right way to understand?

Vinay Lakhotia: Correct.

Moderator: Thank you. We have our next question from the line of Dipanjan Ghosh from Citigroup. Please go ahead.

Dipanjan Ghosh: Just a few questions from my side. First, on the SIP flow number, just for you guys, can you just kind of split it between different channels or a ballpark qualitative understanding of that? And second, on these lines, when the market has seen some marginal dip in the SIP number, be it in terms of gross flows or new registrations, how has been the trend for you across channel partnerships or customer cohorts? If you can give some color on that? And the second question, when I look at -- and this is not for the quarter, but annually, when I look at your RTA payouts, they're significantly higher than what I look at it for peers. I just wanted to understand, is there some other additional work that the RTAs are doing for you? And can there be some headroom on that part over the next 2 to 3 years?

Vinay Lakhotia : RTA payout, you are seeing on the AMC financials ?

Dipanjan Ghosh: Yes. On the AMC financials.

Dipanjana Ghosh: On the scheme financials, basically, when I do the bottom-up from the scheme accounts?

Vinay Lakhotia: So scheme financials, I think all these rates are pretty much standardized across industry players. So whatever dissection you do across categories, I think we are pretty much in line with the industry players.

Dipanjana Ghosh: Okay. Maybe I will take that offline.

Page 11 of 15 Sandeep Samsi: On the SIP flows, we have seen marginal, but continuous increase in our monthly SIP inflows throughout

the Financial Year '25. Our SIP gross sales and folio account on a year-on-year basis have also grown by around 23% and 14%, respectively. So we still have some comfort level there. Our focus right now is on the on-ground activation for education around the long-term investment in SIPs. If you look at the share by the channel, the highest share in SIP flows was from the MFD channel, which is about 51%, followed by direct and RIA channels, which are in the range of 15% to 20%. If you look at the 4 quarters, the contribution of the direct channel to SIP flows remained at around 17% to 18%. And in absolute number, there has been a continuous increase quarter-on-quarter basis. We have similar trends in other channels. So for UTI, there hasn't been really a slowdown in the SIP numbers.

Moderator: Thank you. We have our next question from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: I have a couple of data questions. So when I look at the UTI International financials, there is a sharp drop in investment and other income line from ₹ 112 crores to ₹ 31 crores. I wanted to understand if all of this is due to the mark-to-market impact only. And this is in context of the breakup of your own investments, right? When I look at that number, it's close to about ₹ 600 crores. So in that context, that decline in investment and other income seems to be a pretty sharp drop. So some clarification there, please.

Vinay Lakhotia: Yes. So out of that ₹ 600 crores, only ₹ 450 crores is actually invested into equity funds, majorly into UTI Innovation Fund and Dynamic Equity fund. And ₹ 108 crores is actually a sovereign ETF fund and Balance Fund. You don't have any mark-to-market issue as far as the ETF is concerned. But both on Innovation Fund and Dynamic Equity f

und, you need to appreciate that apart from the market impact, there is also a currency impact. Currency has fallen sharply over the last year & so and especially in the last quarter. It's actually a dual impact of market depreciation as well as the currency impact. So the entire impact in the investment income is primarily because of mark-to-market impact in UTI Innovation Fund, Dynamic Fund and UTI Balance Fund, which the company has invested as a seed capital investment into these funds.

Abhijeet Sakhare: And second, again, on the international business, is it possible to share what is the staff count just for this entity?

Vinay Lakhotia: Standalone or quarterly basis?

Abhijeet Sakhare: The number of people in the international business. Number of employees.

Vinay Lakhotia: 30. It's close to around 30.

Abhijeet Sakhare: Okay. Got it. And sir, just last one on the yields. You mentioned it's about 75 basis points. But now given that we are expecting flows to recover, going ahead, do you expect any drop in realizations in the equity side?

Vinay Lakhotia: Yes, some dilution could happen. We have also rationalized some of the distributor commissions, older AUM, which had been impacting our margin over the last 4 to 5 years and market has corrected. So that

Page 12 of 15 rationalization we have already carried out. We believe that rationalization will cushion some of the decline in the yield that may happen because of fresh inflows under equity and hybrid fund.

Abhijeet Sakhare: Got that. And again, on this point, sir, is it possible to quantify what would be the amount of savings because of the commission cuts? And are they already fully reflected in the numbers?

Vinay Lakhotia: No, these are not reflected. This is implemented from this particular quarter. This will be visible in the next quarter in earnings. Difficult to quantify, but the only guidance that we want to provide is that this will provide some cushion in equity yield dilution going forward.

Moderator: Thank you. We have our next question from the line of Krunal Shah from Enam Investments. Please go ahead.

Krunal Shah: So my first question is regarding the UTI Retirement and UTI International business. So if I see the operating expense of these 2 businesses, it has gone from ₹ 135 crores in FY '22 to around ₹ 221 crores in FY '25. So that's a sharp jump. Simultaneously, the revenue has not increased too much. So just one point I want to understand is where will this cost stabilize? And what is the kind of return that we're expecting from these costs that we're incurring?

Vinay Lakhotia: So I will take these 2 questions separately. On UTI International, some of these operating expenses have increased because of our branch expansion in Europe and U.S.A., where there have been a onetime establishment cost as well, including the very high compliance cost. Those expenses are already being factored into. We believe that for FY '25 '26, this should grow at a similar run rate only.

In terms of monetizing when these expenses will actually result in revenue, I think, we are already in discussion with a few of the partners. And once the fresh inflows come, this investment will actually justify.

With respect to UTI Pension, I think, you need to understand that out of 3 basis points that we are earning from PFRDA, 1.5 basis point is paid back to PFRDA as marketing activity. So this 1.5 basis points that we

are paying back to PFRDA is actually coming as an other expenses, and these expenses keep on increasing in line with the AUM movement. So since UTI Pension has seen almost 18% to 20% increase in the AUM, that has resulted into increase in other expenses. Also, we are expanding our geographical presence for UTI Pension Fund. We have already opened 41 branches, which are part of UTI branches only. Because of that, at a UTI Pension level, some of

these Op ex costs are on a slightly higher side. But this particular business generates revenue. As you can see, almost around ₹ 55 crores to ₹ 56 crores of profit is being contributed by this particular entity at a consolidated level. I hope I answered the question.

Krunal Shah: Yes. To some extent, yes. So just one point on UTI Retirement. So our share of the business in terms of the AUM has gone down from like 25.8% to 25%. But my understanding was that you are supposed to get a fixed amount every time from PFRDA in terms of AUM flow. So why our share has declined in that case?

Page 13 of 15 Imtaiyazur Rahman : No, there are 2 type of allocation. One is for the public sector employees, another which we grow and market from the private sector. From the public sector, this generally is defined in the beginning of the year for the full year. But so far as the market is concerned, it depends upon our marketing and the sales capability.

Krunal Shah: Okay. So this is, sir, in relation to the private sector, wherein we have not had the same share as in the government business. Is my understanding correct, sir?

Imtaiyazur Rahman: Yes, You're right.

Krunal Shah: Okay. Okay. And one last question. So we incurred a Capex of around ₹ 50 crores in FY '26. Could you just help me understand on what expenses this Capex was incurred?

Vinay Lakhota: As highlighted earlier, we opened 91 branches over the last 15 months. Major part of these Capex relates to those offices. Plus, in FY24 we have upgraded our IT infrastructure. There are some Capex costs relating to IT infrastructure as well.

Krunal Shah: Okay. So from next year onwards, will this cost go down significantly now, the Capex amount?

Vinay Lakhota: Yes, the Capex amount should go down. I don't think we will be opening such high number of offices in FY '26. But on the Pension Fund, since we are expanding POP business, there might be some Capex cost on the pension fund business.

Moderator: Thank you. We have our next question from the line of Vineet Nandwani from NJ India Investments. Please go ahead.

Vineet Nandwani : I just had 2 questions. So first one is that can you elaborate on the net gain on fair value changes. So like weren't there M -to-M gains on the debt investments in this quarter?

Vinay Lakhota: So this quarter, the major impact in M -to-M investment is actually coming from UTI International, where we have a mark -to-market impact of close to around ₹ 65 crores . As I highlighted earlier, mainly in 2 of our funds, UTI Innovation Fund and UTI Dynamic Fund. On the AMC balance sheet, I think the impact is just around ₹ 2 crores. But at a consolidated level, the major impact is actually coming from UTI International.

Vineet Nandwani : Okay, sir. And sir, just for Q4 FY '25, can you help me understand how is the core PAT being calculated from the PAT attributable to the owners of the company?

Vinay Lakhota: Yes, core PAT is your management fees minus the total expenses excluding minority interest . It does not include your investment income.

Moderator: Thank you. We have our next question from the line of Gaurav Jani from Prabhudas Lilladher. Please go ahead.

Page 14 of 15 Gaurav Jani: The first question, on performance . I just want to understand as to how do we plan to sort of sustain the

strong performance over a longer period of time, given the fact that historically, we have seen some larger AMCs with episodes of strong performance followed by some deterioration.

Vetri Subramaniam : Sure. So Vetri here, I will reply to that. So one of the things that we've been conscious about for a while now, I would say, is that while we run with one investment process on the equity side, we run schemes, which are actually quite different from each other in terms of their positioning. And when I say positioning, not just the SEBI grid, but literally from a style perspective in te

rms of their positioning. And

one of the reasons why we do that is to be able to always at any point of time, irrespective of what the market season or market cycle is, you have differentiated strategies, which for investors who are looking at what's doing well in terms of the tables, wherever their choice of looking at fund ratings are, there is always some UTI product, which is appearing over there.

Our thought process over there is to always segment the market in terms of saying whatever be the cycle of the market, these are the strategies, which could be aligned with what is doing well in the market, which could be products you would wish to look at. But from a communication aspect, what we also do is based on our fund management view, have a clearly articulated go -to-market strategy, which positions the funds which are backed by performance at that point of time, and simultaneously talk about the funds where we think the cycle might turn favorable in the future.

Because what we have seen over a period of time is that as the market gets more evolved, we are seeing distribution partners, advisory partners approach the business very differently. One, they want funds, which will run strictly as per the mandate. So once they understand the positioning, they understand the cyclicity. But they also want guidance from us in terms of where we think funds with current weak performance could turn around. So this is part of our template now of saying how do we sort of de-risk the business model, de-risk it by having diverse strategies and talk the language of performance and opportunity in the marketplace at all points of time.

Gaurav Jani: Understood. That helps. The second question is to Vinay sir, just a clarification. You mentioned equity yields could sort of contract by about 1 to 2 basis points in the next year, right?

Vinay Lakhotia : No, I said overall yield of 34 basis points, that might contract because of the growth in the ETF and the index business.

Gaurav Jani: Okay. So you mentioned the overall yields and not specifically equity?

Vinay Lakhotia: Yes.

Moderator: Thank you. We have our last question from the line of Apoorv from Whitestone Advisors . Please go ahead.

Apoorv : Sir, my only question is regarding the -- is there any specific reason for Q4 to be weak as compared to Q3 other than the M-to-M thing, right?

Page 15 of 15 Vinay Lakhotia: No, I don't think that. Even the operating income has actually held up. Apart from mark-to-market

depreciation, there have been no impact as such.

Moderator: This was the last question for today, and I now hand the conference over to Mr. Rahman for closing comments. Over to you, sir.

Imtaiyazur Rahman : Thank you very much, and thanks -- I would like to thank all of you for your participation. Thank you.

Vetri Subramaniam : Thank you.

Moderator: Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with Adfactors Investor Relations team. You may now disconnect your lines.

Call: Oct 2025

Information Classification: UTI AMC - Public Ref. No.: UTI/AMC/CS/SE/202 5-26/0599 Date : 24th October , 202 5

National Stock Exchange of India Limited

Exchange Plaza Plot No. C/1

G Block Bandra – Kurla Complex

Bandra East Mumbai – 400 051.

Scrip Symbol: UTIAMC BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001.

Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference call on financial performance of the Company for the quarter and half year ended 30th September , 202 5

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars we are forwarding the transcript of the earnings conference call held on Saturday , the 18th October , 202 5 at 1800 hrs IST on the financial performance of the Company for the quarter and half year ended 30th September , 202 5. The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar

Company Secretary and Compliance Officer

Membership No.: ACS 21577

Encl: As above

UTI Asset Management Company Limited

Q2 and H1 FY26 Earnings Conference Call

October 18, 2025

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q2 and H1 FY26 Earnings Conference Call.

From the management, we have with us Mr. Imtiazur Rahman - Managing Director and CEO ; Mr. Vetri Subramaniam - Managing Director and CEO Designate; Mr. Vinay Lakhotia - Chief Financial Officer and Head Corporate Strategy ; Mr. Surojit Saha - Group Financial Advisor and Mr. Sandeep Samsi - Head Investor Relations, Marketing and Corporate Communications. We also have with us the Investor Relations team from Ad factors PR.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's presentation may be forward-looking in nature and may involve risks and uncertainties. Please note, the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the Investor Relations presentation that has been shared earlier.

I would now hand the conference over to Mr. Imtiazur Rahman for opening remarks.

Imtiazur Rahman : Thank you. Good evening , everyone. We are delighted to have you with us for the review of our financial and operational performance for the second quarter and half year ended 30th September 2025. Our financial statements, press releases and investor presentations have been uploaded on the website of stock exchanges and we trust you have had the opportunity to review them.

I have with me my distinguished colleagues, Mr. Vetri Subramaniam - MD and CEO Designate of UTI AMC ; Mr. Vinay Lakhotia - CFO and Head of Strategy ; Mr. Surojit Saha - Chief Financial Advisor of the company and Mr. Sandeep Samsi - Head of Investor Relations, Marketing and Corporate Communications. Before I request Vetri to share with all of us about the macroeconomic view and industry update, I would like to share with you a few important developments in UTI AMC.

Page 2 of 17 As many of you are aware, I have had the privilege of leading UTI AMC since 2018, guiding the company through its evolution into a listed entity and driving significant growth. Under our collective efforts, UTI AMC's market capitalization has grown three-fold since our 2020 listing . Surpassing Rs. 18,000 crore, with Asset Under Management soaring from Rs. 3.99 lakh crore in

2019 to Rs. 22.42 lakh crore in September of 2025.

As a continuation of our succession plan and with full confidence in our next generation of leadership, the Board has unanimously decided to appoint Mr. Vetri Subramaniam as an incoming MD and CEO of UTI AMC with effects from 1st February 2026. 1st February marks UTI AMC's Foundation Day and I believe it is a fitting moment for me to pass the baton to Vetri. Vetri has been an integral part of our success story since joining UTI AMC in 2017 and his leadership, vision and deep industry expertise makes him the ideal choice to guide UTI in its next chapter. To ensure a seamless transition, I will serve as Strategic Advisor to the MD CEO from 1st February 2026 to 12th June 2026, supporting Vetri and his team. I am confident that under Vetri's leadership, UTI AMC will continue to deliver exceptional value to our customers, shareholders and stakeholders while advancing our mission to help millions of Indians achieve their financial aspirations and also globally.

Now, I request Vetri to share with you the financial and other updates and the macroeconomic data of the industry as well as of UTI AMC. Vetri, over to you.

Vetri Subramaniam : Thank you, Imtaiyaz. As Imtaiyaz suggested, I will go into the macroeconomic background of what has been happening. The last few months have brought volatility to the Indian markets, among rising geopolitical tension and also trade challenges. India's growth story remains resilient. This is underpinned by robust domestic demand, healthy private investment and a vibrant services sector. Global conflicts and trade headwinds like the US tariffs may momentarily slow manufacturing and exports, but India's structural strength is well intact. With steady infrastructure spending and firm consumer momentum, including the benefit of the recent GST rationalization, the economy is poised to maintain its lead among emerging markets in terms of growth.

Indian equities and mutual funds. I will turn the spotlight to that.

In H1 of FY26, we witnessed strong investor participation, particularly from retail investors. The industry folio count grew to Rs. 25.19 crore s as of September 2025. The retail mutual fund folios stood at Rs. 19.77 crore s for September 2025, with retail AUM at Rs. 44.61 lakh crore s for these categories. This is equity, hybrid and solution-oriented schemes. Total industry AUM grew to Rs. 75.61 lakh crore as of September 2025, up from Rs. 75.19 lakh crore, reflecting a 0.56% increase month-on-month. Q2 also reflected some degree of investor caution. Equity MF inflows fell 9% to Rs. 30,422 crore s in September from Rs. 33,430 crore in the previous month.

In September, the SIPs stoppage ratio rose to 76.27% up from 74.51% in August. Overall sentiment of retail investors remains strong. SIPs have reached a new milestone with record

Page 3 of 17 monthly contribution of Rs. 29,361 crore s and Rs. 9.25 crore s active accounts as against Rs. 8.98 crore s posted in August. The SIP AUM is at Rs. 15.52 lakh crore s for September 2025. This amounts to 20.53% of total mutual fund industry assets.

Moving on to the performance of UTI, in line with the industry, UTI Group's total AUM stood at Rs. 22.42 lakh crore as of 30th September. This is a growth of 11% from Rs. 20.16 lakh crore s a year ago. Our mutual fund AUM reached Rs. 3.78 lakh crore s compared to Rs. 3.43 lakh crore s last year. At the end of Q2, as of 30th September, our folio stand at 1.36 crore s. Considering the market volatility, our go

-to-market strategy remains focused on the hybrid category of funds.

I am happy to share with you some of UTI AMC's achievements for the first half of FY26. Our strategic vision continues to guide us as we expand across the vibrant B30 cities and the established top 30 markets. Beyond 30 cities remains a cornerstone of our success, contributing approximately 80% of our AUM and these markets are growing strongly. Technology is central to this journey. Our investor and distributor-facing apps have seen strong adoption, providing convenience and enhanced functionality to investors and distributors. The association with Salesforce and ONDC in their respective capacities has enhanced our potential significantly, whether it is our ability to keep engaged with our investors or with our partners and also to facilitate ease of transaction for all investors. Financial literacy remains a key priority and through our initiatives such as UTI Swatantra and FLY, we continue to empower individuals with the knowledge to make informed investment decisions.

As regards new fund launches, we launched the UTI Multi Cap Fund in May. This has been designed as an all-round investment solution and showcases the depth of our research capability. It completes our product suite and is the distinctive proposition within our diversified equity offering. As of 30th September, the fund had assets of Rs. 1,576 crore s, around 67% more than what we collected during the NFO.

Our distribution network continues to gain strength. Through targeted training and workshops, we have enhanced the collaboration between distributors, fund managers, and product teams. On the global front, the expansion of our New York office and progress on regulatory approvals in the DIFC have reinforced our cross-border advisory presence. Through these strategic endeavors, expanding reach, driving digital adoption, launching innovative products,

empowering investors, and fortifying distribution, UTI Asset Management Company is firmly positioned to sustain growth and deliver long-term value to stakeholders in FY26 and the years beyond. Thank you for your continued trust and support.

I will now hand over to our Head of Investor Relations, Marketing, and Corporate Communications, Sandeep Samsi, who will brief you on more details regarding our performance. Over to you, Sandeep.

Sandeep Samsi : Thank you, sir. I will take you through UTI Mutual Fund's performance during the second quarter and half-year ended 30th September 2025.

Page 4 of 17 Talking about UTI Mutual Fund's performance, UTI was able to capture a market share of 6.2% of the gross sales of the industry during this quarter and market share of 6.4% of the gross sales for the first half of the financial year 2026.

Our active equity plus hybrid quarterly average AUM for the quarter ended September 2025 stood at Rs. 1,33,202 crores. Quarterly average AUM for index and ETF stood at Rs. 1,62,443 crores, up by 4.75% in the second quarter commensurate with growth in the overall passive investment. ETF and index fund net inflow stood at Rs. 4,848 crores. UTI added 2.4 lakh folios taking up the number of live folios to 1.36 crore as on 30th September 2025. Our SIP AUM witnessed a growth of 5.98% over the corresponding quarter of last year, reaching to Rs. 42,267 crores as of September 2025.

The SIP inflows for the second quarter stood at Rs. 2,338 crores. The SIP gross inflows for UTI Mutual Fund witnessed a year-on-year growth of 12.04% with the average SIP ticket size being Rs. 3,273 for September 2025. For the first half of the year FY26, SIP inflows were Rs. 4,599 crores, higher by 17.70% as compared to Rs. 3,907 crores in the first half of FY25.

An important update, pursuant to the meeting held on 23rd September 2025, the Board of Directors of UTI AMC approved the implementation of the Voluntary Retirement Scheme (VRS) for select categories of employees

effective from 1st October 2025. As per the scheme, eligible employees can submit their VRS applications till 31st October 2025. The financial impact of the scheme will be determined based on the actual number of applications received and will be communicated to the stock exchanges in due course in line with the regulatory requirements. As part of the VRS package, family pension benefits have also been revised. The one-time financial aspect of this revision as well as the actuarial valuation is Rs. 25 crores which has been fully accounted in the financial results for this quarter. This initiative is designed to offer a structured and dignified exit framework for eligible employees while strategically realigning the workforce to support the organization's future business priorities.

Coming to UTI AMC financials on a consolidated basis. During the second quarter, the core income of the company stood at Rs. 390 crores up by 5% year-on-year and 3% quarter-on-quarter. The consolidated core PAT for the second quarter is Rs. 107 crores which includes the impact of revision in the family pension. Adjusted for the same, the normalized consolidated core PAT for the quarter is Rs. 127 crores down by 5% year-on-year and up by 4% quarter-on-quarter. For the half year, the consolidated core PAT was Rs. 228 crores down by 8% Y-o-Y and normalized consolidated core PAT, excluding the impact of family pension is Rs. 248 crores up by 1% Y-o-Y.

On a standalone basis, during the second quarter, core income of the company on a standalone basis stood at Rs. 319 crores up by 5% Y-o-Y and 3% quarter-on-quarter. The standalone core PAT for the second quarter is Rs. 104 crores which includes the impact of family pension revision. Adjusted for this, the normalized standalone core PAT for the quarter is Rs. 124 crores up by 7% Y-o-Y and 5% quarter-on-quarter. For the half year, the standalone core PAT was Rs.

Page 5 of 17 221 crores up by 3% Y-o-Y and the normalized core PAT excluding the impact of family pension for the half year is Rs. 241 crores up by 13% Y-o-Y.

On the investment highlight, in fixed income, we have witnessed consistent growth in liquid as well as non-liquid categories. On the equity side, our value-oriented schemes continue to do well over the 3-year and 5-year period. Some of our growth-oriented schemes have witnessed a pick-up in performance over the last one year. By substantially increasing the fund manager's engagement with distributors in both the top 30 and beyond 30 cities, we have strengthened our partnerships and enhanced strategic clarity around our fund offerings.

On investor education, re-imposing our commitment to investor education, we conducted 700-plus programs, including 250 sessions, especially designed for women investors. In the first half of the Financial Year 2026, more than 6,700 students participated in our Financial Literacy for Youth (FLY) program under which we conducted financial awareness sessions in colleges. Close to 70% of these students registered for SEBI Investor Certification course and out of these, 81% have already cleared the exam.

On our IT and digital assets, we continue to invest strategically in technology infrastructure and adopting artificial intelligence, machine learning, and generative AI. We have amplified our security operations with a focus on cybersecurity.

Last year, we partnered with Salesforce for a marketing automation tool to send customized communication to our investors. A case study on this has been published now by Salesforce. We are also associated with ONDC, the Open Network for Digital Commerce, and are available on their network for onboarding and financial transactions. 41% of our total gross sales for equity and hybrid funds are being mobilized through the digital platform in the quarter two of FY26. We have gone live with UTI auto-pay implementation for SIP via the UTI auto-pay

and at

valid UPI handle as per the mandate given by AMFI.

On UTI Pension Fund Limited, our 100% owned subsidiary UTI Pension Fund Limited has recorded a growth of 15.82% year-on-year in its AUM, reaching Rs. 3.89 lakh crore as on Q2 of FY26 and currently it manages 24.62% of the NPS Industry's AUM.

The PAT for the half-year is Rs. 28 crore, a decline of 3.4% Y-o-Y. The point-of-presence business that commenced recently has been performing well. We currently operate through 31 branches across India and plan to take the total number of branches to 40 in FY26. In the first half of FY26, we added 119 clients. We are delighted to share that UTI PFL won the CNBC-TV18 India Risk Management Award for the year 2024-25. We have filed 4 new schemes under the Multi-Scheme Framework (MSF) based on the circular issued by PFRDA on 16th September 2025.

On UTI International, UTI International has rebranded the logo as UTI Investments, reflecting a more contemporary identity to resonate strongly with international investors. The AUM at UTI International is USD 2.66 billion or Rs. 23,647 crore as on 30th September 2025. One of our popular funds, UTI India Dynamic Equity Fund, domiciled in Ireland, has an AUM of USD 874

Page 6 of 17 million. We successfully secured allocation into UTI IDEF from Europe despite a challenging market environment and have continued to sustain our assets. We have also strengthened coverage and business development through senior leadership hires across regions, bringing deep institutional expertise.

On UTI Alternatives Private Limited, UTI Alternatives Private Limited has a total AUM of Rs. 2,669 crore as on 30th September 2025. This excludes the co-investment portfolio management services of Rs. 162 crore. We have now successfully exited SDO FI in FY25. SDO FII and SDO FIII have active commitments of Rs. 755 crore and the fund is currently in investing stage. We have launched the fourth fund of our SDO F series in quarter 2 and this fund has been planned as a Rs. 1,500 crore fund.

UTI Multi Opportunities Fund I has an AUM of Rs. 1,598 crore. Currently, the fund is in investing stage.

UTI Real Estate Opportunities Fund I is currently in fundraising and is investing with commitments of Rs. 164 crore. We have initiated the process for upgrading the Gift City SME licence from non-retail to retail to allow launch of mutual fund schemes.

I would now request the Managing Director and CEO for his concluding remarks.

Imtaiyazur Rahman: Thank you, Sandeep, for sharing operational and financial updates of the company. Before we begin the question and answer, on behalf of the entire UTI family, I would like to wish you and your family Happy Dhanteras and Prosperous Diwali. We may now open the forum for Q&A. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. Our first question comes from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Thanks for the opportunity. My first question is towards the flows. If I look at hybrid category, which is our main target category, last year we had around 19 billion of net inflows and even H2 was better. But in H1, that actually declined to around 4 billion. How can we capture more flows in this category? What are our major strategies towards that?

Vetri Subramaniam: Hi Mohit, Vetri here. So that remains actually our focus in terms of the hybrid strategies and that is just a function of where we think the market is both in terms of valuations of both equity and fixed income, which is why we think this is a sort of more appropriate part. There has been perhaps some churning of portfolios, but we are just doubling down on the push in terms of hybrid products. Our products, particularly the multi-asset fund and the aggressive hybrid fund are already approved on several platforms. So we are pushing both

or sales through lump sum

mode as well as through the SIP mode. The balance advantage fund is a much younger fund for us, just about 2 years of track record, but it has done well over that period. So even there, we are sort of increasingly pushing the market in terms of starting to get that incorporated. As you know, many sort of rating systems in the market typically look at least 3-year data before they start to recommend a product. So once we cross that hurdle sometime middle of this year,

Page 7 of 17 hopefully that product as well will make it onto some of the sales platforms. So there may be some movement that you have seen over the last quarter, but I think we are happy with the trend that we see in terms of gross sales.

Mohit Mangal: And H2 should be better than H1, I would assume ?

Vetri Subramaniam: Yes, that is where our focus remains and we have been doing a lot of distributor engagement over the last few months. There is a series of programs we are doing across the country, zone by zone. So I think you will see some benefits.

Mohit Mangal: Understood. My second question is towards the UTI international business. So I think there has been around 8% decline, if I compare H1 FY26 versus FY25. So any activity over there?

Vinay Lakhota : So the AUM decline that has happened over there is primarily because of two funds. One is UTI Phoenix Fund, which is similar to a FMP kind of a category, which has matured and some redemption and mark -to-market impact on our UTI India Dynamic Equity Fund and UTI Innovation Fund, where we lost close to around Rs. 2,000 crores, primarily because of mark -to-market impact only. So hopefully with the growth category style actually delivering better values over the last 2 or 3 quarters, we should see some meaningful inflows in UTI Dynamic Equity Fund going forward.

Mohit Mangal: Understood.

Vetri Subramaniam: I wish to add some color to what Vinay said. Just keep in mind that you have to also see the change in AUM of that strategy in the background of the fact that in general, FPI appetite towards India is currently fairly cooled in that sense, right? There has been a net outflow. So India as a category is actually not attracting too much flows at this point of time. But within that, I think the team has been reasonably successful in terms of getting some inward client rotation. And that is coming from what Vinay said, which is that when we look particularly at the last year, year and a half, the quality growth which underpins the IDEF strategy that we run has done quite well in terms of its alpha generation. So that has enabled the sales team to get more clients in. But we need a point in time where overall appetite for India starts to increase for that number to grow.

Mohit Mangal: Understood. That is helpful. My last question is towards, in your opening remarks, you said that the impact of VRS is expected to be around Rs. 25 crores. So just wanted to know the math behind that as to how did you come with that number, if you could just explain ?

Vinay Lakhota : No. What we stated is that as part of a VRS package, the family pension amount was being revised. That because of the revision in the family pension amount, the actual impact of that has been accounted for in quarter two. The actual impact of VRS will depend on how many number of people actually opt for. And that we will be communicating sometime maybe in the later part of the month of November. So information will be sent out to the stock exchange of what the actual impact will be there in Q3 financials.

Page 8 of 17 Imtaiyazur Rahman: Mohit, it is a onetime expenditure. And as per the accounting policy, based on the actual valuations, we need to account for in the quarter of the incident. And therefore, since the scheme was launched on 23rd of September, therefore, as per the accounting standard requirement, we had to account for in

this quarter. It is a onetime expenditure. And let me explain you why this particular thing is a part of the package. We have a pension scheme and the family pension scheme was not revised since 1994 and the only thing people were getting the Rs. 5,300 family pension across the group of the employees, whether it is the class 3, class 4 or even the senior management people. Therefore, we have just revised the family pension schemes and that we did in order to make sure that our VRS scheme is successful and we are seeing the good outcome , Mohit .

Mohit Mangal: Understood, sir. That is very helpful. Thanks and wish you all the best.

Imtaiyazur Rahman: Thank you.

Moderator: Thank you. Our next question comes from the line of Prayesh Jain from Motilal Oswal. Please go ahead.

Prayesh Jain: Yes, hi. So just extending that question on the VRS thing. So while you do not quantify the cost, but you would have an estimate of the 100% of the employees eligible for it. If they accept the VRS, what could be the cost that can be seen? And I would also like to understand what happens if the 100% of the employees take VRS post that, what kind of employee cost run rate will we see?

Vinay Lakhota: So overall, the number of employees that are eligible for VRS is 479 out of roughly around 1450 employees that we have. So only one third of the employees are actually eligible for VRS. And these are primarily the employees who are more than 50 years of age and joined prior to 2003. The actual impact will again depend on the number of people that actually opt for a VRS. But I can give you a ballpark number. The average VRS payout per employee, would be in the range of around 60 -65 lakhs. So depending on the number of employees that actually opt for, then I can communicate the actual impact. And what was the second question, Prayesh? I didn't get that?

Prayesh Jain: If 100% employees opt for the VRS, how much?

Imtaiyazur Rahman : So we have analyzed it and we are not required to replace all employees. Our data suggests that in case all 500 employees take the VRS, over a period of time, we will be requiring 70 -75 people to supplement those requirements.

Vinay Lakhotia: So Prayesh, at the actual run rate, once we relieve the employees, then depending on the business requirement, in how many cases actually we may require a replacement or the entire organization restructuring will happen. So we will communicate the actual run rate maybe while we announce the Quarter 3 results.

Page 9 of 17 Prayesh Jain: Got it. That is very helpful. Second question is on the SIP market share, which was there in September 2024, which was about 2.9% and now it is about 2.7%.

What are we doing to kind of change this and make further improvements here? Because I think that the cornerstone for this industry has been SIPs and that is where it seems that we are losing some market share?

Sandeep Samsi: I think if you look at our market share, it might have just gone down marginally. But otherwise, we have seen a month-on-month growth in our SIP numbers. So if you look at the SIP count of ours, it has also increased 11% on a year-on-year basis. So there are about 6 lakh new SIPs which have been registered in this first half of the year, out of which 75% have come through the digital channel. And most of our market shares across channels remain steady and we are not seeing too much of a change there. The highest share of SIP flows that we are getting is still coming from the MFDs, which is about 50% of our SIP flow and this is followed by RIAs, which is close to about 19%. And the rest is coming through direct, Fin-tech and BND. The two channels where we have seen significant increase is the RIA channel and the Fin-techs on a year-on-year basis, which is around 40%-45% increase from the last year. And we can owe much of this growth to the thrust that we

are putting into augmenting our network in the last many quarters and we will keep on making our efforts in this direction to improve our market share in the SIPs. Another factor which is important is in respect of the smaller cities where we have been able to sustain our growth by deepening our presence through a combination of digital engagement, distribution partnership, and initiatives. So this has also helped us to get a number of SIPs from the smaller centers.

Imtaiyazur Rahman: As a core strategy, we are overly focused on our SIP. We are on all the platforms, HDFC, Axis Bank, and everywhere. And we as a team, this is our core strategy to implement.

Prayesh Jain: Got that, sir. Just on the other expense front that also seen on a standalone basis, I have seen a very sharp jump both on a Y-o-Y as well as a sequential basis. What is driving that?

Vinay Lakhotia: The other expenses or the employee cost?

Prayesh Jain: Other expenses.

Vinay Lakhotia: Other expenses. The Rs. 6 crore was on account of CSR expenses. And as you are aware, CSR expenses is actually booked on a cash basis and not on an accrual basis. So maybe this quarter, the other expenses have increased. The next quarter, there might be a slight dip in the overall expenses. So for the full year, we maintain a guidance of close to around 7%-8% for the other expenses. Some volatility because the CSR expenses is actually accounted on a cash basis.

Prayesh Jain: Got that. This is helpful. Thank you so much and wish you all a very Happy Diwali.

Imtaiyazur Rahman: Thank you, you too.

Moderator: Thank you. Our next question comes from the line of Madhukar Ladha from Nu Vama Wealth. Please go ahead.

Page 10 of 17 Madhukar Ladha: Hi, good evening, everyone. Thank you for taking my question and Happy Diwali to everyone.

So just again on the VRS, so of the 460-470 employees that the VRS is applicable to, how many have actually accepted it until now? Can you give some number of that? And in your internal estimates, what is the kind of acceptance rate broadly that you would be building in? That will also be helpful. And my second question is more for Vetri. Sir, if you could highlight, you will be taking over as CEO. Congratulations for that and all the best on the new role. But what will be your key focus areas? And over the next couple of years, let us say, what would be your sort of targets in your mind both in terms of fundraise, performance, and expenses? So what can sort of shareholders look forward to if you could outline how you are thinking about strategy for UTI?

Imtaiyazur Rahman: Madhukar, so far as the VRS scheme is still on, this scheme will close on 31st of October 2025. And therefore, we are unable to give you any number at this particular point of time. And since it is a VRS scheme, we cannot predict how many people will take with a certain number. However, what we are witnessing, we are witnessing a very positive response from our people. Vetri, over to you.

Vetri Subramaniam: Yes, Madhukar, thanks for the good wishes. Just if you look at the asset management space, and obviously the mutual fund being a big component of that. In a sense, it is a very simple business. It is just all about the products and the way the funds perform and equally, it is a people-driven business because it is the people who really make the difference across all aspects of the business. So if you look at it in terms of, I think, what the strategic priorities are, Imtaiyaz talked about the growth that we have seen and the leadership transition that is currently underway. I think one benefit I have compared to when Imtaiyaz took charge in 2018

is that we have a strong set of leadership across the entire company and in fact, for that matter, across the entire group. So I believe our senior level teams are very well placed today as compared to where we were earlier. Having said

that, workforce rejuvenation is a very key component of what we need to carry out. If we go back a few years in history and look at our sales team, the ratio of supervisory sales team leads to the actual hunters was adverse. And that is something that we have been correcting over the last 3 years. And I think with this VRS, it will see a further change in terms of the number of managers who make up the sales system, who are supervising the sales team and the number of actual sales people who are going out there in the market. So that workforce rejuvenation in terms of a younger cohort, making sure that the ratio of supervisory to hunters is more appropriately placed, making sure that this younger team is now properly skilled and trained to be able to engage with the marketplace. To my mind, that is really one critical part of the engagement part of our business with all our partners and distributors. The second part is the brand visibility and the brand connect. The brand has a very strong recollection. It has legacy. But at the same time, we are aware that there is a younger cohort of customers to whom the brand does not resonate as strongly. So we would certainly in the years ahead, once again utilize some of the flexibility that would show up for us by investing in the brand to make sure that we are increasing the visibility and the connection to the younger cohorts who may not

Page 11 of 17 fully be aware of the legacy of the brand. So the brand would really be the second part of what is important.

Third thing, if you look at all the industry data, we are certainly going through a disruption in the sense not visible in the AUM, but visible in the number of customer accounts which are now digitally originated. Again, for us, that is partly allied with the previous point, which is to say that we need to have best-in-class digital assets. We need to have best-in-class digital systems which allow us to talk to the customers, engage with the customers, cross sell, upsell, and also sort of give them a sense of being digitally native because the new competitors who are entering this business are increasingly digitally native. So digital and brand at some portion of these are aligned, at some portion it is a separate platform that we will anyway have to build. As far as fund management is concerned, I think we have got the processes well in place. We have got very strong talented teams. There will always be some cyclicalities in terms of fund performance. What we have tried to do over there is make sure that we have a go-to-market strategy, which makes sure that we are always carrying a portfolio of products to the market, which are positioned both on performance and on opportunity. This requires a little bit of training of the sales team to be able to carry this message of products that carry performance and simultaneously showcase the products where the opportunity lies for the future. So I think with a more agile workforce with the appropriate upskilling and training, we will be able to get them to carry this message out there in the market. So I would say all of these are things that we would need to do. I think very key metric for us, given that we are a scale player, we are present across the country, there is a discrepancy between our market share in SIP and the market share that we have on stock AUM. So to my mind, one of the critical things that we will be focusing on is continuously raising the SIP market share. But because to my mind, the only way to get back to where we are on stock AUM is to keep increasing the share of SIP flows. Now, I know there was a question on this earlier, and I will put in a slightly tactical point that maybe we will have to look through the data. Remember that the hottest selling category in mutual funds, particularly on the equity side in the last 2 years, or maybe in 3 years, has actually been sectoral thematic. This has

as been an area in which we have been both conservative and cautious. This may have cost us both in terms of gross sales as well as impacted our share of the SIP book. But we are very focused that in the core categories, we want to keep increasing our share of the SIP book and I think it is in the core diversified products that there will be a long-term opportunity to make sure that we get a sustainable share of the SIP pipeline. I think on the cost side, post-November, we will get a better opportunity to articulate where our cost structure will settle down. But certainly, we will look to reinvest some of that in brand visibility. And once we are able to raise our equity SIP book, it should automatically start to show up in the yields as well. So it is a pretty simple business. If you are able to keep your costs under control and raise the yield, the jaws sort of start to open up. So that is what we will have to target. But it is a journey. It is not something that we can do overnight. But I think all of these are levers that we will have to use. And simultaneously, leveraging the onsite fund management talent we have into the offshore business gives us the ability to tap into a new

Page 12 of 17 set of investors and UTI alternatives, which is still a very small unit for us. There is scope to grow that and that will be a much higher yielding unit eventually, though the size of AUM may be much smaller. But that is another way to diversify the asset management company and the

listed company's businesses. So that in a nutshell, many things, but these are all the touch points that we will have to go. And over time, we will come back to you with a dashboard. So you have an understanding of each of the elements that I described and the progress that we hope to make.

Madhukar Ladha: Thank you, sir. Thank you for the response and look forward to your innings and all the best, sir.

Vetri Subramaniam: Thank you.

Moderator: Thank you. Our next question comes from the line of Swarnabh Mukherjee from B & K Securities. Please go ahead.

Swarnabh Mukherjee: Hi, sir. Thank you for the opportunity. Vetri sir, congratulations on your new role and a Happy Diwali to everyone. I had 3 questions. So first of all, I think about this quarter, I think in the employee cost also, if we adjust for the Rs. 25 crore one-off that has come through, there is still, I think, Rs. 10 odd crore increase in the standalone P&L in employee costs and around Rs. 4-5 crores in the consolidated P&L. So if you could explain what is that due to? That is the first question. Second is, sir, you were talking about the 3-year performance and actually gradually scale up there. I just wanted to know, what in your mind or how have you seen in the past in the industry that has the performance goes into the higher quartiles? What is the lead time before flows start to come in? How should we think about it on that? Thirdly, sir, I think over the last 2-3 years, we had kind of articulated to investors to maintain our cost base. I think we did a great job at that. The cost base was not going up at only, I think, low single digits. Now, given our plans about investments in the brand and in the distribution channel as you have articulated, should we expect any of that on the cost heads to increase going forward if you could keep some color of the same? These are my 3 questions. And one bookkeeping question, if you could give us the yields by asset classes for the quarter?

Vinay Lakhota: Yes. I will answer on the cost and the yield part. On the employee cost, apart from the family pension liability of Rs. 25 crores, roughly around Rs. 6.5 crores is the actuarial impact on account of salary revision that has happened in this particular quarter. Again, this is just one quarter event and this will normalize over the balance period. On the yield part, the equity and hybrid yield is close to around

75 basis points. ETF and index fund has seen a marginal improvement to around 8 basis points from the earlier 6 basis points that were there in the previous half year. Cash and liquid funds are close to around 9 basis points and fixed income is around 19-20 basis points. Some marginal reduction on the fixed income yield because I think most of the products that are being selling in the fixed income side is on the shorter duration and some marginal reduction in the yield on the fixed income side.

Page 13 of 17 Swarnabh Mukherjee: Yes, just a follow up. The employee cost side, if I may just clarify. Sir, you said Rs. 6 crores

because of actuarial valuation. So if I remove the Rs. 25 crores number, I think Rs. 100 crores for last quarter in the standalone P&L went to around Rs. 110 odd crores except the Rs. 25 crores number. So, Rs. 6 crores out of that?

Vinay Lakhota: No. Rs. 25 crores is on account of family pension and Rs. 6.5 crores is on account of actuarial valuation of other retirement benefit which includes your gratuity, live encashment and things like that.

Imtaiyaz ur Rahman: Every year post the salary increase, we need to calculate the various superannuation benefits. And based on that, the Rs. 6 crores is the liability, one time liability has come to Rs. 6 crores. If we normalize 25 plus 6, then the cost is in line with 2.5%-3% that, as per the guidance, which we have given. Now, you have asked about the question of maintenance of the cost post what Vetri suggested to you that once he takes over, he will invest some dollar in the brand regeneration, etc., I don't feel we are in the position at this particular point of time to suggest any or give any guidance on this number. However, if you see the last 5 years, our CFO team and the entire management team, they have been extraordinarily careful on the cost. So we cut a lot of cost, we save a lot of cost, we improve efficiency and whatever the money we save out of that, we use for the other line of the business. This has been the case. For example, we have opened 75 branches, but we have not increased the cost because we reduce a lot of branches, we cut a lot of cost, we optimize a lot of cost and we have brought a lot of efficiency using our technology. That has helped. So Vetri has suggested that he will go for the brand and many other things, but at the very same time, he is extraordinarily careful and he is working on that to save a lot of cost in other areas. So at this particular point of time, I don't feel Vetri will be in a position to give any guidance or I am in a position to give any guidance. However, when we meet again or when they meet you again in the 3rd quarter or 4th quarter end, we will be in a better position to give you the guidance on the next plan. And so, for the yield is concerned, Vinay, you have already replied about the yield. Yes, Mr. Mukherjee, hope it answers the question.

Swarnabh Mukherjee: Sir, I had also asked regarding the flows that in your experience, once we scale up on the 3-year performance as it highlighted, it might play out differently but normally, what have you

seen as the lead time for the catch-up on flows to happen?

Vetri Subramaniam: So if you see in the past and even if you refer to our data of 2021-22, you will see that typically, it is somewhere in the second year after you start to get good performance in some of your schemes is where the flow numbers start to pick up quite significantly. So you will see that very much in our flow data in 2020-21 and 2021-22, which were strong years for us both in terms of our share of gross as well as our share of net flows of equity flows for the industry. So I would say 2-3 is the sweet spot. And we see this even at a scheme level. If I look at current year to date, for the first time, one of our other schemes has started to outsell in terms of gross sales, our largest single active equity

scheme and that is a function of the fact that its 3-year performance is now extremely strong. So those are the cycles that you see at a product level. But the main point that I would like to make is that we as a firm recognize this cyclicity of 2-

Page 14 of 17 year and 3-year and that is why I said we need to take the product appropriately to the market, position some on the back of performance and position others on the back of opportunity.

Swarnabh Mukherjee: Right. That is very helpful. If I may squeeze in a couple of more questions. Sir, first of all, on the VRS scheme, once you get clarity in terms of how much your cost would be, just wanted to know how it would be provisioned. Will it be provisioned over one quarter or over multiple periods? Just some clarity on that. And secondly, sir, this new product, SIF, that I think some of your peers are launching. So just wanted to know your thoughts or any strategy around that?

Imtaiyaz ur Rahman: Vinay on accounting and Vetri on SIF.

Vinay Lakhotia: The entire VRS cost will be booked in the P&L in the 3rd quarter itself as per the accounting standard. There is some impact as far as the taxation is concerned, that these expenses need to be amortized over a period of 5 years as per the Income Tax act. So you might see a deferred tax asset being created. But as far as the accounting of this cost is concerned, the entire cost will be charged in Q3 financial.

Vetri Subramaniam: Sure. On the SIF itself, see, it is an interesting product category, because it opens up space to do something which is slightly different from the traditional MF product. And at the same time, it has the benefits of the same set of regulations that asset management companies would anyway use across their products. The regulator also has great comfort with this. There are two sort of challenges we need to be cognizant of. One is that for this product to be distributed, both my own sales team as well as the distribution partners need to get certified at a new level as compared to the certification required to sell a normal MF product. So when we look at the data at this point of time, it is very clear to us that at this point of time, the distribution system's ability to distribute this product is limited by the fact that there are not enough people who have the certification. Having said that, we are getting other people trained so that we have enough people in-house. We are going region by region. We will have enough in-house people who are then certified appropriately to position this. We have also finalized our brand because by law, we require a separate brand for this product. That is also in final stages of being rolled out. The actual product launch, again, we are looking at what is the appetite that the market might have because the long short product is a product which still at this point of time is not very well understood in the marketplace. Therefore, we need to see which of these products might actually be most suitable. But all the building blocks that need to be done, we are doing one by one, which is the brand, which is the platform, and finally, the training of our own sales team. But honestly, it makes sense to launch it when the distribution architecture is prepared and the number of people in the distribution architecture who can sell the scheme is currently limited.

Swarnabh Mukherjee: Understood, sir. That is very helpful. I appreciate your detailed responses. Thank you so much and all the best.

Moderator: Thank you. Our next question comes from the line of Meghna Luthra from Incred Equities. Please go ahead.

Page 15 of 17 Meghna Luthra: Yes. Hi, sir. Thank you for giving me an opportunity. I had two questions. One is, sorry to harp again on the employee cost. After we are done with the VRS, what could be a normalized number of employee costs that we can expect every quarter? And the second

question is a

little qualitative, is that we are seeing fast-paced growth in the digital onboarding from SIPs and even lump sums. How do we compete in this space and how does any AMC compete? There is no payout to the digital onboarding of customers. So is there a dynamic where we can compete and come ahead? These are my two questions?

Vinay Lakhotia: So as I said, the run rate will be able to communicate post the VRS settlement is over depending on our business requirement that if we need to recruit people to fill up some of the vacancies that may arise. And again, Vetri rightly pointed out that we are realigning our ratios of managerial to the hunter on the top. So the entire reorganization will be carried out sometime in the Q3 and maybe when we announce the Q3 financial result, the run rate for the employee

cost will be communicated.

Sandeep Samsi : So Meghna, we are progressing digital transformation with the focus on expanding our investor access and providing them platform efficiencies. If you look at as of September 2025, 89% of our total gross sales in the quarter came from the digital platform. And in the last 4 quarters, an average of around 92% of the gross sales are coming through the digital channel. So you can see that digital channels are taking shape through the existing distributors as well as from the Fin-tech platform. So our recent collaboration with Salesforce, which focuses on customized communication has helped us to create a top of mind recall with many of our investors.

Similarly, we have been focusing on things like instant SIP activation, digital KYC and distributors onboarding through mobile and a web application and the team has done a great job to ensure that all the application as well as the website is top of line. So another area where we are putting a lot of focus is the Fin -tech partnership. And we are looking at API integration to support their digital push also by streamlining the processes and improving the customer experience. So all of these initiatives show that as Vetri also pointed out that digital architecture as well as the framework will help the growth of mutual fund industry and UTI.

Vetri Subramaniam: And Meghna, just to add to what Sandeep said, just keep in mind that they are also trying to rejig their own business models because no doubt they have made a significant impact in terms of the number of clients that they bring, the new SIP signups that they bring. But I think they are also now trying to figure out where in this entire mix they will be able to get profitability from the clients that they are onboarding. So what we are seeing at this point of time is significant number of these digital platforms starting to rethink what their approach to business should be in terms of how they want to position themselves, whether it will be purely direct or whether they also wish to have clients to whom they will offer incidental advice. So I think it is still evolving. We are very clear as Sandeep said that we need to have best -in-class digital assets and digital visibility because otherwise you will not be part of the consideration.

Moderator: Thank you. Our next question comes from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Page 16 of 17 Abhijeet Sakhare: Hi, good evening everyone. So a question again on the VRS related point. I just wanted to know

what would be the contribution of these 470 odd employees in our current staff cost on a full year basis? That would be the first question.

Imtaiyaz ur Rahman: Can you repeat your question please, Abhijeet?

Abhijeet Sakhare: Yes, Sir, like you mentioned, there are these about 470 odd employees who are eligible for this VRS scheme. Now, what I wanted to know is that on a full year basis of whatever your staff cost is, I am just checking the number , last full year, it was about Rs. 460 odd crores. What would be attributable

to these 470 odd employees?

Vinay Lokhatia : I can give the average payout of these 470 employees would be in the range of around 28 to 30 lakhs.

Abhijeet Sakhare: Got it, sir. And sir, secondly, just again reconfirming this point, when you make the provision in the 3rd quarter, this will be routed through the P&L itself, right?

Vinay Lakhotia: Yes.

Abhijeet Sakhare: And in that context, how do we think about the dividend payout for the full year?

Imtaiyaz ur Rahman: That is too early to comment. Let us see now how the year goes and how much people are applying for it and are accepting the VRS . Based on that we will give you the guidance in the 3rd quarter, at the end of the 3rd quarter.

Abhijeet Sakhare: Got it. That is all, sir. Thank you so much and Happy Diwali to everyone.

Imtaiyaz ur Rahman: As you know, we have got a very strong balance sheet, but the accounting requirement is it has to be charged in the same financial year. But we have very strong balance sheet.

Abhijeet Sakhare: Got it, sir. And sorry, I just forgot the question for Vinay, sir. How do we think about the full year tax rate for this year?

Vinay Lakhotia: The full year tax rate actually will be slightly higher in the range of around 26 -27. Because, as I stated earlier, this VRS cost will be amortized over a period of 5 years. The Indian Income Tax Act doesn't allow to be charged in the full year. So while there will be an expenditure, the tax rate will be slightly on a higher side. We will communicate the exact number when we announce our quarter 3 financial results.

Abhijeet Sakhare: Got it. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Divij Punjabi from Banyan Tree Advisors. Please go ahead.

Divij Punjabi: Yes, thanks for the opportunity. I had two questions. One was on the pension management business. You mentioned that there are four schemes being launched. And there are also a

Page 17 of 17 bunch of regulatory changes being done by PFRDA. So can you just talk about what these schemes would look like? What would be the realization and the size of the opportunity? And the second question is on the VRS. Out of these 479, if you can just maybe touch upon the

function-wise split of the employees. So across sales and the other functions, how is it going to be spread out?

Sandeep Samsi: So the four schemes that we are planning to launch is, the first scheme is NPS Trust Account UTI-PF Wealth Builder NPS Equity Scheme. This will be based on equity. There are two schemes in this. There is a Tier 1 scheme and there is a Tier 2 scheme. The other scheme, which is on the dynamic hybrid side is the UTI-PF Dynamic Asset Allocator NPS Scheme Tier 1. Similarly, there is a Tier 2 scheme. As per the opportunity for this fund, I think it is still in the planning stage and by the time we launch it and the market conditions will determine the kind of inflows that we will see in this fund.

Vetri Subramaniam : So just to add to what San deep said, see the bigger opportunity is that we need to grow the market for the private NPS product. All that has happened with this set of regulations is that we have been given a lot more flexibility in product design. So you are no longer carrying a very tightly regimented product to the customer. You have a plate which has got some more attractive opportunities or at least perceived benefits that people can see in those products. But I think the bigger challenge still remains to grow the market in terms of getting people to sign up for the private sector pension.

Imtaiyaz ur Rahman: On the segmentation or classification of employees, we have two categories of employees, managerial staff and non-managerial staff. Out of 476, 351 are associated with the sales or sales-related functions. I hope it answers both of your questions.

Divij Punjabi: Yes, thank you so much.

Moderator: Thank you. Ladies

and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. Imtaiyazur Rahman for closing comments.

Imtaiyazur Rahman: Thank you very much to all of you for your active participation. Once again, on my personal behalf and behalf of my team here and the entire UTI, we wish all of you a very Happy and Prosperous Diwali and the New Year. Thank you and have a nice weekend.

Moderator: Thank you. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with the Ad factors investor relations team. You may now disconnect your lines.

Call: Apr 2026

Information Classification: UTI AMC - Public Ref. No.: UTI/AMC/CS/SE/ 2026 -27/0658 Date : 28th April , 2026

National Stock Exchange of India Limited

Exchange Plaza Plot No. C/1

G Block Bandra – Kurla Complex

Bandra East Mumbai – 400 051.

Scrip Symbol: UTIAMC BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai – 400 001.

Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference call on financial performance of the Company for the quarter and financial year ended 31st March, 2026

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars, we are forwarding the transcript of the earnings conference call held on Thurs day, the 23rd April , 2026 at 1800 hrs IST on the financial performance of the Company for the quarter and financial year ended 31st March , 2026.

The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar

Company Secretary and Compliance Officer

Membership No.: ACS 21577

Encl: As above

Information Classification: UTI AMC - Private UTI Asset Management Company Limited

Q4 & FY '26 Earnings Conference Call

April 23 , 2026

Moderator: Ladies and gentlemen, good day and welcome to the UTI Asset Management Company Limited Q4 and FY '26 Earnings Conference Call.

From the management, we have with us , Mr. Vetri Subramaniam - Managing Director and Chief Executive Officer ; Mr. Vinay Lakhotia - Chief Financial Officer and Head (Corporate Strategy) and Mr. Sandeep Samsi - Head (Investor Relations, Marketing and Corporate Communications). We also have with us the Investor Relations team from AdFactors PR.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note, the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the Investor Relations presentation that has been shared earlier.

I would now hand the conference over to Mr. Vetri Subramaniam for opening remarks. Thank you and over to you sir.

Vetri Subramaniam: Good evening, everyone. Thank you for joining us today on this call. Our financial results , presentation and press releases have been shared on the stock exchanges as well as on our website and we trust you have had the opportunity to review them.

Today, I am joined by my colleagues, Vinay Lakhotia , CFO and Head of Strategy, and Mr. Sandeep Samsi , Head of Investor Relations, Marketing and Corporate Communications.

Before I take this opportunity to provide you with a brief perspective on the market scenario, our performance and our way forward, I would like to take a moment to thank UTI Shareholders, Board and Trustees for the confidence and trust they have reposed in me in continuing to build on UTI's legacy. Having been closely associated with this organization for nearly a decade, I believe we have built a strong foundation across our investment capabilities, distribution and technology.

Our focus now is to accelerate growth from this base to improve our growth and continue delivering long -term value to all the stakeholders.

of the macroeconomic environment and industry trends :

The year FY25 -26 has been a year of resilience in investor behavior, even as markets have witnessed volatility.

The key differentiator has not been the short -term movement in flows, but the enduring structural stability in investor behavior towards financial assets and of course, particularly mutual funds. Despite global uncertainties, whether in geopolitical developments, trade shifts or capital flows, India's fundamental growth drivers have remained intact. Domestic demand continues to be strong and the financialization of savings is clearly sustaining momentum. We have been seeing this clearly in the growth in Systematic Investment Plan investments.

Talking now about equities and mutual funds in particular :

On the industry trends :

FY25 -26 continued to witness strong retail investor participation, total mutual fund folios at approximately 27.39 crores as of March 2026. Retail mutual fund folios, equity plus hybrid and solution -oriented schemes increased to around 20.82 crores. The industry's average assets under management reached Rs. 79.46 lakh crores as of March 2026, demonstrating steady expansion driven by both market performance and sustained inflows. Retail AUM stood at Rs 42.89 lakh crores, and this underlines the growing contribution of individual investors to the overall mutual fund industry. SIPs continue to be a key driver of flows and investor discipline. The monthly SIP contribution stood at Rs 32,087 crores in March 2026 while SIP AUM reached nearly Rs 15 lakh crores accounting for 19.94% of overall MF industry AUM. While there has been some moderation in inflows across certain categories in recent months, investor participation remains broad -based. Industry equity mutual fund inflows stood at Rs 40,450 crores in March 2026. This is remarkable and indicates continued interest in equities as an asset class inspite of intermittent market volatility .

Let me now move on to talk a little bit about our company's performance and I will take you through performance highlights:

The Financial Year 2025-2026 has been a year of strong execution across our core strategic priorities from strengthening retail flows, deepening distribution relationships, scaling our product franchise and investing in technology -led operating leverage. We have also undertaken several structural initiatives to strengthen the operating platform and expanded our geographic presence in a calibrated manner while maintaining net zero incremental costs by managing branch operations efficiently.

We have significantly improved our supervisor -to-feet-on-street ratio from approximately 1 :1 to 1 :5 over these recent years with one manager now overseeing around 5 relationship

Page 3 of 17 managers. Our total employee strength, which stood at 1,402 employees as of March 2024, is now at 1,248 as of March 2026.

Talking about the group :

UTI Group's total AUM stood at Rs 23.42 lakh crores as of March 31, 2026. Our mutual fund AUM reached Rs 3.88 lakh crores compared to Rs 3.39 lakh crores last year. In FY26, we added 7.16 lakh new investors as identified by their PANs, taking our total folio base to 1.38 crores . During the year, our gross new SIP registrations crossed 14.5 lakh of which 76% were through digital channels.

On the product side, we successfully launched the UTI Multicap Fund which mobilized about Rs 1,000 crores with strong participation across banks, national distributors and MFDs. In addition, our UTI Arbitrage Fund crossed the Rs 10,000 crores AUM milestone during the year. Our passive business continues to scale well with ETF AUM at Rs 18,963 crores and Index Fund AUM at Rs 5,934 crores , aggregating to Rs 24,897 crores during the year and we continue to maintain leadership position in the Smart Beta category.

We expect our momentum in this passive business will continue to be supported by a robust

pipeline of new launches during the coming year.

On the institutional side of our business, which falls under our PMS division, both the EPFO and CMPFO concluded the process of appointing new portfolio managers through an open bidding system. For the third consecutive term, UTI AMC was selected as one of the portfolio managers for EPFO.

In the case of CMPFO , we were chosen as one of the two portfolio managers for the second consecutive term. Both mandates have been awarded for a tenure of 5 years.

Switching to our pension fund business, our pension business grew during the year with total AUM at Rs 4.02 lakh crores , representing a 11.8 % increase year on year, while the private sector pension AUM grew by 46% year on year. This continues to remain an important strategic growth area for us. An important area of focus for us through the year has been digital transformation and productivity enhancement. Our digital business initiatives have delivered strong outcomes, including a 234% increase in revenue, 33% increase in transactions, and a 31% reduction in cost per transaction.

We recently launched one of the industry's first AI -powered contact centre solutions , VAANI , which has already automated 59% of our inbound calls. This has materially improved customer

response time and service efficiency. We also launched an in-app WhatsApp payment facility via C AMS Pay and are the first AMC in India to offer this service to investors to transact and engage in live chat via WhatsApp and make payments.

Page 4 of 17 To bridge the gap between complex financial insights and reach a diverse investor base, we also launched an industry-first AI-translated vernacular initiative with the launch of our monthly fact sheets in Hindi. We are also translating our fund manager communications into eight regional languages – Hindi, Gujarati, Marathi, Bengali, Tamil, Telugu, Kannada and Malayalam – to provide our views in regional languages for our pan-India audience. As mutual funds go deeper and deeper into the heartland of India, we think being able to provide communication in different languages will hold us in good stead.

From an investment performance standpoint, we continue to remain focused on process consistency and disciplined execution. In fixed income, 50% of our AUM ranked in the top two quartiles over the one-year period and 60% over the three-year period. Similarly, our hybrid strategies and value-oriented strategies have continued to show strong long-term performance in the equity space.

Our passive strategies have a consistent track record of low tracking difference, which is very important in terms of the investor outcomes. Our equity research coverage has further expanded in line with the growth in the market. This strengthens our ability to identify opportunities across market segments.

Overall, FY25-26 has been a year when we have strengthened our business across distribution, product capability, digital infrastructure, and institutional trust and I would add also a very significant people refresh.

Going ahead, our foremost strategic priority is to grow our mutual fund AUM while building a more resilient, diversified, and scalable franchise, all to be done while maintaining strong cost discipline.

With that, I will now request Sandeep to take you through the operational and financial performance of the company in detail.

Sandeep Samsi: Thank you sir. I will speak about UTI AMC's performance during the 4th Quarter and for the Full Year ended 31st March 2026.

Speaking about UTI Mutual Fund's performance:

UTI was able to capture a market share of 5.5% of the gross sales of the industry during this quarter and market share of 6.1% of the gross sales for the financial year FY26.

Our equity quarterly average AUM for March 2026 stood at Rs. 95,824 crores, rising by 5.46% as compared to the quarter ended March '25. Our quarterly average AUM for the inde

x and

ETF funds stood at Rs. 1,76,673 crores, up by 24.86% in the 4th Quarter. ETF and index funds' annual net inflow stood at Rs. 24,897 crores. In FY25-26, we added 7.16 lakh new investor PANs, taking our total folio base to 1.38 crores.

Page 5 of 17 Our SIP AUM witnessed a growth of 5.91% over the corresponding quarter of last year, reaching to Rs. 39,813 crores as of March '26. The SIP inflows for the 4th Quarter stood at Rs. 2,457 crores. The SIP gross inflows for UTI mutual funds witnessed a year-on-year growth of 13.42%, with an average SIP ticket size being Rs. 3,381 for March 2026.

For the full year, SIP inflows were Rs. 9,442 crores, higher by 13.42% as compared to Rs. 8,325 crores in FY25. The active SIP folios as on 31st March 2026 stood at 29.53 lakhs, a 9.71% growth as compared to March '25.

Speaking about UTI AMC's financials:

On a standalone basis, the core income i.e. sale of services for FY26 amounted to Rs. 1,255 crores as compared to Rs. 1,180 crores for FY25. The normalized core PAT for FY26 is Rs. 460 crores as compared to Rs. 447 crores in FY25. The normalized PAT for FY26 is Rs. 643 crores as against Rs. 653 crores in FY25. The employee cost of Rs. 437 crores includes the one-time item on account of revision of family pension benefit of Rs. 25 crores incurred in Q2 FY26. Excluding this one-off item, the normalized employee cost is Rs. 412 crores.

On a consolidated basis, the core income sale of services for FY26 amounted to Rs. 1,539 crores as compared to Rs. 1,445 crores for FY25. The normalized core PAT for FY26 is Rs. 452 crores as compared to Rs. 492 crores in FY25. The normalized PAT for FY26 is Rs. 511 crores as against Rs. 731 crores in FY25. The employee cost of Rs. 553 crores include the one-time item on account of revision of family pension benefit of Rs. 25 crores incurred in Q2 FY26. Excluding this one-off item, the normalized employee cost is Rs. 528 crores.

On UTI Pension Fund Limited, our 100% owned subsidiary UTI Pension Fund Limited has recorded a growth of 12% year-on-year in its AUM, reaching Rs. 4 lakh crores as on Q4 FY26 and currently it manages 24.36% of the NPS industry's AUM.

UTI International, which represents our international business interest, has an AUM of USD 1.74 billion i.e. Rs. 16,144 crores as of 31st March 2026. Our international clients are in more than 30 countries and they are primarily institutions, pensions, insurance companies, banks

and asset managers.

One of our flagship fund, the India Dynamic Equity Fund, domiciled in Ireland, has an AUM of USD 540 million i.e. Rs. 5,012 crores as of 31st March 2026.

On UTI Alternatives, it has an AUM of Rs. 5,280 crores. It currently manages five active funds across performing credit and multi-strategy themes. Structured Debt Opportunity Fund -II has exited all the investments and made the final distribution in Q3 FY26 at an above benchmark performance with an IRR of 13.4%. UTI SDOF -III has an AUM of Rs. 609 crores and the fund is currently in the investing stage.

Page 6 of 17 During the 2nd Quarter, UTI Alternatives launched the fourth fund of the SDOF series. This fund has been planned as a Rs. 1,500 crores fund plus with a Rs. 500 crores greenshoe option with a current AUM of Rs. 674 crores. UTI Multi-Opportunity Fund -I has an AUM of Rs. 1,598 crores. Currently, the fund is in the investing stage.

UTI Real Estate Opportunity Fund with its commitment of Rs. 187 crores is currently in fundraising and investing stage.

I would now request the Managing Director and CEO for his concluding remarks.

Vetri Subramaniam: Thank you, Sandeep, for sharing the operational and financial updates of the company. I am also pleased to inform you that at the board meeting today, UTI AMC has declared a dividend of Rs. 40 per share for the Financial Year '25 -26. The same is subject to the approval of shareholders at the ensuing Annual General Meeting.

We would like to open the forum for questions and answers.

Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Gaurav Jain from ICICI Prudential Mutual Fund.

Gaurav Jain: Thank you for the opportunity. My question is on the expenses side. There is some one-off you called out in Q4 FY26, but I could not understand the thing completely. But then, on reported numbers, what we are seeing is year-on-year there is a sharp increase. So, if you can help us understand what is the one-off and for FY27, how should we build or think about the employee expense and also the other expenses bit because if you look at FY26, I don't think there is much one-off in the other expenses bit. That for the full year has also grown 15%, which is on the higher side. So, if you can help us understand, how should we think on both from FY27 perspective?

Vinay Lakhotia: Yes. Hi, Gaurav. Vinay here. So, on the employee cost, there is a one-off on account of VRS and family pension. The total quantum of that is close to around Rs. 130 crores that we provision in the Q3 of this particular financial year. Plus, on account of Labour Code, there has been an impact of close to around Rs. 4 crores as well, because we have to provide for an additional liability of Rs. 4 crores. So, total employee cost that you see is close to around Rs. 412 crores at a standalone and Rs. 528 crores at a consol level (excluding Rs. 25 crore of one-off expenses for revision of family pension, incurred in Q2FY26). In terms of guidance for the next financial year, because obviously there will be a benefit on account of VRS, the run rate on a quarterly basis should be around Rs. 90 crores to Rs. 95 crores for the standalone entity and Rs. 125 crores to Rs. 130 crores on the consolidated firm. Obviously, because we are building capacity expansion into all the three lines of business. With respect to the other expenses, yes, it has increased at 15%. And I would say some of these items are not actually a cost, but as an investment that we are doing in our business, both on the digital front as well as on the physical front. On the digital front, we have upgraded our IT infrastructure, especially with respect to the cloud infra. And

Page 7 of 17 because of that, there is an additional expense line-item of close to around Rs 8 crores. And on the physical part, since we have expanded close to around 90 UFCs in the last one and a half years, that has obviously increased our costs. The guidance for the other administrative expenses, it should increase close to around 7% to 8% for the standalone entity and maybe 100 or 200 basis points more for the consol entity. Since for UTI Pension Fund, we are expanding into newer geography. So, for the consolidated one, it could be in the range of around 10%. And for the standalone, it's around 8% for the other expenses. Gaurav, does that answer your question?

Gaurav Jain: Yes, sir. Just one follow-up on the employee expenses. So, basically Q4, when I am looking at the consolidated employee expense, it is Rs. 132 crores. That is the normalized run rate, what you are saying, post VRS, and there is no one-off in this.

Vinay Lakhotia: Yes, for Q4, there is no one-off in this.

Gaurav Jain: In that case, sir, on a year-on-year basis, at the consol level, even after VRS, we are at a 14% increase, right? I mean, Q4 to Q4, Q4 FY25, our employee expense was Rs. 116 crores. Q4 FY26, we are at Rs. 132 crores. So, that has still grown at 14% even after VRS.

Vinay Lakhotia: Yes, the sum is on account of additional provision on variable pay and quarterly incentive. And as I told you, at the consol level, since we are expanding into all the three lines of business, there have been additional recruitment in all three. That is why it is increasing.

Gaurav

Jain: Okay. Sir, my next question is to Vetri Sir, that post taking over as CEO, if he can help us understand what are the three - four areas or aspects that he plans to work on for the coming year, and what is his roadmap that he wants to guide us for, how he wants to run the company from here. That will be helpful, Sir.

Vinay Lakhota: So, Gaurav, before that, let me clarify the run rate. For standalone, it's close to around Rs. 90 crores to 95 crores per quarter. And for the consol, it's around Rs. 125 crores. Over to you Vetri.

Vetri Subramaniam: So, as I said in my opening statement, Gaurav, I think, from our point of view, the company has carried out very significant refresh of its platforms, of its technology, of its infrastructure, of our reach in terms of the branch expansions that we have done. So, if you ask me what is the single-line agenda, the single line agenda is growth. You know, we are operating with roughly 270 branches. I gave you the employee count, which is now in the 1200 number. And if I look at all of these numbers put together, I would say we are operating below our capacity. So, the simple target over the next few years is to grow, is to grow faster than certainly our peers in the Top 10 of the industry, such that we can start to get the benefit of the operating leverage that is now already built in because we have absorbed a lot of those costs. From a people point of view, I mentioned in my opening comment, there has been a significant refresh in terms of the people and also I would say over the last few years, there has been a dramatic transformation. If I just look at the age group of what we call our frontline cadre, the average age of the team has dropped from 41 years in FY21 to 36 years in FY26. And Gen Z now makes

Page 8 of 17 up 38% of the workforce. And if I go back five years, it used to make up 5% of the workforce.

So, there's a very dramatic people refresh, which has taken place. My sort of callout to the internal team is to make sure they are well equipped, they are trained, they have best-in-class support, be it from our data platform, be it in terms of technologies available to them, to be able to raise their productivity and their efficiency, so that we can raise our share of gross sales, net sales, and achieve a much higher level of AUM without in any way having to add further costs on the people front, particularly within the context of the MF business. So, the single line agenda is growth. If I were to drill down into the second line agenda, it would be to sort of grow our share of SIPs disproportionately, because I think that is the key to growth, particularly on the active equity side of the business. And we know that is a much higher yielding part of our business mix. And clearly on top of these two, all the technology refreshes that we have done are allowing us to engage effectively with the young cohort and in the digital space. You know, if you look at the new SIP signups, which are happening, I would say given on which data point you look at, more than 50% of the SIPs are now originating digitally. So, all the investment that we have made in digital is something that we hope to use once again to be able to increase our growth rate. But single line agenda, grow the business. Second, manage the cost, increase the efficiency and use all the other tools that I mentioned.

Gaurav Jain: Very helpful, sir. Thank you, and all the best. Thank you.

Moderator: Thank you. Next question is from the line of Naman Maheshwari from Shanghvi Family Office. Please go ahead.

Naman Maheshwari: Okay. So, very well captured on the single focus of growth as an engine. Since last three, four years, we had not witnessed a sharp correction led by so many headwinds into the market. But this could have been a good time to acquire customers, right? March to some extent was pretty risky for the overall equity market.

arket. So, how did we see the customer acquisition going during this time? And what were the major schemes that are engaging interest of SIP buyers? Also, do you collect the data of first time SIP buyers with you? Or how do you track that if you could give some light on that? So, those are some questions.

Sandeep Samsi: Yes, so, Naman, you are right, there was a lot of volatility, which came into the market. And we are very happy to see that investors have been consistent in their SIP. While generally, March sees a higher number of SIP closures, because you know, people achieve the target, people have started their SIP in the month of April and close it in the month of March. But overall, there was not a very high amount of redemption pressure that the mutual fund industry saw. You had asked a very interesting question on how do we track the first time SIP investors. And we track them on the basis of the PAN numbers that we have. And as both Vetri and Vinay mentioned that we have invested a lot in the digital infrastructure. So, we have now created a complete data lake. And we get to know each and every investor whenever, he or she comes in and start their folios, we get their entire database. So, we know that whenever there is a new customer who's coming, all the data that they have. The major scheme that the first-time investors generally look at are the index funds. And we have seen good traction, especially

Page 9 of 17 from the fintech platform for the Gen Z investors. And they generally take their first investment at around Rs. 1000 - Rs. 1500 SIP.

Vetri Subramaniam: This is Vetri here, just to add to what Sandeep said, one of the numbers that we are now

tracking closely, and we are also putting that into our sales metrics so that we know what those numbers are, and we know what strategies we can use to drive it is the new customer acquisition, which to us basically means, are we getting a customer with a PAN number, which we earlier did not have in our MF folio base. So, the idea is to target that number. I mentioned that last year, we added 7 lakh PANs. So, this year, we are targeting to grow that number significantly. So, a lot of the activities that we are doing in the digital space, as well as on ground including B30 cities, etc., as an example, women investors as an example, is to widen that pool, because that has been our historic legacy. But also, we think that is a great way to create the customers, who as they grow, you will grow with them. What we also have now with our salesforce marketing automation is the ability to communicate with these clients using our salesforce marketing automation and being able to cross sell and upsell opportunities to them. We implemented the salesforce marketing automation sometime in the middle of last year, early days at this point of time, but we are starting to see that driving engagement with those customers helps you make them think through their investments better and also gives you that opportunity to upsell and cross sell. So, new customer acquisition is certainly a key part of that. And now with digital, there is an ability to target and communicate appropriately with them to raise your share of AUM with them.

Naman Maheshwari: And actually, I didn't mean to ask you from this SIP stoppage, actually, I wanted to understand that did you witness any sharp inflow from first time SIP doers in the market was in March, when there was extreme volatility? So, did that help you fast track some customer acquisition by educating them rightly, because we have a very strong feet on street, right? So, that is what I wanted to understand. That did it accelerate during this volatility window, right?

Sandeep Samsi: Not so much, because sometimes, sharp market correction also pause people's thought processes. Plus, March, as I mentioned, is a period when people look at SIPs and renewing their SIPs. So,

however, one good factor that we saw that when in the month of February, the number of new SIPs which we opened were quite good. So, even in the industry level, but industry level, the numbers were slightly lower, we did better than the industry in that sense. So, volatility has been helping in terms of getting new investors because now they look at the market being at a lower level and starting their SIP, but not so much in the month of March itself. So, maybe because of the sharp volatility which we saw in the market.

Vetri Subramaniam: So, again, Vetri here, I don't think there's a specific call out on March per se. But you know, we track our SIPs, which are sort of, let's say, cancelled or seized vis-à-vis the total SIP book, and the new SIPs that we are adding. And we also compare how are our performances relative to the industry, because the same number you also get from AMFI. I would say in general, we have seen our numbers have been slightly better in recent months. But I would not call out something which is particularly distinct in terms of a trend.

Page 10 of 17 Naman Maheshwari: Okay, sir. Fairly understood. Congratulations and all the best for the upcoming quarters.

Moderator: Thank you. Next question is from the line of Meghna Luthra from Incred Equities. Please go ahead.

Meghna Luthra: Thank you, sir, for giving me an opportunity. Sorry I joined you a little late. I am not sure if these questions have been asked. What would, I mean, can you please explain the impact of the revised SEBI's new norms from 1st April?

Vinay Lakhota: So, the TER on account of exit load has been cut by five basis points. And obviously, there have been some rationalization in the base TER as well. But as a fund house, we are of the view that whatever impact is there, that will be passing on to the intermediaries. So, we don't foresee any challenges as far as this rate cut is concerned on our AMC yield.

Meghna Luthra: Okay. Got it. And sir, secondly, what do you see as the yield impact going forward for the year?

Vinay Lakhota: So, it's a combination of actually what are the assets mix is as well. So, maybe a basis point or two dilution could be there because ETF and index fund is going at a slightly higher yield. And on the fixed income side as well, there is a stronger appetite for a low-duration product, which has a slightly lower yield as compared to a high-duration or a credit-yield fund. So, maybe a basis point or two dilution in the overall yield number per se for Financial Year 26-27.

Vetri Subramaniam: Sorry, just to add on that, Vetri here. You know, from my point of view, the most critical line to grow is the revenue line. Of course, I would like my higher-yielding products to grow faster. But eventually, from our point of view, there is a cost base that we have. And anything that helps us grow the top line faster, we are happy to take it. There is a separate challenge of can we raise our share of higher-yielding products relative to what we have in passive. We know our share of passive as a percentage of our total AUM is much larger than some of our peer groups. But managing yield for the sake of managing yield is not a thing that I am in favour of. I would rather manage revenue. But yes, certainly we would like to raise our share of net sales coming in from active equity schemes.

Meghna Luthra: Got it. And sir, on the employee front, are we seeing this as a normalized run rate or how do we see employee costs from here on?

Vinay Lakhota: So, given some guidance on the employee run rate going forward, at least for the standalone

entity, it's close to around Rs. 95 crores per quarter. And at a consol, it will be closer to around Rs. 125 crores per quarter. Higher on the consol side because we are building capabilities in all our subsidiary lines of business.

Meghna Luthra: Got it, sir. And lastly, sir, on the pipeline of

the products, what is there for the coming quarter, sir what can we expect?

Page 11 of 17 Sandeep Samsi: Yes. So, we are going to file multiple passive funds with the regulator. And now we have received the board approval. So, some of the funds that we are going to file with SEBI are UTI NIFTY 500 Index Funds, both on the index side and the ETF side, UTI BSE Index Sector Leaders, again, both on index and ETF, UTI NIFTY India New Age Consumption, and UTI NIFTY India Internet Fund. So, these are the four funds with both index and ETF side.

Vetri Subramaniam: I can just add to what Sandeep was saying. Our focus has been only on the core diversified categories, which is why you see even in the last, I would say, three, four, five years, we stayed away from launching a flurry of sector and thematic funds. We are continuing to be guided by that principle. We will launch in the passive the full bouquet because we think of those as access products, where from our point of view, we are providing access to themes and sectors which investors are welcome to take and pursue. But in the diversified space, we have covered the core categories and there's no interest in doing anything beyond that. We do plan to, however, launch at least one fund in the SIF category during this current year. It's a process in terms of getting all the board approvals and regulatory approval and I think if you see the industry data, it is clear that there has been some action in SIF, but it's not that the growth over there has been particularly dramatic. But we think we have one or two good product ideas and certainly we would like to launch one of them during the current year. So, I think that would be the target over there. Separately, we have also received permission from the IFSC, which is GIFT City. We already had our subsidiary, which is UTI Alternatives had their license in the GIFT City, but that was for wholesale, what they call a Non-Retail FME license. We have now just last week received the approval for Retail FME. So, we will intend during the course of this year to also use GIFT as a two-way solution, both for partnering products which domestic investors might want to invest overseas, as well as providing vehicles in GIFT City for global investors who might want to invest through that route into our domestic funds.

Meghna Luthra: Okay, got it. And so lastly, on the float front, what would be the share of the banking channel in total equity and hybrid?

Sandeep Samsi: Just give me a second, Meghana. The share would be about 1.5%.

Moderator: Thank you. We'll take our next question from the line of Mohit Mangal from Centrum Broking. Please go ahead.

Mohit Mangal: So, actually, I was looking at your PPT and I was actually a little surprised that your equity net flows both on quarterly and yearly has been kind of negative. Though from 2025 to 2026, we see some kind of moderation. So, what are our strategies to improve the net sales within the equity space? Our hybrid is doing well, that is fine. But within the pure equity space, what can we do to increase our market share as well as bring it in the positive territory?

Vetri Subramaniam: Yes, so let me answer that, Vetri here. There are two key things you need to do. One is, of course, as I mentioned earlier, we need to raise the SIP book, right? So, that is the key metric for our sales team now to raise the SIP book. And that is where I believe you will be able to build the most sustainable level of both flows as well as over time, it builds into a lot more

Page 12 of 17 stable AUM. So, that is point number one. Secondly, when you look at that net flow number, you are absolutely right. Year before last was usually negative. Last year, the negative number came down. This year, it was I would say almost close to zero. Now, this reflects the fact that some of our strategies have seen large outflow

flows over the last few years. See, this is really a question of repositioning the sales team in terms of saying, how do we take multiple products to the market? And how do we make sure that we are able to simultaneously sell and bring in net sales from different schemes? So, one of the things we are happy is that this year, we were able to, if you look at our sort of core, what we would call 19 funds, eight of them actually saw positive net sales. And we have now reached a situation, where unlike in the past, where maybe one or two flagship schemes dominated the entire inflow, we are trying to diversify the inflow across the entire basket of funds that we have. Very simply, I would say everything from value to GARP in the middle and quality growth. So, from my point of view, the only way to avoid the cyclicity which is otherwise inherent in this business is the fact that your flows are pro-cyclical to performance. So, I would like to dial that down by making sure that we have competent silos for each of these different sort of strategies. So, then all market strategies, the salespeople are able to take some performing products. And equally what I am increasingly seeing in this marketplace, is that a fair number of distribution, as well as other investors are also open to seeing where is the opportunity for me to participate in a fund which maybe currently is

suffering because market conditions are not favorable, but where perhaps something might change to my advantage in the future. So, what we are trying to double down on is training the sales team and empowering them, making sure that they are able to carry multiple products to the market, rather than the firm be reliant only on a narrow set of funds. So, that's the way we try to diversify. And that is what along with the SIPs, I think will hopefully let us turn the corner and increasingly build it into a sustainable number.

Mohit Mangal: I understood. This is helpful. I was actually looking at, I mean taking this forward, and I was looking at your employee number, your employee number has reduced, but your sales team has kind of increased. So, that is something basically within your strategy to increase your net sales. I mean, should we refer to it that way?

Vetri Subramaniam: Sorry, will you repeat that question?

Mohit Mangal: Yes. So, basically, I was looking at your number of employees, your number of employees were around 1400 in Q3, that got reduced to 1250 -odd, but your sales was around 775. But that's around 799. So, I mean, just wanted to understand that you are increasing your core sales team members, but at the same time reducing your overall employee strength as well. So, that's the right way to look at ?

Vetri Subramaniam: That's the right way to look at it. Because I think historically, if we look at our workforce, I won't just say Q3, but if I go back a little bit in time, the ratio of people who are actually responsible for bringing in business relative to those who are in, let's say, corporate related functions who are not really people who are bringing in the money, that ratio was not a very favorable ratio for us. So, what we are trying to do through all of the people refresh that I mentioned is

Page 13 of 17 essentially correct this . Of course, there will always be a large investment team, there will be a large assurance related team , obviously, the CFO and those kinds of control functions as well. But it needs to be more balanced than where we used to be. Having said that, I don't see the RM count going up too much further from here. I think we have reached a stage where with 260 odd UFCs as we call it, I think we are pretty much fully staffed to the extent we require.

Mohit Mangal: Lastly on the international piece , basically it was not a good year and also the last quarter was not a good. We had strategies earlier as well to grow this piece as well , going forward

in to FY27

should we look at this subsidiary?

Vetri Subramaniam: To put it very simply, this is a little bit of a schizophrenic view on India, domestic investors hugely positive, hugely committed to investing for the long term and then you see a completely opposite viewpoint with global investors where they are pulling money out of India, right, left and center and rotating it to every other developing market and, of course, to developed markets. So, this is a freight train that we can't do much about because appetite for India is a function of many, many things. So, when you see, I think if you look at Calendar '25, and just the 1st Quarter of the Calendar '26, effectively foreigners have pulled out \$40 billion out of India. So, our international business honestly is just feeling the pain of that outflow front and center. We are looking at sort of trying to diversify that AUM. We did launch a government bond ETF saying why do we only have equity products, we should also have bond products. But it doesn't help when your currency drops 9% over the year, and then your bond investors also end up with a hugely negative return. So, it's just been a very, very difficult market to position India right now with global investors. But I have seen this time and again, it's a cyclical business. There are points in time where nobody is interested in the country, and there are other points where they want to bring the money back in a flood. So, right now, I would say it's just to hold our ground. And where possible, we are looking to bring in some of our institutional clients into our alternative products. So, we actually started this last year itself. But you know, it takes a while to get global investors completely to understand the domestic alternative product.

Thankfully, UTI Alternatives having returned money on two of its strategies during this year has a solid track record. So, I am hoping whatever traction we see in the alternative space will help the international business sort of overcome some of the headwinds in their P&L account. But the larger challenge of India being seen negatively is a headwind that we have no way of overcoming right now.

Mohit Mangal: And this should make sense. Lastly, on SIF, basically I mean, if you can just elaborate on how do you see this piece and will the yields be similar to that of mutual fund? A little bit on that would be helpful.

Vetri Subramaniam: I think too early to call that out. I think if you can do something which is genuinely differentiated in terms of risk and reward to the investor, my intention would be then to price that at a superior yield to the mutual fund. But if you are offering something which is more in the nature of a plain vanilla structure, which is only slightly differentiated from the traditional MF product, then your yields may not be different. So, I think it's still evolving. There's a whole series of long

Page 14 of 17 short opportunities which are available in that SIF space. Some of them over time, once we have the ability to execute them in a way that it makes a material difference to the investor, right? I mean, I can charge higher fees if the investor ends up with a risk -reward ratio or with a

return which in his mind is superior to what he's getting from the MF product, then of course, I would like to earn a higher yield. But I think it's still very early days over there to give you a guidance on that. But if I can offer a product with superior risk return, long short, etc., of course, I would certainly like to retain a higher yield for myself.

Mohit Mangal: Understood. So, are we kind of exploring that area, is there anything in the pipeline?

Vetri Subramaniam: I think the first product will be just a little bit more than a plain vanilla product, and so, I would not expect it on the first product. But we are trying to launch some in that long short space over time, and

it is still in the testing phase which could use quant. If we launch that successfully and we are able to build a track record, then certainly we would like to position that as a differentiated product and we would like the benefit of that to reflect in our yields. But if you just look at the market, I am sure, you will be able to see the data yourself, I think it is in the very early days, this space is still evolving in terms of what does the product offer and does it really meet the need of the investor which the traditional mutual fund product is not able to offer. I don't think we have solved this both ways. I think the whole industry is trying to figure this out.

Mohit Mangal: Right. No, I think that's helpful and very clear. Wish you all the best, sir.

Moderator: Thank you. Next question is from Vijaya Rao from BOB Capital Markets. Please go ahead.

Vijaya Rao: Yes. Thank you, sir. Please provide us the yields breakup of the segment, equity, debt, liquid and ETF. And secondly, your funds are a little underperforming. What are you doing in this respect so that your overall AUM grows a little smarter? These are two questions from my side.

Vinay Lakhota: So, Vijaya, I will provide the yield breakup. Equity and hybrid is 75 basis points. ETF and index fund put together is around 8. Cash and arbitrage around 10 basis points. And income fund is around 18 to 19 basis points. So, combined put together, depending on our asset mix, is weighted average yield is around 32.

Vijaya Rao: Yes. And the second question, sir, can you give color on how your funds are performing? If not, then what are you doing to have more funds in the first quartile?

Vetri Subramaniam: Well, I would love to do anything if you have ideas about how I could get all the funds into first quartile simultaneously. But I am not sure, having been a fund manager for many years, that there is any easy way to do that. But I look at it now from a business angle. And from a business angle, I am saying that I have got to make sure that I have got funds which are ring-fenced for different market seasons. Because what will be the market season which will cause a fund of a particular market cap, a fund of a particular style to do well, what season it will be is not in my control. But what I can do is make sure that my strategies, either by number or by AUM, though

Page 15 of 17 I can really control number, not AUM, are distinctly positioned from each other. So, that is something that I think we have established quite well in terms of saying what is in our value-oriented strategies, what is in our blended strategies, what is in our quality growth strategies. I would only say our biggest problem has been more in the quality growth, which to my mind is more a function of the season of the market. Of course, there are things that we could have done better in terms of stock picking. That's a continuous process. But essentially, the season did not match what those funds were trying to do. In the GARP side, which is the blended side, you could say there is some scope to improve execution. Those are tinkering that we continue to do. But I feel very positive that maintaining this diversified set of funds which are operating across the spectrum may not result in all my funds being in top quartile at the same point of time. But at the same time, it gives me a platform which is a lot more sustainable through market cycles. So, I think that's a conscious choice that we have made, that we would like the platform to be diversified. We will tolerate the cycles that come. We will back our fund managers through the cycle. We engage with the marketplace to explain how these funds are differently positioned. We engage with the market to try and explain to them how they can exploit the positioning that we have developed for each of these funds to be able for them to meet their investment goals and their aspirations.

So, to my mind, that's the way to do it rather than saying that I would like all the funds to be in top quartile. What I have seen as a fund manager, if you aim for the first quartile, you will get there at some point of time. But when the market season reverses, it directly causes you to swing to the back foot. So, I am approaching this as a business platform and saying, how do I build diversity across my platform, which will make my business less cyclical and more sustainable.

Vijaya Rao: Yes, true, sir. Very helpful. I was more inquisitive about the measures you are taking. Yes, that's helpful. Thank you so much.

Moderator: Thank you. Next question is from the line of Mahesh A, an individual investor. Please go ahead.

Mahesh A.: My question is to Vetri Sir. So, I want to understand more of balance sheet perspective. We hold almost Rs. 4,000 or Rs. 4,500 crores of cash and investment on our book at consolidated level, and this equals to almost 35% - 40% of the total market cap. And when I look at the listed AMCs, this is significantly on the higher end. So, I want to try to understand, how do you look

at this investment and cash flow from a strategic perspective? And is there any way you are planning to create value for shareholders through this part of the balance sheet, as in any buyback plans given the valuations are on the lower side and also the latest buyback reform announced in the budget. So, how do you see this significant portion of our balance sheet?

Vetri Subramaniam: Yes. Okay. Thanks, Mahesh. Well, I mean, we have that amount of cash on our books also because we are a very old institution, and we have built up that balance sheet over time through the good work that we have done in terms of serving investors, and that's where that cash balance has come from. But as you would be aware, in recent years, whatever we are generating in terms of profits, we are pretty much paying that out in large measure back to the shareholders by way of dividend. So, we will continue that policy. There is no need to add to

Page 16 of 17 that cash pile. But we also believe company of our kind, there is a need to have some investment or rather some liquidity on the books, some cash on the books. There could also be opportunities down the road in terms of M&A, etc. So, we will not add to that cash in the future because we will keep dividending out. But no other plans to do anything dramatic with the cash at this point of time.

Mahesh A.: Okay. And just to follow up on the dividend side, the last couple of years, we declared some special dividend as well in addition to regular dividend. And this year, I believe it's all the regular dividend. But going forward, do you have a guidance on a percentage of profits that we intend to declare as dividend? Or is it volatile that we saw in the last couple of years? So, how do you give guidance on the dividend policy going forward?

Vetri Subramaniam: Well, if you look at the trend line, I am not discussing policy. But if you look at the trend line, I think including what we have just announced today, which is Rs. 40, I think roughly we are at about 95% almost in terms of a trend line. I think that's a good way to think about it. The trend line itself is suggestive of --our basic view that there is no need to add any more cash on our books. We have enough liquidity for any corporate optionality that we might want to preserve. Anything that we generate in the businesses, we are happy to just give it back to shareholders. This is not a capital-intensive business.

Moderator: Thank you. Next question is from the line of Mandira A from Invesco. Please go ahead.

Mandira A.: So, I joined a little late. Could you help me with industry is reaching approximately Rs. 80 lakh crores. How is UTI positioned to capture the larger share and expanding its pie?

Sandeep Samsi: We are very happy that the industry is reaching new milestones and that just reinforces the

belief that people have in the mutual fund penetration and in mutual funds overall. For us, we are focusing on three key growth areas, we will continue to deepen our retail participation particularly in SIPs for the long-term flows and at the same time we will not only reach out to the metro cities but also strengthen our distribution in the B30 cities and the emerging markets. And as Vetri mentioned, we are focused on broadening our equity funds to ensure that at any point in time, some of the funds are able to cater to the requirements of the investors. We also mentioned that we are very strongly investing in our technology as well as in process improvement, and therefore, also in our communication. So, we are well poised to lead and create new possibilities to participate in this growing mutual fund journey. And as we discussed that we are also looking at launching new passive funds so that investors can achieve their lifecycle goals. Does that answer your question, Mandira?

Mandira A.: Got it. And secondly, what trend are you seeing in investor behaviour during the volatile market? Is there any change in the ticket size or the participation pattern?

Sandeep Samsi: Yes. So, as we discussed that we have seen over a period of time that investors have become more resilient, and they understand that this cyclical or volatility which is there in the market will go away eventually. And they believe in the long-term growth story of India. So, we don't

Page 17 of 17 see so much of redemption pressure that we used to see in earlier years because the investors are now aware how these markets are functioning. Having said that, March is generally a period when you see a lot of SIPs getting closed because of multiple reasons. One is people start their SIPs in the month of April, and their natural cycle closes in the month of March. People look to change their SIPs because they would have done some portfolio readjustment. So, those things will always happen and that will show a higher redemption of SIPs in the month of March. But overall, if you look at the trend and especially if you see the month of February, the trend has been very encouraging where we saw a drop in the number of SIPs which were being stopped at the industry level. And that number was even better if you look at the UTIs overall SIP book.

Mandira A.: Got it, sir. That was really helpful. Thank you.

Moderator: Thank you. Next question is from the line of Prisha Shah, an individual investor. Please go ahead.

Prisha Shah: Good evening, sir. I just have one question basically on the industry side. So, we have been seeing there's a lot of competition in this AMC space with Fintechs and everyone coming with their products now. So, in such a competitive environment, how are we seeing the key distribution on UTIs and is there any sustainable visibility over there?

Sandeep Samsi: Yes. So, if you look we have been doubling down on our distribution, especially with the banks as well as with the Fintechs. And these are two segments which are growing and especially the Fintechs because there are a lot of new Fintechs which are coming, and the younger generation find it very easy to invest through a Fintech platform. So, we have increased our engagement with them and we are seeing good traction coming especially from the Fintech platform.

Prisha Shah: Yes, sir. That answers my question. Congratulations on the good set of numbers.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand over the call to Mr. Vetri Subramaniam for closing comments. Over to you, sir.

Vetri Subramaniam: Thank you for that Yashashri . Thank you, everybody, for joining us here on this call today. I hope we have been able to provide you an insight into what our thoughts are and how we are looking to move ahead in the future and I

look forward to engaging with you again next quarter.

Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with AdFactors Investor Relations Team. You may now disconnect your lines.

Call: Jul 2026

Information Classification: UTI AMC - Public Ref. No.: UTI/AMC/CS/SE/ 2026 -27/0697 Date : 28th July, 202 6

National Stock Exchange of India Limited
Exchange Plaza Plot No. C/1
G Block Bandra – Kurla Complex
Bandra East Mumbai – 400 051.
Scrip Symbol: UTIAMC BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code / Symbol: 543238 / UTIAMC

Sub: Transcript of the earnings conference call on financial performance of the Company
for the quarter ended 30th June , 2026

Dear Sir / Madam,

Pursuant to Regulation 30 read with Schedule III Part A Para A of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (the SEBI Listing Regulations) and as per the relevant SEBI Circulars , we are forwarding the transcript of the earnings conference call held on Thurs day, the 23rd July, 2026 at 1600 hrs IST on the financial performance of the Company for the quarter ended 3 0th June, 2026.

The transcript of the aforesaid earnings conference call is also available on the Company's website at www.utimf.com in compliance with Regulation 46 of the SEBI Listing Regulations.

Thanking you,

For UTI Asset Management Company Limited

Arvind Patkar
Company Secretary and Compliance Officer
Membership No.: ACS 21577

Encl: As above

Information Classification: UTI AMC - Private

“UTI Asset Management Company Limited
Q1 FY27 Earnings Conference Call ”
July 23 , 202 6

MANAGEMENT : MR. VETRI SUBRAMANIAM – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER

MR. VINAY LAKHOTIA – CHIEF FINANCIAL OFFICER
AND HEAD CORPORATE STRATEGY

MR. SANDEEP SAMSI – HEAD INVESTOR RELATIONS –
MARKETING AND CORPORATE COMMUNICATION

Moderator : Ladies and gentlemen, good day, and welcome to the UTI Asset Management Company Limited Q1 FY27 Earnings Conference Call . From the management, we have with us Mr. Vetri Subramaniam , Managing Director and Chief Executive Officer; Mr. Vinay Lakhotia , Chief Financial Officer and Head Corporate Strategy; and Mr. Sandeep Samsi, Head Investor Relations, Marketing and Corporate Communication. We also have the investor relations team from Adfactors PR.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal for an operator by pressing star and then zero on your touchtone telephones.

Please note that this conference call is being recorded. Before we begin, I would like to mention that some of the statements made in today's discussion may be forward -looking in nature and may involve risks and uncertainties. Please note the disclaimer mentioning these risks and uncertainties are on the disclaimer slide of the investor presentation that has been shared earlier. I will now hand over the conference to Mr. Vetri Subramaniam for opening remarks. Thank you, and over to you, sir.

Vetri Subramaniam : Yes. Good evening, everybody. Thank you for joining us today. Our financial results , presentation and press release have already been shared on the stock exchanges as well as our website, and we trust you have had the opportunity to review them. Joining me today are familiar faces, Vinay Lakhotia, CFO and Head of Strategy, and Sandeep Sam si, Head of Investor Relations, Marketing and Corporate Communication.

Before we discuss the quarter, I would like to briefly touch upon three areas, but I'll keep it very brief because I'm sure all of you are familiar with this. One is the macroeconomic environment. Second is the progress UTI AMC is making against our strategic priorities. And finally, why we remain confident about our long -term growth trajectory.

The markets in the first quarter of FY27 witnessed a resilient domestic economy despite global uncertainty. While geopolitical developments and evolving trade dynamics continue to impact market sentiment, India's growth story has remained intact. This could be distinctly seen in the mutual fund industry data, which continued to demonstrate strong structural resilience during the quarter with average AUM reaching Rs 84,18,486 crores in June 2026, registering a robust year-on-year growth of approximately 12.6% from the same period in June 2025.

Also, there's healthy retail participation reflected in the industry's investor folio base expanding to nearly 28 crore s. Sustained systematic investment plan contributions and continued financiali sation of household savings reinforce our confidence in the long -term growth opportunity for the asset management industry.

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Against this backdrop, I just thought it's a good time once again to remind you of our Mission 2031 strategy, to transform UTI AMC into a larger, more competitive, technology -enabled, and crucially, an investor -centric organi sation. Our strategic priorities remain firmly anchored around five key milestones accelerating the AUM growth, strengthening our SIP franchise, expanding our distribution reach, deepening digital capabilities, and above all, delivering better outcomes for our investors.

With that, I'm pleased to highlight that the first quarter reflects encouraging progress across each of these priorities. Our mutual fund franchise continued to build reach and momentum during Q1 FY27, supported by healthy investor participation across retail and institutional segments. As our business approaches the Rs 4,00,0

00 crores quarterly average AUM milestone, our focus remains not only on growing with the industry, but on consistently improving our competitive position and increasing our share of industry assets through disciplined execution and investment excellence.

As of 30th June 2026, our mutual fund franchise continued to strengthen with quarterly average AUM reaching Rs 3,92,691 crores, contributing to UTI AMC's total group AUM of slightly over Rs 20,00,000 crores. We remain particularly encouraged by the improving quality of our asset mix, with equity assets across both active and passive strategies accounting for 70% of our

average mutual fund AUM, compared to the industry's equity -to-non-equity mix of 62:38 ratio, reflecting our continued focus on long -term wealth creation.

Our investor franchise also continued to expand. We added approximately 3.89 lakh folios, taking our total live folio base to 1.42 crore s. We also added 2.51 lakh new investors as measured by their PAN as of 30th June 2026. This has been supported by one of UTI AMC's enduring competitive advantages, that continues to be the breadth of our distribution franchise with presence in 699 district s across India.

During the quarter, we further strengthened our engagement with banks, national distributors, MF distributors, and wealth partners through focused fund manager interactions, distributor education programs, and data -driven sales initiatives. We believe that expanding our reach beyond the largest cities will remain a significant driver of future growth as mutual fund penetration deepens across the country.

A key indicator of the strength of our franchise continues to be the momentum in our SIP business. SIPs remain a key driver of sustainable growth, with our gross SIP inflows of Rs 2,502 crores during the quarter and SIP AUM increasing 8.05% year -on-year to Rs 45,595 crores.

At the same time, our digital capabilities continue to gain traction, with digital purchase transactions reaching 60.9 lakh in June 2026 from 49.14 lakh in June 2025, a year -on-year increase of 23.93%, underscoring the growing adoption of digital platforms . And this once again speaks to our ability to engage investors across channels. While these numbers are encouraging, we view them as milestones in a much longer journey.

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Our focus remains firmly on building sustainable market share and strengthening the quality of our growth, rather than optimi sing for any single quarter. One of the most encouraging aspects of our business, which I already referred to earlier, is that nearly 70% of our average mutual fund assets are now equity -oriented, reflecting our continued emphasis on long -term wealth creati on. This is a combination of active and passive investments and reflects the choice of the customer.

Investment excellence remains the cornerstone of our strategy. Our product development philosophy has always centred on delivering differentiated investment solutions rather than simply expanding the number of schemes. We continue to identify structural opportunities where our investment capabilities can create long -term value for investors.

During the quarter, our fixed income franchise delivered consistent investment performance, supported by a resilient credit portfolio with no rating downgrades. Our liquid fund reached a new milestone in assets under management. At the same time, we are si gnificantly expanding our passive investment franchise through a strong pipeline of index and ETF offerings, enabling investors to participate efficiently in evolving sectoral, thematic, and long -term structural opportunities while addressing changing inve stment preferences.

Alongside our disciplined investment approach and robust risk management framework, we continue to support investment outcomes across asset classes. This positions u

s well to benefit

from the structural shift of household savings towards financial assets. Based on this momentum, we continue to make meaningful progress in strengthening our international and our passive investment franchise.

Our passive product strategy for the international market remains on track, and we advanced our global product pipeline through the discussions that we have for emerging markets strategy and also for a GIFT City outbound product initiative, and you will hear more on this through the rest of the year.

We also continue to deepen engagement with global asset managers, distribution platforms, and thematic ETF providers. We also hosted our first US institutional roadshow to showcase our private credit capabilities, given our strong track record over our two funds where we have now returned capital to investors.

These initiatives reflect our long -term commitment to expanding UTI AMC's global footprint, broadening our investment offerings, and creating additional avenues for sustainable growth beyond our domestic franchise.

Our alternatives business continues to build momentum. We strengthened our private equity platform or unlisted equity offering with the appointment of a dedicated head of private equity. We have also progressed on our GIFT City retail initiatives in collaboration with our domestic and international teams, and as I mentioned earlier, you will hear more about this later during the year.

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We also launched our second multi-opportunities fund, MOF II, and continue to see strong investor interest in Structured Debt Opportunities Fund 4, which is the fund we launched earlier this year. This has secured commitments of approximately Rs 900 crores as of 30th June 2026. These developments reinforce our strategy of building a diversified alternatives platform with multiple growth engines across private credit, private equity, and also offering these solutions to international clientele.

Our pension business continues to make meaningful progress in advancing financial inclusion and expanding social security across underserved segments. During this quarter, we achieved an industry-first milestone by signing the country's first-ever Memorandum of Understanding between a pension fund and a farmer producer organisation, strengthening retirement awareness across the farming community.

We also expanded our presence across the MSME ecosystem with strategic partnerships with industry-leading bodies and continue to deepen our rural outreach by on-boarding agricultural cooperative banks and engaging with primary agricultural credit societies, self-help groups, tea plantation workers, and women-led communities. These initiatives reflect UTI's commitment to broadening pension access and supporting India's long-term retirement savings ecosystem and speaks back to the origins of UTI more than 60 years ago.

Further, customer engagement and digital transformation continue to be key focus areas during the quarter. We strengthened our direct investor engagement model with the launch of our customer experience channel in Mumbai, providing dedicated relationship management to some of our customers. Our AI-powered voice assistant V AANI continues to transform customer servicing and now handles over 60% of inbound calls, improving both responsiveness and operational efficiency.

Additionally, our digital marketing partnership with Google has expanded us to reach over 10 crore unique individuals over the past nine months, significantly expanding our engagement with India's potential investor base. Together, these initiatives are helping us build stronger investor relationships, enhanced customer experience, and drive long-term business growth. As we continue to focus on disciplined execution and operational efficiency, the organisational initiatives und

ertaken over the past year have created a leaner and more agile operating model, enabling us to support higher business volumes while maintaining cost discipline. Our objective is to generate sustainable operating leverage as we continue to invest selectively in areas that strengthen our long-term competitive position.

As we look ahead, our priorities remain clear. While one quarter does not define long-term success, we believe the progress made during the first quarter reinforces the strategic direction we have set for the company. The investments we have made in people, technology, products, distribution, and operating efficiency are creating a stronger and more scalable organisation. As India's asset management industry continues to benefit from favourable structural trends, we believe our company is well-positioned to participate meaningfully in the next phase of industry growth while creating sustainable long-term value for our investors and shareholders.

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With that, I will now request Sandeep to take you through the operational and financial performance of the company in greater detail.

Sandeep Samsi: Thank you, sir. I will now speak about UTI AMC's operational and financial performance during the first quarter ended 30th June 2026.

UTI AMC financials on a standalone basis, the core revenue, that is the sale of services, amounted to Rs 308 crores, stable at year-on-year and up by 1% on a quarter-on-quarter basis. The core EBITDA stood at Rs 171 crores for the first quarter of FY26-27, up by 1% Y-o-Y and 20% Q-o-Q. The core profit after tax for the quarter one of FY26-27 is Rs 119 crores, up by 1% Y-o-Y and 72% quarter-on-quarter. The shareholders of the company have approved a final dividend of Rs 40 per equity share at the Annual General Meeting held on 21st July 2026, representing 95% of the pay-out ratio.

On a consolidated basis, the core revenue, that is sale of services, amounted to Rs 379 crores, stable at Y-o-Y and up by 1% Q-o-Q. The core EBITDA stood at Rs 178 crores for the first quarter of FY26-27, up by 3% Y-o-Y and 21% Q-o-Q. The core profit after tax for quarter one of FY26-27 is Rs 129 crores, up by 6% Y-o-Y and 31% Q-o-Q.

On UTI Pension Fund Limited. Our 100% owned subsidiary UTI Pension Fund Limited has recorded a year-on-year growth of approximately 13% in its AUM, reaching approximately Rs 4.31 lakh crores as on 30th June 2026, as compared to Rs 3.81 lakh crores as of 30th June 2025. It currently manages approximately 24.16% of the NPS industry's AUM as compared to 24.67%

at the end of quarter one FY26.

On UTI International . UTI International, which represents our international business, has an AUM of approximately USD 1.48 billion, which is Rs 14,027 crores as on 30th June 2026. Our international clients are spread across more than 30 countries and are primarily institutions, pensions, insurance companies, banks, and asset managers. Our flagship India Dynamic Equity Fund, domiciled in Ireland, has an AUM of approximately USD 511.56 million, which is Rs 4,839 crores as on 30th June 2026.

On UTI Alternatives, as of 30th June 2026, UTI Alternatives has an AUM with a total commitment of all active funds, including the co-investment portfolio manager, of Rs 3,843 crores, which is an increase from approximately Rs 2,679 crores in June of 2025. We have an AUM of USD 206 million as of June 2026 across two pooled vehicles in GIFT City, India Opportunity Fund I and India Opportunity Fund II, which act as feeder funds for MOF I and SDOF IV respectively.

UTI Alternatives currently manages six active funds across performing credit and multi-strategy themes.

The UTI Structured Debt Opportunities Fund III has an AUM of approximately Rs 609 crores as compared to Rs 615 crores as of June 2025, and the fund is currently in invest

ing stage.

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UTI SDOF IV, launched in Q2 of FY26 and planned as a Rs 1,500 crores fund with a Rs 500 crores Greenshoe option, has currently an AUM of approximately Rs 887 crores.

UTI Multi Opportunities Fund I has an AUM of approximately Rs 1,599 crores and is currently in investing stage.

UTI Multi Opportunities Fund II started marketing in quarter two of FY26 and is planned as a Rs 1,000 crores fund with a Rs 1,000 crores Greenshoe option. It currently has an AUM of Rs 321 crores as of 30th June 2026.

UTI Real Estate Opportunity Fund I with a total commitment of Rs 189 crores as compared to Rs 147 crores as of June '25 remains in fundraising and investing stage.

As of 30th June 2026, UTI AMC's PMS AUM stood at Rs 12,15,000 crores, while EPFO AUM was at Rs 10,63,000 crores. The implementation of the revised EPFO mandate and consequent transfer of assets led to a decline of Rs 3,16,000 crores in the PMS AUM on a quarter-on-quarter basis.

Overall, the quarter reflects continued improvement in the quality of our earnings, a healthy growth trajectory across our core businesses, and disciplined execution against our strategic priorities. I would now request the Managing Director and CEO for his concluding remarks.

Vetri Subramaniam: Thank you, Sandeep, for sharing that detailed operational update with everybody. I think we can now open the forum for question and answers.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question is from the line of Uday Pai from Investec. Please go ahead.

Uday Pai: Yes, thank you for the opportunity. I have a couple of questions. First is can you share the yields across equity, hybrid, ETF, and liquid for the quarter? And this quarter we see in your financial that there is no non-controlling interest line item or rather it's zero. So, what is the reason for that? And the third question would be the net flows that we see in ETF is there a contribution from EPFO money also, or is it pure retail HNI category flows? And lastly, if I can squeeze one, what's the dividend policy going forward?

Vinay Lakhotia: Yes. So hi, Uday. Yield for the equity and hybrid fund is close to around 72 basis points, 72 - 73 basis points. ETF and index fund is around 8 basis points. Cash and arbitrage funds are at around 12, and for the fixed income fund is around close to around 20 basis points. So that's on the yield part.

On the non-controlling interest, we had investment in two of our AIF funds, SDOF II and SDOF III, where because of the controlling interest and because of accounting standards, we were required to consolidate their balance sheet with UTI AMC.

But since SDOF II has already returned the money and SDOF III we have sold a part of our stake, then for this particular quarter, for both the funds, the consolidation was not required to

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be carried out in our balance sheet, and the non-controlling interest, which represents the other shareholder interest in that particular fund, has actually come down. So that's on the non-controlling part. And with what was the third question?

Uday Pai: Net flow in ETF. The ETF net flows is there is a contribution from EPFO or is it retail?

Vetri Subramaniam: Yes. Vetri here. I mean we don't comment on specific customer flows, so I can't answer that question. But I would just say that our index fund inflows, which is actually significantly retail, were significantly positive for the quarter.

Uday Pai: Sure. And dividend policy, any color on that?

Vinay Lakhota: I think we have been maintaining a very healthy pay-out ratio of the profit in excess of 95%. I think hopefully that will continue.

Uday Pai: Sure, sir. Thank you.

Uday Pai: That's it from my side.

Moderator: Thank you. The next question is from the line of Mohit Mangal from Centrum. Please go ahead.

Mohit Mangal: Yes. Good evening, everybody, and thanks for the opportunity. My first question is basically I wanted to know the impact of, you know, 5 bps exit load on yields -- have we taken the hit or have we passed on to the distributor?

Vinay Lakhota: Mohit, as you can see from our yield number, there are no dilution as far as the margins are concerned. So basically, whatever the impact of the TER changes has been there, we have passed on the impact to all our intermediaries, and there's no impact on our margin number as such.

Mohit Mangal: Okay, that's great. My second question is basically.

Moderator: I am sorry to interrupt sir. Your voice is not very audible. Could you use your handset?

Mohit Mangal: Is this better?

Moderator: Yes, this is. Thank you so much.

Mohit Mangal: Yes. So, on the net flows, you know, I think if I have to look at your equity schemes, three biggest schemes, flexi cap, large cap, and mid cap. Just wanted to know qualitatively, was there any redemption pressure or how were the flows in this segment, in these schemes?

Vinay Lakhota: So, the net sales number, Mohit, we have already published that. There have been some redemption pressure under our flexi cap category, but large and mid-cap, we have been receiving quite a positive inflow, and in fact, in flexi cap fund as well, the SIP inflows have been encouraging. But while the overall net sales numbers are negative in flexi cap fund, but there are gross sales in that particular fund and large & mid-cap fund has been doing very well as far as net inflows are concerned.

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Mohit Mangal: Right. My last question is towards the PMS. So, I think in your opening comments, you said that, you know, we had to transfer some amount with respect to EPFO money and therefore there has been a decline. So, for the entire year, how should we look at the PMS, please?

Vinay Lakhota: So, the impact is very marginal in terms of fees, and that has already been factored into our -- this particular quarter financial number. But there's no meaningful impact on the fees number for the PMS on account of this transfer.

Mohit Mangal: Understood. Lastly, in terms of the international business.

Moderator: I'm sorry, sir, your voice is breaking up again.

Mohit Mangal: Yes. So, my last question is on the international business. So basically, we are seeing some kind of pressure over the last 2 to 3 quarters. So, I mean, I understand that because the global uncertainty and other factors as well. But how should we look in terms of this business going forward?

Vetri Subramaniam: So, from our point of view, the international businesses essentially an international sales and distribution business for the investment management capabilities that we already have in India.

So, it's the same team that's effectively able to manage the products, which are then getting distributed in different geographies, almost about 38 plus geographies where we have licenses or the product is registered and licensed for sale.

What you are seeing in terms of the flows over the last, I would say, actually, almost 2 years, combination of both the lack of appetite for India, I should actually say negative sentiment towards India and the fact that our own scheme has struggled in terms of performance over the last two years. So that's the reason why the flows are negative. But I see that as essentially a cyclical issue.

At some point, you will see interest in India come back. And I think the scope for India to attract money as an individual geography as opposed to being just a part of a global pool. We see that trend already. And I think that will only accentuate if we stay on the structural

growth path.

And therefore, we think there is a great opportunity for us as an India-based manager with local investment management capabilities to capture a share of that market rather than allow that to accrue only to the global firms who actually don't necessarily have much on-ground fund management presence.

Moderator: The next question is from the line of Divij Punjabi from Banyan Tree Advisors.

Divij Punjabi : Yes, I had three questions. The first was like we were discussing some time ago that there was a strategy to diversify focus away from the top 2, 3 equity and hybrid funds into the other funds as well, so that across cycles, the AUM is more consistent. So, can you just comment on how that effort has been progressing so far?

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Vetri Subramaniam : Okay, you want me to answer that? Yes, Vetri here. So, I would say that is well underway, and that's reflected in the fact that now the team is actually focused and I would say they've also demonstrated their own capability in terms of being able to push the gross sales across a whole host of funds, rather than it being limited to just a few historically what we may have called flagship schemes.

So, I think the comment perhaps that Vinay made earlier, if you look at the large & mid-cap fund that is actually the fund in which we are having maximum traction at this point of time, and based on the month, I think we are pushing almost 3 % to 3.5% in terms of our share of net sales on that strategy.

At the same time, in a strategy like flexi cap which has been challenged, I think team has done a great job of communicating the positioning of that strategy, the potential inflection points, and therefore even though we've lost money because of redemptions, they've actually managed to increase the SIP pipeline over there.

So, I think that strategy is underway. It's a continuous sort of learning experience to the team to sort of push them and nudge them, but I think we are on the right track in terms of being able to get the benefit of a diversified set of products to reflect in our sales numbers. And even in I would say has been a challenged strategy for us in the pure mid -cap fund, actually the team has managed to clock in a positive net sales number year -to-date.

So, I think it just speaks to the ability of the team to engage and be able to settle a very diversified suite of products. And similar would apply even in hybrids. I think in hybrids, our net flows sometimes don't reflect what the team is doing because we've got two -three, what I would call sunset products which are just sort of rolling off.

But outside of those something like the aggressive hybrid etc., again, we've been consistently averaging 2 % to 3% of industry net sales over there. So, we are continuing to push the team to engage on multiple products with the whole sales architecture -- distribution architecture.

Divij Punjabi: Sir, I'll just put the other two questions also forward. One is around the employee count. So sequentially, we're seeing that the employee count has gone up by 5 %-6% or so. So, kind of you can explain that. And the other one is, is there any consideration around the buyback given the cash that is there and given the price of the stock?

Sandeep Samsi: On the employee count, our numbers have remained fairly stable. As we had mentioned that earlier also when we had given the VRS, the numbers came down and we have only replaced people where there was a need. So, we have not replaced all the people who have taken VRS.

So, I'm not sure about the number of employees increase that you're saying. Are you talking from a cost point or are you talking from an absolute number point?

Divij Punjabi: To absolute number. Last quarter, Q4, the total employee count was 1,435 and this quarter it is 1,512.

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Sandeep Samsi: So that is the consolidated number, which also includes the people that we have in the pension funds as well as in the alternatives business. So, as Vetri also mentioned in his opening comments, we are investing in all of these businesses and therefore, we have recruited people for sales in the different subsidiaries. But in the asset management, the number remains fairly stable.

Vinay Lakhota : Divij, we highlighted earlier as well that in UTI Pension Fund Limited, since we are expanding our capabilities into the private pension business, there a significant number of recruitments are happening, plus on the UTI Alternative sides also, we are building capabilities in terms of two strategies, both on the private equity as well as on the real estate fund.

So, these subsidiaries' headcount number has increased, but on the standalone entity, which is the mutual fund business, there the numbers are actually slightly lower only.

Vetri Subramaniam : Just to give you some colour on the AMC side, honestly, it's our belief based on the way we look at the sizing of the organisation that honestly there's no reason for the AMC number to go up unless something changes dramatically, either in terms of our thought process or industry architecture or distribution architecture. So, you should not see the AMC number go up.

Pension fund, again, just to reiterate, actually over there the numbers will go up dramatically over the next two years, but that's just a function of the growth that we are seeing, and we think we can fund that growth quite comfortably without any profitability dent when you look at the pure pension fund company numbers.

So over there, we will actually significantly expand the workforce over the next 18 months. We actually approved it for them way back in October -November '25. So, I think they will almost more than double their headcount over the next year, year and a half.

Divij Punjabi: Sure. And lastly on buyback?

Vetri Subramaniam: No, there's no proposal that we are considering at this point of time. It's not on the table.

Divij Punjabi: Okay, sure. Thank you.

Moderator: Thank you. The next question is from the line of Shreyas Pimple from Nomura. Please go ahead.

Shreyas Pimple: Hi, team. Thank you so much for the opportunity. My first question was on the Mission 2031 strategy. Any quantitative metric or targets that we have set for ourselves in terms of, let's say, distribution or capabilities, if you could expand on that, please, first.

Vetri Subramaniam: Sure. So, I think as far as the Mission 2031 targets are concerned, we said we think there is scope for us to manage 2x our current AUM because we've already made all the commensurate investments that we would need in terms of people, technology, etc. Of course, you have some sort of upgrade cycles in all of this, but otherwise, we are well-staffed to be able to do that. So that's pretty much, I would say, on target.

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We need to ramp up our flow market share in equity, because our flow market share in equity is significantly lower than our stock of AUM market share in equity products. So that remains the focus area in terms of the number that we need to take up. I think over there, our current sort of double-down is on SIP, recognising the fact that we've got some weak performance and redemptions in some of the large schemes. So that's why we've been doubling down on SIP. But at some point, of time, we think cycle will be more favourable. We are also carrying out our own enhancements on process, people within investment management. So, I think at some point when we are able to get better performance numbers, we'll be able to take up that number in a more cyclical fashion.

So that's where we are in terms of

making sure but the bigger thought process, flow market share eventually needs to exceed stock market share. That's the only way we are going to be able to get to the targets we have set out for ourselves.

Meanwhile, use every other tactic, whether it is SIP, whether it is other products, whether it is passive, to kind of keep the engagement with the entire distribution architecture and continue to meet whatever investment goals that customers have in whatever products they might want to be able to achieve this.

Shreyas Pimple: Understood. Just one follow-up on that. When an investor thinks about UTI AMC. What are the unique selling points? What are the USPs that you want an investor to think about when they think of the UTI AMC as a fund house?

Vetri Subramaniam : That's a very tough one because some level, sometimes I think the MF 'Sahi Hai' campaign paints all of us with the same brush so it sometimes gets difficult for people to distinguish, but I would say where we've been doubling down is really in terms of pushing our legacy, the fact that we've been around for 60 years, whatever that we do as an organisation is focused on the long term.

And therefore, in every part of our engagement, whether it is with distributors, whether it is customers, it's always to stress the longevity of the organisation and the fact that the investors own needs will evolve over 10, 20, 30 years, and this is an institution which has demonstrated its capable of managing the cycles, managing the challenges and delivering on what those investors expect over a long period of time. So, you'll double down on that trust and comfort that people have with the brand.

The second thing that we've articulated for a while now is the fact that whatever we do in terms of our products, in terms of our processes, or rather in terms of our investment management. At the core of it, there is always a very strong process because we think that is what gives institutions longevity over long periods of time in terms of meeting investor requirements is processes.

At the same time, you also need to make sure that your talent, the people within the organisation are appropriately skilled, they are engaged, they are meeting with the market players, they are

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engaged with investors, they are engaged in all sorts of public medium because this is an environment in which people want to see what the fund managers are saying and doing. So, we are conscious of that.

We target a lot of our media conversations to make sure there is appropriate visibility for the fund managers, there is regular contact with our partners at every level. So, I would say it's really the trust, it's the process and it's the engagement that we think will continue to define what UTI means to the customer and continue to stress the fact that these are very long-term journeys. It's not a question of buying the fund which has had the best performance in the last 1 year. It's a question of a fund which has the right thought process in terms of processes, in terms of risk management to meet the needs of the investor over the medium to long-term.

Shreyas Pimple: Sure. Sir, and in terms of the target customer segment, can you, while I understand we will be happy to cater to every Indian, but what are some of the target customer segments that we are going after.

Vetri Subramaniam: Maybe Sandeep can share some data on that, which we sort of know based on our own marketing efforts.

Sandeep Samsi: So, Shreyas, the main target audience that we are looking at is the first-time investors which are coming into the mutual fund, the young investors that have started working, as well as we are looking at people who have got into the next cycle of their life stages, getting married, and then starting a family and increasing their responsibility.

So, if y

ou look at some of the data that we have, we can clearly see in our data that in the first quarter of FY27, we saw about 18.6% increase on a quarter-on-quarter basis on the SIP registrations which happened between the age group of 18 to 25. They have now jumped up to, in this first quarter itself, to 98,127.

So, this is a very strong growth, and this is the strongest growth that we have seen across age groups. Even in the 26 to 40, which I mentioned as the people who have started investing for different goals, that grew at a rate of around 6.8% in the new SIPs and 11.4% in new clients. So there has been a lot of growth that we are seeing in the younger segment, and that remains a focus area for us as we believe in India's growth potential.

Vetri Subramaniam: Just to add the strategic thought process behind that. See, the brand is very well-recognized, I would say, with the older cohorts, if I can use that word, and maybe anybody above 40-plus. For us, we recognize that we are not the first financial brand that younger cohorts have experienced. Younger cohorts have most likely seen the big bank brands which are visible on high streets, those are better known to them.

Which is why our digital team is very aggressive in terms of making sure we have visibility with that cohort in the digital space, because that is where that cohort is very, very active. So, I would say when I think about UTI, not over the next 1-2 years but over the next 10-20 years, we

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need to make sure that this brand resonates strongly with the younger cohorts, because if you don't resonate with them, you will not have the benefit of their brand support when they become larger, both in terms of numbers as well as the investment value that they would bring to the table.

So, we believe that this is really a long-term thing that we need to do in terms of making sure the brand is visible to that younger cohort, and lot of our efforts are targeted towards that. The other thing that we know from history is that when you are one of the first preferably the first mutual fund that somebody has experienced, they tend to have that brand in their consideration set for whatever decisions they might make later on in life.

So, which is why we are very specifically also targeting that, is this a new PAN that we are bringing into the industry, because then our ability to engage with them, both through our digital partnerships that we run with Google, as well as our own, sales and marketing automation capability that we have with Salesforce, we have the ability to communicate with that cohort because they are digitally very savvy.

And if we don't do that today, we will have an even bigger problem 20 years out. So, I'm very, focused on the fact that to ensure this institution's brand legacy, we have to significantly engage with that younger cohort and make sure we're one of the first brands that they engage with, which is why we are very aggressive in the digital visibility.

Shreyas Pimple: Yes, that is very heartening to hear from you, sir. Thank you so much. My second question was on the Opex front. We have seen both staff cost, employee cost, as well as other Opex being muted this quarter, minus 8% employee cost quarter-on-quarter decline. Can you explain the reason why the cost was muted this quarter?

Vinay Lakhotia: No, as we highlighted in our April con call as well, because of the benefit of VRS that we gave

sometime in the third quarter of last financial year, the employee cost net run rate had come down.

Shreyas Pimple: So, is it fair to say that the expenses would look like in the range for the next for this full year in the quarter?

Vinay Lakhota: So, the guidance on the employee cost that we gave earlier was Rs 95 crores for the standalone entity and close to around Rs 130 crores per quarter

for a consolidated entity. That is the run rate that we are looking at.

Shreyas Pimple: Sure. Sure. That is very helpful. Yes, those were my questions. Thank you so much.

Moderator: Thank you. The next question is from the line of Chirag from DSP. Please go ahead.

Chirag: Yes, sir. Thank you for the opportunity. Sir, just on the buyback, we're sitting on 40% of market capitalisation as cash. This keeps growing 10% every year. Across the NIFTY 500, I don't think any other company will meet this metrics. What needs to happen for you to think about a buyback?

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Vetri Subramaniam : Nothing to add relative to my previous answer. That's not on the table right now. But I don't think you will see it growing at that pace because, whatever we are making in terms of profits as Vinay pointed out earlier, we are almost paying out 95 %-100%. I think for me, the bigger challenge is to make sure that I grow the market cap quickly. And if I can do that, then that comparison that you're making will not look as, you know, stark as it does today.

Chirag: But is there any constraint, sir, on the buyback?

Vetri Subramaniam : Nothing. It's not on the table right now.

Chirag: Understood. Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Krunal Shah from ENAM . Please go ahead.

Krunal Shah: Hi, just wanted to understand the outlook on the other expenses for FY27?

Vinay Lakhota: I think the earlier guidance we gave, say, all the major technological or IT initiatives, digital initiative, we have already carried out, including our revamp of our digital asset, cloud infrastructure, salesforce automation, data lake. So don't foresee a major IT or a digital expense for the remaining of the financial year.

Some things may work out on the AI side. That's why in the April month we gave a target that 8 % to 10% increase on the FY25 -26 number will be the target run rate number for this particular financial year.

Krunal Shah: Got it. So, you're maintaining the guidance. Okay. My second question is to Vetri . So, the investment that you are doing in UTI International, UTI Pension, how are you looking at the ROI on these investments, say, 5-6 years down the line, given that most of these are through the P&L right now?

Vetri Subramaniam : In UTI Pension, did you say?

Krunal Shah: Yes, UTI Pension and UTI International as well. Because they are adding a lot of people, so we are booking a lot of expenses, but the revenue is not yet coming?

Vetri Subramaniam : Well, actually on pension, I think pension relative to our investment is actually hugely profitable from our point of view

Vinay Lakhota: Incremental, I'm the meaning I said you said that you're going to double the headcount in like 18 months...

Vetri Subramaniam : Okay, yes, good. So, you know, in pension, honestly, the business is so unbelievably attractive from my point of view. 15 -year money coming in. Obviously, it's at a much lower margin, but from a manufacturer perspective, having that kind of money for 15 years is actually a mouth-watering proposition.

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B. I am focused on making sure that we keep getting rupee profit growth, but no desire to exploit that business for margins at this point of time because that would be missing the woods for the trees. So, we want that pension fund to continue to grow the private sector product, and I think somewhere down the road, you will see lot more collision between these products in the customer heads when they make their choices of where they want to go.

And again, I can't understate the attractiveness of a product where for 15 years the customer is going to stay in a relationship with you, which is very different from what happens in the MF space.

So, we will be happy to take rupee profits growth in that business, but we are not interested in trying to exploit operating leverage. I'd rather just reinvest it in the business for growth because I think that's the right thing to do in a business which has a 15-year outlook. On the international business, look, that international business just remembers when you look at, I think Vinay can give you the numbers later, but they've effectively their net worth today is 4x what we had given them many, many years ago. So yes, there is some pain that they give us on the P&L account.

Some of it is just related to the horrible cyclicalities that we've seen in terms of the, you know, lack of appetite for India in the last year, year and a half. In the international business, our last big people expansion in terms of headcount happened when we entered the US, which was in 2024 is when we entered.

After having done that US expansion, I am not seeing any reason for the headcount to go up, simply because now we've pretty much covered all the areas that we wanted. Europe was already fully under coverage, Middle East is under coverage, Singapore covers pretty much the entire Asian region for us.

So, in international, I think '24 was the last expansion in headcount in a significant way. You should see it at stable state thereafter. Their challenge has been AUM, not increase in headcount cost. And of course, because of their initial seed money, you see volatility in their reported numbers because that flows through the P&L account.

And the stated thought process in international, which will maybe in some way address if that is your concern, is our own thought process in international now is wherever possible or not only wherever possible, but rather the first principle should be growth through alliances rather than creating large, fixed cost bases first and then trying to figure out where the AUM growth will come from.

So, I think US was the last place where we had to nail down that team and say let's take this cost and then see how to build the business. Hereafter, our thought process is, go the alliance route to scale it, rather than take the costs on our own books upfront.

Krunal Shah: Got it, got it. Interesting. And so, in UTI Retirement, now that we're doubling the headcount, where would we be deploying these people? Are we adding more branches?

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Vetri Subramaniam: Combination of branches and feet on street.

Krunal Shah: Understood, understood. Got it.

Vetri Subramaniam: So, it's pretty much all RM s, business development, sales -related roles.

Krunal Shah: Okay, understood. Thank you.

Moderator: Thank you. The next question is from the line of Abhijeet Sakhare from Kotak Securities. Please go ahead.

Abhijeet Sakhare: Hi, thanks. Good evening. My first question was in the opening remarks, you'd mentioned about leaner and agile business model. And if I go back to your, remarks couple of quarters back around, fixing the entire the sales supervisory and the junior layer, in terms of the ratio between the two and how that had to be fixed.

Just wanted to understand like where are we in that process, and broadly except for the fund performance which will probably solve for itself, but everything else is now in place or that's like still a few quarters away?

Vetri Subramaniam: Yes, thanks for that. I'd say on the sales reorganisation stuff, once that VRS was completed, we pretty much got to where we wanted in terms of, changing the ratio of supervisory to feet on street. We sort of clustered some of the branches. So effectively, that allowed us to address that. So, I say we're pretty much there in terms of that 4, 4.5 number. Can it go slightly higher over time?

Maybe. But I think we've achieved where we wanted to go. It's also a young team, so I'm also

conscious of the fact that, we effectively moved from 5% of our workforce being Gen Z in 2021 to almost 39% of our workforce being Gen Z. Significantly, those bring up the numbers in sales today. Gen Z and Gen Y put together is, I think, 80% of the sales team.

So, I would say not only have we managed to get that ratio in a more favorable position, we've also managed to bring in a lot more energy. Yes, some of our experience, moved out with the VRS, but we've brought fresh energy into that team. So, I think that part is working well for us.

Investment performance is where, we are not where we would like to be, in my opening remarks I made the call investment excellence, and we've not managed to execute well on that. So that is where we are, sort of working with the team to see what we need to do in terms of both process readjustments and talent to make sure that we are able to execute better. So that to my mind is the key.

Abhijeet Sakhare: Thanks for that. Just one follow-up on the cost front. So, while this year will have some benefits because of the one-off costs in the previous year, but because the industry is

competitive, so next year onwards, do we start to see some creep -up on the cost growth, especially if the if the top line doesn't really start to come through?
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Vinay Lakhota: I think , hard to giving give any guidance number apart from '26-'27. Let's see how this year goes through and then we'll give a call sometime next year .

Abhijeet Sakhare : Got it, sir. Thanks a lot.

Moderator: Thank you. Participants if you have any questions, you may enter star followed by one. The next question is from the line of Sagar Doshi from Cleverbyte Capital . Please go ahead.

Sagar Doshi: So, I just wanted to understand the growth outlook for this year. As I could see, we have been losing market share over time. So how are you looking at growing the AUM on a net basis? Are you looking at NFOs? So how many new schemes or new products you're looking to launch? If you could give a color on the growth outlook, that would be good ?

Sandeep Samsi: So, on the NFOs, we have a product pipeline which continues to remain robust. And we have a strategy to expand both our passive as well as active investment offerings. We have recently received regulatory approval for several passive products that strengthen our existing index fund investing franchise.

This includes the UTI Nifty 500 ETF and index fund, UTI BSE Index Sector Leaders ETF, and there are other funds which are in the pipeline. On the active side, we are looking at launching, subject to regulatory approvals, a balanced hybrid fund and some sectoral debt funds. So, we have a good pipeline for the year.

Vinay Lakhota: Apart from that, SIF and GIFT City outbound funds are also in the pipeline in the H2 of this particular financial year.

Sagar Doshi: Okay. And can you also give me some light on we are losing our market share in the average AUM. So, anything on that? What steps are taken and by when can we see like we are at least not losing out?

Vetri Subramaniam: So, I think what you see there is effectively the impact of the redemptions that are happening. As I mentioned in my earlier comments, where some of the larger strategies have had performance issues. I think that will turn around only once we start to see some stronger, tailwinds from a performance standpoint. That's why I called out, we know that where we have strong performance, our share of flow tends to match our share of stock or even go higher than share of stock.

But where we have redemptions then, your net sales number gets crowded out by what's happening in terms of gross. But just from a messaging point of view, we keep the team focused both on that gross number as well as that net number. And therefore, I think when we have slight

slightly more favorable tailwinds on performance, that will take care of itself.

Sagar Doshi: Got it. Thank you.

Moderator: Thank you. The next question is from the line of Jagannatham, an Individual Investor. Please go ahead.

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Jagannatham: Hi, thanks for the opportunity. And congratulations for great numbers because I think if I understand it right, be it in terms of revenue, operating profit, net profit, I think this is the best quarter UTI had produced. Congratulations to the team and to Vetri . Just one question, again connecting back to that buyback question considering the liquidity levels.

In the previous conference call, you mentioned that while buyback is not on the cards, but you are keeping optionality from the M&A point of view. Would like to understand whether you are referring to you want to acquire or you are in the other way around. I mean, what is the thought process on that M&A that you mentioned in the previous quarter?

Vetri Subramaniam: Yes. I mean, as a listed company, you always want to have the optionality to buy something if the price is right. So, and as an independent company, which as you know, if you look at our corporate structure, there is no promoter that UTI has. So, I think that that is important. Therefore, as an independent company, we maintain some level of cash buffer within the company.

And I think right now the industry is in a little bit of an expansion phase. But at some point, there will be opportunities to acquire bolt-on businesses. So, at that point, we need to have that. We can't at that time go looking for where will we get the cash to do some acquisition.

So, I think any company which doesn't have the, at least a viewpoint that at the right price I will look to acquire and bolt on capability, then I would say you're not doing your job well. So

certainly, at some point, we'd look to acquire. But it need not necessarily be only AMC. It could be in the alternatives space; it could be in the international space. So, we'll see.

Jagannatham: Okay, okay. And so, are you actively in talks with somebody or it's more of a passive market right now?

Vetri Subramaniam: No, no. No active talks anywhere at this point.

Jagannatham: Sure. Thank you.

Moderator: Thank you. The next question is from the line of Shailendra Mundra, an Individual Investor.

Please go ahead. Mr. Mundra, your line is unmuted. Please ask your question. I'm sorry, sir. We are not able to hear you. Can you use your handset? We are still not able to hear you, sir. I am sorry sir; we are not able to hear you. Ladies and gentlemen, that was the last question. I now hand the call over to Mr. Vetri Subramaniam for closing comments. Over to you, sir.

Vetri Subramaniam: Thank you. Thank you, everybody, for your participation on this call today and for all the questions that you had. And you know, Sandeep and Vinay and me, we are all happy to be able to have this opportunity to engage with all of you and look forward to doing this both during the quarter and obviously at the next quarterly results. Thank you and have a good evening.

Moderator: Thank you, sir. Ladies and gentlemen, thank you for joining the call. In case of any queries, feel free to connect with Ad factors Investor Relations team. You may now disconnect your lines.

Thank you.